

Manager's Adopted Budget

FY 2025-26

Town of Chapel Hill



Chapel Hill Town Council | 2025-2026



Top Row: Council Members Adam Searing, Melissa McCullough, Theodore Nollert, and Elizabeth Sharp.

Bottom Row: Council Members Camille Berry, and Karen Stegman, Mayor Jessica Anderson, and Council Members Amy Ryan and Paris Miller- Foushee.

Interim Town Manager

Mary Jane Nirdlinger

Finance Officer

Amy Oland





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405 Martin Luther King Jr. Blvd.
Chapel Hill, NC 27514-5705

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www.townofchapelhill.org

Letter of Transmittal

To the Honorable Mayor and
Members of Town Council
Town of Chapel Hill, North Carolina

Greetings:

I present to you the Town of Chapel Hill, North Carolina Annual Budget for Fiscal Year 2025-26. The budget includes a total combined property tax rate of 50.0 cents per \$100 of assessed value. The property tax rate for the Downtown Service District is 5.5 cents per \$100 of assessed value.

The Adopted Budget for 2025-26 recognizes Council's most important goals and invests in strategic initiatives to achieve those objectives, even during these challenging and unprecedented times. We look forward to working with Council to continue offering the core services our residents expect.

This Adopted Budget document includes the fund summaries that utilize the governmental budget practices recommended by the Government Finance Officers Association of the United States and Canada.

Respectfully submitted,

Mary Jane Nirdlinger

Mary Jane Nirdlinger
Interim Town Manager

June 18, 2025

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June 18, 2025

Mayor and Council:

Following is the FY2025-2026 adopted budget. This year's property tax revaluation reflects significant growth in values for both residential and commercial properties. We are also facing challenges related to low sales tax revenues, inflation, uncertainty about federal actions, and our limited sources of revenue—primarily property taxes.

The Town has used a five-year outlook to inform their tax rate decisions in recent years. Increasing the rate has addressed some core needs, including Affordable Housing, Parks and Recreation, Transit, and the rising costs of doing business.

By continuing to stabilize our financial base and strengthen our organization, we will be stronger and more resilient during this time. We continue to need to invest in maintaining our buildings and facilities, streets, and fleet to support the services the community values, as well as supporting the ongoing operations of the Town, as outlined in the five-year outlook.

During the last several months, the Council has discussed the Town's critical needs, the tax rate, areas of focus, and community needs. We know that these are difficult decisions, and we also know that maintaining a stable organization is key to providing the services our community will rely on in the upcoming years.

We have been thoughtful about including service changes and reductions in our operating needs, prioritizing the most important needs, and we will be creative with our budget in the upcoming year. To accomplish our shared interests, we have arrived at an adopted budget with these highlights:

- The Total Budget is just over \$164 million dollars for all our funds, with the general fund accounting for roughly \$94.9 million.
 - That is a 4.5% increase from the FY 2025 budget.
- We are implementing a tax rate 5.8 cents above the revenue neutral tax rate of 44.2 cents.
 - This would lower our property tax rate from 59.2 cents to 50.0 cents.
 - 5.5 cents for the General Fund will:

- continue with year 3 of the 5-year budget outlook, addressing critical needs,
 - account for declining sales tax revenues,
 - and lessen the Town's reliance on fund balance.
- The remaining 0.3 cents will provide funding for capital and the increased cost of operations for the Transit Fund.
- We are applying a 5% of market pay increase for our employees as part of the implementation of our last Pay and Classification study, since a stable work force is key to delivering the Town's services.

We have updated the Five-Year Outlook to show how the adopted budget could impact future budget years.

We recognize that a higher tax bill impacts our property owners, and we also acknowledge that we must have sufficient revenues to carry out the Town's vision. The adopted budget is a measured step in addressing the Town's priorities and building a good foundation for the future.

FEDERAL UNCERTAINTY

We have evaluated our federal funding and although we do not know with certainty which funds will be reduced or eliminated, we anticipate changes.

1. We are freezing or holding vacant positions to cover some of our federally funded positions.
2. We have identified fund-balance to be used in case of emergencies.
3. We have repurposed a vacant position for a previously grant-funded position in our Language Access program and included new funding for our two grant-funded Crisis Assistance, Response, and Engagement (CARE) positions in the Police Department. Should we receive grants for any of these positions, the allocated funding will offset other unfunded needs.

REDUCTIONS

We strive to be good stewards of the public's resources, and as part of this year's process, we evaluated our operations for possible reductions. While most reductions would result in decreased services to the community, we did identify some opportunities to discontinue infrequently used services and to change service delivery methods that will generate cost savings now, and into the future. Some examples include, but are not limited to:

- Discontinue renting large yard-waste containers. The cost savings will be applied to other operational needs.
- Change leaf collection and yard-waste collection methods. We will phase these changes in, with adequate communications and a transition plan. More efficient service will avoid the cost of future equipment replacement. It will also provide an opportunity for our street and construction maintenance staff to address other key needs such as road and sidewalk maintenance.
- Pass credit-card fees for Town services to the users so the community at-large does not have to absorb those costs.
- Evaluate our pool operations for coordination with summer camps and review our

schedules for efficiency without impacting the vast majority of our users.

- Identified vacant or soon-to-be vacant positions that can be converted to meet more critical needs throughout the fiscal year.

SERVICES

In any given year, we face the challenge of addressing the average 3-5% increases to "the cost of doing business." This includes everything from cleaning and landscape contracts to software platforms and the numerous other services that are provided by outside vendors. In recent years, departments had to absorb these costs into their budgets – but with sustained, historic inflation, this is no longer a sustainable approach.

With this budget, we have a new \$413,615 allocation to address some of the cost-of-doing business increases and to expand a few critical services that create operating efficiencies.

FACILITIES and STREETS

Just as our community expects high quality services, they also expect well-maintained, high-quality buildings, facilities, and streets. And as you've heard from us throughout budget season, we have a significant amount of deferred maintenance – and the cost of labor and supplies to repair and maintain facilities has gone up. If we do not address some of these needs now, the deferred costs will escalate.

With this budget, we have allocated an additional \$150,000 towards deferred maintenance and an additional \$150,000 towards street resurfacing.

FLEET

To get our business done, we need a fleet of vehicles across departments and divisions – and as stewards of public dollars, we need to keep that fleet well-maintained. As we've shared with you, we have aging vehicles, and our maintenance costs have increased with inflation. And as you know, we are committed to electrifying our fleet – and that will take additional resources. With the new \$150,000 allocation included in this budget, we can continue to make strides on the vehicle replacement front.

PEOPLE

Our employees are our most important asset because they carry out the operations of the Town and deliver our services. We have improved our pay in recent years, and the most recent pay and classification study shows that we have an opportunity this year to match the market for our employees and address the challenges we experience when we cannot attract or retain our talent. By having competitive wages, we will reduce our overtime expenditures in key departments, we will retain the investment we make in recruiting and training our employees, and we will have a more stable work force. We are proposing a phased implementation of our pay and class study findings, with an increase for all employees in July, and targeted adjustments for employees whose pay remains below the study recommendations in January.

We face known challenges—especially employee burnout and exhaustion, a competitive job market, inflation, and the high cost of living – especially here in Chapel Hill. We also know that

a stable work force helps us reduce overtime costs and training costs for hiring replacements when employees we've invested in leave the organization. We care about providing the best services with the best people and providing a sustainable workplace for our employees because they are the people delivering services to the community.

Included in the adopted FY 2026 budget:

- 5% of market pay adjustment. This pay adjustment will be a percentage of market pay rather than base pay, in order to move employees closer to the market rate for their jobs.
- 5% pay increase for the Mayor and each Council member.
- 0.75% mandatory increase to the employer share of the retirement system contribution.
- 6% increase for the cost of employee medical insurance.
- \$205,151 to implement the recommendations of the Pay and Classification study in January 2026, which will bring our remaining front-line employees to an appropriate pay level for their qualifications.
- With no new money going to staffing in the General Fund, we are not adding any new positions. However, we plan to convert vacant or soon-to-be vacant positions to address critical department needs, including a Traffic Operations Services Coordinator in Public Works, and a shared Payroll and HR Systems Analyst Position, which will benefit the entire organization and free up capacity for increasing our analytics capacity. We will continue to evaluate positions throughout the year.

AFFORDABLE HOUSING

The FY 2026 adopted budget includes nearly 3 pennies for affordable housing initiatives, continuing the Council's previous direction. The Affordable Housing Funding Program allocation, along with federal funds, the recently launched Affordable Housing Loan Fund, and Affordable Housing Bond funds move us closer to securing resources to meet our funding goal to implement the Town's Affordable Housing Plan to expand and preserve affordable housing.

ENTERPRISE FUNDS

The Transit budget is down by 0.5% overall over the current year budget due to discontinuing a large contracted services contract for bus driver support and not appropriating any fund balance. The budget includes a 0.3 cent tax rate above revenue neutral for the Chapel Hill contribution and the corresponding partner contribution increases from UNC & Carrboro. This combined funding will cover Transit's basic operating needs and provide some funding for capital. It does not provide for new positions this year.

The Parking Facilities Fund budget is up 18.4% overall from the current year due to a *larger* transfer from the Debt Service Fund (which offsets the debt service payment on the 2021 and 2024 LOBS) as a result of parking revenues continuing to rebound from the pandemic. We anticipate this transfer will not be needed once the East Rosemary parking deck has been open for a few years.

The Public Housing budget is up 6.8% which is driven by increases in anticipated tenant rents and

one-time appropriation of fund balance for additional property repairs.

The Stormwater budget is up 13.1%. We are implementing a stormwater fee increase of \$5.30 per ERU, of which \$3.80 per ERU will cover the fund's debt service on the issuance of the final \$3.2 million in general obligation bonds and of which \$1.50 per ERU will fund a Stormwater Analyst position, to maintain compliance with our mandatory permitting requirements and to address stormwater infrastructure planning and implementation needs, which is one of the Town's critical needs.

We believe that this budget positions the Town well for the future. By stabilizing the base of our budget, investing in our core operations, and continuing to fund the big, bold goals of the community, the Council provides the Town with resilience this year and into the future. We appreciate the thoughtful conversation that has informed this adopted budget.

Sincerely,

Mary Jane Nirdlinger
Interim Town Manager, Chapel Hill, NC

CITIZENS' GUIDE TO REVIEWING THE BUDGET

General Comments

This budget document describes Town services and revenue sources adopted for the Town's budget for the fiscal year from July 1, 2025 through June 30, 2026.

The Mayor and Council's adoption of an annual budget is one of the most important decisions of the Town as a service organization and governmental entity. The annual budget translates the values of the Chapel Hill community into a plan of action for services, programs and projects, and resources for providing services.

The Mayor and Council's decisions in adopting a budget are in the form of an ordinance allowing expenses and raising of revenue during the coming budget year, an ordinance authorizing employee positions and wage and salary ranges, resolutions adopting fees and charges, and related actions.

In accord with normal accounting and budgeting practices for cities and towns, Town services supported partly or entirely with general taxes are budgeted in a General Fund.

The General Fund includes costs and revenues for police, fire, refuse collection, street maintenance and other public works services, human services, planning, construction, inspections, engineering, library, parks and recreation, general administration and support services, and some miscellaneous items.

The public transit, public parking, stormwater management, public housing, internal service funds, and supplemental downtown district services are budgeted in separate, individual funds.

This budget is intended to identify most services

offered by the Town and proposed objectives for quality, quantity, timing, etc. of services. The individual department and division overviews give details about current Town services approved by Council. However, there may be a few activities not described or noted only in summary form here. We invite you to call the appropriate Town departments as listed on the [Town's website](#). Any changes, deletions, or additions to current services which may be decided during the proposed budget discussions will be reflected in the adopted budget for 2025-26.

The information in this budget document is intended to be understandable to citizens with a general knowledge of business practices and of most Town services. We have attempted to minimize the use of technical words and phrases, or to define them when used. A glossary of terms is provided in the Budget Appendices. However, if something in this material is not clear, we invite you to call us at (919) 968-2743 or send an email to info@townofchapelhill.org.

State Laws Regarding Local Governmental Budgets

The Town's fiscal year begins on July 1 in accord with requirements in the North Carolina Local Governmental Budget and Fiscal Control Act.

This legislation requires that the Manager submit a recommended budget to the Mayor and Council, that the Council hold a public hearing, and that the Council adopt an annual budget or interim budget for 2025-26 by July 1. State laws also determine the types of services and regulatory authority which the Town can provide, the revenue sources available to the Town, and in many cases the maximum level of

CITIZENS' GUIDE TO REVIEWING THE BUDGET

such revenue. For example, the Town is not authorized to levy income taxes, and Orange County has enacted a local option sales tax at the authorized limit of 2½%. The Town is authorized to provide various types of services needed in urban areas, including police and fire protection, refuse collection, and street maintenance services.

In North Carolina, county governments are responsible for public health, education, social services, and various other programs. Funding for the Chapel Hill-Carrboro City School district serving southeast Orange County is provided through County and State government decisions and funding.

Financial Management Principles

The adopted budget is based on financial management principles including:

- * The Town makes conservative estimates of revenues and costs to minimize the chance that actual revenues received during a budget year may be less than expected, or that actual costs may exceed estimates.
- * The Town seeks to use stable, annually recurring revenues to pay for costs (such as wages, supplies, etc.) which tend to continue from year to year. The Town avoids using one-time revenues for annually recurring costs.
- * The Town seeks to keep a reserve of money saved in past years (undesignated net assets or fund balance) so that the Town will not have to borrow funds early in the fiscal year when revenues are less than the cost of providing services, and so that the Town will have a reserve for any major unexpected costs or revenue fluctuations between budget years. The Town's objective is to have a fund

balance of at least 22% of the General Fund budget for cash flow purposes in accord with Town policy, and additional amounts for unforeseen circumstances and emergencies.

- * The Town avoids or limits the deferral of costs to future years. When deferrals are proposed, the amount is limited to the extent practical, and the deferrals are specifically identified.
- * The Town seeks to properly maintain buildings and equipment to protect the community's investment in these assets.
- * The Town seeks to recover from user fees all or a significant portion of the cost of some kinds of services, so that the citizens who benefit most from a service will pay for the service. However, several kinds of fees are waived or lowered for low-income families, for youth, and for senior citizens.
- * The Town uses general taxes to provide some special services or assistance to citizens with special needs because of low income or other conditions.
- * The Town seeks to maintain a competitive position in the Triangle labor market to recruit and retain employees who will provide services with the quality desired by the community.
- * The Town from time to time issues bonds or uses installment contracts authorized by State law to finance capital projects which will benefit the community for a long period and which should therefore be paid for over a long period.

CITIZENS' GUIDE TO REVIEWING THE BUDGET

Budget Process

The Mayor and Council's process and schedule for developing the 2025-26 budget included forums and hearings for citizens to express their views, raise questions and concerns, and make comments on services, policies, and funding items related to the budget.

The description of the budget process and the budget calendar are included in this Introduction and Background section.

Citizens were invited to make comments at any time by letter to the Mayor and Council or to the Town Manager at 405 Martin Luther King, Jr. Blvd., Chapel Hill, NC 27514, by fax to Town Hall at (919) 969-2063, or by email at info@townofchapelhill.org.

Citizens with disabilities in hearing or speaking were invited to call the Town at (919) 968-2743 (TDD: (919) 968-2700) for assistance in participating in public hearing or commenting by other means.

Elements of the Budget Document

- Introduction and background information with regard to the development of the budget including the budget process, the budget goals, and assumptions made.
- Department and division mission and duties, as well as their budget and a summary of budget changes.
- Explanations of debt and the capital program.

- Summary information with regard to net assets (fund balance), revenues and expenditures for all funds, tax rates and tax collections, and staffing and organizational structure.

Each department has a separate overview. The following is an explanation of the information included for departments and divisions.

Department Sections

Each department section contains a department overview intended to provide information about the department: organizational charts for the department; staffing charts for each department; and a budget summary for the department. Also included is the same information for individual divisions within some of the larger departments. Goals and performance measures are also included for appropriate departments.

◆ Department Overview

Each department section starts with an overview page, which includes the Mission Statement and summarizes key duties of the department.

◆ Organizational Chart

Following the department overview is an organizational chart for the department that displays the personnel in the department broken out by divisions, where applicable.

◆ Staffing Chart

The staffing chart for each department lists all positions within the department in full-time equivalents in order to provide a snapshot of staffing for the various department functions.

CITIZENS' GUIDE TO REVIEWING THE BUDGET

◆ Budget Summary

The budget summary for each department provides a summary of significant budget changes in a brief narrative format. It also lists expenditures summarized in the categories of Personnel, Operating Costs, and Capital Outlay. Revenues are also listed in a summary format based on revenue sources. These expenditure and revenue summaries provide historic and adopted information as follows:

- 2023-24 Actual
- 2024-25 Original Budget
- 2024-25 Revised Budget
- 2024-25 Estimated
- 2025-26 Adopted Budget
- % Change from 2024-25 Original Budget

◆ Departmental Performance Measures

The Performance Measures section states the Strategic Focus Areas each department focuses on and details the department's strategic objectives. For each department, this section also provides performance measure data for FY23, FY24, and FY25, as well as the FY26 Target.

A reader's guide entitled "Budget Format—The Basics" follows.

In addition to the material described above, the adopted 2025-26 budget contains supplemental information intended to assist the reader. This data includes details regarding fund structure, fund descriptions, major revenues, and a glossary.

BUDGET FORMAT - THE BASICS

NOTE: All tables in the adopted budget present the same three-year columns.

Audited data from the last completed fiscal year.

Budget for each category as amended during the prior fiscal year.

The adopted budget for the new fiscal year that begins on July 1.

Budget for each category as originally adopted for the prior fiscal year. The fiscal year begins July 1 of each calendar year.

Estimate of prior year final cost/revenues by category.

The percentage of change from the original budget in the prior year to the adopted budget.

EXPENDITURES

Includes salaries, wages, and employee benefits (e.g., FICA, insurances).

	2023-24 Actual	2024-25 Original Budget	2024-25 Revised Budget	2024-25 Estimated	2025-26 Adopted Budget	% Change from 2024-25
Personnel	759,140	833,544	833,544	833,544	809,367	-2.9%
Operating Costs	123,123	106,693	151,605	122,484	107,446	0.7%
Capital Outlay	9,011	5,000	5,000	5,000	-	-100.0%
Total	891,274	945,237	990,149	961,028	916,813	-3.0%

Includes expenditures on land, buildings, equipment, and other purchases with a cost of at least \$5,000.

Includes all operating costs, except those related to personnel or capital.

REVENUES

Revenues for the general benefit of the Town and not related to specific functions. These revenues include property taxes, State-shared revenues, sales taxes, interest, and appropriated net assets (fund balance).

	2023-24 Actual	2024-25 Original Budget	2024-25 Revised Budget	2024-25 Estimated	2025-26 Adopted Budget	% Change from 2024-25
General Revenues	730,933	776,437	821,349	846,228	770,013	-0.8%
Grants	-	-	-	-	-	N/A
Charges for Services	11,678	10,800	10,800	11,800	11,800	9.3%
Licenses/Permits/Fines	90,594	85,000	85,000	40,000	70,000	-17.6%
Transfers/Other Sources	58,069	73,000	73,000	63,000	65,000	-11.0%
Total	891,274	945,237	990,149	961,028	916,813	-3.0%

These revenues are directly related to departmental functions.

Strategic Focus Areas, Goals, and Performance Management

2023 – 2025 Strategic Focus Areas and Goals

Local governments use strategic planning as a tool to set goals, connect to stakeholders, track progress, and communicate results. Approving Council goals and objectives is the first phase of building a performance management system that links Council goals to staff work plans and communicates outcomes to the public.

On April 27, 2023, the Town Council approved seven strategic focus areas as an operational framework for the Town. The Strategic Focus Areas guide the development of the Town Budget and Departmental Business Plans, which drive the allocation of resources and staff time. Below are the 2023 - 2025 Strategic Focus Areas and Goals approved by the Town Council.



Focus Area 1: Environmental Stewardship. *To mitigate effects of climate changes through management of Town resources, partnerships, and natural environment, and as we densify to also strengthen protection of sites in our natural areas plan and parks master plan.*

- Goals:
 - Continue implementation of Climate Action and Response Plan
 - Model environmental best practices across departments and facilities
 - Encourage energy efficient buildings, and renewable energy while reducing energy needs
 - Continue to link transit, transportation, and climate action initiatives
- Core Departments:
 - Sustainability, Planning, Public Works, Library, Parks & Recreation, Transit
- Complete Community Connections:
 - Green infrastructure, mature tree canopy, natural landscapes, waterways, features, affordable housing choices with access to jobs and transportation

Focus Area 2: Economic & Financial Stewardship. *To support a vibrant economy by supporting business development, jobs creation, and entrepreneurship by balancing our tax base to support a diverse community.*

- Goals:
 - Continue implementation of ReVive plan, focusing on women and minority businesses
 - Continue Town/Gown collaboration, with a focus on entrepreneurs, innovators, and housing for employees
 - Continue implementation of Downtown Together plan, with focus on downtown revitalization
- Core Departments:
 - Economic Development, Planning, Business Management
- Complete Community Connections:
 - Support innovation & entrepreneurship, social innovation/non-profit incubators, UNC presence

Focus Area 3: Affordable Housing & Housing Production. *To increase housing access across a range of incomes and housing types and achieve equitable housing outcomes for historically marginalized populations.*

- Goals:
 - Increase availability of affordable housing
 - Preserve existing affordable housing
 - Sustainably manage public and transitional housing
 - Increase production and diversity of housing
- Core Departments:
 - Public Housing, Affordable Housing and Community Connections, Planning, Transit
- Complete Community Connections:
 - Housing diversity, access to home ownership, live/work neighborhoods with access to sustainable transportation options

Focus Area 4: Connected Community. *To create a highly connected community where bicycling, walking, and transit are convenient, everyday choices for our neighborhoods, businesses, and public spaces are accessible to all residents without a car*

- Goals:
 - Continue implementation of current multi-modal plans to increase connectivity
 - Work with transit partners to support long term financial sustainability of Chapel Hill Transit
 - Implement Transit-Oriented-Development plans
 - Implement Everywhere to Everywhere Greenways and explore funding options (fed, state, partnerships)
- Core Departments:
 - Transit, Parks and Recreation, Public Works, Parking Services, Planning
- Complete Community Connections:
 - Greenways; transit-oriented, active transportation options; housing density supports transportation options

Focus Area 5: Healthy & Inclusive Community. *Collaborate with communities and institutions to eliminate inequities, build community, and enrich the health and lives of those who live, work, and visit Chapel Hill.*

- Goals:
 - Continue to implement the Community Connections Strategy
 - Leverage partnerships to increase access to arts and cultural experiences, especially those that highlight historically marginalized artists
 - Create opportunities for residents to share their own stories and explore our community's history, with a focus on historically marginalized residents and communities
 - Focus on inclusivity in cultural and social events, friendly to children through seniors and those with mobility issues or other disabilities
 - Fund cultural arts activities and facility development for arts, cultural events, and parks

- Core Departments:
 - Library, Community Arts & Culture, Parks and Recreation, Human Relations Office, Affordable Housing & Community Connections, Manager's Office
- Complete Community Connections:
 - Housing diversity, access to home ownership, live/work neighborhoods with access to sustainable transportation options

Focus Area 6: Safe Community. *Embrace a holistic approach to making Chapel Hill a healthy, safe, and supportive community in which to live, work, and visit. Stable and safe housing makes stable and safe communities.*

- Goals:
 - Continue implementing Reimagining Community Safety recommendations
 - Continue implementing Vision Zero Strategy
 - Clarify roles for Town and County and continue collaborative partnerships to address homelessness, mental health, substance use, and other community issues
 - Focus on safety in densely populated and connected communities
- Core Departments:
 - Police, Fire, Emergency Management, Building & Development Services, Public Works, Technology Solutions, Affordable Housing and Community Connections, Human Relations Office
- Complete Community Connections:
 - Friendly to children and seniors, non-able-bodied, and the whole population, access to affordable housing

Focus Area 7: Employee Recruitment & Retention. *Attract top talent across the organization, offer fair and competitive compensation, and ensure that all employees have the resources, knowledge, and training to do their best work every day.*

- Goals:
 - Continue work on employee compensation, with a focus on addressing compression and inflation
 - Better maintain and improve facilities, with a focus on MSC and Fire Stations
 - Support employee work-life balance
- Core Departments:
 - Human Resources Development, Technology Solutions, Business Management, Manager's Office, Ombuds Office, Human Relations Office
- Complete Community Connections:
 - Our people are essential to successful implementation of the Complete Community Framework

Performance Management

Performance management uses evidence from measurement to evaluate how Town resources are meeting community and Council expectations. Departmental business plans set strategic priorities and performance metrics for core programs and services for each fiscal year. The FY26 Budget document illustrates performance data and targets that departments have identified as performance measures in their FY26 Departmental Business Plans.

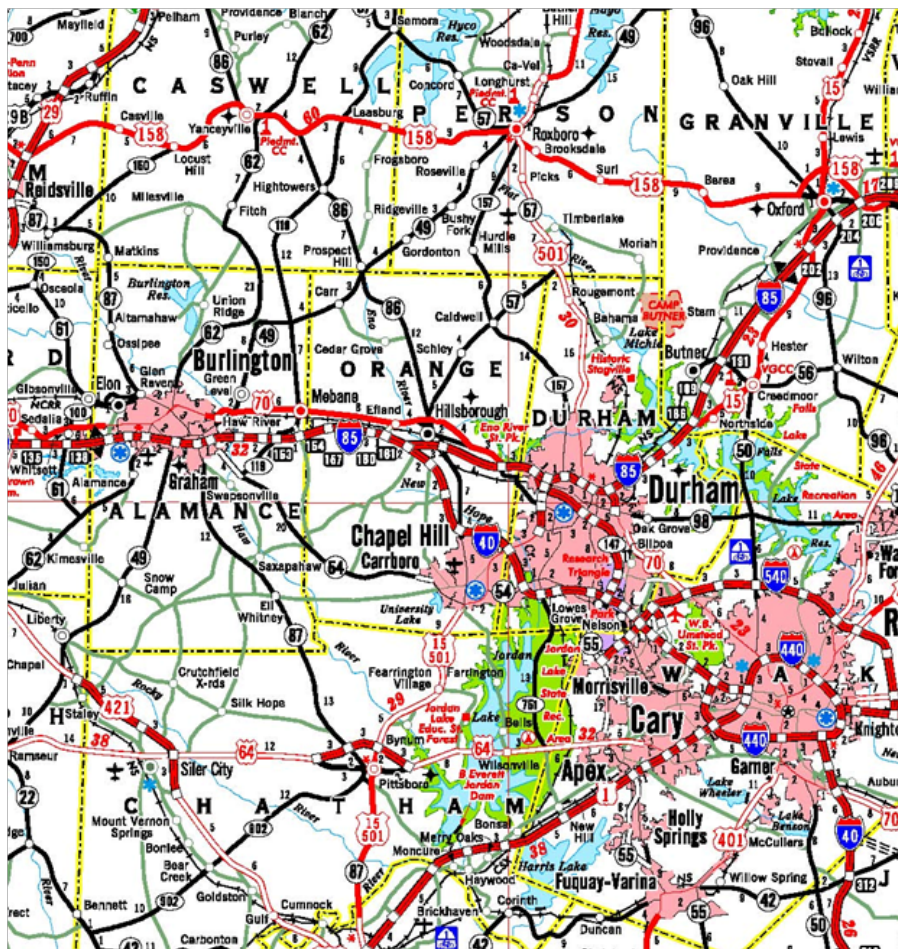
Below are additional Performance Management tools used by the Town to communicate how annual investments are being used to meet Council goals and Community vision.

Performance Tools	Data and Dashboards
Business Plans, Performance Measures, Community Survey, Employee Engagement, Capital Project Management	Chapel Hill Open Data, GIS & Analytics, Personnel Dashboard, UNC Benchmarking Project

CHAPEL HILL – LOCATION, GOVERNMENT STRUCTURE & DEMOGRAPHICS

Location

The Town of Chapel Hill is located principally in Orange County and partially in Durham County in the north central portion of North Carolina on the Piedmont Plateau, approximately equidistant between Washington, D.C. and Atlanta, Georgia. The area's topography is characterized by rolling hills. The Town, which was incorporated in 1819, presently covers an area of 21.79 square miles and has a population of 63,288, according to the latest estimate issued by the State of North Carolina for July 2023. The Town is the home of the University of North Carolina at Chapel Hill, the nation's oldest public university, established in 1789. Today, the University enjoys a reputation as one of the best public universities in the United States.



The Town conducts an ongoing planning and programming process through which it implements orderly expansion and management of the growth and development of the community in accord with the Comprehensive Plan, last amended in 2023. At present, the Town exercises zoning and building controls over a 27.51 square mile area that includes the corporate limits and a 5.72 square mile planning jurisdiction.

CHAPEL HILL – LOCATION, GOVERNMENT STRUCTURE & DEMOGRAPHICS

The growth of the Town has been directly related to the expansion of the University of North Carolina at Chapel Hill. Enrollment at the University has risen from 8,791 in 1960 to 32,438 in Fall 2024. It is anticipated that expansion will continue to occur in University-related health facilities such as the UNC Health Care System.

Government Structure

The Town has a Council-Manager form of government. The Town Council is comprised of a Mayor and an eight-member Council. All Council Members serve four-year terms. The Mayor and four Council Members are elected every two years. All elections are on a non-partisan basis. The Council appoints the Town Manager and Town Attorney. The Mayor presides over the Council meetings and has full voting privileges. The Town Manager is the chief administrative officer of the Town. Town departments are responsible to the Town Manager for the provision of public services.

Demographics

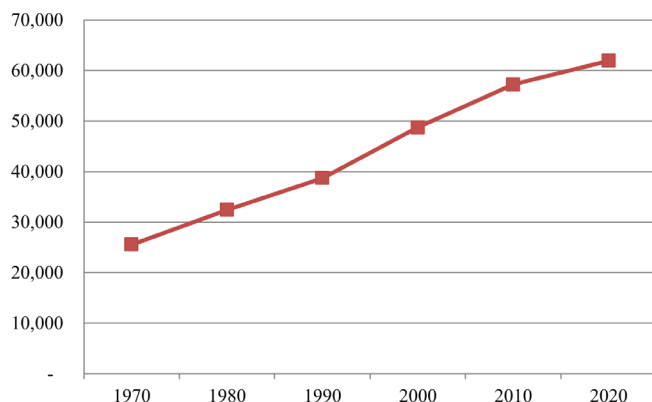
POPULATION GROWTH AND CHARACTERISTICS

Population Growth

Chapel Hill's population increased by over 13,000 since the 2000 Census, totaling 61,960 in the 2020 Census. Figure 1 shows the Town's population growth from 1970 to 2020.

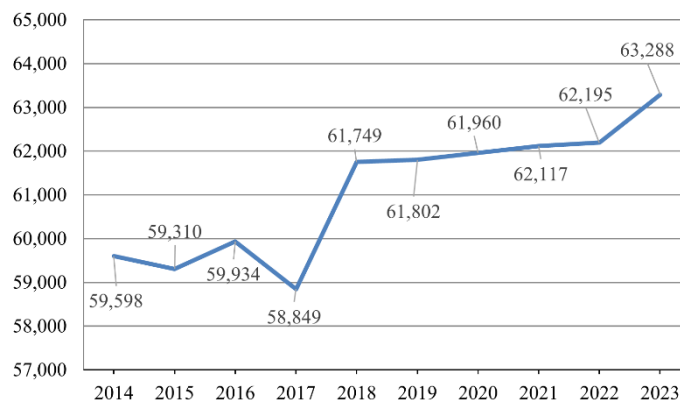
The Town's growth during the 10-year period from 2014 to 2023 amounts to 6.2 percent, while during the same period the County's growth was 7.3%, and the statewide population grew by 9.8%. Figure 2 shows the Town's more recent growth.

Figure 1. Chapel Hill Population: 1970-2020



Source: US Census Bureau

Figure 2. Chapel Hill Population: 2014-2023



Source: NC Office of State Budget & Management

CHAPEL HILL – LOCATION, GOVERNMENT STRUCTURE & DEMOGRAPHICS

**Table 1: Chapel Hill Population by County
(2023)**

County	Chapel Hill Population
Durham County	2,913
Orange County	60,375
TOTAL	63,288

Source: NC Office of State Budget & Management, 2023

Racial Makeup & Hispanic Population Growth

A demographic shift in the 2020 Census revealed an increase in the number of people who described themselves as being Hispanic or of Latino origin, an ongoing trend evident at the national, state, and local levels. Table 2 depicts the breakdown of population percentage by race. The percentage of white persons as a share of the Town’s total population declined from 2010 to 2020, and that trend has continued since. People who identified themselves as being of more than one race in 2023 totaled just over 6 percent of the Town’s total population.

**Table 2: Chapel Hill Population by Race & Origin
(2023)**

Race/Origin	%
White	66.7%
Black or African American	10.9%
American Indian and Alaska Natives	0.6%
Asian and Pacific Islander	13.2%
Some Other Race	2.6%
Two or More Races	6.1%
Total	100.1%
Hispanic Origin (any race)	7.4%

Source: 2023 American Community Survey, US Census Bureau

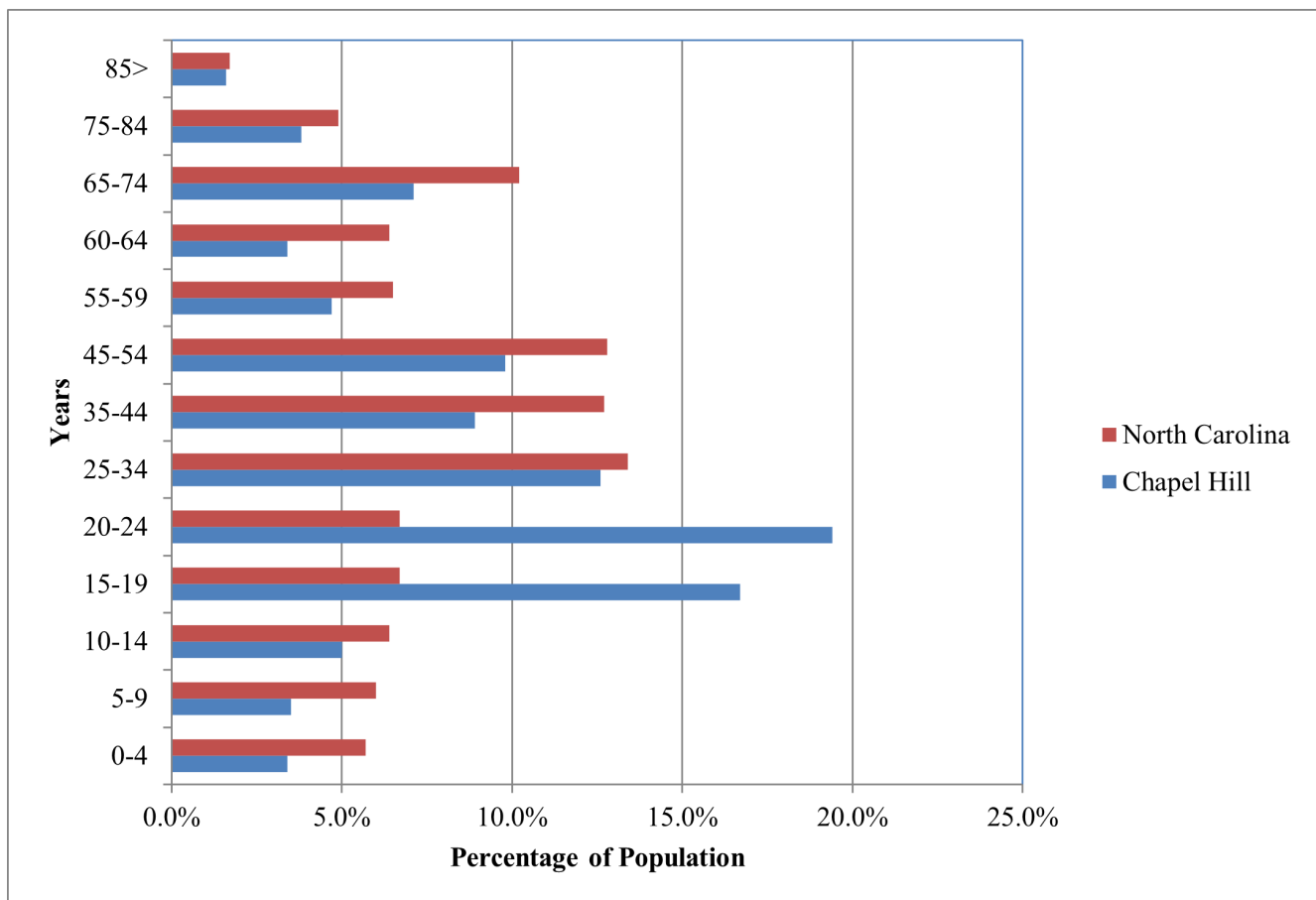
**Percentages don't add up to 100% due to rounding*

CHAPEL HILL – LOCATION, GOVERNMENT STRUCTURE & DEMOGRAPHICS

Age

Figure 3. Age Distribution

Figure 3 shows the population distribution for Chapel Hill and the State of North Carolina according to age groups. The bar chart illustrates that the concentration of Town residents who are in the 15 to 19 age group comprises 16.7 percent of the Town's population, while the 20 to 24 age group comprises 19.4 percent. As a comparison, the 15 to 19 age group represents 6.7 percent of the State population, and the 20 to 24 age group represents 6.8 percent. The chart illustrates that Chapel Hill has a relatively young population. According to latest estimates from 2023, the Town's median age is 25.8 years old, while North Carolina's median age is 39.1.



Source: 2023 American Community Survey, US Census Bureau

CHAPEL HILL – LOCATION, GOVERNMENT STRUCTURE & DEMOGRAPHICS

ADDITIONAL DEMOGRAPHIC INFORMATION

Note: Unless otherwise noted, the following economic and demographic data are taken from the 2023 American Community Survey 5-Year Estimate. The data is produced and disseminated by the US Census Bureau's Population Estimates Program.

Table 3: Household Income (# of households)

	<u>Chapel Hill</u>	<u>Orange County</u>	<u>North Carolina</u>
	<u># of Households</u>	<u># of Households</u>	<u># of Households</u>
Less than \$10,000	2,113	3,387	209,346
\$10,000 to \$14,999	559	1,581	163,290
\$15,000 to \$24,999	1,326	3,500	318,206
\$25,000 to \$34,999	1,201	3,049	326,580
\$35,000 to \$49,999	1,781	5,476	502,431
\$50,000 to \$74,999	2,589	7,904	711,777
\$75,000 to \$99,999	1,885	6,436	544,300
\$100,000 to \$149,999	2,382	8,694	690,842
\$150,000 to \$199,999	1,947	5,250	326,580
\$200,000 or more	4,909	11,122	397,758
Total Households	20,712	56,456	4,186,924
Median Income	\$85,825	\$88,553	\$69,904
Mean Income	\$142,473	\$133,780	\$97,403

Table 3a: Household Income (% of total)

	<u>Chapel Hill</u>	<u>Orange County</u>	<u>North Carolina</u>
	<u>% of Households</u>	<u>% of Households</u>	<u>% of Households</u>
Less than \$10,000	10.2%	6.0%	5.0%
\$10,000 to \$14,999	2.7%	2.8%	3.9%
\$15,000 to \$24,999	6.4%	6.2%	7.6%
\$25,000 to \$34,999	5.8%	5.4%	7.8%
\$35,000 to \$49,999	8.6%	9.7%	12.0%
\$50,000 to \$74,999	12.5%	14.0%	17.0%
\$75,000 to \$99,999	9.1%	11.4%	13.0%
\$100,000 to \$149,999	11.5%	15.4%	16.5%
\$150,000 to \$199,999	9.4%	9.3%	7.8%
\$200,000 or more	23.7%	19.7%	9.5%

CHAPEL HILL – LOCATION, GOVERNMENT STRUCTURE & DEMOGRAPHICS

Table 4: Educational Attainment of Population 25 Years and Over

<u>Educational Attainment</u>	<u>Chapel Hill (% of total)</u>	<u>Orange County (% of total)</u>	<u>North Carolina (% of total)</u>
Less than 9th	1.9%	3.4%	4.0%
9th to 12th, No Diploma	1.9%	3.4%	6.3%
High School Graduate	7.8%	12.6%	25.0%
Some College, No Degree	7.3%	11.8%	20.0%
Associate's Degree	4.0%	6.9%	10.1%
Bachelor's Degree	32.0%	27.5%	21.8%
Graduate or Professional Degree	45.2%	34.3%	12.9%

Table 5: School Enrollment

<u>School Enrollment</u>	<u>2020-21</u>	<u>2021-22</u>	<u>2022-23</u>	<u>2023-24</u>	<u>2024-25</u>
Elementary (grades K-5)	4,912	4,666	4,653	4,901	4,541
Intermediate (grades 6-8)	2,910	2,786	2,791	2,743	2,662
Secondary (grades 9-12)	3,910	3,858	4,008	3,999	3,856
Total	11,732	11,310	11,452	11,643	11,059

Source: Chapel Hill-Carrboro City Schools

Table 6: Unemployment Rates

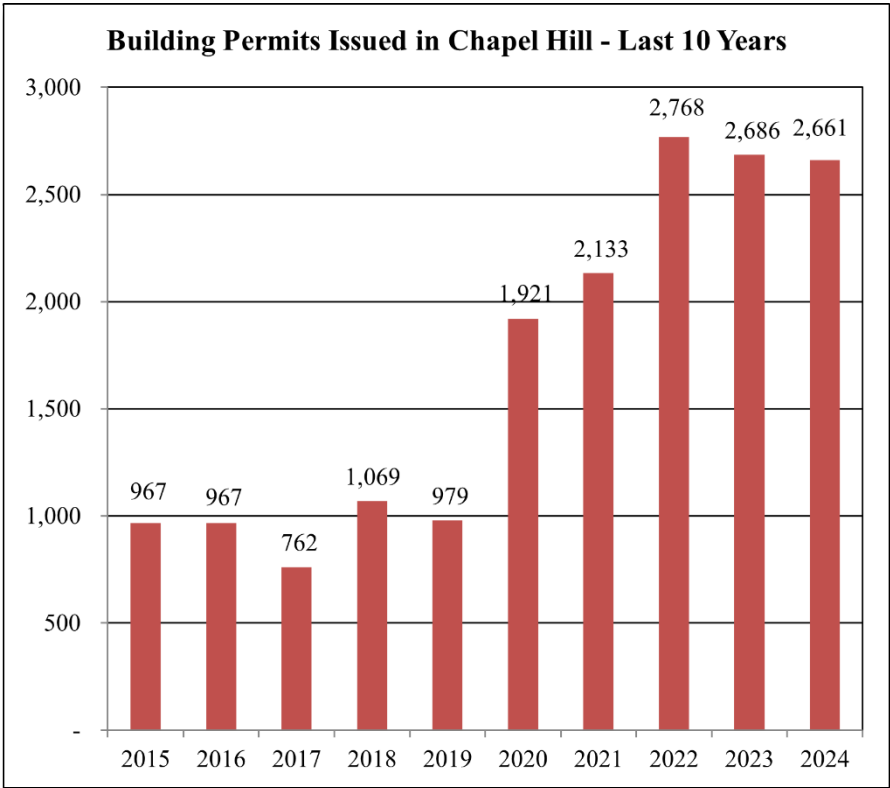
<u>Regional Average Unemployment Rates 2011-2025</u>			
<u>Year</u>	<u>Chapel Hill</u>	<u>Orange Co.</u>	<u>NC</u>
2011	6.6	6.6	10.4
2012	6.5	6.3	9.6
2013	5.6	5.2	7.8
2014	5.0	4.5	6.1
2015	5.2	4.6	5.7
2016	5.1	4.5	5.1
2017	4.6	4.0	4.5
2018	4.1	3.6	4.0
2019	4.1	3.6	3.9
2020	5.6	5.7	7.3
2021	4.1	3.9	4.9
2022	3.7	3.3	3.7
2023	3.6	3.1	3.5
2024	3.6	3.2	3.6
2025	3.5	3.2	3.7

*2025 rates based on monthly averages through June.

Source: NC Department of Commerce

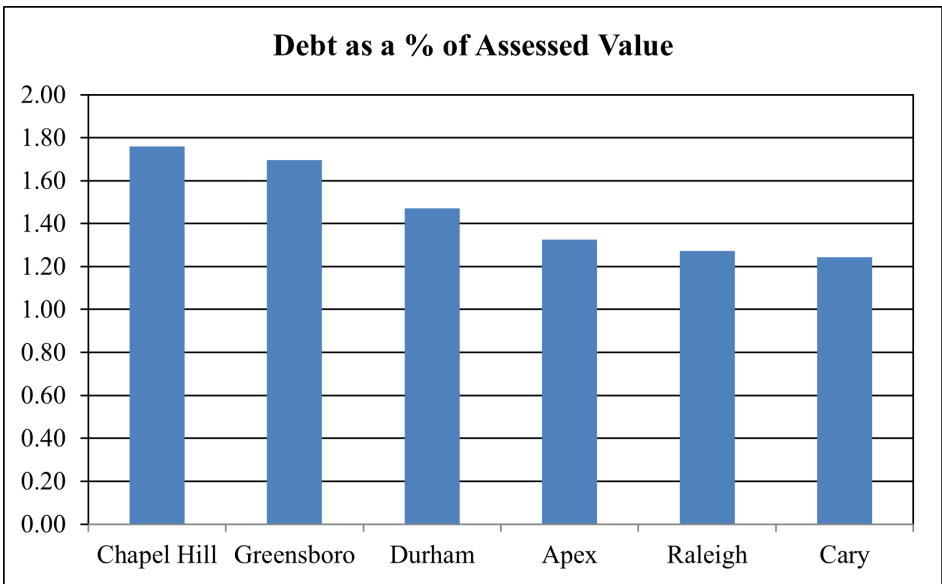
CHAPEL HILL – LOCATION, GOVERNMENT STRUCTURE & DEMOGRAPHICS

Table 7a: Economic Indicators – Building Permits



Source: Town of Chapel Hill Building & Development Services Department

Table 7b: Economic Indicators – Debt Percentage



Source: 2023-2024 Annual Comprehensive Financial Reports

CHAPEL HILL – LOCATION, GOVERNMENT STRUCTURE & DEMOGRAPHICS

Table 7c: Economic Indicators – Median Home Price

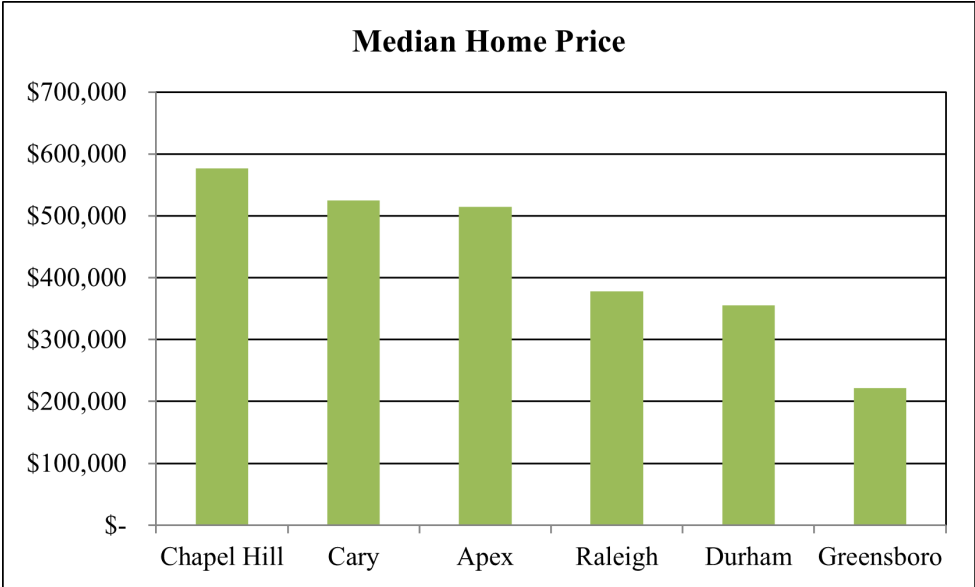


Table 8: Top Employers

Chapel Hill Top Employers By Size	
Employer	Number of Employees
University of North Carolina at Chapel Hill	10,000+
UNC Health Care	10,000+
Chapel Hill-Carrboro City Schools	1,500+
Town of Chapel Hill, Inc.	650+
Aramark Food and Support Services	250+
Harris Teeter	250+
Wegmans	250+
Carol Woods Retirement Community	250+
Hyatt Corporation	250+
Residential Services, Inc.	250+

Source: NC Department of Commerce, 2024

CHAPEL HILL – MAJOR ECONOMIC DEVELOPMENT

Downtown Innovation District

In 2022, the Town completed the Downtown Together planning initiative to create a Downtown Innovation District. The Innovation District Coalition is meeting regularly to continue progress. Goals include recruiting jobs and companies to support the district, physical improvements to help make downtown more attractive, and facilitating development that helps retain companies that begin in Chapel Hill for jobs.



The Innovation Hub at 136 E. Rosemary St and Downtown Parking Center, a 1089-space parking deck, have been delivered to market. Additional funded initiatives include a Downtown Mobility Study and Streetscape Enhancement Plan, the development of plans for the former Town Hall and Peace and Justice Plaza, Chapel Hill Downtown Partnership's Clean and Green Team, and marketing associated with tenant recruitment.

Top Goals of the Plan:

- Make Downtown cleaner, comfortable, and more vibrant to earn a premium for place.
- Improve the development approval process.
- Proactively market the district to attract business.
- Upgrade parking.

Economic Community Profile

The Town of Chapel Hill utilizes data products from Applied Geographic Solutions and FT Locations 2024, TaxFoundation.Org 2021, and FT Locations research to outline a community profile. The following data summarizes community characteristics unique to Chapel Hill, showcasing the Town’s competitive advantages.

Labor Force

Chapel Hill has a labor force of 33,537 people and an unemployment rate of 3.3%, as of April 2025.

Talent

There are 30,572 total employees within the Town’s jurisdictional boundary. 81% of Chapel Hill’s jobs are White Collar, while 18% of the Town’s total jobs are Blue Collar. The largest jobs by occupation are Executive, Managers, and Administrators (12.83%); Community and Social Services (11.86%); and Office and Administrative support (11.78%).

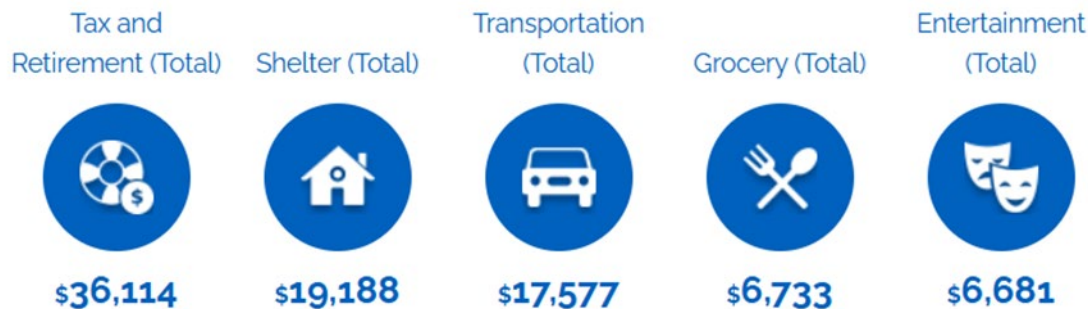


Businesses and Jobs

Chapel Hill has a total of 3,168 businesses. The majority of businesses have between 1 and 4 employees.

Spending

Household expenditures in Chapel Hill average \$121,234 per year. The majority of earnings get spent on Tax and Retirement, Shelter, Transportation, Grocery, and Entertainment.



SUMMARY OF KEY INTERGOVERNMENTAL RELATIONSHIPS

The Town of Chapel Hill has many relationships with surrounding communities and with other State and regional organizations. Following is a summary of those relationships:

Town of Carrboro

- Receives fixed-route, EZ Rider, and Shared Ride transit services from Chapel Hill.
- Appoints two members to Orange County Solid Waste Advisory Board and two members to the Orange Water and Sewer Authority (OWASA) board of directors.
- Receives traffic signal system services from Chapel Hill.
- Mutual aid agreement for fire protection; limited joint training with Chapel Hill; uses Chapel Hill's fire training facilities.
- Mutual aid agreement for police services.
- Chapel Hill operates 30 public housing apartments in Carrboro.
- Open facilities policy for recreation services.
- Participates in the Orange County Joint Planning Agreement.
- Regular staff communications regarding services and policies.
- Development at border affects each community.

Orange County

- Mutual aid agreement for police services.
- Appoints two members to Orange County Solid Waste Advisory Board; provides landfill and recycling services to Chapel Hill.
- Appoints two members to OWASA board of directors.
- Participates in Joint Planning Agreement.
- Operates 911 emergency communications system; dispatches fire and police service units.
- Provides jail services for Chapel Hill.
- Provides tax assessing and collection services for Chapel Hill; Chapel Hill provides a tax collection service point for Orange County.
- Provides grants to Chapel Hill for recreation, library services, and Project Turnaround; Chapel Hill provides grants to Orange County Senior Center, Economic Development Commission, and Retired Senior Volunteer program.
- Open facilities policy for recreation services.
- Enforces soil and erosion control ordinance in Town of Chapel Hill and Regulated Recyclables Ordinance.

SUMMARY OF KEY INTERGOVERNMENTAL RELATIONSHIPS

Town of Hillsborough

- Mutual aid agreement for fire protection; uses Chapel Hill's fire training facilities.
- Mutual aid agreement for police services.
- Appoints two members of the Orange County Solid Waste Advisory Board.

Orange Water and Sewer Authority

- Is a public, non-profit, community-owned water and sewer agency.
- Governed by a nine-member Board of Directors, to which the Chapel Hill Town Council appoints five members.
- Operates in accord with State law, the contractual obligations in the OWASA Bond Order, and the 1977 purchase and sale agreements among Chapel Hill, Carrboro, the University, and OWASA.
- Is required to have cost-of-service rates; free service is prohibited.
- Is party to the water and sewer boundary, planning, and management agreement with Chapel Hill, Carrboro, Orange County, and Hillsborough.
- Reviews utility plans related to standards and specifications.
- Mutual aid agreement for emergency response.
- Extends water and sewer services in Chapel Hill zoning jurisdiction in accordance with the policies of the Council.
- Maintains fire hydrants used by Chapel Hill fire department.
- Chapel Hill purchases water and sewer services from OWASA.

Chapel Hill-Carrboro City Schools

- Must submit development applications to Chapel Hill for approval if sites are in the Chapel Hill zoning jurisdiction.
- Joint use agreements for use of some recreation facilities.
- Pays for school resource officers provided by Chapel Hill police department in high schools and middle schools.
- Chapel Hill pays cost of providing school crossing guards at elementary schools.
- May designate and "reserve" school sites under Chapel Hill zoning ordinance.
- Issues permits required under the Schools Adequate Public Facilities Ordinance.

SUMMARY OF KEY INTERGOVERNMENTAL RELATIONSHIPS

University of North Carolina

- Purchases fixed-route and Shared Ride transit service from Chapel Hill; provides on-campus service equivalent to EZ Rider; provides Point-to-Point transportation service for students, staff, and faculty.
- Provides refuse collection and recycling services for University properties.
- Traffic signals and town streets in University campus area are maintained by Chapel Hill.
- Fire protection services are provided by Chapel Hill; University budget contributes part of the revenues used by the state to pay part of the cost of fire protection services.
- Mutual aid agreement for police services and other emergencies.
- Must submit development applications to Chapel Hill when sites are within the Chapel Hill zoning jurisdiction.
- Joint Staff Committee meets quarterly.

City of Durham

- Competes with Chapel Hill for transportation funding from State and federal government.
- Provides lead planning staff for Metropolitan Planning Organization (Transportation Advisory Committee).
- Durham-Chapel Hill Work Group and request by Town of Chapel Hill for joint planning process.
- Development at border affects each community.

Durham County

- Portion of Chapel Hill is in Durham County.
- Provides tax assessing and tax collection services for Chapel Hill portion of County.
- Durham-Chapel Hill Work Group.

Chatham County

- Development at border affects each community.

SUMMARY OF KEY INTERGOVERNMENTAL RELATIONSHIPS

Research Triangle Regional Public Transportation Authority (GoTriangle)

- Chapel Hill appoints one member of the 13-member governing board.
- Provides bus service in Chapel Hill connecting to Durham, Research Triangle Park, and other areas of the Triangle.
- Competes with Chapel Hill for transit funding from the federal and state government.

Central Pines Regional Council

- Chapel Hill appoints one delegate and one alternate to the board of delegates.
- The Town pays dues to support basic operations of the Council and receives planning and other services.

State of North Carolina

- The State established the Town by granting a municipal charter.
- The Town's powers are granted by the State, and the State imposes limits on the powers of the Town.
- The State constructed and maintains a road network within the Town limits.
- The State is the conduit for transportation improvement funds used to maintain roads and to maintain and operate the transit system.
- The State collects certain taxes and shares proceeds with the Town (sales tax, beer and wine tax, etc.) that amounts to nearly a third of the total General Fund revenues in normal years.
- Town provides maintenance service for traffic signal system in Chapel Hill and Carrboro for the State.

SUMMARY OF KEY INTERGOVERNMENTAL RELATIONSHIPS

United States Government

- The Town is subject to relevant federal laws and regulations.
- Federal agencies provide grants that help support the transit system and transportation planning.
- The Town's Community Development and HOME programs are fully funded by the federal government.
- The Public Housing program is funded almost entirely by the federal government.
- The Town occasionally receives grants for special purposes from federal agencies, including the Department of Justice.

FUND DESCRIPTIONS AND MAJOR REVENUES

<u>Fund Title</u>	<u>Accounts For</u>	<u>Primary Funding Sources</u>
GENERAL FUND	Normal recurring Town activities such as planning, inspections, engineering, public works, public safety, parks and recreation, and library	Property and other taxes, State-shared revenues, grants, charges for services, licenses, permits, and fines
TRANSIT		
Transit Fund	Operation and maintenance of public transportation, EZ Rider, and Shared Ride services	Federal and State grants, property taxes, and charges for services
Transit Capital Reserve Fund	Reserve fund for replacement of buses and other capital equipment and improvements	Contributions from the Transit Operating Fund
PARKING		
Parking Facilities Fund	Off-street parking facilities, monthly rental parking, on-street parking enforcement, and parking meters	Short-term parking fees, monthly rentals, parking meter collections, and parking citations
STORMWATER MANAGEMENT		
Stormwater Management Fund	Management of stormwater to protect water quality as mandated by NC General Statutes	Stormwater Management Fees
HOUSING		
Public Housing Fund	Management of public housing units and residential rehabilitation	Federal grants and rental income
DEBT		
Debt Service Fund	General obligation debt, proprietary debt, COPS debt, and other governmental debt	Property taxes

FUND DESCRIPTIONS AND MAJOR REVENUES

<u>Fund Title</u>	<u>Accounts For</u>	<u>Primary Funding Sources</u>
CAPITAL PROGRAMS		
Capital Improvements Funds	Capital improvements projects such as park improvements, fire hydrants, stormwater management, and traffic signals	Transfers from Capital Reserve Fund and General Fund
Capital Reserve Fund	Reserve fund for capital improvements projects such as library facilities, parks and recreation improvements, fire hydrants, stormwater management, and traffic signals	Transfer from General Fund
OTHER FUNDS		
<u>Special Revenue Funds</u>		
Grants Fund	Miscellaneous grants	Federal and State grants
Downtown Service Fund	Promotion of Downtown economic development	Property taxes
Library Gift Fund	Gifts and donations received for the library	Gifts and donations
Affordable Housing Funding Program	Development and preservation of affordable housing.	General Fund
Climate Action Fund	Projects and personnel to address climate change.	General Fund
<u>Internal Service Funds</u>		
Vehicle Replacement Fund	Centrally managed vehicle replacement	Charges to General Fund
Fleet Management Fund	Centrally managed fleet maintenance	Charges to General, Parking, and Housing Funds
Computer Replacement Fund	Centrally managed computer replacement	Charges to General Fund

FUND BALANCE

Fund balance (net assets) is the accumulated difference between revenues and expenditures in a governmental fund and is like “working capital” for a private business. Portions of fund balance are intended to meet the cash flow and working capital needs of the Town in accordance with reserve recommendations of the North Carolina Local Government Commission (LGC). A portion of fund balance is reserved for specific purposes, as required by North Carolina statute, and is not available for appropriation, while the remainder is available for Council appropriation. It is a Town goal to maintain fund balance at a level that will meet on-going cash flow needs and provide available funds to meet unexpected emergency situations.

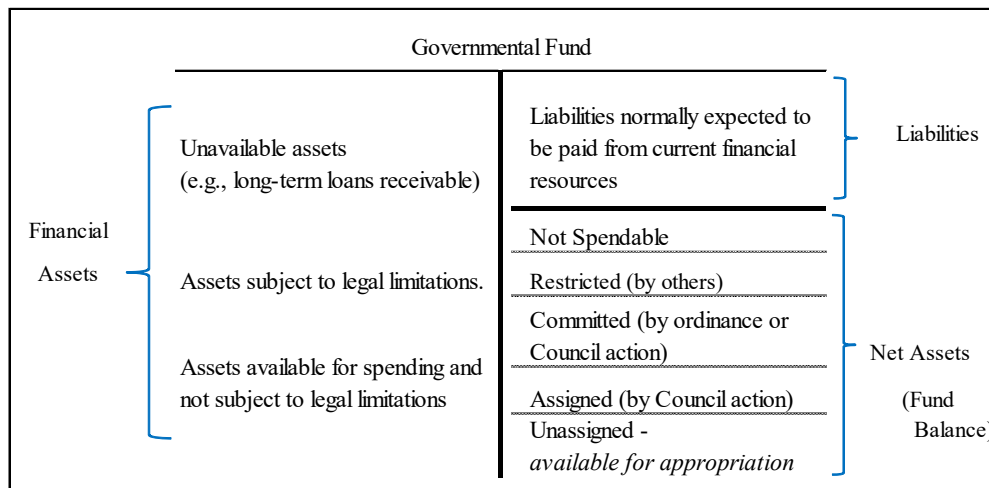
Effective with the financial statements for FY11, fund balance will be presented in the new categories required by GASB Statement No. 54, as shown at right.

Town practices regarding net assets (fund balance) include the following:

Fund balance designation

Nonspendable	Not available	Restricted
Restricted		
Committed	Constraint imposed by Council action	Available
Assigned		
Unassigned	Available for appropriation	

- In June 2019, the Town Council adopted a fund balance policy which set a targeted minimum unassigned fund balance of 22% of General Fund Expenditures. The reserve is for cash flow, emergencies, and opportunities. Please refer to page 67 for more information on the Town’s current fund balance. Pages 68-73 provide a detailed financial schedule which includes net unreserved assets over a three-year period.
- The Town seeks to maintain a level of net assets appropriate to retain its high bond ratings: Moody’s Investor Service—AAA and Standard and Poor’s—AAA. Bonding agencies use the percentage of unrestricted net assets as a key indicator when assessing the Town’s creditworthiness.



DEBT

INTRODUCTION & BACKGROUND

The Town has the authority to finance capital projects and major equipment purchases using long-term debt. The underlying principle for this type of financing is to spread the cost of the project over a longer time-period to eliminate the spike in costs associated with major projects. In addition, the use of long-term debt matches the repayment period of the debt with the taxpayers who will be enjoying the benefits of the capital project. The Town, like other government agencies, can borrow at low tax-exempt rates for most capital projects, thereby improving the affordability of issuing debt to finance capital projects.

The State of North Carolina provides local governments several methods to finance these sorts of purchases:

- General Obligation Bonds
- Two-thirds General Obligation Bonds
- Revenue Bonds
- Contract Installment Financing

Essentials:

Town policy and practice limits annual general government debt service up to 10% of total governmental funds.

State statutes only allow debt issuance for capital expenditures.

Per State law, the Town's debt may not exceed 8% of the Town's assessed property valuation.

General obligation bonds are secured by the pledge of "full faith and credit" and taxing authority of the Town.

General Obligation Bonds

The issuance of General Obligation bonds (GO bonds) is the most commonly used financing method for large-scale capital projects. Issuance of GO bonds requires approval by voters through a bond referendum and requires approval by the North Carolina Local Government Commission (LGC). When GO bonds are issued, a local government pledges to repay the debt from any and all revenues available to the unit. This pledge is generally referred to as a pledge of the "full faith and credit" of the governmental unit, including a pledge of property tax revenue. GO bonds are typically issued with 20-year terms. In North Carolina, the use of GO bond proceeds is limited to capital and capital-related costs.

DEBT

INTRODUCTION & BACKGROUND

The statutory limit on the amount of debt issued by a local government in North Carolina is 8% of the value of the taxable property base in the unit. This limitation pertains to principal only. In practice, most jurisdictions are far below the 8% limit, as the affordability of debt service payments usually becomes an issue well before reaching the 8% limit.

Two-thirds GO Bonds

There is a provision in North Carolina Statutes that allows units to issue bonds in an amount equal to two-thirds of the net principal amount of GO debt retired in the previous year. These bonds can be issued without a referendum, for purposes specifically authorized in the statute, and must be approved by the LGC in the same manner as other debt financing. The amount of two-thirds bonds that can be issued at any time is relatively small and therefore they are often combined with other debt issues in order to achieve economies of scale with respect to the cost of issuance.

Revenue Bonds

Revenue bonds are typically issued for enterprise operations, where there is a stream of revenues available to pledge for repayment of the bonds. Examples include parking operations, water and sewer, and electrical utilities. Revenue bonds are generally issued for projects that are associated with a specific revenue stream that can be estimated and pledged as a source of debt repayment. The approval process for revenue bonds includes, among other things, an independent feasibility study including verification that pledged revenue exceeds debt service by at least 20%. Ongoing independent evaluation of the maintenance of the project and the adequacy of revenues to cover debt service are required while the bonds are outstanding.

The Town currently does not have revenue bonds outstanding. However, in past years the Town issued revenue bonds for off-street parking operations, including the purchase of parking lots 2 and 5 and for the James C. Wallace Parking Deck. In 1994, all of the Town's parking revenue bonds were replaced by Certificates of Participation.

Installment Contract Financing

General Statute 160A-20 allows local governments to enter into installment contracts to finance the cost of capital projects. Under this method of financing, the unit enters into a contract with a financial institution in which the financial institution provides funding for the project. The financial institution maintains a security interest in the project until the governmental units repays the loan. For this method of financing, local units pledge to pay the installments from any revenues available, but do not pledge the "full faith and credit" of the unit. Contracts under \$500,000 with less than a five-year maturity do not require approval by the LGC.

DEBT

INTRODUCTION & BACKGROUND

Installment contracts greater than \$500,000 or maturities over five years require approval by the LGC, except for the purchase of vehicles and rolling stock which may be purchased in any amount without LGC approval. Installment contracts involving the purchase of land or buildings or improvements to land or buildings require approval by the LGC regardless of the dollar amount or maturity involved.

The Town has used installment contract financing for various projects, including the purchase of vehicles and computers, and for capital renovations to public buildings.

Certificates of Participation

General Statute 160A-20 also allows a local government unit to issue Certificates of Participation (COPs), another form of installment contract financing. COPs are a financial instrument that are secured by the installment payments made by a local government. An installment financing is usually a transaction between a municipality and a bank, while a COPs transaction allows multiple investors to participate in the transaction through an underwriting arrangement with an investment bank.

Additional Debt Information

Please refer to pages 195-202 for additional information on the Town's debt and bond ratings.

CAPITAL PROGRAM INTRODUCTION AND BACKGROUND

The Capital Program is a 15-year financial plan for the Town's major capital and infrastructure needs. The Capital Program identifies capital needs, establishes priorities, identifies potential funding sources, and includes needs for which sources of funding have not been identified. Key sources for identifying capital needs include the Facility Condition Assessment, the Comprehensive Plan, Council Goals and Priorities, special studies, and other ideas from the Council, citizens, and staff.

The Capital Program is comprehensive in scope: It includes all identified capital projects and a range of funding sources, as well as projects that have been identified but for which funding is not available. It includes projects that are funded through the Town's annually budgeted Capital Improvements Fund, and those projects that are funded through bonds, State and federal grants, and other sources. The Capital Program does not include the capital needs of the Chapel Hill-Carrboro City School System, the Orange Water and Sewer Authority, or the Orange Regional Landfill, which was transferred to Orange County in 2000. Most projects funded by bonds, grants, and other special funding sources are accounted for in Multi-Year Capital Project Funds, such as various capital projects funded from bonds, and are therefore not included in the annual operating budget.

Please refer to the Capital Program section, starting on page 255, for additional information on the Town's Capital Improvements Fund.

FUND STRUCTURE & BASIS OF BUDGETING

The accounts of the Town are organized on the basis of funds, each of which constitutes a separate accounting entity. The operations of each fund are accounted for by providing a separate set of self-balancing accounts reflecting its assets, liabilities, fund balance/retained earnings, revenues, and expenditures/expenses. The funds of the Town are created because of the diverse nature of governmental operations and the necessity of complying with legal provisions. The Town has two broad fund categories: governmental and proprietary.

BASIS OF BUDGETING

The budgets of general government type funds (for example, the General Fund and Debt Service Funds) are prepared on a modified accrual basis. Briefly, this means that obligations of the Town (for example, outstanding purchase orders) are budgeted as expenditures, but revenues are recognized only when they are measurable and available.

The Enterprise Funds (Transit, Parking, Stormwater Management, Housing, and Internal Service) also recognize expenditures as encumbrances when a commitment is made (e.g., through a purchase order). Revenues, on the other hand, are recognized when they are obligated to the Town (for example, charges for transit services are recognized as revenue when service is provided).

In all cases (Enterprise Funds and General Governmental Funds), when goods and services are not received by year end, encumbrances evidenced by unfilled purchase orders lapse, but are normally reappropriated to the following year's budget through an amendment to the budget approved by the Town Council.

The Annual Comprehensive Financial Report (ACFR) shows the status of the Town's finances on the basis of "generally accepted accounting principles" (GAAP). In most cases, this conforms to the way the Town prepares its budget. Exceptions are as follows:

- a. Compensated absence liabilities that are expected to be liquidated with expendable available financial resources are accrued as earned by employees (GAAP basis) as opposed to being expended when paid (Budget basis).
- b. General staff and administrative charges for the Transit, Parking, and Stormwater Management Funds are accounted for and funded by operating transfers into the General Fund from these funds on the Budget basis as opposed to a GAAP basis.
- c. Principal payments on long-term debt within the Enterprise Funds are applied to the outstanding liability on a GAAP basis, as opposed to being expended on a Budget basis.
- d. Capital outlays within the Enterprise Funds are recorded as assets on a GAAP basis and expended on a Budget basis.
- e. Depreciation expense is recorded on a GAAP basis only.

FUND STRUCTURE & BASIS OF BUDGETING

One type of budget entry that is shown differently for budgetary purposes and GAAP is the purchase of an item using installment financing. The actual budget entries for an installment financing agreement can make it appear that the Town is paying twice for the same purchase, because there are two pairs of budget entries in the year that an installment financing takes place. The first pair gives the Town budget authority to make a certain purchase (for example, a fire engine) and receive the financing from a bank or other financial institution for the purchase. In the case of a fire engine costing \$500,000, the budgetary lines would show the following:

REVENUES	Financing Proceeds	\$500,000
EXPENDITURES	Capital Equipment	\$500,000

The second pair of budget entries allow for the first year repayment of the installment (or lease-purchase) debt. That set of budget entries shows the amount of the debt to be paid in the year and the source of the revenue that will provide the cash to make the payment. For the fire engine example, assuming that the Town secures financing for eight years at 5% and that the Town will make a payment for one-eighth the cost of the fire engine in the first year, the budgetary lines would show the interest and principal payment as following:

REVENUES	Appropriated Fund Balance (or other revenue source)	\$77,360
EXPENDITURES	Installment (lease/purchase) financing payment	\$77,360

If the Town made no further installment financing agreements, the Town would show the budgetary requirement for repaying the bank or other financial institution in each of the following seven years.

In addition to approving the budget authority for the above transactions, the Town Council would have to specifically approve each installment financing agreement as required by State law.

The Annual Comprehensive Financial Report shows fund expenditures and revenues on both a GAAP basis and Budget basis for comparison purposes. Because the Town prepares its financial statements using the Government Accounting Standards Board 34 Model, the financial statements include government-wide financial statements aimed at presenting a broad overview of a government's finances. There are two basic government-wide financial statements: the statement of net assets and the statement of activities. These two statements report a government's governmental activities separately from its business-type activities. Fiduciary funds and fiduciary-like component units are excluded from the government-wide financial statements. All activities included within the government-wide financial statements, both governmental and business-type, are measured and reported using the economic resources measurement focus and the full accrual basis of accounting.

FUND STRUCTURE & BASIS OF BUDGETING

GOVERNMENTAL FUNDS

Governmental funds are those which finance most governmental functions of the Town. The Town follows the modified accrual basis of accounting and budgeting for all governmental funds. Under this method, revenues are recorded as the amount becomes susceptible to accrual by becoming measurable and available to finance the Town's operations. Available means collectible within the current period or soon enough thereafter to pay liabilities of the current period. Expenditures are recorded when the related liability is incurred.

In applying the susceptible-to-accrual concept to intergovernmental revenues, the legal and contractual requirements of the numerous individual programs are used as guidance. There are, however, essentially two types of these revenues. In one, money must be expended on the specific purpose or project before any amounts will be paid to the Town; therefore, revenues are recognized when the expenditures are recorded. Major components of this type of revenue are grants and gas tax refunds. In the other, funds are virtually unrestricted as to purpose of expenditure and are revocable only for failure to comply with prescribed compliance requirements. These resources are reflected as revenues at the time of receipt or earlier if the susceptible-to-accrual criteria are met. Major revenues susceptible-to-accrual under this category are State-shared revenues.

Licenses and permits, charges for services, and other revenues are recorded as revenues when received in cash because they are generally not measurable until actually received. Interest on investments is recorded as earned since it is both measurable and available.

The following are the Town's Governmental Fund Types:

General Fund - The General Fund is the general operating fund of the Town. It is used to account for all financial resources except those required to be accounted for in another fund.

Special Revenue Funds - Special Revenue Funds are used to account for the proceeds of specific revenue sources that are legally restricted to expenditures for specified purposes. The Town's special revenue funds consist of the Community Development Entitlement Grant Projects Ordinance Fund, the Transit Grant Projects Ordinance Fund, the Grants Fund, the Downtown Service District Fund, Transitional Housing Fund, Revolving Acquisition Fund, the Housing Loan Trust Fund, the Land Trust Fund, the Library Gift Fund, the Affordable Housing Funding Program, and the Climate Action Fund. Only the Grants Fund, Downtown Service District Fund, Affordable Housing Funding Program, and Climate Action Fund are budgeted annually and are included in detail in this document.

Debt Service Fund - The Debt Service Fund is used to account for the payment of general obligation long-term debt principal, interest, and related costs. A portion of the property tax provides the revenues for this fund. Payments of long-term debt associated with Enterprise Fund operations are shown in the Enterprise Funds themselves.

FUND STRUCTURE & BASIS OF BUDGETING

Capital Projects Funds - Capital Projects Funds are used to account for financial resources to be used for the acquisition or construction of major capital facilities (other than those financed by special revenue, proprietary funds, and trust funds). The Town has four capital projects funds: the Capital Projects Ordinance Fund, the Capital Projects Fund, the Capital Improvements Fund, and the Capital Reserve Fund. Only the Capital Improvements Fund and Capital Reserve Fund are budgeted annually and are included in detail in this document.

PROPRIETARY FUND TYPES

Enterprise Funds - Enterprise Funds are used to account for operations (a) that are financed and operated in a manner similar to private business enterprises - where the intent of the governing body is that the costs (total expenses including depreciation) of providing goods or services to the general public on a continuing basis be financed or recovered primarily through user charges; or (b) where the governing body has decided that periodic determination of revenues earned, expenses incurred, and net income is appropriate for capital maintenance, public policy, management control, accountability, or other purposes. The Town has four Enterprise Funds: the Transit Fund, the Parking Facilities Fund, the Stormwater Management Fund, and the Public Housing Fund.

The enterprise funds are accounted for using the accrual basis of accounting. The revenues of these funds are recognized when they are earned, and expenses are recognized when they are incurred.

Internal Service Funds - Internal Service Funds are used to account for the financing of goods or services provided by one unit, or to other governmental units, on a cost-reimbursement basis. The chief aim of an internal service fund is cost reimbursement, including the exhaustion of capital assets or "depreciation expense." The Town has three Internal Service Funds: the Vehicle Replacement Fund, the Computer Replacement Fund, and the Fleet Management Fund.

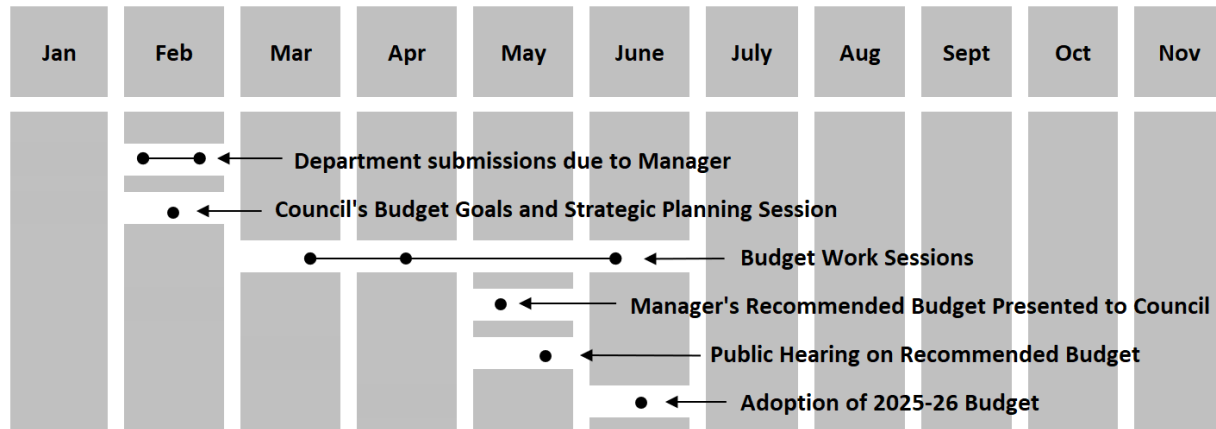
BUDGETARY CONTROL

The appropriations in the various funds are formally budgeted on a departmental or functional basis depending on the fund type. Changes of functions and total budgets of any fund require approval by the Town Council. Budgetary control is maintained at the individual budget object line item level (e.g., salaries, supplies, etc.). Neither an operational expenditure nor an encumbrance is processed when the transaction would result in an overrun of an individual line item budget.

DEPARTMENTS/DIVISIONS

Departments may be further represented by divisions. In this document, each department or division summary contains a key objective, a budget summary by expenditure category, major offsetting revenues, major expenses, including capital outlay, and an authorized full-time equivalent position count. For departments consisting of more than one division, a department summary precedes the department's division summaries.

OVERVIEW OF BUDGET PROCESS



Budget preparation allows departments the opportunity to reassess goals and objectives and the means for accomplishing them. Even though the budget may be heard by the Mayor and Town Council in May and adopted in June, its preparation begins at least six months prior, with projection of Town reserves, revenues, expenditure limit requirements, and financial capacity. It is with this “groundwork” that departmental expenditure requests are made and subsequently reviewed. Specific dates relating to the FY2025-26 budget process can be found on the Town’s website [here](#).

Financial Capacity Phase

Forecasting is an integral part of our decision-making process. Both long-range and short-range projections are prepared. The Town’s Long-Range Financial Projections are updated annually to assess not only current financial condition given existing Town programs, but future financial capacity, given long range plans and objectives.

A five-year financial forecast is prepared for each major operating fund projecting both expenditures and revenues and their fiscal impact on the respective funds.

Policy/Strategy Phase

The Town Council’s goals and directives set the tone for the development of the budget. Shortly after the budget is adopted for the next year, the Council meets, as early as September, but not later than January, to identify priorities, issues, and projects impacting the next fiscal year budget. In January or February of each year, the Council holds a strategic planning meeting to identify key policy issues that will provide the direction and framework of the budget. The Manager and Finance Officer provide an updated short- and long-range financial forecast to assist the Council in providing budget policy and direction for the upcoming budget.

Aside from the Council’s own objectives, Town departments identify and discuss their policy issues with the Town Manager throughout the year. In December of each year, a budget kickoff meeting led by the Manager provides budgetary directions and guidelines to the departments.

OVERVIEW OF BUDGET PROCESS

Participants also help formulate and identify internal and overall budget objectives for the coming year.

The meeting includes discussion of Town-wide goals and objectives, budgeting guidelines for the operating and capital budgets, timelines, an overview of fiscal constraints, and resources available for allocation. The Budget Directives and Instructions distributed at these meetings are designed to assist the departments in preparing all budget requests and forms.

Needs Assessment Phase

The departments have an opportunity to assess current conditions, programs, and needs. During this phase, departments are encouraged to thoroughly review all programs and services, assessing their value and priority to the citizens of the Town. Programs are examined for possible reductions, eliminations, or trade-offs. Additionally, departments reassess service level standards and workload indicators. They then attempt to provide the “best fit” of resource allocation with service and workload estimates. From this process, they prepare preliminary departmental budget requests that are submitted to the Manager in February.

Review/Development Phase

Within the framework of the Town’s financial capacity, the Town Council and Town Manager review priorities and departmental needs assessments, review budget requests, and a preliminary Town-wide operating budget takes shape. The departments initially prepare and submit base budgets. In addition, department heads submit proposals for program changes and budget additions or deletions.

Implementation/Adoption Phase

In March, each Departmental Budget Request is reviewed in detail with the Town Manager, Deputy Manager, and the Finance Officer to review service and funding levels for each Department as part of the total budget and to begin work on recommendations for the Council’s consideration.

In April and May, the Council also holds budget work sessions in which the Town presents preliminary budget requests and discusses budget goals, policies, and departmental needs with the Council. The Town Manager and designated Department Directors also present requests for additional services to the Council. In these sessions, the Town Council provides further direction to the Manager and Departments on development of the budget for the coming year.

After the initial budget work sessions in March and April each year, the Manager presents to the Council a status report on development of the operating and capital budgets and on preliminary recommendations for the use of all federal and State grant funds for housing programs, public transportation, and community development activities.

OVERVIEW OF BUDGET PROCESS

The status report provides preliminary estimates of revenue and expenditures for the upcoming budget, identifies the most important budget issues for the Council, and provides an assessment of how the preliminary revenue and expenditure estimates may impact the tax rate for the coming year. The presentation of this report is provided at a public forum of the Council in which interested citizens and community groups provide budgetary information, feedback, or make funding requests to the Town Council. In April and May, the Council may hold additional budget work sessions as desired, providing further direction to the Manager and staff regarding a recommended budget.

In accord with North Carolina State law, the Manager is required to submit a recommended budget to the Town Council. The Manager's Recommended operating and capital budget is submitted to the Town Council in early May and includes proposed revenue and expenditure levels and recommended changes in the tax rate for the coming year. Submittal of the recommended budget is followed by as many budget work sessions as are desired by the Council. A public hearing on the recommended budget, as required by law, is held in May, followed by additional budget working sessions held by the Town Council as needed.

In accord with State law, the Town Council must adopt a final budget and set the tax rate for the next fiscal year by July 1 each year, or they must adopt an interim budget providing temporary appropriations until a permanent budget is adopted. After adoption of the budget, management control of the budget is maintained by conducting budget performance reviews at least quarterly throughout the fiscal year. The reviews are aimed at examining expenditure patterns and recommending corrective action to be taken during the year. Additionally, detailed financial records are maintained to evaluate actual revenues and expenditures against the budget.

Budget Amendments

The Town Manager may transfer funds between departments within a function, between functions of the operating budget of the same fund, and between projects of the Capital Improvement Plan (CIP) with a quarterly report to Council. The Town Manager may also approve intradepartmental transfer requests and transfers between line items within capital project budgets. Transfers between funds, however, may only be authorized by the Town Council.

Budget Roles and Responsibilities

Every employee plays a role in budgeting, whether in its formulation, preparation, implementation, administration, or evaluation. Ultimately, of course, the Senior Management Team, through the Town Manager, is accountable to the Town Council for the performance of departmental personnel in meeting specific objectives within allocation resource limits. Actual budget preparation responsibility can be identified more specifically:

1. Division heads and the Senior Management Team are responsible for reviewing, modifying, and assembling their cost data into a departmental request package and potential budget plan. The Senior Management Team critically evaluates all requests, prioritizes, and digitally submits only those requests which are consistent with Council policies, administrative direction, and departmental objectives. The preparation of the budget requests, goals, and objectives should

OVERVIEW OF BUDGET PROCESS

coincide with stated annual goals.

2. The Finance Officer and staff within the Business Management Department are responsible for (a) preparing short and long range revenue and expenditure forecasts, (b) reviewing departmental budgets with Senior Management and individual departments, (c) analyzing, summarizing, and making recommendations on the budget requests to the Town Manager and the Deputy Manager, and (d) reviewing the linkage between budget requests and overall budget goals and policies.
3. The Deputy Manager is responsible for reviewing the departmental operating and CIP requests within the context of the Council priorities, Town Manager directives, and budget goals for their respective groups and submitting their recommendations for review by the Town Manager.
4. The Town Manager is responsible for reviewing the total financial program and formulating the Town-wide Recommended Budget to be submitted to the Town Council for adoption.
5. The Town Council is responsible for the review of the Manager's Recommended Budget and approval of a final budget.

Budgeting for the Capital Program

Each year, the Town Council, citizens, boards and commissions, and staff consider the Town's capital project needs and possible funding sources. Beginning in the fall of each year, departments submit project requests that are reviewed by the Senior Management Team and the Town Manager. This team develops a draft proposal for consideration by the Town Council.

At the same time, the Council solicits input from advisory boards and citizens on ideas for inclusion in the Capital Improvements Plan. Input from the departmental review process and the citizen and advisory boards assist the Council in deciding which capital improvements the Town may undertake as funding becomes available.

BUDGET GUIDELINES & PRACTICES

The budgetary guidelines and practices enumerated below outline a general framework of budgetary goals and objectives regarding the operating budget, debt service, capital expenditures, reserves, and financial reporting. They provide standards against which current budgetary performance can be measured, as well as proposals for future program evaluation.

OPERATING BUDGET	
Guideline	Comment
Current revenues will be sufficient to support current operating expenditures.	The Town seeks to use stable, annually recurring revenues to pay for costs which tend to continue from year to year, and seeks to avoid using one-time revenues for annually recurring costs.
Financial systems are maintained to monitor expenditures, revenues, and program performance on a continuing basis.	The Town maintains a computerized financial system on a continuing basis that monitors and compares all actual revenues and expenditures to approved budget estimates and appropriations.
Revenues and expenditures are projected for a five-year period and updated annually.	The Town's annual budget includes a five-year forecast for the revenues and expenditures of the Town's major operating funds, and monitors and updates the forecast at periodic intervals during the fiscal year.
All fund budgets are balanced.	Planned expenditures equal anticipated revenues including possible fund balance appropriations. In North Carolina, it is required that the budget submitted to the Town Council be balanced.

BUDGET GUIDELINES & PRACTICES

DEBT SERVICE	
Guideline	Comment
Long-term debt is not issued to finance current operations.	In accordance with North Carolina State law, long-term debt may be issued only to finance capital improvements and capital purchases over the life of the improvements or equipment. Deficit financing for current operations is not permitted by State law.
General Obligation Bonds will be issued to finance capital improvements and equipment at moderate levels that will not exceed the Town's resources and capacity for repaying the debt.	General Obligation bonds are normally issued to finance capital improvements as desired by the Town Council and Town citizens at levels that maintain financial stability and require moderate and stable tax rate increases. Consistent with this guideline, the Town strives to maintain annual debt service payments totaling less than 10% of General Fund expenditures in a given year. This conservative guideline assists the Town in maintaining its Triple A (AAA) bond rating.
CAPITAL EXPENDITURES	
Guideline	Comment
Consistent with the policy of the Town Council, a fifteen-year capital improvements program is developed and updated during the annual budget process, including anticipated funding sources.	Annually, the Town prepares a fifteen-year Capital Improvements Program Budget that summarizes current capital improvements projects and future capital improvement needs. This program includes ongoing pay-as-you-go financing, installment contract financing, current and proposed long-term bond-financed projects, and projects funded by grants and miscellaneous funding sources.

BUDGET GUIDELINES & PRACTICES

CAPITAL EXPENDITURES	
Guideline	Comment
Capital projects financed through the issuance of bonds are financed for a period not to exceed the expected useful life of the project.	Consistent with general State law and guidelines in North Carolina, general obligation bonds are normally issued for a period of 20 years for capital improvements that extend over the same 20-year period.
The Town coordinates development of the capital improvements budget with development of the operating budget. Future operating costs associated with the new capital improvements should be projected and included in the operating budget forecasts.	Operating costs of projects included in the Capital Improvements Program and budget are incorporated into the Town's operating budget annually, and are reflected in the Town's annual five-year forecast for its major operating funds.
The Town strives to maintain all its physical assets at a level adequate to protect the Town's capital investment and to minimize future maintenance and replacement costs.	The Town strives to maintain its capital investment by addressing future maintenance and replacement costs in its fifteen-year capital improvements program. Both pay-as-you-go financing and installment financing are used to address capital maintenance needs. When deferrals of capital maintenance are proposed due to unusual budgetary constraints, the amount of deferrals are specifically identified and limited to the extent practical.

BUDGET GUIDELINES & PRACTICES

NET ASSET (FUND BALANCE) RESERVES	
Guideline	Comment
The Town seeks to continue to maintain its financial reserve position consistent with local policy established by Town Council, which recommends reserving a minimum of 22% of General Fund expenditures for cash flow considerations and emergencies.	The Town's annual budget and revenue and expenditure recommendations are developed and designed to ensure that its financial position and reserve levels are adequate to retain reserve levels recommended by local policy for the General Fund and other major operating funds, including the Transportation and Parking enterprise funds. The Town's current balances are consistent with the minimum recommendation. The Town seeks to increase these reserve levels as the expenditure levels increase in each fund to maintain a constant reserve percentage.
FINANCIAL REPORTING	
Guideline	Comment
The Town's accounting and financial reporting systems will be maintained in conformance with current generally accepted accounting principles (GAAP) and standards of the Governmental Accounting Standards Board (GASB) and the Government Finance Officers Association (GFOA).	The Town participates in the accounting and budgeting awards programs of the association, receiving the Certificate of Achievement for Excellence in Financial Reporting for fiscal year ending June 30, 2024 and Distinguished Budget Award in 2024-25 and in past years. The Town plans to continue participation in these programs annually.
Consistent with State law, an annual audit will be performed by an independent public accounting firm with subsequent issuance of an Annual Comprehensive Financial Report (ACFR). Full disclosure will be provided in the general financial statements and all bond representations.	The Town prepares an Annual Comprehensive Financial Report that receives an unqualified opinion by an independent accounting firm each year. As required by State law, the annual report is submitted to the N. C. Local Government Commission staff for a detailed review of compliance with Commission recommendations and guidelines and compliance with applicable accounting and financial reporting standards.

BUDGET ASSUMPTIONS

Major issues affecting Town revenues for the 2025-26 budget include continued economic impacts that we anticipate impacting revenues in a number of areas. Additionally, the continuation of slow property tax base growth has not kept pace with the increase in expenditures. Delays in the construction of major approved development projects and the diminishing supply of developable land have exacerbated the problem. State and Federal budget decisions also have a major effect on the Chapel Hill budget, particularly in the areas of public transportation and housing.

The 2025-26 budget incorporates the following assumptions:

- The property tax base is estimated to be \$13.25 billion in 2025-26.
- We estimate that the Town's revenue from the local sales taxes will not increase, based on recent sales tax receipts.
- Federal assistance for the Transit Fund will remain level at \$2.3 million in 2025-26.

FIVE-YEAR REVENUE AND COST PROJECTIONS FOR MAJOR OPERATING FUNDS

INTRODUCTION AND OVERVIEW

This section of the budget outlines, in summary form, projected revenues and costs for the five fiscal years beyond 2025-26 for the Town's General Fund, Transit Fund, and Debt Service Fund. A summary schedule is provided for each fund identifying differences between the projected revenues and costs.

The Projections section of the budget is an important tool in developing long-range financial strategies for the Town's major operations and in maintaining sound financial condition. We believe our projections include all the major elements and principal drivers of revenue and costs. In short, we have included in the projections the elements that are "big enough to matter," on both the revenue and cost sides of the budget. Our presentation includes projections for operations and for additions and adjustments to ongoing operations. The largest additions relate to capital programs and related debt service.

Capital Programs and Related Debt Service

In November 2024, the Town held a general obligation bond referendum consisting of five bond orders totaling \$44 million, all of which were approved by the voters. In June 2025, \$10.63 million of bonds were issued.

Bond Order	Authority	Jun 2025 Issuance	Balance
Public Facilities	\$ 15,000,000	\$ 1,230,000	\$ 13,770,000
Affordable Housing	15,000,000	3,500,000	11,500,000
Streets & Sidewalks	7,500,000	5,400,000	2,100,000
Recreation Facilities	4,500,000	500,000	4,000,000
Open Space	2,000,000	-	2,000,000
Total	\$ 44,000,000	\$ 10,630,000	\$ 33,370,000

In November 2018, the Town held a general obligation bond referendum with one bond order that appeared on the ballot, and it was approved by the voters. The full amount of referendum authority has been issued.

Bond Order	Authority	May 2021 Issuance	Mar 2023 Issuance	Balance
Affordable Housing	\$ 10,000,000	\$ 4,755,000	\$ 5,245,000	\$ -
Total	\$ 10,000,000	\$ 4,755,000	\$ 5,245,000	\$ -

In November 2015, the Town held a general obligation bond referendum consisting of five bond orders totaling \$40.3 million. All five bond orders were approved by the voters. There have been four issuances from the 2015 GO Bond authority. In February of 2017, \$9.0 million of bonds were issued, then in April of 2018, \$12.5 million of bonds were issued, in March 2023 an additional \$7.7 million of bonds were issued, and most recently, in June 2025 a final \$3.2 million were issued. The authority to issue the remaining bonds expires in November 2025 and no additional issues are planned.

Bond Order	Authority	Feb 2017 Issuance	Apr 2018 Issuance	Mar 2023 Issuance	Jun 2025 Issuance	Balance
Streets/Sdwlks	\$16,200,000	\$ 3,000,000	\$ 5,500,000	\$7,700,000	\$ -	\$ -
Trails	5,000,000	5,000,000	-	-	-	-
Recreation	8,000,000	1,000,000	4,300,000	-	-	2,700,000
Solid Waste	5,200,000	-	-	-	-	5,200,000
Stormwater	5,900,000	-	2,700,000	-	3,200,000	-
Total	\$40,300,000	\$ 9,000,000	\$12,500,000	\$7,700,000	\$3,200,000	\$7,900,000

FIVE-YEAR REVENUE AND COST PROJECTIONS FOR MAJOR OPERATING FUNDS

In September 2024, The Town negotiated a 15-year lease for the Town's Police Headquarters, Emergency Operations Center, and Technology Solutions department. The anticipated move-in and lease commencement is October 2025.

While the Town has historically had low debt as a percentage of budgeted expenditures, recent borrowings have increased the Town's debt

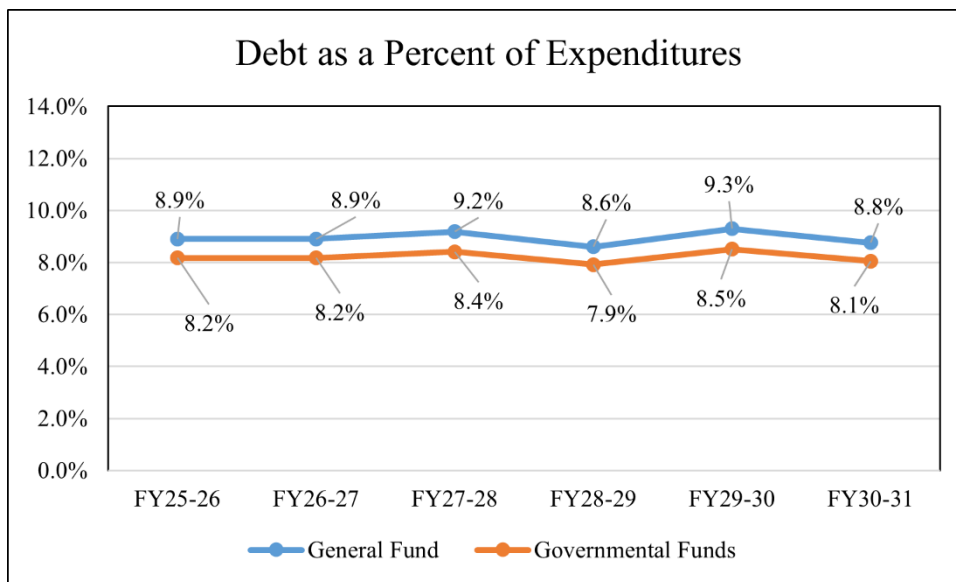
load. The Town's measures of debt capacity, including debt per capita and debt as a percent of assessed value, are slightly below the average of our peer group (Triple A rated Municipalities in North Carolina). The Town has traditionally kept debt service below 10% of budgeted general fund expenditures. With the recent investment in public facilities (East Rosemary Parking Deck), the Debt Fund is absorbing the debt service costs until the Parking Deck is fully operational and revenue positive. Debt service as a percentage of expenditures is expected to rise slightly in the next few years as the Town continues to invest in public facilities and infrastructure.

In response to the added debt burden, a Debt Management Plan was adopted for the FY2008-09 budget that includes dedicating a portion of the property tax rate to pay debt service instead of transferring funds for debt service needs from the General Fund. Previously, debt service costs competed with other priorities for General Fund revenues, but now have a dedicated revenue source, which also provides for future debt as existing debt is paid off. Maintaining affordable levels of debt is an important factor in retaining the Town's current AAA ratings.

Some of the other key factors affecting revenues and costs are outside the Town's control, such as State-shared revenues affected by State legislation, and numerous State and federal regulations which affect funding for the Transit system and the Housing Department, primarily. We project no significant withholding of State-shared revenues. The county has the option each year to change the sales tax distribution formula from the current per capita basis to an ad-valorem basis. Changing from a per capita basis to an ad-valorem distribution would reduce the Town's Sales Tax revenues by approximately \$2.5 million. The County has indicated that they will not make a change to the distribution for 2025-26, but they may revisit this option in subsequent fiscal years.

The main points included in the revenue and cost projections for the General Fund, Transit Fund, and the Debt Service Fund are summarized on the following pages. The differences between revenues and expenditures are expressed as tax rate equivalents.

As the budget increases, the total reserved fund balance needs to increase proportionally to maintain fund balance reserves at the target 22% of expenditures. The gap between revenues and costs could be closed by service reductions, revenue enhancements, tax rate adjustments, or any combination of these options.



FIVE-YEAR REVENUE AND COST PROJECTIONS FOR MAJOR OPERATING FUNDS

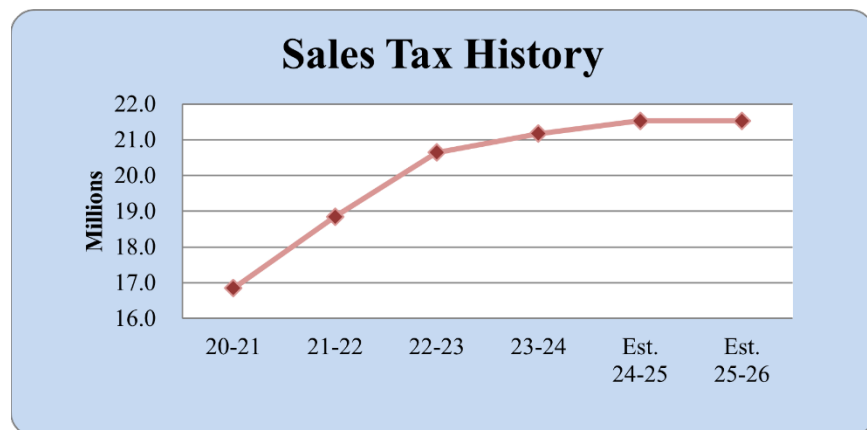
GENERAL FUND

Revenues

The most important revenue sources for General Fund operations continue to be property taxes and sales tax revenues that, combined, comprise about 76% of total General Fund revenues. The estimate of assessed valuation for the tax base in 2025-26 is about \$13.25 billion. The Council adopted a tax rate of 50.0 cents following the 2025 Orange County property tax revaluation, which is 5.8 cents over the revenue neutral tax rate.

The tax levy projections assume that the General Fund tax rate will continue to be split with the Debt Service Fund. The rate adopted in FY12 moved \$1.8 cents of the tax rate from the Debt Fund to the General Fund.

Estimated additions to the tax base through growth yield increases in property tax revenues of about \$780,000 each year. This is based on 1.5% annual growth, which is slightly lower than the historical average, and a tax rate for 2025-26 of 38.1 cents for the General Fund.



The second largest source of Town revenue, sales tax, is more volatile than property tax. Revenues from sales tax tend to increase when the economy is strong and slow or decline when the economy weakens. Based on sales tax revenues to date, we estimate FY25 receipts at \$21.5 million, a decrease from what was originally budgeted. Based on local trends and state forecasts, we anticipate zero sales tax growth for FY26.

Based on legislation adopted in 2002-03 by the North Carolina General Assembly (providing greater but not absolute protection for certain State-shared revenues withheld in past years), we believe it is reasonable to include full State-shared revenues in our five-year projections for the General Fund. These State-shared revenues include revenue from utility sales taxes (estimated at about \$5 million in 2024-25 and remaining flat in 2025-26) and Video Programming Tax, estimated at just over \$480,000 in FY25 and \$500,000 in FY26.

State-shared revenues also include revenue from fuel tax funds for street maintenance (about \$1.98 million in 2025-26), with no projected growth over the next five years, and Beer and Wine Taxes. The State withheld two-thirds of its distribution of beer and wine tax to municipalities in 2009-10, but indications are that we will receive the full share in FY26 and thereafter.

State Fire Protection Funds have not changed significantly in the past few years, and we anticipate they will remain stable. We do however recommend that the Council continue to seek additional fire protection funding consistent with the costs associated with providing fire protection for state-owned property located in the Town.

The most important revenue sources for the General Fund are shown in the two tables which follow this section, titled Projected Tax Base and Projected State-Shared Revenues.

FIVE-YEAR REVENUE AND COST PROJECTIONS FOR MAJOR OPERATING FUNDS

Operating and Capital Improvement Costs

Projected costs for general operations are based on a continuation of most service levels and programs for 2025-26. Personnel and operating costs are based on assumptions as noted in the attached tables. The projections also include estimated contributions required to provide needed capital maintenance for future years. To date, the Town has issued \$32.4 million of 2015 referendum bonds to pay for streets and sidewalks, trails and greenways, stormwater improvements, and recreation facilities.

Personnel costs for FY 2025-26 include an increase in medical insurance costs of 6% based on the contract agreement with Blue Cross Blue Shield. Projections include the following assumptions:

- Annual pay increases of 5%
- 5% annual increases in medical insurance
- An increase of 0.75% for 3 years after FY26 for the employer's retirement system contribution rate
- Operating costs increase of about 4.5% annually

Our analysis indicates projected costs for basic operations and the proposed additions to operations would exceed revenues in FY2025-26 and beyond. As we come closer to the actual projected years, we will need to update assumptions. Under the current projection assumptions, the Council would need to increase revenues or decrease costs for each of the next five years.

TRANSIT FUND

The budget for 2025-26 assumes the continuation of fare-free transit services as well as the continuation of the cost-sharing arrangement with the University of North Carolina and Carrboro. Due to the occasional unknown nature of the State operating assistance, we are conservatively budgeting \$3.4 million for this revenue source. Federal assistance is estimated to continue at \$2.3 million next year, which is flat compared to FY25.

The 2025-26 Adopted Budget represents a 0.5% decrease from the previous year due to discontinuing a large service contract for bus driver support and not appropriating any fund balance. The Transit budget also includes \$1,686,308 for debt payments on the purchase of new buses that began in 2016-17. The projections assume continuation of the 5.3 cent rate in the next five years. Subsequent years show the need for a tax increase from 0.3 to 0.9 cents through 2030-31.

DEBT SERVICE FUND

The projections for the Debt Service Fund include a new tax rate of 6.6 cents following the property tax revaluation. This tax rate will generate about \$8.74 million in revenues in 2025-26 which will provide for projected debt service costs. Cost projections include debt service on the borrowings noted above. Our projections include issuances from a successful referendum on the November 2024 ballot and the commencement of the 15-year lease for our police headquarters, emergency operations center, and technology solutions staff.

FIVE-YEAR REVENUE AND COST PROJECTIONS FOR MAJOR OPERATING FUNDS

Adopted Tax Rate	Cents per \$100 valuation		
	FY24-25	FY25-26	\$ Change
General Fund	43.7	38.1	-5.6
Debt Fund	8.8	6.6	-2.2
Transit Fund	6.7	5.3	-1.4
Total Tax Rate	59.2	50.0	-9.2

CONCLUSION

Based on the assumptions contained in the analysis of projected revenues and costs for the Town's tax-funded operating funds for the next five years, differences between revenues and costs for future years could require cost or service reductions, revenue enhancements, or tax rate adjustments. The differences expressed as tax rate equivalents are summarized as follows:

Tax Rate Equivalents of Needed Revenue (in cents)

	2025-26 Adopted Decrease	2026-27 Estimated Increase	2027-28 Estimated Increase	2028-29 Estimated Increase	2029-30 Estimated Increase	2030-31 Estimated Increase
General Fund	-5.6	2.9	2.3	2.3	2.1	1.9
Transit Fund	-2.2	0.9	(0.3)	0.3	0.3	0.3
Debt Service	-1.4	0.0	0.0	0.0	0.0	0.0
Total	-9.2	3.8	2.0	2.6	2.4	2.2

The largest concern in the budget projection is the expected imbalance between revenues and expenditures in the General Fund. In past years, fund balance has been available to supplement revenues and eliminate or reduce the need to increase taxes. We will need to more closely balance spending with available revenues in future budget years due to the diminishing availability of fund balance available for appropriation.

***GENERAL FUND
PROJECTED TAX BASE
2025/2026- 2030/2031***

Category	2025-26 Adopted	2026-27 Estimated	2027-28 Estimated	2028-29 Estimated	2029-30 Estimated	2030-31 Estimated
Assessed Valuation (Real & Personal Property)	\$ 13,250,450,000	\$ 13,449,210,000	\$ 13,650,950,000	\$ 13,855,710,000	\$ 14,063,550,000	\$ 14,274,500,000
Tax Levy - General Fund Only*	50,484,000	51,241,000	52,010,000	52,790,000	53,582,000	54,386,000
Estimated Collections at 99%	50,340,000	51,090,000	51,860,000	52,640,000	53,430,000	54,230,000
Estimated Prior Year Collections	95,000	95,000	95,000	95,000	95,000	95,000
TOTALS	\$ 50,435,000	\$ 51,185,000	\$ 51,955,000	\$ 52,735,000	\$ 53,525,000	\$ 54,325,000
Tax rate	38.1	38.1	38.1	38.1	38.1	38.1

1¢ on the tax rate = \$ 1,321,000

* Based on continuing the General Fund tax rate of \$38.1 cents/\$100, with estimated growth as follows:

2027	1.5%
2028	1.5%
2029	1.5%
2030	1.5%
2031	1.5%

GENERAL FUND
PROJECTED STATE-SHARED REVENUES
2025/2026 - 2030/2031

Category	2025-26 Adopted	2026-27 Estimated	2027-28 Estimated	2028-29 Estimated	2029-30 Estimated	2030-31 Estimated
Utility Sales Tax ¹	\$ 5,000,000	\$ 5,025,000	\$ 5,050,000	\$ 5,075,000	\$ 5,100,000	\$ 5,126,000
Video Programming Tax	500,000	500,000	500,000	500,000	500,000	500,000
Supplemental PEG support	80,000	80,000	80,000	80,000	80,000	80,000
Beer, Wine Tax ²	300,000	300,000	300,000	300,000	300,000	300,000
1% Local Option Sales Tax (Article 39) ³	7,349,000	7,790,000	8,257,000	8,752,000	9,277,000	9,834,000
1/2% Local Option Sales Tax (Article 40) ³	5,049,000	5,352,000	5,673,000	6,013,000	6,374,000	6,756,000
1/2% Local Option Sales Tax (Article 42) ³	3,683,000	3,904,000	4,138,000	4,386,000	4,649,000	4,928,000
1/2% Local Option Sales Tax (Article 44 Hold Harmless) ³	126,000	134,000	142,000	151,000	160,000	170,000
City Hold Harmless ³	5,321,000	5,640,000	5,978,000	6,337,000	6,717,000	7,120,000
Total Local Option Sales Taxes	21,528,000	22,820,000	24,188,000	25,639,000	27,177,000	28,808,000
Fuel Tax (Powell Bill) ⁴	1,976,000	1,976,000	1,976,000	1,976,000	1,976,000	1,976,000
State Fire Protection ⁵	1,025,000	1,025,000	1,025,000	1,025,000	1,025,000	1,025,000
Solid Waste Disposal Tax	47,000	47,000	47,000	47,000	47,000	47,000
TOTAL	\$ 30,456,000	\$ 31,773,000	\$ 33,166,000	\$ 34,642,000	\$ 36,205,000	\$ 37,862,000

¹ Utility sales tax distribution is distributed to municipalities based on the application of the 7% combined general sales tax rate of sales of electricity and natural gas to public utility providers.

² Except when withheld by the state, beer and wine taxes have been stable. Distributed based on population, they are expected to remain flat in the future.

³ Estimating a normal growth of 6% in FY26 and thereafter.

⁴ Powell Bill revenues are distributed by a formula that is based on both street miles and population.

⁵ State Fire Protection funding is subject to annual appropriation.

GENERAL FUND
REVENUE PROJECTIONS
2025/2026 - 2030/2031

Category	2025-26 Adopted	2026-27 Estimated	2027-28 Estimated	2028-29 Estimated	2029-30 Estimated	2030-31 Estimated
Property Taxes*	\$ 50,530,000	\$ 50,435,000	\$ 51,185,000	\$ 51,955,000	\$ 52,735,000	\$ 53,525,000
Sales Taxes	21,529,000	22,820,000	24,188,000	25,639,000	27,177,000	28,808,000
Other Taxes & Licenses	1,850,000	1,850,000	1,850,000	1,850,000	1,850,000	1,850,000
Licenses/Permits/Fines	2,920,000	2,920,000	2,920,000	2,920,000	2,920,000	2,920,000
State-Shared Revenues	8,927,000	8,953,000	8,978,000	9,003,000	9,028,000	9,054,000
Grants	750,000	759,000	768,000	777,000	786,000	795,000
Service Charges	6,174,000	6,184,000	6,194,000	6,204,000	6,214,000	6,224,000
Interest on Investments	750,000	750,000	750,000	750,000	750,000	750,000
Other Revenues	408,000	408,000	408,000	408,000	408,000	408,000
Interfund Transfers	45,000	45,000	45,000	45,000	45,000	45,000
TOTAL	\$ 93,883,000	\$ 95,124,000	\$ 97,286,000	\$ 99,551,000	\$ 101,913,000	\$ 104,379,000

* Based on continuing the current General Fund tax rate of \$38.1 cents/\$100, with estimated growth as follows:

2027	1.50%
2028	1.50%
2029	1.50%
2030	1.50%
2031	1.50%

GENERAL FUND
PROJECTED COSTS
2025/2026 - 2030/2031

	2025-26 Adopted	2026-27 Estimated	2027-28 Estimated	2028-29 Estimated	2029-30 Estimated	2030-31 Estimated
Personnel Services ¹	\$ 66,458,000	\$ 69,681,000	\$ 72,999,000	\$ 76,483,000	\$ 80,140,000	\$ 83,979,000
Operations						
Operating & Maintenance ²	22,838,000	24,133,000	25,540,000	26,907,000	28,418,000	29,593,000
Capital						
Equipment ³	580,000	830,000	1,080,000	1,330,000	1,330,000	1,330,000
Transfer to Capital Improvements Program ⁴	2,737,000	2,987,000	3,237,000	3,397,000	3,397,000	3,397,000
Other						
Human Service contracts, hotel/ motel allocations and grants to other agencies	2,020,000	2,020,000	2,020,000	2,020,000	2,020,000	2,020,000
Other Post Employment Benefits	250,000	250,000	250,000	250,000	250,000	250,000
TOTAL COSTS OF CURRENT PROGRAMS AND ADDITIONS/						
TOTALS	\$ 94,883,000	\$ 99,901,000	\$ 105,126,000	\$ 110,387,000	\$ 115,555,000	\$ 120,569,000

Assumptions for years after 2026, reflected on base cost estimates for 2025-26:

¹ Assumptions include:

- Annual increase of 5%
- 5% increase in medical insurance each year
- Increase of 0.75% of the Retirement rate per year after 2025-26

² Increase in most operating costs of 4.5% each year

³ Estimated cost of routine replacement of miscellaneous non-vehicular capital equipment

⁴ General Fund contribution for Capital Improvements Program

GENERAL FUND
ANALYSIS OF REVENUE AND COST PROJECTIONS
2025/2026 - 2030/2031

	2025-26 Adopted	2026-27 Estimated	2027-28 Estimated	2028-29 Estimated	2029-30 Estimated	2030-31 Estimated
Estimated Total Costs	\$ 94,883,000	\$ 99,901,000	\$ 105,126,000	\$ 110,387,000	\$ 115,555,000	\$ 120,569,000
Estimated Total Revenues	93,883,000	95,124,000	97,286,000	99,551,000	101,913,000	104,379,000
Revenues Needed	1,000,000	4,777,000	7,840,000	10,836,000	13,642,000	16,190,000
Fund Balance Available	-	1,000,000	1,000,000	1,000,000	1,000,000	1,000,000
One-time use of Fund Balance	1,000,000	-	-	-	-	-
Additional Revenue Needed/ (Available)	\$ -	\$ 3,777,000	\$ 6,840,000	\$ 9,836,000	\$ 12,642,000	\$ 15,190,000
Change in Tax Rate in cents in Specific Years*	-	2.9	2.3	2.3	2.1	1.9

*Value of a cent = \$1,321,000

TRANSIT FUND
REVENUE PROJECTIONS
2025/2026 - 2030/2031

	2025-26 Adopted	2026-27 Estimated	2027-28 Estimated	2028-29 Estimated	2029-30 Estimated	2030-31 Estimated
Taxes ¹	\$ 7,017,255	\$ 7,127,000	\$ 7,227,000	\$ 7,337,000	\$ 7,447,000	\$ 7,557,000
Vehicle Taxes ²	450,000	452,000	454,000	456,000	458,000	460,000
Orange County Transit Plan	7,159,936	7,232,000	7,304,000	7,377,000	7,451,000	7,526,000
Federal Operating Assistance ³	2,300,000	2,300,000	2,300,000	2,300,000	2,300,000	2,300,000
State Operating Assistance ³	3,400,000	3,400,000	3,400,000	3,400,000	3,400,000	3,400,000
UNC Contract (Net) ⁴	11,952,960	12,132,000	12,314,000	12,499,000	12,686,000	12,876,000
Carrboro Contract (Net) ⁴	2,514,824	2,553,000	2,591,000	2,630,000	2,669,000	2,709,000
Service Charges ⁵	1,337,000	1,364,000	1,391,000	1,419,000	1,447,000	1,476,000
Advertising	290,000	290,000	290,000	290,000	290,000	290,000
Grants	52,000	-	-	-	-	-
Other	8,000	8,000	8,000	8,000	8,000	8,000
Appropriated Fund Balance	-	-	-	-	-	-
TOTAL	\$ 36,481,975	\$ 36,858,000	\$ 37,279,000	\$ 37,716,000	\$ 38,156,000	\$ 38,602,000

Revenue Notes:

¹ Based on the adopted tax rate of 5.3 cents through 2030-31.

² Assumes continuing levy of \$15 vehicle tax for Transit

³ Assumes continuing level of State and Federal Operating Assistance.

⁴ Assumes continued participation by the University and Carrboro, including assumptions on cost sharing for adopted fare-free services, assuming 1.5% growth each year.

⁵ Based on continuing fare-free services, with remaining service charge revenue generated primarily by Tarheel Express and GoTriangle routes, assuming 2% growth each year.

TRANSIT FUND
COST PROJECTIONS
2025/2026 - 2030/2031

	2025-26 Adopted	2026-27 Estimated	2027-28 Estimated	2028-29 Estimated	2029-30 Estimated	2030-31 Estimated
Personnel Services ¹	\$ 21,069,508	\$ 22,159,000	\$ 23,218,000	\$ 24,330,000	\$ 25,497,000	\$ 26,721,000
Operations ²	15,412,467	15,905,000	16,403,000	16,919,000	17,454,000	18,007,000
Capital Reserve Fund ³	-	-	-	-	-	-
TOTAL	\$ 36,481,975	\$ 38,064,000	\$ 39,621,000	\$ 41,249,000	\$ 42,951,000	\$ 44,728,000

Assumptions for years after 2025-26:

¹ Assumptions include:

- Annual increase of 5%
- 5% increase in medical insurance each year
- Increase of 0.75% of the Retirement rate per year after 2025-26

² Increase in operating costs of 2.5% annually for most operating costs and 5% for fuel and tires.

³ Amounts allocated for Capital Equipment Reserve Fund for replacement of buses, purchase of capital equipment, and local cost of Transit facilities.

TRANSIT FUND
ANALYSIS OF REVENUE AND COST PROJECTIONS
2025/2026 - 2030/2031

	2025-26 Adopted	2026-27 Estimated	2027-28 Estimated	2028-29 Estimated	2029-30 Estimated	2030-31 Estimated
Estimated Costs	\$ 36,481,975	\$ 38,064,000	\$ 39,621,000	\$ 41,249,000	\$ 42,951,000	\$ 44,728,000
Estimated Revenues	36,481,975	36,858,000	37,279,000	37,716,000	38,156,000	38,602,000
Revenue Needed/(Excess)	-	1,206,000	2,342,000	3,533,000	4,795,000	6,126,000
Additional Revenue Needed	\$ -	\$ 1,206,000	\$ 2,342,000	\$ 3,533,000	\$ 4,795,000	\$ 6,126,000
Change in Tax Rate in Specific Years	-	0.9	(0.3)	0.3	0.3	0.3

1 cent on the tax rate = \$1,321,000

Assumptions on future revenues and costs:

- Same revenue sources as available in 2024-25 (assumes current level of State funding for operating assistance)
- Assumes constant level of federal operating assistance
- Includes estimated adjustments of 5% in salaries and 2.5% in most operating costs after FY26
- Includes estimated adjustments of 5% in fuel and tire costs after FY26

DEBT SERVICE FUND
PROJECTED TAX BASE AND OTHER REVENUES
2025/2026 - 2030/2031

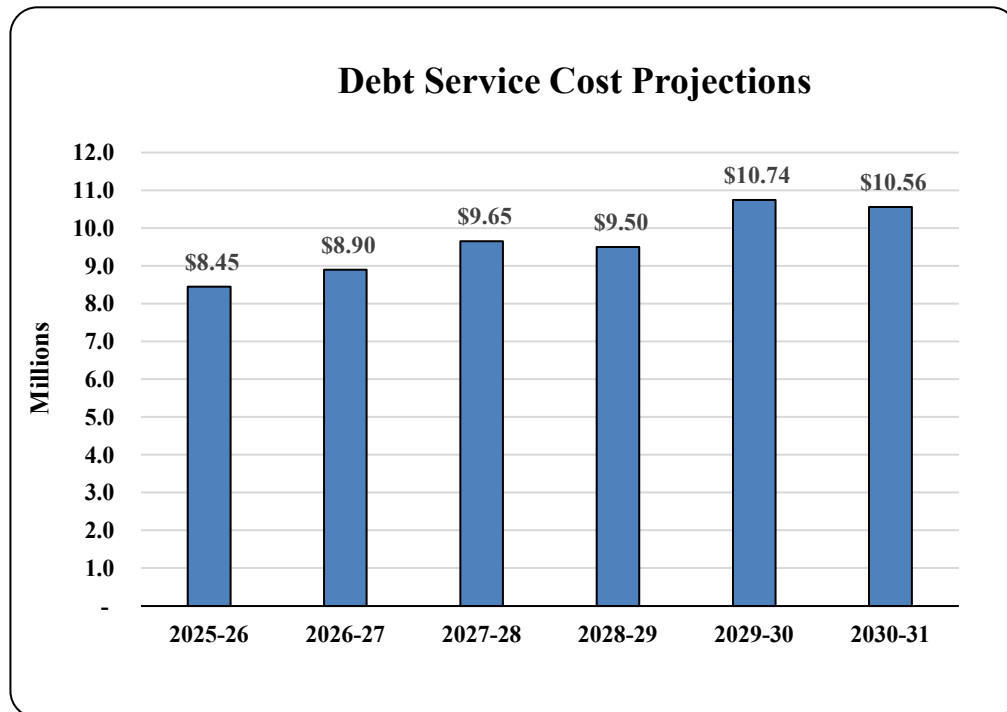
Category	2025-26 Adopted	2026-27 Estimated	2027-28 Estimated	2028-29 Estimated	2029-30 Estimated	2030-31 Estimated
Assessed Valuation (Real & Personal Property)	\$ 13,250,450,000	\$ 13,449,210,000	\$ 13,650,950,000	\$ 13,855,710,000	\$ 14,063,550,000	\$ 14,274,500,000
Tax Levy - Debt Service Fund Only*	8,745,000	8,876,000	9,010,000	9,145,000	9,282,000	9,421,000
Estimated Collections at 99%	8,720,000	8,850,000	8,980,000	9,120,000	9,260,000	9,390,000
Estimated Prior Year Collections	19,000	19,000	19,000	19,000	19,000	19,000
TOTAL TAXES	\$ 8,739,000	\$ 8,869,000	\$ 8,999,000	\$ 9,139,000	\$ 9,279,000	\$ 9,409,000
Interest Income	600,000	298,000	226,000	168,000	84,000	35,000
Transfer from General Fund	445,000	445,000	445,000	445,000	445,000	445,000
TOTAL REVENUES	\$ 9,784,000	\$ 9,612,000	\$ 9,670,000	\$ 9,752,000	\$ 9,808,000	\$ 9,889,000

* Based on a continued tax rate of 6.6 cents for the Debt Fund through 2030-31, with estimated growth as follows:

2027	1.50%
2028	1.50%
2029	1.50%
2030	1.50%
2031	1.50%

***DEBT SERVICE FUND
PROJECTED COSTS
2025/2026 - 2030/2031***

	2025-26 Adopted	2026-27 Estimated	2027-28 Estimated	2028-29 Estimated	2029-30 Estimated	2030-31 Estimated
Existing Debt	\$ 7,651,000	\$ 7,496,000	\$ 6,963,000	\$ 6,779,000	\$ 6,581,000	\$ 6,399,000
Future Issuance	797,000	1,399,000	2,691,000	2,717,000	4,163,000	4,157,000
TOTALS	\$ 8,448,000	\$ 8,895,000	\$ 9,654,000	\$ 9,496,000	\$ 10,744,000	\$ 10,556,000



DEBT SERVICE FUND
ANALYSIS OF REVENUE AND COST PROJECTIONS
2025/2026 - 2030/2031

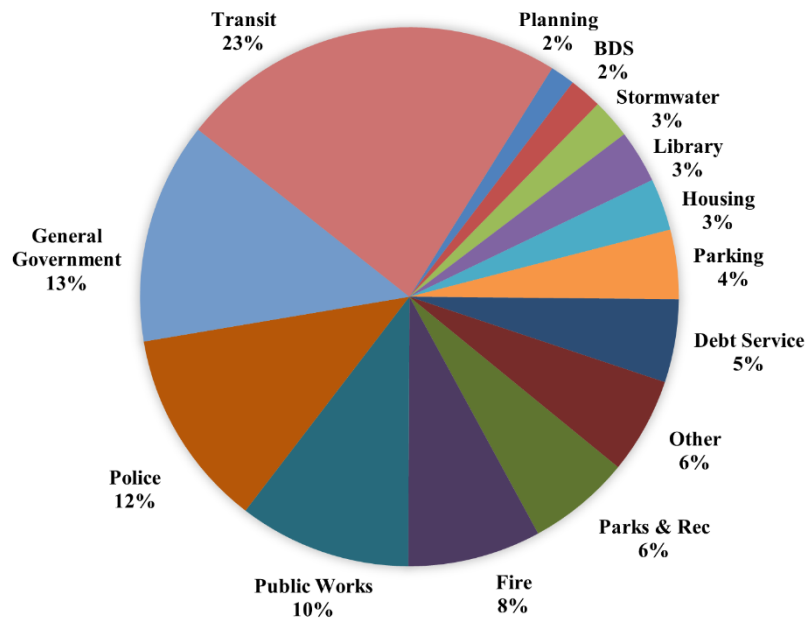
	2025-26 Adopted	2026-27 Estimated	2027-28 Estimated	2028-29 Estimated	2029-30 Estimated	2030-31 Estimated
Estimated Total Costs	\$ 8,448,000	\$ 8,895,000	\$ 9,654,000	\$ 9,496,000	\$ 10,744,000	\$ 10,556,000
Estimated Total Revenues	9,784,000	9,612,000	9,670,000	9,752,000	9,808,000	9,889,000
Revenue (Needed)/Available	1,336,000	717,000	16,000	256,000	(936,000)	(667,000)
Fund Balance Available	-	-	-	-	936,000	667,000
Reserved for future debt	1,336,000	717,000	16,000	256,000	-	-
Additional Revenue (Needed)/Available	-	-	-	-	-	-
Change in Tax Rate in Specific Years*	0.0	0.0	0.0	0.0	0.0	0.0

*Value of a cent = \$1,321,000

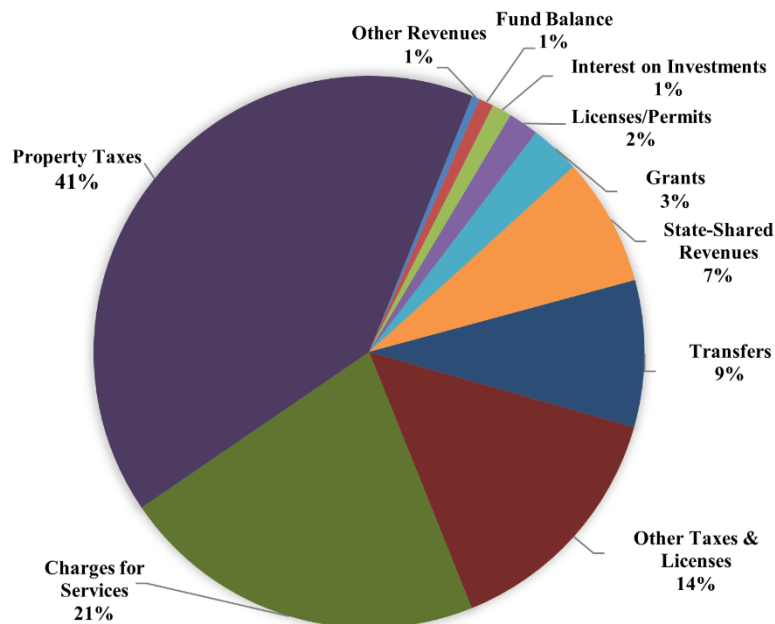
ALL FUNDS SUMMARY

TOTAL BUDGET EXPENDITURES

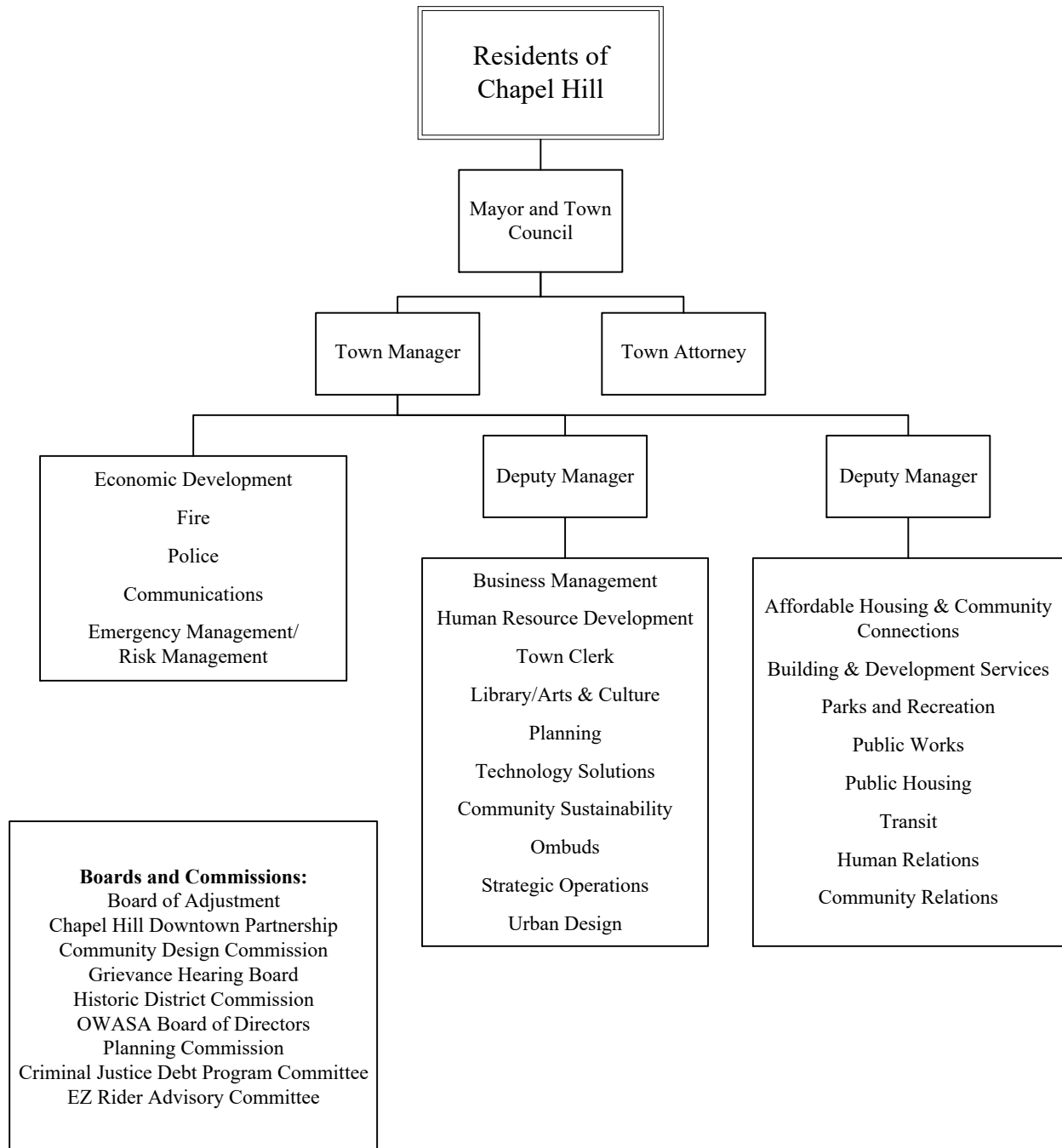
\$156,968,706 (NET OF TRANSFERS)



TOTAL BUDGET REVENUES



TOWN OF CHAPEL HILL ORGANIZATION CHART



ALL FUNDS
SUMMARY OF APPROPRIATIONS
Adopted Budget 2025-26

Fund	Appropriations	Less Transfers to Other Funds	Net Appropriations
General Fund	\$ 94,883,000	\$ 5,114,416	\$ 89,768,584
Transit Funds			
Transit	36,481,975	-	36,481,975
Transit Capital Reserve Fund	-	-	-
Stormwater Management Fund	3,713,100	-	3,713,100
Parking Facilities Fund	6,525,673	-	6,525,673
Public Housing Fund	2,882,324	-	2,882,324
Debt Service Fund	9,784,100	1,957,868	7,826,232
Capital Projects			
Capital Improvements Fund	2,895,996	26,496	2,869,500
Other Funds			
Affordable Housing Funding Program	722,003	-	722,003
Climate Action Fund	804,259	-	804,259
Grants Fund	513,614	-	513,614
Downtown Service District Fund	520,000	-	520,000
Library Gift Fund	220,814	45,000	175,814
Vehicle Replacement Fund	1,810,000	-	1,810,000
Fleet Management Fund	2,215,752	-	2,215,752
Computer Replacement Fund	139,876	-	139,876
TOTAL	\$ 164,112,486	\$ 7,143,780	\$ 156,968,706

ALL FUNDS STAFFING SUMMARY

Personnel costs make up 60% of the Town's operating budget across all funds. Personnel costs in the General Fund make up 70% of total expenditures. The Staffing Summary represents a snapshot of the FTE's on which the FY26 Adopted Budget is based.

2025-26 STAFFING BY DEPARTMENT IN FULL-TIME EQUIVALENTS

<i>DEPARTMENTS</i>	<i>2023-24 ADOPTED</i>	<i>2024-25 ADOPTED</i>	<i>2025-26 ADOPTED</i>
Mayor	1.00	1.00	1.00
Manager	26.00	26.00	30.00
Clerk's Office (formerly Governance Services) ¹	4.53	4.50	-
Human Resource Development	8.00	8.00	8.00
Business Management	18.00	18.00	19.00
Technology Solutions	16.00	16.00	16.00
Attorney	3.00	3.00	3.00
Planning ²	16.80	16.30	16.30
Public Works ²	91.70	91.20	92.20
Building & Development Services	20.00	20.50	20.50
Affordable Housing and Community Connections ³	8.70	9.80	8.80
Police	121.00	121.00	123.00
Fire	97.00	97.00	97.00
Parks & Recreation	54.80	54.80	54.80
Library	34.66	34.53	34.53
Transit	208.66	211.66	212.66
Stormwater	15.55	15.55	16.55
Parking	9.80	9.75	9.00
Public Housing ³	16.50	16.40	16.40
Downtown Service District	1.00	1.00	1.00
Fleet Management	7.75	7.75	7.75
Total FTE's	780.45	783.74	787.49

¹ This department has been absorbed into the Manager's Office as of FY24-25.

² One employee in Planning and three employees in Public Works also work in Stormwater. They have been split-coded to reflect time spent in each department.

³ As of FY24-25, several employees are split-coded between the Affordable Housing & Community Connections department and the Public Housing fund.

TAX RATES AND TAX COLLECTIONS

Adopted 2025-26

	2023-24 Actual	2024-25 Budget	2024-25 Estimated	2025-26 Adopted
Assessed Value of Real and Personal Property	\$ 9,662,979,000	\$ 9,787,420,000	\$ 9,787,420,000	\$ 13,250,450,000
Tax Rate Per \$100 Valuation				
General Fund	42.2	43.7	43.7	38.1
Transit Fund	6.2	6.7	6.7	5.3
Debt Service Fund	8.8	8.8	8.8	6.6
Total Tax Rate (cents)	57.2	59.2	59.2	50.0
Tax Levy	55,272,240	57,942,000	57,942,000	66,252,000
Estimated Collections at 99%	\$ 55,112,000	\$ 57,774,000	\$ 57,774,000	\$ 66,059,900
Distribution				
General Fund	40,658,505	42,650,000	42,650,000	50,340,000
Transit Fund	5,975,794	6,540,000	6,540,000	7,000,000
Debt Service Fund	8,478,626	8,590,000	8,590,000	8,720,000
Downtown Service District Fund				
Tax Rate (cents)	6.4	6.4	6.4	5.5
Assessed Value of Real and Personal Property	\$ 638,000,000	\$ 644,500,000	\$ 644,500,000	\$ 762,700,000
Tax Levy	408,000	412,000	412,000	419,000
1¢ of the Tax Rate Equals (to nearest 1,000)	\$ 963,000	\$ 976,000	\$ 976,000	\$ 1,321,000

ESTIMATED UNDESIGNATED RESERVES

ANNUALLY BUDGETED FUNDS

	Approximate Unassigned Fund Balance July 1, 2025	2025-26 Budgeted Revenues	2025-26 Budgeted Expenditures	Approximate Unassigned Fund Balance June 30, 2026
GENERAL FUND	\$ 20,795,000	\$ 93,883,000	\$ 94,883,000	\$ 19,795,000
SPECIAL REVENUE FUNDS				
Affordable Hsg Develop Reserve	-	722,000	722,000	-
Climate Action	-	804,000	804,000	-
Downtown Service District	131,000	520,000	520,000	131,000
Library Gift	99,000	194,000	221,000	72,000
Grants Fund	17,000	514,000	514,000	17,000
DEBT SERVICE FUND	10,731,000	9,784,000	9,784,000	10,731,000
CAPITAL IMPROVEMENT FUNDS				
Capital Improvements	413,000	2,896,000	2,896,000	413,000
Capital Reserve	231,000	-	-	231,000
ENTERPRISE FUNDS				
Transit	27,606,000	36,482,000	36,482,000	27,606,000
Transit Capital Reserve	1,244,000	-	-	1,244,000
Public Housing	4,723,000	2,743,000	2,882,000	4,584,000
Parking	660,000	6,284,000	6,526,000	418,000
Stormwater Management	4,783,000	3,713,000	3,713,000	4,783,000
INTERNAL SERVICE FUNDS				
Vehicle Replacement	349,000	1,810,000	1,810,000	349,000
Fleet Management	10,000	2,216,000	2,216,000	10,000
Computer Replacement	108,000	140,000	140,000	108,000
TOTAL	\$ 71,900,000	\$ 162,705,000	\$ 164,113,000	\$ 70,492,000

Note: Estimates of fund balance presented on this page and the following pages are based on unaudited information available during preparation of this document. Reservations of fund balance and restrictions of fund balance are constantly changing, and these estimates are therefore subject to change.

FUND BALANCE VARIANCES

The Town maintains a reserve of fund balance for cash flow, emergencies, and opportunities. Fund balance is essentially the difference between revenues received and expenditures made each year, plus any residual balance remaining at the end of the previous year. Part of the balance must remain unused to meet the reserve recommendations of the North Carolina Local Government Commission and State statute requirements. Additionally, part of the balance must remain unused to meet restrictions imposed by outside agencies (federal grant funds, for example) and to comply with the Town's contractual and other obligations. The remaining balance is available to be used for additional appropriations.

In FY2025-26, three funds are budgeting fund balance as part of the adopted budget. The General Fund budgets \$1 million due to anticipated savings stemming from lapsed salaries and attrition. The Library Gift Fund, a special revenue fund, budgets about \$27,000 in fund balance to pay for planned furniture purchases. And the Public Housing fund budgets just under \$139,000 in fund balance to account for a one-time allocation for additional planned maintenance to the housing units.

Fund balance fluctuates depending upon the activities during the year. The General Fund fund balance in 2025-26 is anticipated to be about 20.9% of budgeted expenditures. The Town uses expenditure estimates that are provided by departments when their budget requests are submitted in February. These estimates are not necessarily a true representation of actual expenditures because the estimates are very conservative, and a historical look shows that there are significant budget savings each year.

For the most accurate information related to fund balance, please see the Town's FY24 Annual Comprehensive Financial Report. The FY25 ACFR will be available in Fall 2025.

GOVERNMENTAL FUNDS**SUMMARY OF ESTIMATED FINANCIAL SOURCES AND USES****2025-26**

	General Fund			Special Revenue Funds		
	23-24 Actual	24-25 Estimated	25-26 Adopted	23-24 Actual	24-25 Estimated	25-26 Adopted
Net Unreserved Assets, Beginning of Year	21,101,543	20,795,269	20,795,269	2,244,700	3,345,329	246,376
Financial Sources						
Property Taxes	40,839,106	42,944,985	50,530,000	406,716	413,000	420,000
Other Tax and Licenses	23,029,586	23,383,467	23,378,427	-	-	-
State-Shared Revenues	8,560,959	8,913,636	8,927,339	-	-	-
Interest on Investments	1,412,490	1,144,560	750,000	15,589	8,750	1,406
Other Revenues	843,501	483,364	407,962	252,422	275,875	192,375
Grants	825,217	787,620	750,083	1,369,246	2,194,268	403,415
Charges for Services	5,537,916	5,965,448	6,173,959	-	-	-
Licenses/Permits/Fines	3,024,839	2,830,626	2,920,230	-	-	-
Transfers/Other Sources	295,000	45,000	45,000	1,852,934	834,822	1,736,461
Appropriated Net Assets (Fund Balance)	-	-	1,000,000	-	-	27,033
Total Estimated Financial Sources	84,368,614	86,498,706	94,883,000	3,896,907	3,726,715	2,780,690
Expenditures						
Personnel	58,600,859	62,110,384	66,707,228	1,321,463	1,746,395	960,745
Operations	25,866,964	24,160,034	27,595,772	1,438,605	4,832,407	1,819,945
Capital	207,065	228,288	580,000	36,210	246,866	-
Contribution to Reserve	-	-	-	-	-	-
Total Budget	84,674,888	86,498,706	94,883,000	2,796,278	6,825,668	2,780,690
Financial Sources less Expenditures	(306,274)	-	-	1,100,629	(3,098,953)	-
Net Unreserved Assets, End of Year	20,795,269	20,795,269	19,795,269	3,345,329	246,376	219,343

Note: Please see note about fund balance estimates on page 66.

Debt Service Fund			Capital Funds		
23-24 Actual	24-25 Estimated	25-26 Adopted	23-24 Actual	24-25 Estimated	25-26 Adopted
9,876,520	9,785,818	10,731,088	2,757,977	2,369,121	644,291
8,489,995	8,571,082	8,739,000	-	-	-
-	-	-	-	-	-
-	-	-	-	-	-
2,579,116	1,315,000	600,000	71,037	15,500	15,500
-	-	-	-	-	-
-	-	-	50,000	1,000,000	-
-	-	-	139,776	140,188	143,093
-	-	-	-	-	-
445,100	-	445,100	2,248,903	2,070,623	2,737,403
-	-	-	-	-	-
11,514,211	9,886,082	9,784,100	2,509,716	3,226,311	2,895,996
-	-	-	-	-	-
11,604,913	8,940,812	8,767,297	-	-	-
-	-	-	2,898,572	4,951,141	2,895,996
-	-	1,016,803	-	-	-
11,604,913	8,940,812	9,784,100	2,898,572	4,951,141	2,895,996
(90,702)	945,270	-	(388,856)	(1,724,830)	-
9,785,818	10,731,088	11,747,891	2,369,121	644,291	644,291

ENTERPRISE FUNDS**SUMMARY OF ESTIMATED FINANCIAL SOURCES AND USES****2025-26**

	Parking Facilities Fund			Transit Funds		
	23-24	24-25	25-26	23-24	24-25	25-26
	Actual	Estimated	Adopted	Actual	Estimated	Adopted
Net Unreserved Assets, Beginning of Year	1,204,114	2,009,860	660,029	42,511,084	44,461,321	28,849,930
Financial Sources						
Property Taxes	-	-	-	5,983,593	6,557,255	7,017,255
Other Tax and Licenses	-	-	-	442,339	450,000	450,000
State-Shared Revenues	-	-	-	3,631,704	3,631,704	3,400,000
Interest on Investments	169,796	300,000	25,000	1,898,108	900,000	300,000
Other Revenues	132,009	109,000	130,000	-	15,000	15,000
Grants	-	-	-	7,964,491	2,352,000	2,352,000
Charges for Services	2,556,800	4,265,155	4,171,500	13,471,171	14,620,335	15,787,784
Licenses/Permits/Fines	-	-	-	-	-	-
Transfers/Other Sources	-	431,121	1,957,868	3,051,310	7,069,936	7,159,936
Appropriated Net Assets (Fund Balance)	-	-	241,305	-	-	-
Total Estimated Financial Sources	2,858,605	5,105,276	6,525,673	36,442,716	35,596,230	36,481,975
Expenditures						
Personnel	711,871	778,585	965,123	17,660,294	18,855,381	21,069,508
Operations	1,340,988	5,676,522	5,545,550	16,534,642	21,864,570	14,561,467
Capital	-	-	15,000	297,543	10,487,670	851,000
Contribution to Reserve	-	-	-	-	-	-
Total Budget	2,052,859	6,455,107	6,525,673	34,492,479	51,207,621	36,481,975
Financial Sources less Expenditures	805,746	(1,349,831)	-	1,950,237	(15,611,391)	-
Net Unreserved Assets, End of Year	2,009,860	660,029	418,724	44,461,321	28,849,930	28,849,930

Note: Please see note about fund balance estimates on page 66.

Stormwater Management Fund			Public Housing Fund		
23-24 Actual	24-25 Estimated	25-26 Adopted	23-24 Actual	24-25 Estimated	25-26 Adopted
6,348,310	6,891,617	4,783,366	5,507,645	4,444,250	4,723,299
-	-	-	-	-	-
-	-	-	-	-	-
-	-	-	-	-	-
268,223	175,000	175,000	28,160	28,000	28,000
14,000	8,000	8,000	2,575	72,622	10,400
-	-	-	1,284,152	1,295,000	1,295,000
3,078,344	2,998,075	3,513,100	1,364,236	1,373,000	1,410,000
-	-	-	-	-	-
9,710	10,000	17,000	-	-	-
-	-	-	-	-	138,924
3,370,277	3,191,075	3,713,100	2,679,123	2,768,622	2,882,324
1,721,805	1,729,680	1,982,357	1,259,955	1,439,688	1,682,726
1,105,165	3,194,856	1,634,477	2,482,563	998,547	1,199,598
-	374,790	80,400	-	51,338	-
-	-	15,866	-	-	-
2,826,970	5,299,326	3,713,100	3,742,518	2,489,573	2,882,324
543,307	(2,108,251)	-	(1,063,395)	279,049	-
6,891,617	4,783,366	4,799,232	4,444,250	4,723,299	4,584,375

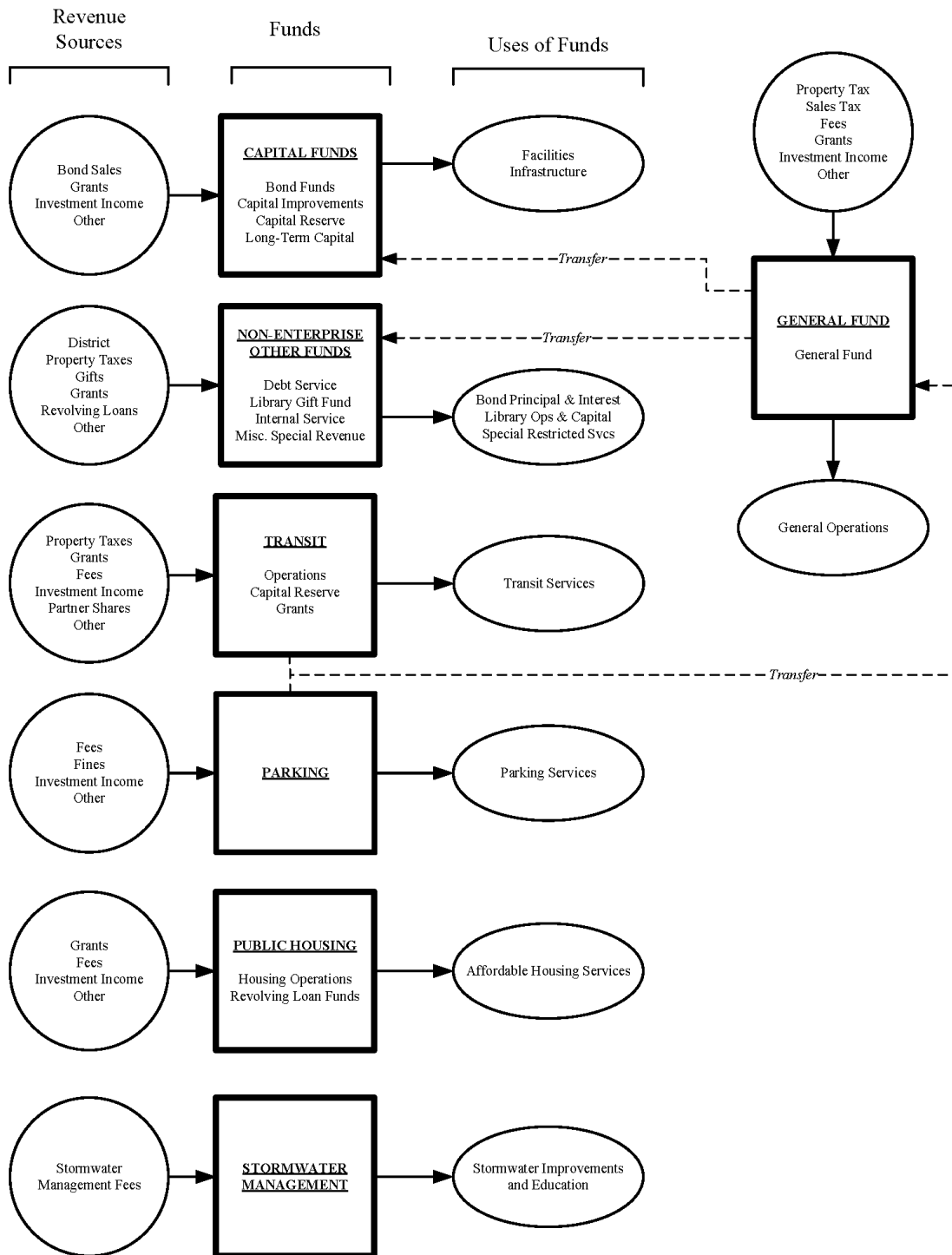
INTERNAL SERVICE FUNDS**SUMMARY OF ESTIMATED FINANCIAL SOURCES AND USES****2025-26**

	Internal Service Funds		
	23-24 Actual	24-25 Estimated	25-26 Adopted
Net Unreserved Assets, Beginning of Year	1,879,342	1,318,732	466,510
Financial Sources			
Property Taxes	-	-	-
Other Tax and Licenses	-	-	-
State-Shared Revenues	-	-	-
Interest on Investments	69,463	7,300	-
Other Revenues	147,691	19,022	-
Grants	-	-	-
Charges for Services	3,103,032	3,819,790	4,165,628
Licenses/Permits/Fines	-	-	-
Transfers/Other Sources	-	129,200	-
Appropriated Net Assets (Fund Balance)	-	-	-
Total Estimated Financial Sources	3,320,186	3,975,312	4,165,628
Expenditures			
Personnel	761,681	855,983	923,889
Operations	1,347,249	1,418,726	1,431,739
Capital	1,771,866	2,552,825	1,810,000
Contribution to Reserve	-	-	-
Total Budget	3,880,796	4,827,534	4,165,628
Financial Sources less Expenditures	(560,610)	(852,222)	-
Net Unreserved Assets, End of Year	1,318,732	466,510	466,510

Note: Please see note about fund balance estimates on page 66.

Annual Funds - Combined Totals		
23-24 Actual	24-25 Estimated	25-26 Adopted
93,431,235	95,421,317	71,900,158
55,719,410	58,486,322	66,706,255
23,471,925	23,833,467	23,828,427
12,192,663	12,545,340	12,327,339
6,511,982	3,894,110	1,894,906
1,392,198	982,883	763,737
11,493,106	7,628,888	4,800,498
29,251,275	33,181,991	35,365,064
3,024,839	2,830,626	2,920,230
7,902,957	10,590,702	14,098,768
-	-	1,407,262
150,960,355	153,974,329	164,112,486
82,037,928	87,516,096	94,291,576
61,721,089	71,086,474	62,555,845
5,211,256	18,892,918	6,232,396
-	-	1,032,669
148,970,273	177,495,488	164,112,486
1,990,082	(23,521,159)	-
95,421,317	71,900,158	71,525,565

TOWN OF CHAPEL HILL FLOW OF FUNDS



SUMMARY OF ANNUAL FUND GROUPS

Governmental Funds

General Fund

Special Revenue Funds

Grants Fund
Downtown Service District Fund
Library Gift Fund
Climate Action Fund
Affordable Housing Funding Program

Debt Service Fund

Capital Funds

Capital Projects Fund
Capital Reserve Fund
Transit Capital Reserve Fund

Proprietary Funds

Enterprise Funds

Transit Fund
Stormwater Mgmt. Fund
Parking Facilities Fund
Public Housing Fund

Internal Service Funds

Fleet Management Fund
Vehicle Replacement Fund
Computer Replacement Fund

INTERFUND TRANSFERS					
Adopted 2025-26					
Transfers to:	Transfers From:				
	General Fund	CIP Fund	Debt Service Fund	Library Gift Fund	Net Transfers
General Fund	\$ -	\$ -	\$ -	\$ 45,000	\$ 45,000
Parking Fund	-	-	1,957,868	-	1,957,868
Affordable Housing	722,003	-	-	-	722,003
Climate Action Fund	804,259	-	-	-	804,259
Downtown Service District	100,000	-	-	-	100,000
Stormwater Management	17,000	-	-	-	17,000
Debt Service Fund	445,100	-	-	-	445,100
CIP Fund	2,737,403	-	-	-	2,737,403
Multi-Year Capital Fund	204,948	-	-	-	204,948
Grants Fund	83,703	26,496	-	-	110,199
Net Transfers	\$5,114,416	\$ 26,496	\$1,957,868	\$ 45,000	\$ 7,143,780

GENERAL FUND



The General Fund is the general operating fund of the Town and is used to account for all revenues and expenditures except those required to be accounted for in another fund. The fund is established at the inception of a government and exists throughout the government's life.

GENERAL FUND BUDGET SUMMARY

EXPENDITURES

	2023-24 Actual	2024-25 Original Budget	2024-25 Revised Budget	2024-25 Estimated	2025-26 Adopted Budget	% Change from 2024-25
General Government	\$ 23,734,982	\$ 24,389,825	\$ 25,843,628	\$ 23,237,614	\$ 26,002,682	6.6%
Environment & Development	20,101,239	22,004,866	22,585,008	20,633,891	22,927,421	4.2%
Public Safety	27,887,326	29,201,360	29,303,458	29,146,035	31,275,697	7.1%
Leisure	12,951,341	13,876,949	13,954,010	13,481,166	14,677,200	5.8%
Total	\$ 84,674,888	\$ 89,473,000	\$ 91,686,104	\$ 86,498,706	\$ 94,883,000	6.0%

REVENUES

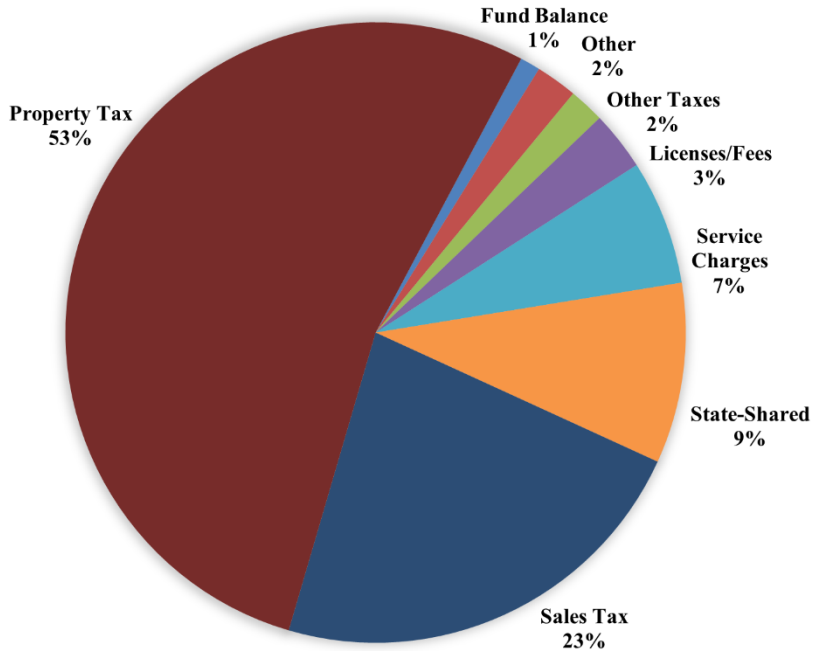
	2023-24 Actual	2024-25 Original Budget	2024-25 Revised Budget	2024-25 Estimated	2025-26 Adopted Budget	% Change from 2024-25
General Revenues:						
Property Taxes	\$ 40,839,106	\$ 42,835,000	\$ 42,835,000	\$ 42,944,985	\$ 50,530,000	18.0%
Sales Taxes	21,166,868	22,993,152	22,993,152	21,528,427	21,528,427	-6.4%
Occupancy Tax	1,763,710	1,700,000	1,700,000	1,763,280	1,750,000	2.9%
Other Tax and Licenses	99,008	100,000	100,000	91,760	100,000	0.0%
State-Shared Revenues	8,560,959	8,313,708	8,313,708	8,913,636	8,927,339	7.4%
Interest on Investments	1,412,490	750,000	750,000	1,144,560	750,000	0.0%
Other Revenues	843,501	421,100	439,602	483,364	407,962	-3.1%
Grants	825,217	749,862	817,658	787,620	750,083	0.0%
Charges for Services	5,537,916	5,616,827	5,616,827	5,965,448	6,173,959	9.9%
Licenses/Permits/Fines	3,024,839	3,462,693	3,462,693	2,830,626	2,920,230	-15.7%
Transfers/Other Sources	295,000	45,000	45,000	45,000	45,000	0.0%
Appropriated						
Fund Balance	306,274	2,485,658	4,612,464	-	1,000,000	-59.8%
Total	\$ 84,674,888	\$ 89,473,000	\$ 91,686,104	\$ 86,498,706	\$ 94,883,000	6.0%

GENERAL FUND

Major Revenue Sources - Descriptions and Estimates

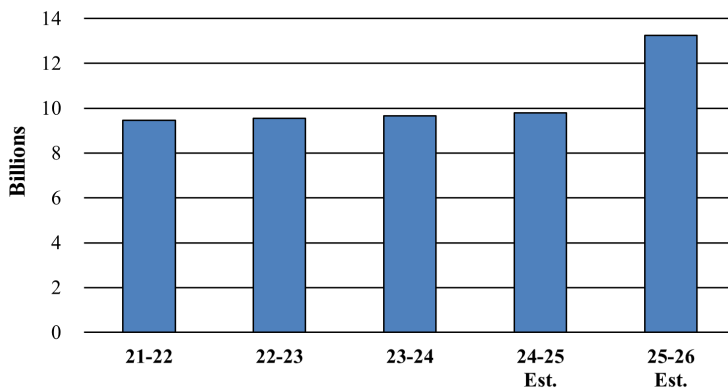
Property Tax

The largest component of the property tax is the levy on real property. The property tax consists of three components – General Fund, Debt Service Fund, and Transit Fund. We have based our estimate on historic trends and current information from Orange and Durham Counties for the overall tax base. The tax base for 2025-26 is estimated to be \$13,250,450,000 with 1 cent on the tax rate equivalent to about \$1,321,000.



The combined property tax revenue we anticipate for 2025-26 totals about \$66 million, with \$50.34 million of that supporting the General Fund.

Property Tax Base



Other Local Taxes

Revenue from the 3 percent Hotel/Motel occupancy tax is expected to total \$1,763,280 in the current year and \$1,750,000 in 2025-26. Generally, revenue trends are affected by University events and overall economic conditions.

GENERAL FUND

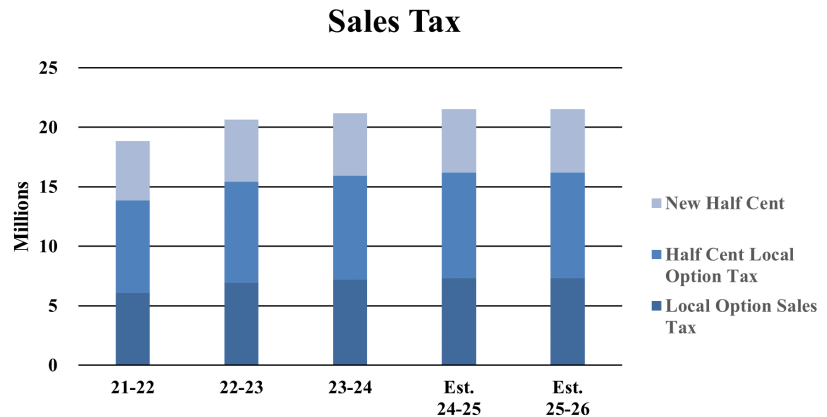
Major Revenue Sources - Descriptions and Estimates

State-Collected Revenues

Sales Taxes

Sales tax revenue is expected to come in under budget in 2024-25. Based on past growth, an increase of 4.5% was budgeted for FY25. Sales tax receipts are growing at a slower rate versus the previous year through the first seven months. Based on this trend, we anticipate little to no

growth through the remainder of the fiscal year. We are estimating a decrease of 6.4% in projected sales tax revenue for FY26 compared to the FY25 adopted budget. We estimate combined sales taxes of \$21,528,527 for 2024-25. Orange County has the option to change the allocation method for sales taxes from per capita to ad valorem, which would result in a significant reduction in sales tax receipts for the Town.



Motor Fuel Taxes (known as Powell Bill funds)

Motor fuel tax revenue is based on receipts of 1¾ cents of the State gasoline tax allocated to local governments, based on population and local street mileage in each jurisdiction. This revenue is anticipated to total \$1,975,625 in 2024-25, about \$188,000 more than last year. For 2025-26, we anticipate revenues will remain flat at \$1,975,625.

State Fire Protection Funds

We are expecting about \$1,025,000 in State Fire Protection Funds in the current year, and we expect that figure to hold at \$1,025,000 in 2025-26.

Utility Sales Tax

Utility sales taxes are derived from a 3 percent tax on gross revenues from public utilities in each jurisdiction and are collected by the State for distribution to cities and towns. Because the fees are dependent upon utility charges, they are affected by weather conditions and can vary from year to year. In 2007, the State changed the distribution method for cable franchise fees and included them in the utility sales tax distribution. We estimate that we will receive approximately \$5,000,000 in the current year in utility sales taxes. We anticipate that revenues will remain flat at \$5,000,000 in 2025-26.

GENERAL FUND

Major Revenue Sources - Descriptions and Estimates

Solid Waste Disposal Tax

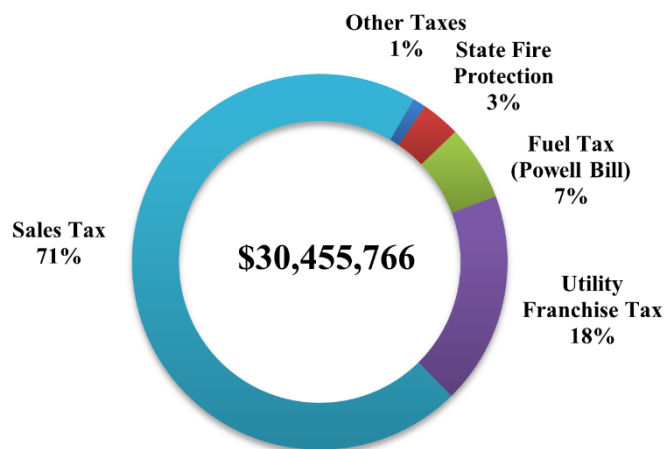
The Solid Waste Disposal Tax went into effect on July 1, 2008. This \$2 per-ton tax is charged on municipal solid waste and construction debris that is deposited in a landfill in the state or transferred at a transfer station for disposal outside of the state. 18.75% of this tax is distributed to cities and towns on a per capita basis. We anticipate receiving around \$46,500 for the current year and \$46,500 next year.

Beer and Wine Taxes

Assuming full receipt of the Beer and Wine tax revenue normally distributed in May to cities and counties, we estimate allocations from this source of about \$300,000 for the current year and \$300,000 next year.

In summary, we estimate State-collected revenues would total about \$30,455,766 for next year.

State Collected Revenues



Other Revenue Sources

Grants

This category of revenue includes certain recurring local and State grants totaling about \$750,000 for 2025-26. Beginning in 2004-05, we began using a separate Grants Fund for non-recurring grants.

Local grants include an appropriation from Orange County to supplement the Town's Parks and Recreation programs and the Town's Library. The adopted budget for 2025-26 includes level funding from the County at \$83,760 for the Parks and Recreation supplement. The adopted 2025-26 budget includes \$621,323 in Orange County funding to support the Chapel Hill Library, which has remained flat compared to the current year's allocation. The State appropriation for Library services is budgeted at \$39,000.

Charges for Services

Service Charges for various Town services and programs (including zoning compliance review and Parks and Recreation programs) are estimated to come in over budget in the current year by about \$350,000. This is driven by higher than anticipated development-related revenues and charges for CHPD Student Resource Officer services provided to Chapel Hill-Carrboro City Schools. Charges for services are expected to increase from a budgeted amount of \$5,616,827 in 2024-25 to \$6,173,959 for 2025-26 due to projected activity.

GENERAL FUND

Major Revenue Sources - Descriptions and Estimates

This category also reflects amounts transferred from other Town funds to the General Fund, primarily to recover administrative and indirect costs from other Town enterprise funds and services. For 2025-26, these include \$86,843 from Parking, \$172,625 from the Stormwater Management Fund, and \$1,879,369 from the Transit Enterprise Fund.

Licenses/Permits/Fines & Forfeitures

Revenue from licenses, permits, and fines are expected to come in significantly under the current year's budget by about \$630,000, mainly due to smaller than anticipated revenues from Fire and Inspections. Total licenses and permits are expected to increase from about \$2.83 million in 2024-25 to \$2.92 million in 2025-26.

Interest on Investments

The General Fund share of interest earned on the Town's investments is recorded in this category. Investment income in the current year's budget was originally estimated at \$750,000. Due to several factors, interest is anticipated to come in over budget at \$1.14 million for 2024-25. The Town anticipates \$750,000 in interest income in 2025-26 based on current trends.

Miscellaneous, Transfers, Net Assets (Fund Balance)

Miscellaneous Revenues

The primary miscellaneous revenues include mutual aid reimbursements, court cost reimbursements, donations, insurance claims, and sales tax refunds. Miscellaneous revenues are expected to total about \$483,000 for 2024-25 and \$408,000 for 2025-26.

Transfers

Transfers include a transfer of \$45,000 for 2025-26 from the Library Gift Fund for Library purposes.

Fund Balance

This appropriation represents a use of net assets (fund balance) for general operations. We are currently budgeted to use about \$4.6 million of fund balance in 2024-25, but through cost-cutting measures, we anticipate using no fund balance in the current fiscal year. This is based on conservative revenue estimates and departmental end-of-year expenditure estimates. The annual budget includes the use of \$1,000,000 in 2025-26 to maintain service levels.

GENERAL FUND

Major Revenue Sources - Descriptions and Estimates

Summary of Revenues

In summary, the annual budget includes \$94.88 million in General Fund revenues, including the use of \$1,000,000 of fund balance.

The table below shows comparative estimates of total General Fund revenues for the current year and next year.

	24-25 Revised Budget	24-25 Estimated	25-26 Adopted Budget
Property Taxes	\$ 42,835,000	\$ 42,944,985	\$ 50,530,000
Sales Taxes	22,993,152	21,528,427	21,528,427
Occupancy Tax	1,700,000	1,763,280	1,750,000
Other State-Collected	100,000	91,760	100,000
Other Revenues	9,503,310	10,541,560	10,085,301
Grants	817,658	787,620	750,083
Licenses/Permits	3,462,693	2,830,626	2,920,230
Service Charges	5,616,827	5,965,448	6,173,959
Interfund Transfers	45,000	45,000	45,000
Fund Balance	<u>4,612,464</u>	<u>-</u>	<u>1,000,000</u>
Total	\$ 91,686,104	\$ 86,498,706	\$ 94,883,000

GENERAL FUND

Major Expenditures - Descriptions and Estimates

The General Fund provides basic services for Town citizens including police and fire protection, environment and development services (including planning, public works, engineering, and inspections), general administration, and planning for growth and development in the community.

The pie chart below shows the relative proportions of expenditures for the various functions and departments in the General Fund budget totaling \$94,883,000 for the 2025-26 budget.

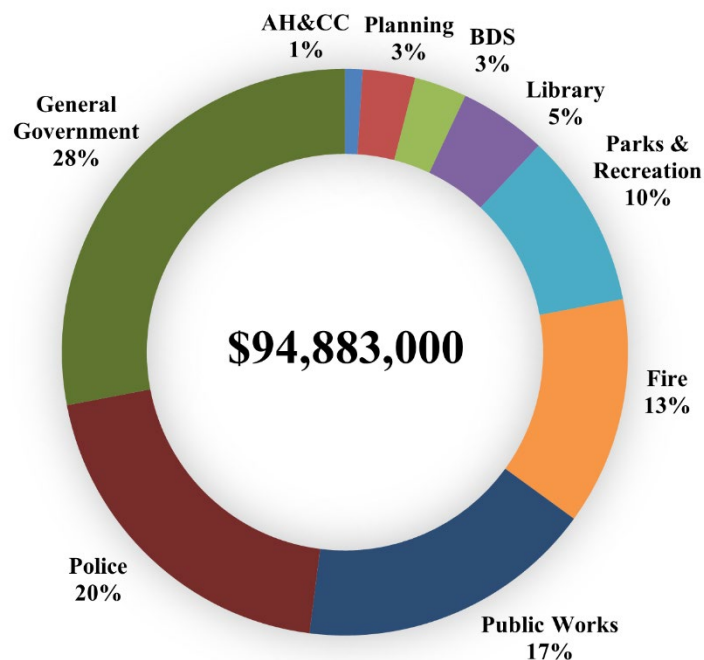
The largest category of expenditures for the General Fund is Public Safety services, with Police Department expenditures of about \$18.7 million and Fire Department expenditures of about \$12.6 million.

Environment and Development comprises about \$22.9 million, including Planning, Affordable Housing & Community Connections, Building & Development Services, and Public Works, which provide services of affordable housing, planning for growth, inspections, engineering, solid waste collection, maintenance of streets, and maintenance of Town facilities.

Police, Fire, and Public Works together comprise about 50% of total General Fund expenditures.

Other General Fund services include Parks and Recreation programs totaling about \$9.7 million, Library services of just under \$5 million, and General Governmental activities (Administration, Human Resources, Business Management, Technology Solutions, and Attorney) totaling about \$14.8 million.

Non-departmental expenditures total \$11.2 million. \$2,019,975 is included in the adopted budget for distribution to other agencies in support of human services, cultural and arts programs, economic development, and development of affordable housing as adopted by the Council. The non-departmental budget also includes funds for the Affordable Housing Funding Program (\$722,003) and legal funds (\$100,000). The budget for liability and property insurance totals \$650,000.



GENERAL FUND

Major Expenditures - Descriptions and Estimates

The 2025-26 budget includes changes to the Town's contribution to employee retirement. This amount went up by \$311,686, which reflects a 0.75% increase to the contribution over the prior year. Other personnel increases to the budget include a 5% of market rate salary adjustment starting July 1, 2025 (\$2,348,245) and a 6% health insurance increase (\$280,573). Additionally, \$205,151 is being set aside for the implementation of the pay study.

The 2025-26 budget includes increased funding for vehicle replacement (\$150,000) and additional funding in various areas for cost of services increases (\$413,615). The adopted budget includes additional funding for the Police Department related to their new facility (\$250,000), \$204,948 for the Rogers Road commitment, \$175,000 for increased tax collection fees, \$192,671 for increasing Street Lighting Electricity costs, and \$65,000 for election-related expenses. Related to personnel, the adopted budget includes funding for three previously grant-funded positions (\$300,188).

Additional increases to the FY26 budget include \$250,000 for Fire Capital costs, \$150,000 for increased facility maintenance, and \$150,000 for streets maintenance. Vehicle Maintenance is up over FY25, by about \$92,000, and liability insurance is also up by \$75,000 over the prior year.

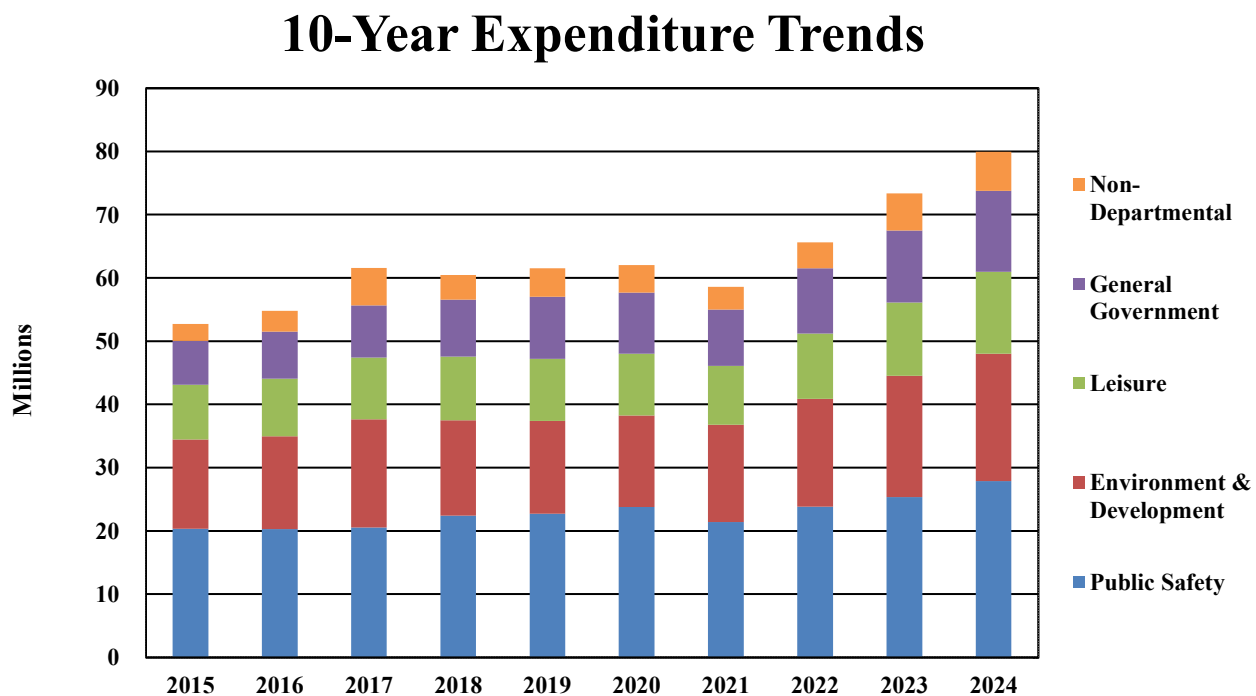
The 2025-26 Adopted Budget continues to fund retiree medical costs on a pay-as-you-go basis (\$1,852,000) and contribute \$250,000 towards the post-employment benefit (OPEB) liability.

The table below shows expenditure levels for General Fund personnel, operating costs, and capital outlay.

EXPENDITURES						
	2023-24 Actual	2024-25 Original Budget	2024-25 Revised Budget	2024-25 Estimated	2025-26 Adopted Budget	% Change from 2024-25
Personnel	\$ 58,600,859	\$ 63,312,079	\$ 63,082,816	\$ 62,110,384	\$ 66,707,228	5.4%
Operating Costs	25,866,964	25,830,921	28,317,932	24,160,034	27,595,772	6.8%
Capital Outlay	207,065	330,000	285,356	228,288	580,000	75.8%
Total	\$ 84,674,888	\$ 89,473,000	\$ 91,686,104	\$ 86,498,706	\$ 94,883,000	6.0%

GENERAL FUND

Major Expenditures - Descriptions and Estimates



GENERAL FUND
EXPENDITURES BY DEPARTMENT

	2023-24 Actual	2024-25 Original Budget	2024-25 Revised Budget	2024-25 Estimated	2025-26 Adopted Budget	% Change from 2024-25
General Government						
Mayor/Council	\$ 602,639	\$ 598,708	\$ 603,211	\$ 587,751	\$ 681,796	13.9%
Town Manager	3,821,556	4,218,938	4,764,155	4,692,560	5,333,500	26.4%
Governance Services	801,917	893,545	827,338	801,873	-	-100.0%
Human Resource Development	1,630,555	1,644,761	1,737,712	1,559,402	1,716,928	4.4%
Business Management	2,718,301	2,942,653	3,024,287	2,933,981	3,389,911	15.2%
Technology Solutions	2,602,484	3,007,190	3,123,225	2,997,712	2,921,485	-2.9%
Town Attorney	628,238	675,203	675,203	647,637	711,636	5.4%
Non-Departmental	10,929,292	10,408,827	11,088,497	9,016,698	11,247,426	8.1%
Subtotal	\$ 23,734,982	\$ 24,389,825	\$ 25,843,628	\$ 23,237,614	\$ 26,002,682	6.6%
Environment & Development						
Planning	\$ 2,134,956	\$ 2,198,321	\$ 2,759,023	\$ 2,100,481	\$ 2,323,849	5.7%
Affordable Housing and Community Connections	971,901	1,362,724	1,304,990	1,194,540	1,291,081	-5.3%
Public Works	14,488,044	15,575,463	15,657,302	14,597,582	16,236,025	4.2%
Building & Development Services	2,506,338	2,868,358	2,863,693	2,741,288	3,076,466	7.3%
Subtotal	\$ 20,101,239	\$ 22,004,866	\$ 22,585,008	\$ 20,633,891	\$ 22,927,421	4.2%
Public Safety						
Police	\$ 16,535,893	\$ 17,307,866	\$ 17,364,300	\$ 17,241,326	\$ 18,724,176	8.2%
Fire	11,351,433	11,893,494	11,939,158	11,904,709	12,551,521	5.5%
Subtotal	\$ 27,887,326	\$ 29,201,360	\$ 29,303,458	\$ 29,146,035	\$ 31,275,697	7.1%
Leisure						
Parks and Recreation	\$ 8,415,902	\$ 9,123,072	\$ 9,195,423	\$ 8,822,003	\$ 9,694,655	6.3%
Library	4,535,439	4,753,877	4,758,587	4,659,163	4,982,545	4.8%
Subtotal	\$ 12,951,341	\$ 13,876,949	\$ 13,954,010	\$ 13,481,166	\$ 14,677,200	5.8%
General Fund Total	\$ 84,674,888	\$ 89,473,000	\$ 91,686,104	\$ 86,498,706	\$ 94,883,000	6.0%

GENERAL GOVERNMENT BUDGET SUMMARY

This section includes management, human resources, finance, information technology, and legal functions to support all Town departments, as well as budget for non-departmental expenses.

EXPENDITURES

	2023-24 Actual	2024-25 Original Budget	2024-25 Revised Budget	2024-25 Estimated	2025-26 Adopted Budget	% Change from 2024-25
Mayor/Council	\$ 602,639	\$ 598,708	\$ 603,211	\$ 587,751	\$ 681,796	13.9%
Town Manager	3,821,556	4,218,938	4,764,155	4,692,560	5,333,500	26.4%
Clerk's Office/Governance Svcs	801,917	893,545	827,338	801,873	-	-100.0%
Human Resources	1,630,555	1,644,761	1,737,712	1,559,402	1,716,928	4.4%
Business Management	2,718,301	2,942,653	3,024,287	2,933,981	3,389,911	15.2%
Technology Solutions	2,602,484	3,007,190	3,123,225	2,997,712	2,921,485	-2.9%
Town Attorney	628,238	675,203	675,203	647,637	711,636	5.4%
Non-Departmental	10,929,292	10,408,827	11,088,497	9,016,698	11,247,426	8.1%
Total	\$ 23,734,982	\$ 24,389,825	\$ 25,843,628	\$ 23,237,614	\$ 26,002,682	6.6%

REVENUES

	2023-24 Actual	2024-25 Original Budget	2024-25 Revised Budget	2024-25 Estimated	2025-26 Adopted Budget	% Change from 2024-25
General Revenues	\$ 23,734,982	\$ 24,389,825	\$ 25,843,628	\$ 23,237,614	\$ 26,002,682	6.6%
Total	\$ 23,734,982	\$ 24,389,825	\$ 25,843,628	\$ 23,237,614	\$ 26,002,682	6.6%

MAYOR/COUNCIL

MISSION STATEMENT:

The primary mission of the Town Council, as the governing body of the Town, is to adopt and provide for the execution of ordinances, rules, and regulations as may be necessary or appropriate to protect health, life, or property, or to promote the comfort, convenience, security, good order, better government, or the general welfare of the Town and its citizens.

The Mayor and eight Council Members constitute the governing body of the Town. In accordance with the Town's Charter, the voters elect a Mayor every two years. Council Members are elected to four-year, staggered terms on an at-large basis. The Mayor chairs Town Council meetings and represents the Town in various intergovernmental matters.

The Mayor and Town Council make policy decisions regarding Town services and other governmental responsibilities of the Town. Most policy decisions occur through adoption of the Comprehensive Plan, the annual budget, the capital improvements program, and other ordinances and resolutions. Town Council duties also include:

- Amendment of previously adopted policies from time to time through changes in the Town Code of Ordinances and the Development Ordinance, and by revision of policies and documents such as the Comprehensive Plan and transportation plans.
- Appointment of advisory boards, commissions, task forces, and committees, including appointment of five of the nine members of the Orange Water and Sewer Authority Board of Directors, a separate entity from the Town, created pursuant to State law.
- Appointment of the Town Manager and Town Attorney.
- Establishment of agreements with other governments, such as the Joint Planning Agreement with Orange County and the Town of Carrboro.

MAYOR
STAFFING COMPARISONS - IN FULL-TIME EQUIVALENTS

	2023-24 ADOPTED	2024-25 ADOPTED	2025-26 ADOPTED
Chief of Staff/Mayoral Aide	1.00	1.00	1.00
Mayor's Office Totals	1.00	1.00	1.00

MAYOR

BUDGET SUMMARY

The adopted budget for the Mayor's Office reflects a 4.7% increase from the 2024-25 budget. Personnel costs increased 5.5%, reflecting a 0.75% retirement increase, a 6% increase in insurance costs, and a salary increase. Operating costs remained mostly flat.

EXPENDITURES

	2023-24 Actual	2024-25 Original Budget	2024-25 Revised Budget	2024-25 Estimated	2025-26 Adopted Budget	% Change from 2024-25
Personnel	\$ 127,888	\$ 145,130	\$ 144,347	\$ 142,815	\$ 153,078	5.5%
Operating Costs	14,094	21,533	19,429	21,737	21,353	-0.8%
Total	\$ 141,982	\$ 166,663	\$ 163,776	\$ 164,552	\$ 174,431	4.7%

REVENUES

	2023-24 Actual	2024-25 Original Budget	2024-25 Revised Budget	2024-25 Estimated	2025-26 Adopted Budget	% Change from 2024-25
General Revenues	\$ 141,982	\$ 166,663	\$ 163,776	\$ 164,552	\$ 174,431	4.7%
Total	\$ 141,982	\$ 166,663	\$ 163,776	\$ 164,552	\$ 174,431	4.7%

COUNCIL

BUDGET SUMMARY

The adopted budget for the Town Council reflects an increase of 17.4% from the 2024-25 budget, primarily due to an increase in operating expenses because FY25-26 is an election year. Personnel expenses went up due to an increase in insurance costs and a salary increase.

EXPENDITURES

	2023-24 Actual	2024-25 Original Budget	2024-25 Revised Budget	2024-25 Estimated	2025-26 Adopted Budget	% Change from 2024-25
Personnel	\$ 279,384	\$ 287,860	\$ 287,860	\$ 280,665	\$ 291,185	1.2%
Operating Costs	181,273	144,185	151,575	142,534	216,180	49.9%
Total	\$ 460,657	\$ 432,045	\$ 439,435	\$ 423,199	\$ 507,365	17.4%

REVENUES

	2023-24 Actual	2024-25 Original Budget	2024-25 Revised Budget	2024-25 Estimated	2025-26 Adopted Budget	% Change from 2024-25
General Revenues	\$ 460,657	\$ 432,045	\$ 439,435	\$ 423,199	\$ 507,365	17.4%
Total	\$ 460,657	\$ 432,045	\$ 439,435	\$ 423,199	\$ 507,365	17.4%

TOWN MANAGER

MISSION STATEMENT:

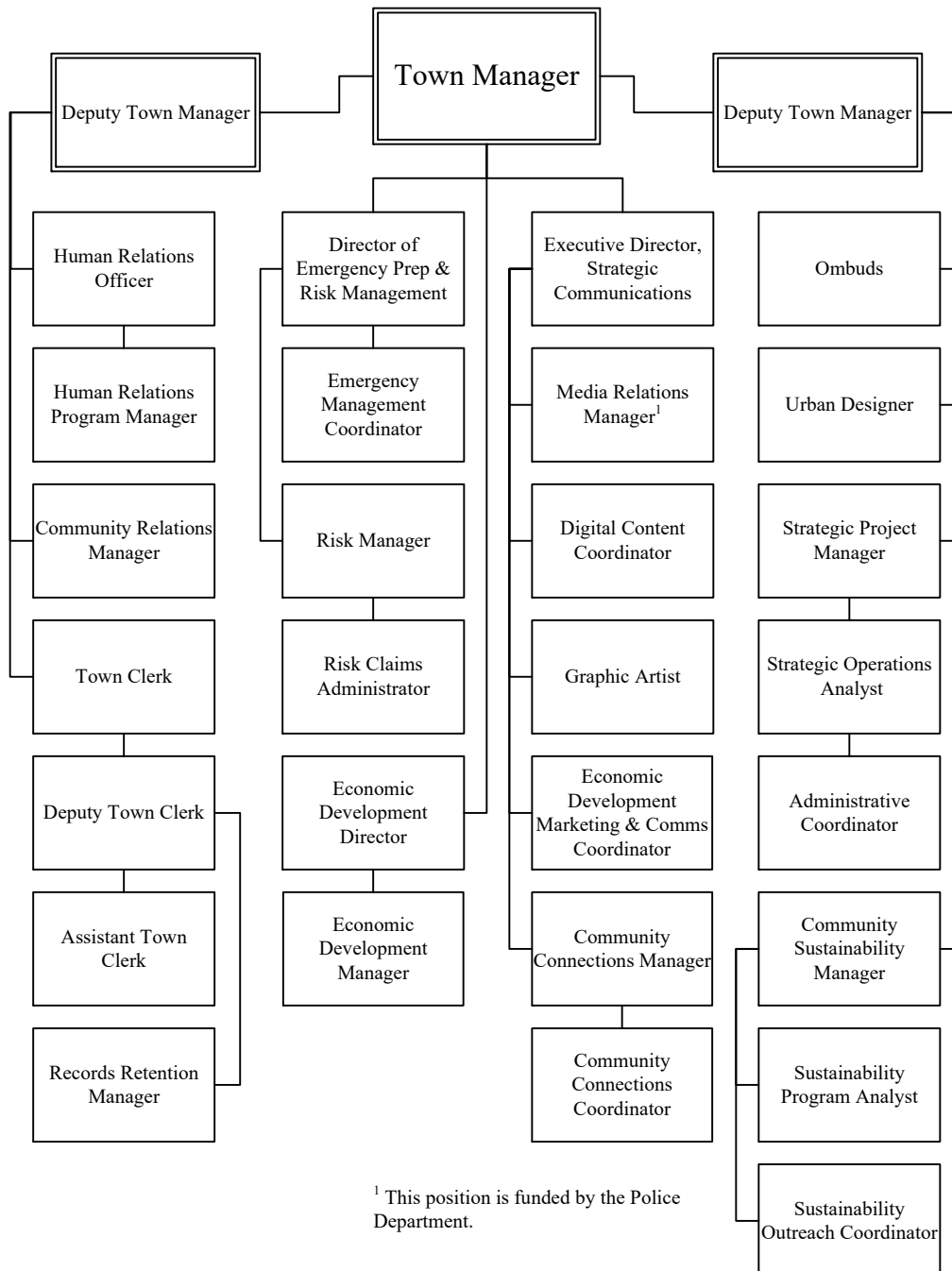
The mission of the Town Manager's Office is to ensure that the laws of the State and the ordinances, resolutions, regulations, and policies of the Council are faithfully executed, and that Town records are accessible to the public with trust and transparency.

The Town Manager's Office identified the following primary programs that are included in the adopted budget for 2025-26.

Program	Description
Executive Management & Council Support	Administer and manage operation of Town government to deliver consistently high-quality services to the community, support the Council in their role as a decision-making and policy-setting board, and carry out the Council's policies efficiently and equitably.
Communications and Community Relations	Contribute to an informed and engaged community by establishing and maintaining channels for sharing information about Town operations and initiatives, producing and distributing information in a variety of formats, and designing and assisting with community engagement efforts.
Equal Opportunity and Community Impact	Strengthen and transform the Town's commitment to positive community impact by collaboratively developing, directing, and coordinating policies, procedures, programs, and initiatives that promote equal opportunity, celebrate the unique identities of Chapel Hill's residents and staff, and advance inclusion for all.
Economic Development	Provide support and assistance to prospective and existing businesses to encourage development, promote and encourage job growth, and contribute to a more inclusive community.
Emergency Preparedness & Risk Management	Work collaboratively with all stakeholders to identify and mitigate risks, respond swiftly and efficiently to emergencies, and promote a culture of safety and preparedness.
Ombuds Services	Provide neutral, confidential, and informal management or resolution of issues brought by Town employees and community members.

Sustainability & Resilience	Implement the Town’s Climate Action and Response Plan to lower carbon emissions and address the effects of climate change.
Governance/Clerk’s Office Services	Facilitate and support Council Meetings and the Town’s advisory board system. Maintain the Municipal Code of Ordinances, fulfill records requests, issue Domestic Partnerships and “Proof of Life” certificates, and provide Notary services.
Urban Design	Serve as a liaison to staff and applicants during the development application life cycle to coordinate, communicate, and implement design best practices that achieve the vision of the Council and the community.

TOWN MANAGER



TOWN MANAGER'S OFFICE

STAFFING COMPARISONS - IN FULL-TIME EQUIVALENTS

	2023-24 ADOPTED	2024-25 ADOPTED	2025-26 ADOPTED
Town Manager	1.00	1.00	1.00
Deputy Town Manager	2.00	2.00	2.00
Economic Development Director	1.00	1.00	1.00
Senior Ombuds	1.00	0.00	0.00
Grants Administrator	1.00	1.00	0.00
Ombuds	0.00	1.00	1.00
Director of Employee Engagement & Organizational Development	0.00	1.00	0.00
Strategic Operations Manager	1.00	0.00	0.00
Strategic Operations Analyst	1.00	1.00	1.00
Human Relations Officer	1.00	1.00	1.00
Human Relations Program Manager	1.00	1.00	1.00
Administrative Coordinator	1.00	1.00	1.00
Economic Development Manager	1.00	1.00	1.00
Economic Development Marketing & Comms Coordinator	1.00	1.00	1.00
Urban Designer	1.00	1.00	1.00
Community Relations Manager	1.00	1.00	1.00
Sustainability Program Analyst ¹	1.00	1.00	1.00
Sustainability Outreach Coordinator ¹	1.00	1.00	1.00
Executive Director - Strategic Communications	1.00	1.00	1.00
Graphic Artist	1.00	1.00	1.00
Digital Content Coordinator	1.00	1.00	1.00
Risk Manager	1.00	1.00	1.00
Risk Claims Administrator	1.00	1.00	1.00
Community Sustainability Manager ¹	1.00	1.00	1.00
Strategic Project Manager	1.00	1.00	1.00
Director of Emergency Preparedness and Risk Management	1.00	1.00	1.00
Emergency Management Coordinator	1.00	1.00	1.00
Community Connections Manager ²	0.00	0.00	1.00
Town Clerk ³	0.00	0.00	1.00
Town Clerk - Deputy ³	0.00	0.00	1.00
Assistant Town Clerk ³	0.00	0.00	1.00
Records Retention Manager ³	0.00	0.00	1.00
Community Connections Coordinator ⁴	0.00	0.00	1.00
Town Manager's Office Totals	26.00	26.00	30.00

¹ These positions are paid out of the Climate Action Fund

² This position moved from Affordable Housing & Community Connections in FY24-25.

³ These positions moved from the Clerk's Office, formerly Governance Services, in FY24-25.

⁴ This position was grant-funded through FY24-25 but is a Town-funded position starting in FY25-26.

TOWN MANAGER

BUDGET SUMMARY

The adopted budget for the Manager's Office reflects a 26.4% increase from the 2024-25 budget. The 15.5% increase in personnel expenses captures the cost of the Clerk's Office, formerly known as Governance Services, being absorbed into the Manager's Office, a position from Affordable Housing & Community Connections moving in, the addition of a formerly grant-funded Community Connections Coordinator position, the removal of two full-time positions and one part-time position, changes to Program Support allocations, as well as a 0.75% retirement increase, a 6% increase in insurance costs, and a salary increase. The 114.6% increase in operating expenses is due to the department taking on the Clerk's Office operating budget, as well as added funding for a downtown bathroom pilot program, full funding for the Town's Language Access Program, and technology-related additions to the budget.

EXPENDITURES

	2023-24 Actual	2024-25 Original Budget	2024-25 Revised Budget	2024-25 Estimated	2025-26 Adopted Budget	% Change from 2024-25
Personnel	\$ 3,298,346	\$ 3,755,271	\$ 3,803,859	\$ 3,853,451	\$ 4,338,638	15.5%
Operating Costs	523,210	463,667	960,296	839,109	994,862	114.6%
Total	\$ 3,821,556	\$ 4,218,938	\$ 4,764,155	\$ 4,692,560	\$ 5,333,500	26.4%

REVENUES

	2023-24 Actual	2024-25 Original Budget	2024-25 Revised Budget	2024-25 Estimated	2025-26 Adopted Budget	% Change from 2024-25
General Revenues	\$ 3,821,556	\$ 4,218,938	\$ 4,764,155	\$ 4,692,560	\$ 5,333,500	26.4%
Total	\$ 3,821,556	\$ 4,218,938	\$ 4,764,155	\$ 4,692,560	\$ 5,333,500	26.4%

MANAGER'S OFFICE

Performance Measures

	Strategic Objectives ➤ Reduce organizational greenhouse gas emissions ➤ Create room for business ➤ Increase collaboration, innovation, and learning ➤ Engage the public in Town decision making and Town programs so that outcomes balance community interests, values, and needs ➤ Develop, grow, and maintain effective two-way communication channels that reach people where they are to tell the story of what we are doing and how our actions affect them ➤ Complete Public Records requests within 10 business days of receipt ➤ Post Council Business Meeting agenda to the web at least 6 days prior to the meeting 90% of the time ➤ Post Council Business Meeting video to the web by noon the following day 100% of the time ➤ Approve Council Meeting minutes by the following month's Regular Business Meeting 100% of the time
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Core Business Program	Performance Measure	FY23 Actual	FY24 Actual	FY25 Estimate	FY26 Target
Economic Development	Sales tax revenue year-over-year growth	7.9%	7.1%	7% (actual)	5%
Ombuds Services	Number of visitors served	851 visitors	425 visitors	168 visitors (actual)	175 visitors
	Monthly report to Town Manager	met	met	met	meet
Community Sustainability & Resilience	Guaranteed energy savings from Town Hall, the Community Center, and the Homestead Aquatics Center	1,839,201 lbs of CO2e*	1,839,201 lbs of CO2e*	1,705,961 lbs of CO2e*†	1,705,961 lbs of CO2e*†
Safety and Wellness	Number of employees trained in Occupational, Health and Safety.	500	560	560	620
	Number of employees trained in Occupational, Health and Safety as a percentage of the total workforce.	85%	85%	85%	86%
	Percentage of qualifying events (defined as any event requiring activation of the EOC) that received an after action conference	100%	100%	100%	100%

Core Business Program	Performance Measure	FY23 Actual	FY24 Actual	FY25 Estimate	FY26 Target
Safety and Wellness	Percentage of corrective action items implemented as identified in after action reports	15%	13%	15%	15%
	Number of additional employees trained in NIMS as a percentage of total workforce	8.3%	6.7%	10%	10%
Resident Participation	Meet/exceed the regional benchmark of 2013 Community Survey's results of 51% satisfaction with "availability of information about Town Programs."	N/A**	52%**	N/A***	51%
	Meet/exceed the regional benchmark of 2013 Community Survey's results of 48% satisfaction with "quality of Town website"	56%	57%	N/A***	48%
	Meet/exceed 2013 Community Survey's results of 60% satisfaction with "participate in local decisions/volunteering."	N/A**	50%	N/A***	60%
	Meet/exceed the regional benchmark of 2013 Community Survey's results of 40% satisfaction with "Level of public involvement in decision making."	50%	N/A**	N/A***	40%
Public Records Response Time	Average response time (in business days) for public records request	New Metric in FY25	New Metric in FY25	9.36	10
Governance Support	% of time that Council Business Meeting agenda is posted at least 6 days prior to the meeting	90%	81%	84%	90%
	% of time that Council Business Meeting video is posted by noon the following day	85%	97%	92%	100%
	% of time Council Meeting minutes are approved at the following month's Regular Business Meeting	New Metric in FY26	New Metric in FY26	New Metric in FY26	100%

* lb of CO2e = pounds of carbon dioxide equivalent

** This measure was not included in the Community Survey.

*** The Community Survey was not conducted in FY25.

† Carbon benefits decline over time as the electricity grid gets cleaner.

CLERK'S OFFICE (FORMERLY GOVERNANCE SERVICES)
STAFFING COMPARISONS - IN FULL-TIME EQUIVALENTS

	2023-24 ADOPTED	2024-25 ADOPTED	2025-26 ADOPTED
Town Clerk (formerly Governance Services Director)	1.00	1.00	0.00
Town Clerk - Deputy	1.00	1.00	0.00
Assistant Town Clerk	1.00	1.00	0.00
Records Retention Manager	1.00	1.00	0.00
Office Assistant	0.53	0.50	0.00
Clerk's Office Department Totals	<u>4.53</u>	<u>4.50</u>	<u>0.00</u>

*This department has been absorbed into the Manager's Office during FY24-25.

CLERK'S OFFICE (FORMERLY GOVERNANCE SERVICES)

BUDGET SUMMARY

The Clerk's Office, formerly known as Governance Services, has been moved in full to reside within the Manager's Office, which is why the 2025-26 adopted budget shows a 100% decrease in both personnel and operations.

EXPENDITURES

	2023-24 Actual	2024-25 Original Budget	2024-25 Revised Budget	2024-25 Estimated	2025-26 Adopted Budget	% Change from 2024-25
Personnel	\$ 528,076	\$ 578,337	\$ 578,337	\$ 544,453	\$ -	-100.0%
Operating Costs	273,841	315,208	249,001	257,420	-	-100.0%
Total	\$ 801,917	\$ 893,545	\$ 827,338	\$ 801,873	\$ -	-100.0%

REVENUES

	2023-24 Actual	2024-25 Original Budget	2024-25 Revised Budget	2024-25 Estimated	2025-26 Adopted Budget	% Change from 2024-25
General Revenues	\$ 801,917	\$ 893,545	\$ 827,338	\$ 801,873	\$ -	-100.0%
Total	\$ 801,917	\$ 893,545	\$ 827,338	\$ 801,873	\$ -	-100.0%

HUMAN RESOURCE DEVELOPMENT DEPARTMENT

MISSION STATEMENT:

The mission of the Human Resource Development Department is to directly contribute to the Town's mission and vision by strengthening the development of human resources, providing quality services to employees and the community, ensuring financially sustainable compensation and benefits programs, while recognizing and valuing diverse backgrounds and improving operational effectiveness.

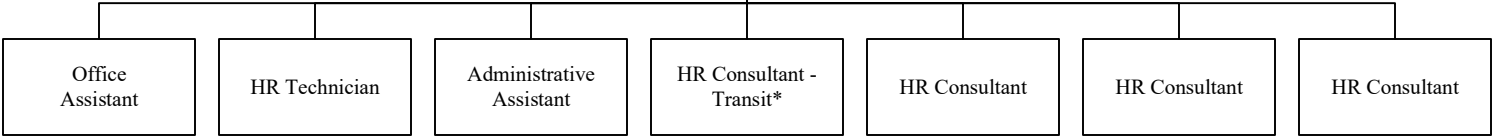
The Human Resource Development Department identified the following primary programs that are included in the adopted budget for 2025-26.

Program	Description
Administration	Manage the operations of the department to ensure that programs and systems support the Town's mission. Provide support to the Manager and departments in the development, administration, and interpretation of Policies and Procedures.
Classification and Compensation	Establish and maintain the Town's position classification system and pay plan through periodic reviews of position requirements and job descriptions and external and internal compensation comparability.
Benefits	Administer all insurance and retirement plans for employees, retirees, and COBRA participants and their eligible dependents, including medical, dental, life and retirement and health savings plans.
Employee Relations	Ensure communication and understanding of the Town's Code of Ordinances, Town policies and procedures, and State and Federal laws.
Employee Training & Development	Provide programs designed to engage our employees and assist them in reaching their professional potential by building skills and enhancing competencies.
Recruitment Services	Develop, implement, and maintain selection procedures in accordance with applicable policies and laws that identify, attract, and retain the most qualified applicants for employment, while encouraging diverse representation at all levels of the workforce.
Wellness	Manage the Town's Health and Wellness programs.

HUMAN RESOURCE DEVELOPMENT

Human Resource
Development
Director

Assistant Director



*HR Consultant - Transit is funded by Transit, but is housed in Human Resource Development

***HUMAN RESOURCE DEVELOPMENT DEPARTMENT
STAFFING COMPARISONS - IN FULL-TIME EQUIVALENTS***

	2023-24 ADOPTED	2024-25 ADOPTED	2025-26 ADOPTED
Human Resource Development Director	1.00	1.00	1.00
Assistant Director	1.00	1.00	1.00
Human Resources Technician	1.00	1.00	1.00
Human Resources Consultant	3.00	3.00	3.00
Administrative Assistant	1.00	1.00	1.00
Office Assistant	1.00	1.00	1.00
Human Resource Development Totals	8.00	8.00	8.00

HUMAN RESOURCE DEVELOPMENT BUDGET SUMMARY

The adopted budget for the Human Resource Development department reflects a 4.4% increase from the 2024-25 budget. Personnel expenses increased by 4.6% due to a 0.75% retirement increase, a 6% increase in insurance costs, and a salary increase. Operating expenses increased 4.1%, accounting for increased software and telephone costs, as well as added budget for mandatory fees and safety supplies.

EXPENDITURES

	2023-24 Actual	2024-25 Original Budget	2024-25 Revised Budget	2024-25 Estimated	2025-26 Adopted Budget	% Change from 2024-25
Personnel	\$ 941,147	\$ 994,269	\$ 994,269	\$ 890,734	\$ 1,040,043	4.6%
Operating Costs	689,408	650,492	743,443	668,668	676,885	4.1%
Total	\$ 1,630,555	\$ 1,644,761	\$ 1,737,712	\$ 1,559,402	\$ 1,716,928	4.4%

REVENUES

	2023-24 Actual	2024-25 Original Budget	2024-25 Revised Budget	2024-25 Estimated	2025-26 Adopted Budget	% Change from 2024-25
General Revenues	\$ 1,630,555	\$ 1,644,761	\$ 1,737,712	\$ 1,559,402	\$ 1,716,928	4.4%
Total	\$ 1,630,555	\$ 1,644,761	\$ 1,737,712	\$ 1,559,402	\$ 1,716,928	4.4%

HUMAN RESOURCE DEVELOPMENT

Performance Measures

 Employee Recruitment & Retention	Strategic Objectives ➤ Ensure the workforce plan is up to date, competitive, promotes clear mobility, and identifies jobs for the future. ➤ Provide benefits plans that meet the needs of our employees, retirees, and their dependents, aids in recruitment and retention, and is cost effective and sustainable. ➤ Treat employees equitably and consistently; resolve issues at the lowest level possible; create a work environment that recognizes and appreciates diversity. ➤ Support the development of our employees, including succession-planning efforts through professional development, career development, and improved performance management. ➤ Develop, implement, and maintain selection procedures in accordance with applicable policies and law that identify, attract, and retain qualified applicants for employment while working with the Human Relations Officer to encourage diverse representation at all levels of the workforce.
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Core Business Program	Performance Measure	FY23 Actual	FY24 Actual	FY25 Estimate	FY26 Target
Classification and Compensation	Percentage of job descriptions reviewed annually	<10%	~15%	15%	100%
Benefits	HRA employee participation rate	98%	98%	N/A	99%
Employee Relations	Number of grievances per 100 full-time equivalent (FTE) employees	<1%	<1%	<1%	1%
Employee Training and Development	Number of participants as a percentage of total workforce/supervisors	90%	75%	75%	75%
	Number of employees trained in various areas by Human Resource Development staff	900	925	840	1100
Recruitment Services	Women and minority employment in the workforce compared to minority representation in local available labor pool.	65% (38.3% Female)	65% (55.93% Female)	67%	65%

BUSINESS MANAGEMENT DEPARTMENT

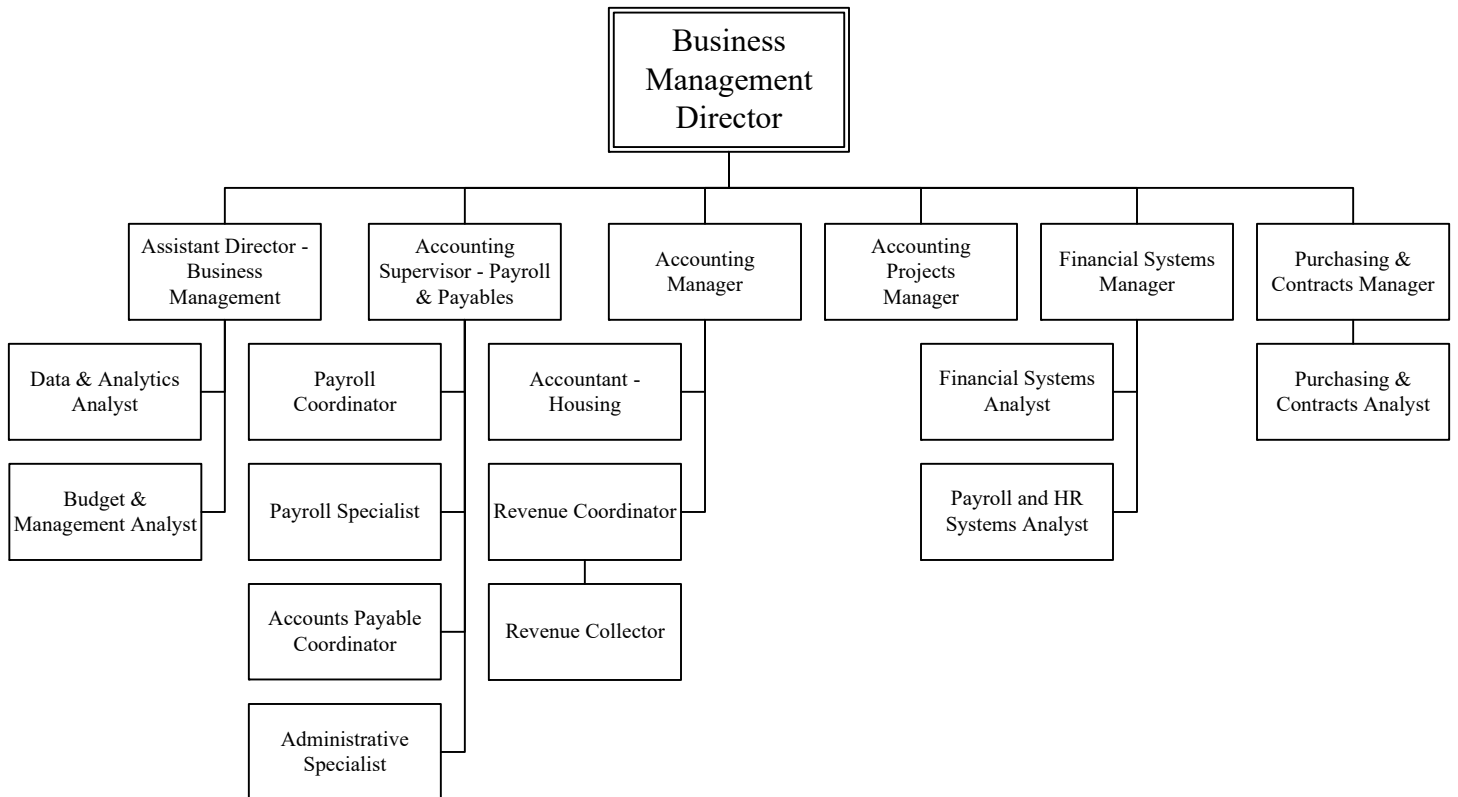
MISSION STATEMENT:

The mission of the Business Management Department is to safeguard the Town's assets through appropriate financial controls, facilitate Town operations through accurate and timely processing of financial transactions, provide relevant and timely reporting of the Town's financial condition, and provide financial information and analysis to support decision making.

The Business Management Department identified the following primary programs that are included in the adopted budget for 2025-26.

Program	Description
Billing & Collections	Provide administration and/or oversight of all Town billings and collections.
Budget	Administer the Town's operating and capital budgets.
Payroll & Payables	Administer the Town's payroll and payables functions.
Accounting & Financial Reporting	Maintain the Town's financial accounting system.
Purchasing & Contracts	Administer the Town's purchasing and contracting systems. Includes: facilitating bids and other competitive procurement processes; reviewing all contracts, bids, and purchases; and disposal of Town assets for compliance with applicable regulations and Town policies.
Liquidity Management	Administer the Town's cash management, investment, banking, and debt management functions.
Financial Planning & Analysis	Provide financial analysis, research, and strategic planning for the Town's financial operations, including: review of agenda items; budget planning and analysis; long-term capital and debt planning; and departmental financial planning support.
Data & Analytics	Harness the power of data to enhance Town services and improve community outcomes, collaborate with various departments to collect, analyze & interpret data, and provide actionable insights that drive informed decision-making.

BUSINESS MANAGEMENT DEPARTMENT



BUSINESS MANAGEMENT
STAFFING COMPARISONS - IN FULL-TIME EQUIVALENTS

	2023-24 ADOPTED	2024-25 ADOPTED	2025-26 ADOPTED
Director - Business Management	1.00	1.00	1.00
Assistant Director - Business Management	1.00	1.00	1.00
Financial Systems Manager	1.00	1.00	1.00
Financial Systems Analyst	1.00	1.00	1.00
Data & Analytics Analyst	1.00	1.00	1.00
Budget & Management Analyst	1.00	1.00	1.00
Accounting Manager	1.00	1.00	1.00
Accounting Projects Manager	1.00	1.00	1.00
Accounting Supervisor - Payroll & Payables	1.00	1.00	1.00
Accountant - Housing	1.00	1.00	1.00
Purchasing & Contracts Manager	1.00	1.00	1.00
Procurement Analyst	1.00	1.00	1.00
Payroll Coordinator	1.00	1.00	1.00
Payroll Specialist	1.00	1.00	1.00
Accounts Payable Coordinator	1.00	1.00	1.00
Administrative Specialist	1.00	1.00	1.00
Revenue Coordinator	1.00	1.00	1.00
Revenue Collector	1.00	1.00	1.00
Payroll and HR Systems Analyst	0.00	0.00	1.00
Business Management Department Totals	18.00	18.00	19.00

BUSINESS MANAGEMENT BUDGET SUMMARY

The adopted budget for the Business Management department reflects a 15.2% increase from the 2024-25 budget. Personnel expenses increased by 11.4% due to a 0.75% retirement increase, a 6% increase in insurance costs, a salary increase, and a new Payroll/HR Systems Analyst position. Operating costs increased 27.9% due to added software for the new position and anticipated higher county tax collection fees following the 2025 property tax revaluation.

EXPENDITURES

	2023-24 Actual	2024-25 Original Budget	2024-25 Revised Budget	2024-25 Estimated	2025-26 Adopted Budget	% Change from 2024-25
Personnel	\$ 1,982,793	\$ 2,266,085	\$ 2,241,085	\$ 2,195,238	\$ 2,524,681	11.4%
Operating Costs	735,508	676,568	783,202	738,743	865,230	27.9%
Total	\$ 2,718,301	\$ 2,942,653	\$ 3,024,287	\$ 2,933,981	\$ 3,389,911	15.2%

REVENUES

	2023-24 Actual	2024-25 Original Budget	2024-25 Revised Budget	2024-25 Estimated	2025-26 Adopted Budget	% Change from 2024-25
General Revenues	\$ 2,718,301	\$ 2,942,653	\$ 3,024,287	\$ 2,933,981	\$ 3,389,911	15.2%
Total	\$ 2,718,301	\$ 2,942,653	\$ 3,024,287	\$ 2,933,981	\$ 3,389,911	15.2%

BUSINESS MANAGMENT

Performance Measures

	Strategic Objectives ➤ Same-day deposits as a percentage of all receipts ➤ Total budget adjustments as a % of expenditures ➤ Projected General Fund revenues as a % of actual ➤ Percent of voided/reissued vendor checks ➤ Percent of voided/reissued/adjusted payroll checks ➤ Receipt confirmation from LGC ➤ Receive annual GFOA Award for Financial Reporting ➤ Consecutive years receiving GFOA Award for Financial Reporting ➤ Purchase orders issued, as a percentage of all invoices over \$1,000 ➤ Percentage of contracts with funds encumbered prior to execution ➤ General Fund Debt as a percent of assessed value ➤ 10-year payout ratio ➤ Percentage of survey respondents indicating that the Finance Division service “meets” or “exceeds” expectations
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Core Business Program	Performance Measure	FY23 Actual	FY24 Actual	FY25 Estimate	FY26 Target
Billing and Collections	Same-day deposits as a percentage of all receipts	7.89%	8.19%	8.16%	10.00%
Budget	Total budget adjustments as a % of expenditures	12.08%	10.26%	7.26%	7.50%
	Projected General Fund revenues as a % of actual	-3.97%	-1.27%	-2.00%	-2.00%
Payroll and Payables	Percent of voided/reissued vendor checks	1.39%	2%	2.48%	2%
	Percent of voided/reissued/adjusted payroll checks	0.19%	0.19%	0.195%	0.25%
Accounting and Financial Reporting	Receipt confirmation from LGC	Yes	Yes	Yes	Yes
	Receive annual GFOA Award for Financial Reporting	Yes	Yes	Yes	Yes
	Consecutive years receiving GFOA Award for Financial Reporting	37	38	39	40
Purchasing and Contracts	Purchase orders issued, as a percentage of all invoices over \$1,000	97%	95%	97%	99%
	Percentage of contracts with funds encumbered prior to execution	96%	99%	90%	99%
Liquidity Management	General Fund Debt as a percent of assessed value	1%	1%	1%	1%
	10-year payout ratio	67.6%	66.6%	66.2%	65%
Financial Planning and Support	Percentage of survey respondents indicating that the Finance Division service “meets” or “exceeds” expectations	No Data ¹	No Data ¹	95%	95%

¹This survey was not performed in FY23 & FY24.

TECHNOLOGY SOLUTIONS DEPARTMENT

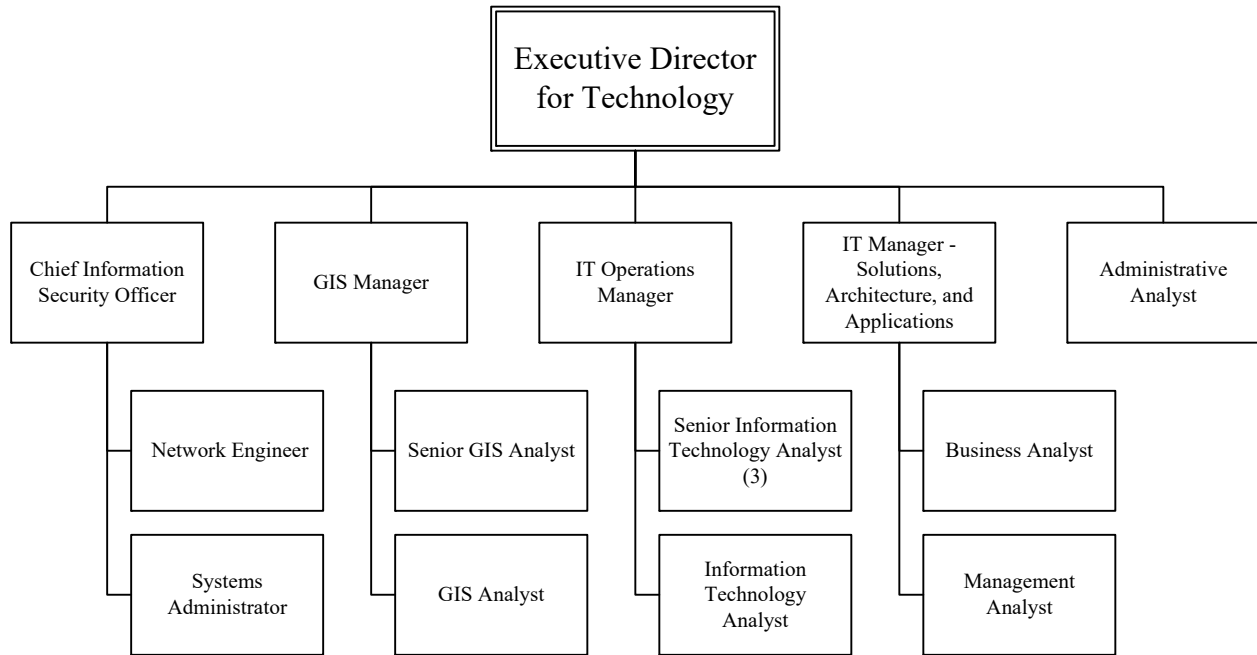
MISSION STATEMENT:

The mission of the Technology Solutions department is to provide technology leadership through innovation, oversight, education, and support to ensure that the Town makes the best possible selection and use of available technology.

The Technology Solutions Department identified the following primary programs that are included in the adopted budget for 2025-26.

Program	Description
User Support	Provide user Help Desk support for computer hardware, software, network, servers, and telephones. Provide training and assistance needed to effectively use technology. Review construction projects to ensure IT requirements and opportunities are included. Maintain high levels of training for the IT staff.
IT Infrastructure and Cyber Security	Manage all IT infrastructure, including connectivity, hardware, servers, data storage, networks, end user computers, mobile devices, and internet access. Includes cybersecurity, backups, awareness, incident response, and recovery.
Telecommunications	Administer and manage all telephone systems, including setup and configuration of VoIP desktop telephones, related network infrastructure, and software support. Administer the Town's cellphone and mobile device services. Manage the Town video meeting systems supporting remote work and remote meetings.
Enterprise Application Analysis & Support	Administer and manage Microsoft Office 365, Geographic Information Systems, and other enterprise productivity and communication applications. Manage the server and cloud environments used to operate financial systems, department systems, records management, databases, and other applications located on Town servers and in the cloud.
IT Planning and Coordination	Collaborate with all Town departments to identify needs and opportunities and to create enterprise-wide plans, project prioritization, data analytics, and process integration for software. Manage the IT Governance needed to invest in and maintain the infrastructure and software procurement with the limited resources available. Collaborate beyond the Town with state and local governments, UNC, and CCHCS on shared areas of interest.

TECHNOLOGY SOLUTIONS DEPARTMENT



TECHNOLOGY SOLUTIONS

STAFFING COMPARISONS - IN FULL-TIME EQUIVALENTS

	2023-24 ADOPTED	2024-25 ADOPTED	2025-26 ADOPTED
Executive Director - Technology Solutions	1.00	1.00	1.00
Systems Administrator	1.00	1.00	1.00
Network Engineer	1.00	1.00	1.00
IT Operations Manager	1.00	1.00	1.00
Management Analyst/Senior Business Analyst	1.00	1.00	1.00
Information Technology Analyst	2.00	1.00	1.00
Senior Information Technology Analyst	2.00	3.00	3.00
Web Administrator	1.00	0.00	0.00
Business Analyst	0.00	1.00	1.00
IT Manager, Solutions Architecture and Applications	1.00	1.00	1.00
Administrative Analyst	1.00	1.00	1.00
Chief Information Security Officer	1.00	1.00	1.00
Senior GIS Analyst	1.00	1.00	1.00
GIS Analyst	1.00	1.00	1.00
GIS Manager	1.00	1.00	1.00
Technology Solutions Department Totals	16.00	16.00	16.00

TECHNOLOGY SOLUTIONS

BUDGET SUMMARY

The adopted budget for the Technology Solutions department reflects a 2.9% decrease from the 2024-25 budget. Personnel expenses increased by 5.6% due to a 0.75% retirement increase, a 6% increase in insurance costs, and a salary increase. Operating expenses decreased by 26.2% due to the re-allocation of technology-related expenses across the organization, as well as reduced costs for certain contracts and software. Capital outlay remains flat.

EXPENDITURES

	2023-24 Actual	2024-25 Original Budget	2024-25 Revised Budget	2024-25 Estimated	2025-26 Adopted Budget	% Change from 2024-25
Personnel	\$ 2,034,646	\$ 2,163,433	\$ 2,163,433	\$ 2,136,402	\$ 2,284,397	5.6%
Operating Costs	567,838	788,757	921,147	806,310	582,088	-26.2%
Capital Outlay	-	55,000	38,645	55,000	55,000	0.0%
Total	\$ 2,602,484	\$ 3,007,190	\$ 3,123,225	\$ 2,997,712	\$ 2,921,485	-2.9%

REVENUES

	2023-24 Actual	2024-25 Original Budget	2024-25 Revised Budget	2024-25 Estimated	2025-26 Adopted Budget	% Change from 2024-25
General Revenues	\$ 2,602,484	\$ 3,007,190	\$ 3,123,225	\$ 2,997,712	\$ 2,921,485	-2.9%
Total	\$ 2,602,484	\$ 3,007,190	\$ 3,123,225	\$ 2,997,712	\$ 2,921,485	-2.9%

TECHNOLOGY SOLUTIONS

Performance Measures

 The image shows two interlocking puzzle pieces. The top piece is red and features a white silhouette of a person with a speech bubble, with the text 'Safe Community' below it. The bottom piece is blue and features a white silhouette of a person with a speech bubble, with the text 'Employee Recruitment & Retention' below it.	Strategic Objectives ➤ Support – Provide exceptional IT response and experience for departments. ➤ Infrastructure – Ensure network/servers are operating effectively and efficiently. ➤ Security – Implementing Center for Internet Security (CIS) Framework controls which ensure data has confidentiality, integrity, and availability. ➤ Application Services – Overseeing IT Governance Model to ensure the effective and efficient use of IT in enabling the town to achieve its goals. ➤ GIS – Sharing and using GIS data to better plan for growth, inventory, and maintain public infrastructure, improve coordination with neighboring jurisdictions, and provide better and more efficient public services.
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Core Business Program	Performance Measure	FY23 Actual	FY24 Actual	FY25 Estimate	FY26 Target
User Support	Percent of work ticket surveys with Exceptional/Good Experience	98%	100%	100%	100%

TOWN ATTORNEY

MISSION STATEMENT:

The primary mission of the Office of the Town Attorney is to protect the legal interests of the Town of Chapel Hill municipal corporation.

The Town Attorney serves as general counsel to the Town and advises the Mayor and Town Council, Town administration, Town departments, and Town boards and commissions. Duties of the Town Attorney include:

- Preparing for and attending Council meetings.
- Conferring with the Mayor, Council, and individual Council members.
- Providing general legal services to Town administration and Town departments.
- Providing guidance in matters going before Town Council.
- Providing guidance related to special projects.
- Advising Town Boards and Commissions and attending certain meetings as necessary.
- Defending Town interests in lawsuits and threatened litigation.
- Coordinating work of retained law firms representing the Town in litigation, bond financing, special projects, and other matters where outside counsel is needed.
- Providing guidance in real property acquisition and property interests.
- Advising staff in reviewing development projects, drafting ordinances, enforcing Town codes, and in addressing other matters such as zoning, housing initiatives, construction projects, and annexation.
- Supervising and collaborating with the Assistant Town Attorney and Legal Services Administrator.

TOWN ATTORNEY
STAFFING COMPARISONS - IN FULL-TIME EQUIVALENTS

	2023-24 ADOPTED	2024-25 ADOPTED	2025-26 ADOPTED
Town Attorney	1.00	1.00	1.00
Assistant Town Attorney	1.00	1.00	1.00
Legal Services Administrator	1.00	1.00	1.00
Attorney Department Totals	3.00	3.00	3.00

TOWN ATTORNEY BUDGET SUMMARY

The adopted budget for the Attorney's Office reflects a 5.4% increase from the 2024-25 budget. Personnel expenses increased 5.4% due to a 0.75% retirement increase, a 6% increase in insurance costs, and a salary increase. Operating expenses increased 5.5% due to increased budget for professional services as well as business meetings and training.

EXPENDITURES

	2023-24 Actual	2024-25 Original Budget	2024-25 Revised Budget	2024-25 Estimated	2025-26 Adopted Budget	% Change from 2024-25
Personnel	\$ 618,131	\$ 643,712	\$ 643,712	\$ 624,921	\$ 678,409	5.4%
Operating Costs	10,107	31,491	31,491	22,716	33,227	5.5%
Total	\$ 628,238	\$ 675,203	\$ 675,203	\$ 647,637	\$ 711,636	5.4%

REVENUES

	2023-24 Actual	2024-25 Original Budget	2024-25 Revised Budget	2024-25 Estimated	2025-26 Adopted Budget	% Change from 2024-25
General Revenues	\$ 628,238	\$ 675,203	\$ 675,203	\$ 647,637	\$ 711,636	5.4%
Total	\$ 628,238	\$ 675,203	\$ 675,203	\$ 647,637	\$ 711,636	5.4%

NON-DEPARTMENTAL DIVISION

BUDGET SUMMARY

The Non-Departmental Division is used to account for activities in the General Fund that are not allocated to other departmental functions. These activities include contributions to other agencies, transfers to other funds, and liability insurance.

EXPENDITURES

	2023-24 Actual	2024-25 Original Budget	2024-25 Revised Budget	2024-25 Estimated	2025-26 Adopted Budget	% Change from 2024-25
Retiree Medical Insurance	\$ 1,742,258	\$ 1,675,000	\$ 1,675,000	\$ 1,822,374	\$ 1,852,000	10.6%
Other Personnel Costs	30,146	-	-	10,870	215,151	N/A
Liability Insurance	510,196	575,000	575,000	648,776	650,000	13.0%
Transfer to Affordable Housing	826,850	722,003	722,003	175,000	722,003	0.0%
Operations	1,309,118	981,981	1,037,435	838,625	970,884	-1.1%
Supplemental PEG Fees	143,072	175,000	175,000	148,580	175,000	0.0%
Transfer to Other Funds	194,710	17,000	17,000	17,000	221,948	1205.6%
Transfer to Downtown Service District Fund	100,000	100,000	100,000	100,000	100,000	0.0%
Transfer to Capital Improvement Funds	2,248,903	2,557,903	2,586,623	2,070,623	2,737,403	7.0%
Transfer to Debt Fund	445,100	445,100	445,100	-	445,100	0.0%
OPEB Liability Contributions	250,000	250,000	250,000	250,000	250,000	0.0%
Transfer to Climate Action Fund	804,259	804,259	804,259	433,773	804,259	0.0%
Grant Matching Funds	109,895	85,606	99,247	99,247	83,703	-2.2%
Agency Contributions	2,214,785	2,019,975	2,401,830	2,401,830	2,019,975	0.0%
Orange County Contribution	-	-	200,000	-	-	N/A
Total	\$ 10,929,292	\$ 10,408,827	\$ 11,088,497	\$ 9,016,698	\$ 11,247,426	8.1%

REVENUES

	2023-24 Actual	2024-25 Original Budget	2024-25 Revised Budget	2024-25 Estimated	2025-26 Adopted Budget	% Change from 2024-25
General Revenues	\$ 10,929,292	\$ 10,408,827	\$ 11,088,497	\$ 9,016,698	\$ 11,247,426	8.1%
Total	\$ 10,929,292	\$ 10,408,827	\$ 11,088,497	\$ 9,016,698	\$ 11,247,426	8.1%

ENVIRONMENT & DEVELOPMENT

BUDGET SUMMARY

This section includes the Planning, Public Works, Affordable Housing & Community Connections, and Building & Development Services departments.

EXPENDITURES

	2023-24 Actual	2024-25 Original Budget	2024-25 Revised Budget	2024-25 Estimated	2025-26 Adopted Budget	% Change from 2024-25
Planning	\$ 2,134,956	\$ 2,198,321	\$ 2,759,023	\$ 2,100,481	\$ 2,323,849	5.7%
Affordable Housing & Community Connections	971,901	1,362,724	1,304,990	1,194,540	1,291,081	-5.3%
Public Works	14,488,044	15,575,463	15,657,302	14,597,582	16,236,025	4.2%
Building & Development Services	2,506,338	2,868,358	2,863,693	2,741,288	3,076,466	7.3%
Total	\$ 20,101,239	\$ 22,004,866	\$ 22,585,008	\$ 20,633,891	\$ 22,927,421	4.2%

REVENUES

	2023-24 Actual	2024-25 Original Budget	2024-25 Revised Budget	2024-25 Estimated	2025-26 Adopted Budget	% Change from 2024-25
General Revenues	\$ 16,200,912	\$ 17,654,084	\$ 18,229,226	\$ 16,527,806	\$ 19,077,918	8.1%
State-Shared Revenues	48,439	46,500	46,500	46,500	46,500	0.0%
Charges for Services	1,311,293	1,481,589	1,481,589	1,722,688	1,448,273	-2.2%
Licenses/Permits/Fines	2,351,722	2,762,693	2,762,693	2,255,586	2,283,730	-17.3%
Other Revenues	178,532	60,000	65,000	81,311	71,000	18.3%
Total	\$ 20,090,899	\$ 22,004,866	\$ 22,585,008	\$ 20,633,891	\$ 22,927,421	4.2%

PLANNING DEPARTMENT

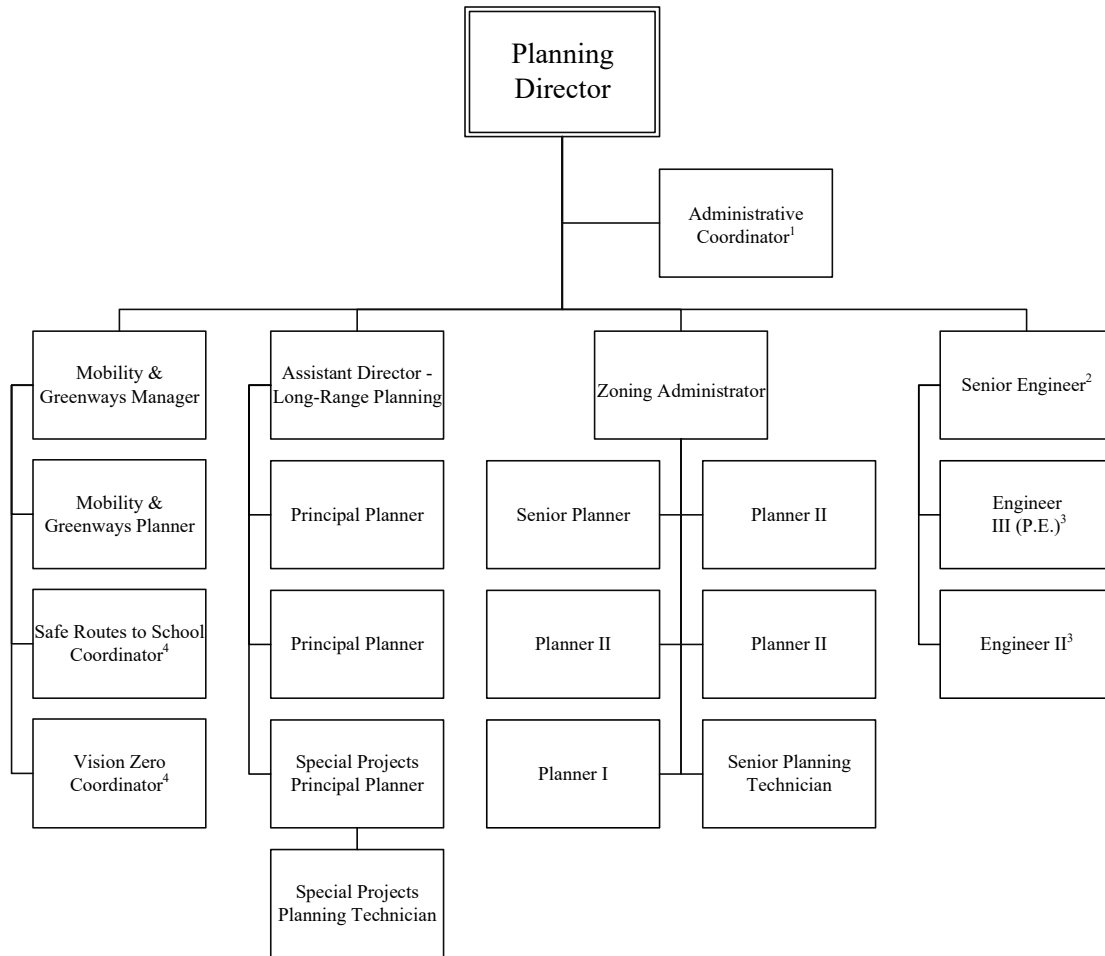
MISSION STATEMENT:

The Chapel Hill Planning Department is charged with providing collaborative leadership to create and implement policies, plans, and programs that reflect Chapel Hill values as an equitable, livable, and sustainable town today and in the future. We help Chapel Hill guide equitable growth through developing various visionary documents, including the Comprehensive Plan, evaluating land development, moving people around town, and serving as the steward of our historic resources.

The Planning Department identified the following primary programs that are included in the adopted budget for 2025-26.

Program	Description
Long-Range Planning	Engage with regional and local stakeholders around land use planning and growth management issues; create planning documents that reflect community values guided by the Complete Community strategies. Translate values and planning best practices into land use management policy for the Town while monitoring and evaluating development trends.
Current Development	Implement land use management provisions in accordance with policies established in the comprehensive plan. Review land use applications and oversee the development review process.
Transportation Planning & Transportation Demand Management	Oversee long range transportation plans and manage projects related to pedestrians, bicycles, and road traffic. The Office of Mobility and Greenways implements Vision Zero, Safe Routes to School, and multiuse path construction projects.
Historic Preservation	Uphold the Town's Certified Local Government (CLG) status through the North Carolina Historic Preservation Office (HPO); identify, evaluate, and document historic sites within the Town's three local historic districts for inclusion on the National Register of Historic Places (NRHP); provide guidance on best historic preservation practices, promote historic preservation and appreciation in the community.
Design and Urban Forestry	Preserve and enhance the Town tree canopy coverage through considering the ordinance, working with designers to reduce the construction impacts on critical root zones, monitoring invasive species, and relaying design and plant material options to promote native species or drought tolerant plant selections.
Land Use Management Ordinance and Equity	Align updated LUMO with the Town's values and vision for equitable planning and development. Facilitate equity dialogue in community.

PLANNING



¹ This position is split with Public Housing.

² This position is split with Stormwater.

³ These positions are funded by Stormwater.

⁴ These positions are 100% grant funded.

PLANNING DEPARTMENT

STAFFING COMPARISONS - IN FULL-TIME EQUIVALENTS

	2023-24 ADOPTED	2024-25 ADOPTED	2025-26 ADOPTED
Director - Planning	1.00	1.00	1.00
Assistant Director - Planning	1.00	1.00	1.00
Mobility & Greenways Manager ¹	2.00	1.00	1.00
Zoning Administrator	0.00	1.00	1.00
Planner/Planner II/Principal Planner/Senior Planner ²	8.00	8.00	8.00
Commute Solutions Manager ³	1.00	0.00	0.00
Administrative Coordinator ⁴	0.80	0.80	0.80
Planning Technician	2.00	2.00	2.00
Mobility & Greenways Planner ²	1.00	1.00	1.00
Senior Engineer ⁵	0.00	0.50	0.50
Planning Department Totals	16.80	16.30	16.30

¹ Mobility & Greenways Manager is grant-funded.

² Some Planner positions are partially grant-funded in FY25-26.

³ This position moved to Transit during FY23-24.

⁴ This position is partially grant-funded and also split in part with the Public Housing fund.

⁵ This position moved to Planning from Public Works - Engineering during FY23-24. It is split with the Stormwater fund.

PLANNING

BUDGET SUMMARY

The adopted budget for the Planning Department reflects a 5.7% increase from the 2024-25 budget. The 6.7% increase in personnel expenses is due to a 0.75% retirement increase, a 6% increase in insurance costs, and a salary increase. Operating expenses increased 1.7% due to higher conference, software, and cell phone costs, as well as increased budget for notification mailings.

EXPENDITURES

	2023-24 Actual	2024-25 Original Budget	2024-25 Revised Budget	2024-25 Estimated	2025-26 Adopted Budget	% Change from 2024-25
Personnel	\$ 1,428,136	\$ 1,767,167	\$ 1,767,167	\$ 1,738,061	\$ 1,885,204	6.7%
Operating Costs	706,820	431,154	991,856	362,420	438,645	1.7%
Total	\$ 2,134,956	\$ 2,198,321	\$ 2,759,023	\$ 2,100,481	\$ 2,323,849	5.7%

REVENUES

	2023-24 Actual	2024-25 Original Budget	2024-25 Revised Budget	2024-25 Estimated	2025-26 Adopted Budget	% Change from 2024-25
General Revenues	\$ 1,779,081	\$ 1,483,144	\$ 2,043,846	\$ 1,151,594	\$ 1,706,136	15.0%
Charges for Services	323,941	702,089	702,089	906,688	601,273	-14.4%
Licenses/Permits/Fines	25,618	8,088	8,088	29,626	10,440	29.1%
Other Revenues	6,316	5,000	5,000	12,573	6,000	20.0%
Total	\$ 2,134,956	\$ 2,198,321	\$ 2,759,023	\$ 2,100,481	\$ 2,323,849	5.7%

PLANNING

Performance Measures

	Strategic Objectives ➤ Provide high quality customer service with substantial opportunities for public input ➤ Provide high quality customer service with improved permit approval times ➤ Track special project progress within a fiscal year (for projects managed by Planning Department) ➤ Create a system of policies and tools that provide clear guidance to residents, developers, staff, and council on future land use and can be used for review of development applications ➤ Make progress on implementation of Mobility and Connectivity Plan and Everywhere to Everywhere Greenways recommendations
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Core Business Program	Performance Measure	FY23 Actual	FY24 Actual	FY25 Estimate	FY26 Target
Current Development	Number of Public Information Meetings held on current development projects.	9	7	13	10
	Number of Advisory Board Meetings held	52	47	45	45
Planning	Progress made across all special projects managed by Planning Department as a percentage of the work targeted	95%	95%	65%	85%
Long-Range Planning	Number of Community Planning Meetings held	22	28	11	15
	Completion of staff evaluation memos for all rezoning cases	100%	100%	100%	100%
Transportation Planning	Number of Mobility and Connectivity Plan and Everywhere to Everywhere Greenways projects/recommendations advanced	11	14	16	14

PUBLIC WORKS

MISSION STATEMENT:

The Public Works team strives to provide excellent customer service, emphasizing public safety and environmental stewardship by preserving, maintaining, and enhancing the Town's infrastructure and natural resources.

The Public Works Department identified the following primary programs that are included in the adopted budget for 2025-26.

Program	Description
Traffic Signals	Implement timing plans; oversee traffic monitoring; perform emergency repairs, preventive maintenance, and small improvements; and manage traffic signal maintenance and repair contracts in Chapel Hill and Carrboro.
Traffic Signs/Markings/Calming	Collaborate with the Office of Mobility and Greenways, and Bike and Pedestrian Team in support of the Town's Vision Zero. Support the review of traffic impact studies and the traffic calming program. Install and maintain all traffic control signs and pavement markings along approximately 760 town-maintained streets totaling approximately 167 center line miles. Issue traffic work zone permits and monitor for compliance.
Street Lighting	Ensure new development compliance with established standards; respond to improvement requests; routinely inspect major roadways and the central business district for malfunctions; and manage service agreements.
Special Event Services	Plan and assist Public Safety and Emergency Management with event operations in opening and closing streets and clean-up. Plan for and assist with the installation of seasonal banners, flags, and holiday decorations.
Inclement Weather	Manage large scale inclement weather events including oversight of disaster contracts. Provide planning, response, and recovery to inclement weather events (high water, wind damage and ice/snow), including continuous service as required.

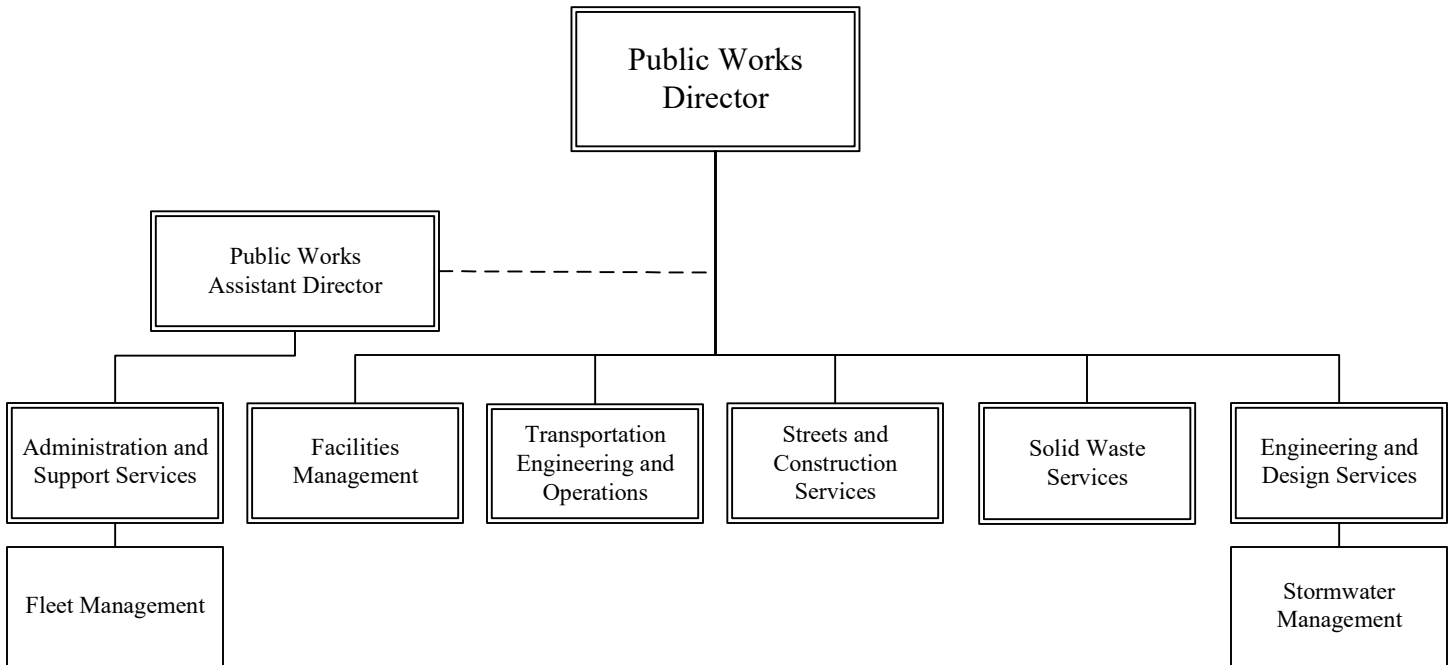
PUBLIC WORKS

Miscellaneous Construction	Perform small to medium construction projects including (ADA) sidewalk and curb/gutter repairs and improvements; installation and maintenance of streetscape amenities (benches, bike racks, trash receptacles, etc.); and occasional projects such as the installation of a bus shelter and small parking lot improvements.
Streets and Parking Lots	Oversee the evaluation of all town-maintained streets, parking lots, bike paths, and trails. Perform street maintenance and resurfacing along various sections of the Town's ~760 streets totaling ~167 center lane miles.
Facilities Management & Maintenance	Manage facility condition assessments, maintenance, and improvement master planning for approximately 50 publicly owned buildings. Perform in-house maintenance and repair, oversight of service contracts, and management of small to medium-sized construction improvement projects.
Solid Waste Collection & Management	Submit the Town of Chapel Hill's Solid Waste and Materials Management Report to the State. Support the Solid Waste Advisory Group's implementation of Orange County's Zero Waste Initiative. Provide weekly collection of household solid waste, containerized and/or bagged vegetative materials, including leaves and small piles of brush, from approximately 12,300 residential properties. Collect waste from approximately 200 street and bus shelter trash receptacles per week.
Special Collections	Provide fee-based, scheduled in-house collection of bulky items, including appliances, electronics, and furniture. Provide fee-based collection of loose residential brush that exceeds 3 cubic yards. Collect and dispose of dead animals within the right-of-way.
Commercial Solid Waste Collection	Collect solid waste placed in dumpsters for a fee established annually by Town Council. Oversee service contracts for collection, maintenance, and cleaning of the two town-owned downtown compactors.

PUBLIC WORKS

Civil Engineering Services	Provide engineering services, including capital project management, surveying, design, private developer review, and infrastructure inspection. Review developer-submitted plans for private development projects for compliance with requirements and standards for infrastructure and environmental protection. Provide field inspection of various infrastructure improvements to ensure quality of infrastructure and compliance with Town Standards. Monitor surety bonds to ensure proper infrastructure is completed by developers. Provide surveying services related to public rights-of-way, easements, and other public properties. Gather survey data required for development of in-house computer-aided drafting and design (CADD). Provide design services for in-house small to medium-sized projects.
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PUBLIC WORKS OVERVIEW



PUBLIC WORKS DEPARTMENT

STAFFING COMPARISONS - IN FULL TIME EQUIVALENTS

	2023-24 ADOPTED	2024-25 ADOPTED	2025-26 ADOPTED
<u>Administration</u>			
Director - Public Works	1.00	1.00	1.00
Management Analyst/Business Services Manager	1.00	1.00	1.00
Administrative Analyst	2.00	2.00	2.00
Assistant Director	1.00	1.00	1.00
Occupational Health and Safety Officer	1.00	1.00	1.00
Accounting Technician II	1.00	1.00	1.00
Administrative Assistant	2.00	2.00	2.00
Division Totals	9.00	9.00	9.00
<u>Engineering and Design Services</u>			
<u>Engineering and Infrastructure</u>			
Manager of Engineering & Infrastructure	1.00	1.00	1.00
Engineering Coordinator - Sr	1.00	1.00	1.00
Professional Land Surveyor ¹	0.75	0.75	0.75
Senior Engineer ²	0.50	0.00	0.00
Engineering Inspector	1.00	1.00	1.00
Engineering Inspector - Sr ¹	0.70	0.70	0.70
Engineering Technician	1.00	1.00	1.00
Capital Projects Manager	1.00	1.00	1.00
Engineer III ¹	0.50	0.50	0.50
Unit Totals	7.45	6.95	6.95
<u>Transportation Engineering and Operations</u>			
Transportation Engineering Manager	1.00	1.00	1.00
Assistant Transportation Engineer	1.00	1.00	1.00
Engineering Technician	1.00	1.00	1.00
Traffic Signal Systems Analyst	1.00	1.00	1.00
Lead Traffic Signal Tech	1.00	1.00	1.00
Traffic Signal Technician (Levels I-III)	3.00	3.00	3.00
Lead Sign & Marking Tech	1.00	1.00	1.00
Sign and Marketing Technician (Levels I-II)	2.00	2.00	2.00
Traffic Operations Services Coordinator	0.00	0.00	1.00
Unit Totals	11.00	11.00	12.00
Division Totals	18.45	17.95	18.95

continued

PUBLIC WORKS DEPARTMENT

STAFFING COMPARISONS - IN FULL TIME EQUIVALENTS

	2023-24 ADOPTED	2024-25 ADOPTED	2025-26 ADOPTED
<u>Streets and Construction Services</u>			
Construction			
Supervisor - Construction Crew	1.00	1.00	1.00
Construction Worker (Levels I - IV)	4.00	4.00	4.00
Senior Heavy Equipment Operator	1.00	1.00	1.00
Unit Totals	6.00	6.00	6.00
Streets			
Superintendent - Streets/Construction/Services	1.00	1.00	1.00
Streets Supervisor	1.00	1.00	1.00
Street Inspector	1.00	1.00	1.00
Streets Crew Supervisor	1.00	1.00	1.00
Construction Worker (Levels I-IV)	8.00	8.00	8.00
Senior Heavy Equipment Officer	1.00	1.00	1.00
Lead Construction Worker	1.00	1.00	1.00
Unit Totals	14.00	14.00	14.00
Division Totals	20.00	20.00	20.00
<u>Facilities Management</u>			
Facilities Manager	1.00	1.00	1.00
Facilities Supervisor	1.00	1.00	1.00
Sr. Project Manager	1.00	1.00	1.00
Building Maintenance Mechanic (Levels I-III)	6.00	6.00	6.00
Facilities Systems Technician	1.00	1.00	1.00
Fleet Systems Technician ³	0.25	0.25	0.25
Division Totals	10.25	10.25	10.25
<u>Solid Waste</u>			
Solid Waste Services Manager	1.00	1.00	1.00
Solid Waste Operating Services Coordinator	1.00	1.00	1.00
Solid Waste Services Crew Supervisor	2.00	2.00	2.00
Solid Waste Equipment Operator III	4.00	4.00	4.00
Solid Waste Equipment Operator II	10.00	10.00	10.00
Solid Waste Equipment Operator I	3.00	3.00	3.00
Solid Waste Collector	13.00	13.00	13.00
Division Totals	34.00	34.00	34.00
Public Works Totals	91.70	91.20	92.20

¹ The Stormwater fund assumes a portion of the salaries for the Professional Land Surveyor, Sr. Engineering Inspector, and Engineer III.

² The General Fund portion of this position moved to the Planning Department during FY23-24.

³ Position is split between Facilities Management division and the Fleet Management fund.

Note: Fleet Management employees are supervised by Public Works, but included with the Fleet Management Fund Staffing Summary.

PUBLIC WORKS

BUDGET SUMMARY

The adopted budget for the Public Works Department reflects a 4.2% increase from the 2024-25 budget. Personnel expenses reflect a 0.75% retirement increase, a 6% increase in insurance costs, and a salary increase.

EXPENDITURES

	2023-24 Actual	2024-25 Original Budget	2024-25 Revised Budget	2024-25 Estimated	2025-26 Adopted Budget	% Change from 2024-25
Administration	\$ 1,319,610	\$ 1,401,248	\$ 1,380,888	\$ 1,298,570	\$ 1,550,760	10.7%
Engineering & Design	716,584	905,975	905,035	760,582	972,292	7.3%
Transportation Engineering	2,079,079	2,222,357	2,281,449	2,370,717	2,524,876	13.6%
Construction	727,696	717,224	717,818	529,118	807,659	12.6%
Streets	2,821,806	2,973,538	2,906,994	2,187,840	3,055,419	2.8%
Facilities Management	2,200,418	2,299,847	2,417,381	2,385,157	2,274,845	-1.1%
Solid Waste	4,622,851	5,055,274	5,047,737	5,065,598	5,050,174	-0.1%
Total	\$ 14,488,044	\$ 15,575,463	\$ 15,657,302	\$ 14,597,582	\$ 16,236,025	4.2%

REVENUES

	2023-24 Actual	2024-25 Original Budget	2024-25 Revised Budget	2024-25 Estimated	2025-26 Adopted Budget	% Change from 2024-25
General Revenues	\$ 13,177,530	\$ 14,525,238	\$ 14,602,077	\$ 13,473,784	\$ 15,123,825	4.1%
State Shared	48,439	46,500	46,500	46,500	46,500	0.0%
Charges for Services	987,352	779,500	779,500	816,000	847,000	8.7%
Licenses/Permits/Fines	102,507	169,225	169,225	192,560	153,700	-9.2%
Other Revenues	172,216	55,000	60,000	68,738	65,000	18.2%
Total	\$ 14,488,044	\$ 15,575,463	\$ 15,657,302	\$ 14,597,582	\$ 16,236,025	4.2%

PUBLIC WORKS

Performance Measures

	Strategic Objectives
  	➤ Address 95% of traffic signal system problems per the North Carolina Department of Transportation (NCDOT) and Federal Highway Administration (FHWA) Standards ➤ Perform preventive maintenance on 95% of traffic signals twice per year ➤ Respond to 100% of emergency maintenance on regulatory traffic control signs per the Institute of Transportation Engineers (ITE) standards within two hours ➤ Review, approve, and issue permits within five business days for all traffic control plans for lanes and street closures ➤ Achieve an average pavement condition rating of 81 or better for 80% of town-maintained street system ➤ Achieve a resurfacing cycle of once every 15 years by resurfacing at least 7% of town-maintained streets annually ➤ Review and respond to 100% of Survey Plat review request applications within five working days of receipt of a properly certified survey plat. ➤ Complete 100% of development plan reviews by assigned deadlines (roadway and sidewalks in the public right of way) ➤ Collect 530 tons of residential refuse per collection FTE ➤ Recover 45% of commercial collection costs via commercial collection fees ➤ Maintain quality of residential trash/yard waste collection services customer satisfaction level ➤ Pre-treat all priority Town roadways and facilities prior to each anticipated significant winter inclement weather event ➤ Complete initial snow removal from 80% of priority streets within 48 hours after the end of each snowstorm event ➤ Ensure at least 45% of facility work orders are preventive maintenance work ➤ Complete 85% of customer facility repair requests within 2 business days of receipt ➤ Dispatch personnel to 100% of facility emergency work orders within 1 hour

Core Business Program	Performance Measure	FY23 Actual	FY24 Actual	FY25 Estimate	FY26 Target
Traffic Signals	Percent of emergency traffic signal problems responded to within 2 hours.	100%	100%	100%	95%
	Percent of signal preventive maintenance completed as planned	Est. 62% ¹	Est. 66% ²	83%	95%
Traffic Signs / Markings / Calming	Percent of critical regulatory sign needs (missing or damaged stop signs, yield signs, one-way signs, do not enter signs) responded to within two hours	Est. 100% ³	Est. 100%	100%	100%
	Percent of permits issued within five business days for traffic control plans for lanes and street closures	100%	100%	100%	100%

¹ Inconsistent data before April 2023.

² No data July-October 2023 and inconsistent data October 2023-March 2024. Estimate reflects both preventative maintenance and repairs.

³ The data is not available to confirm but standard operating procedure is to address all emergency requests within 2 hours.

Core Business Program	Performance Measure	FY23 Actual	FY24 Actual	FY25 Estimate	FY26 Target
Streets and Parking Lots	Percent of town-maintained street system rated 81 or better (square yards) ⁴	56%	N/A	59%	80%
	Percent of town-maintained streets (square yards) resurfaced annually	4.3%	1.3%	0% ⁵	7%
Civil Engineering	Percent of properly certified and submitted Survey Plats reviewed and responded to within five (5) working days of receipt	98%	100%	100%	100%
	Percent of development plan reviews completed by assigned deadline	82%	85%	95%	100%
Solid Waste Collection	Tons of Residential Refuse Collected per Collection FTE	535	521	524	530
	Percent of commercial collection costs recovered via fees	30%	29%	TBD ⁶	45%
	Percent of community “satisfied” or “very satisfied” with quality of trash/yard waste collection services	87%	92%	92%	90% ⁷
Inclement Weather	Percent of priority Town roadways pre-treated prior to each anticipated significant inclement weather event	N/A ⁸	N/A ⁸	100%	100%
	Percent of priority streets where initial snow removal is completed within 48 hours	N/A ⁸	N/A ⁸	100%	80%
Facilities Management	Preventive maintenance work orders as a percent of total annual work orders	62%	N/A ⁹	68%	45%
	Percent of customer repair requests completed within 2 business days of receipt	89%	N/A ⁹	N/A ⁹	85%
	Percent of emergency work orders that personnel respond to within 1 hour	100%	88%	97%	100%

⁴ The Pavement Condition Study is completed every two years, with the most recent study completed in FY25.

⁵ FY25 Resurfacing using allocated General Funds and Bond Funds will occur in FY26.

⁶ Data will not be available until late August.

⁷ Target increased from 88% to 90% for FY25.

⁸ No inclement snow events in FY23 or FY24.

⁹ Facilities Management transitioned to a new work order management software and is reviewing the best way to track this measure going forward.

PUBLIC WORKS - Administration Division

BUDGET SUMMARY

The adopted budget for the Administration Division of the Public Works Department reflects a 10.7% increase from the 2024-25 budget. Personnel expenses increased by 7.8% due to position realignment, a 0.75% retirement increase, a 6% increase in insurance costs, and a salary increase. Operating expenses increased 27.4% primarily due to added budget for a new vehicle for the division in FY26.

EXPENDITURES

	2023-24 Actual	2024-25 Original Budget	2024-25 Revised Budget	2024-25 Estimated	2025-26 Adopted Budget	% Change from 2024-25
Personnel	\$ 1,141,531	\$ 1,193,234	\$ 1,181,887	\$ 1,115,155	\$ 1,285,720	7.8%
Operating Costs	178,079	208,014	199,001	183,415	265,040	27.4%
Total	\$ 1,319,610	\$ 1,401,248	\$ 1,380,888	\$ 1,298,570	\$ 1,550,760	10.7%

PUBLIC WORKS - Engineering

BUDGET SUMMARY

The adopted budget for the Engineering Division of the Public Works Department reflects a 7.3% increase from the 2024-25 budget. Personnel costs have increased 2.8% due to a 0.75% retirement increase, a 6% increase in insurance costs, and a salary increase. This is somewhat offset by employee turnover. Operating expenses went up 106% due to added budget for a new vehicle for the division in FY26.

EXPENDITURES

	2023-24 Actual	2024-25 Original Budget	2024-25 Revised Budget	2024-25 Estimated	2025-26 Adopted Budget	% Change from 2024-25
Personnel	\$ 684,927	\$ 866,638	\$ 868,138	\$ 729,281	\$ 891,242	2.8%
Operating Costs	31,657	39,337	36,897	31,301	81,050	106.0%
Total	\$ 716,584	\$ 905,975	\$ 905,035	\$ 760,582	\$ 972,292	7.3%

PUBLIC WORKS - Transportation Engineering

BUDGET SUMMARY

The adopted budget for the Transportation Engineering Division of the Public Works Department reflects a 13.6% increase from the 2024-25 budget. Personnel expenses increased by 11.8% due to a 0.75% retirement increase, a 6% increase in insurance costs, a salary increase, and a new Traffic Operations Services Coordinator position. Operating expenses increased by 15.8% primarily due to higher street lighting electricity costs.

EXPENDITURES

	2023-24 Actual	2024-25 Original Budget	2024-25 Revised Budget	2024-25 Estimated	2025-26 Adopted Budget	% Change from 2024-25
Personnel	\$ 1,051,327	\$ 1,232,178	\$ 1,261,428	\$ 1,242,174	\$ 1,378,111	11.8%
Operating Costs	1,008,062	990,179	1,020,021	1,128,543	1,146,765	15.8%
Capital Outlay	19,690	-	-	-	-	N/A
Total	\$ 2,079,079	\$ 2,222,357	\$ 2,281,449	\$ 2,370,717	\$ 2,524,876	13.6%

PUBLIC WORKS - Construction

BUDGET SUMMARY

The adopted budget for the Construction Division of the Public Works Department reflects a 12.6% increase from the 2024-25 budget. Personnel expenses increased by 4% due to a 0.75% retirement increase, a 6% increase in insurance costs, and a salary increase. Operating expenses increased by 30% due to the planned replacement of a truck within the division.

EXPENDITURES

	2023-24 Actual	2024-25 Original Budget	2024-25 Revised Budget	2024-25 Estimated	2025-26 Adopted Budget	% Change from 2024-25
Personnel	\$ 378,501	\$ 479,524	\$ 479,524	\$ 398,118	\$ 498,559	4.0%
Operating Costs	349,195	237,700	238,294	131,000	309,100	30.0%
Total	\$ 727,696	\$ 717,224	\$ 717,818	\$ 529,118	\$ 807,659	12.6%

PUBLIC WORKS - Streets

BUDGET SUMMARY

The adopted budget for the Streets division reflects an overall expenditure increase of 2.8% from the 2024-25 budget. The 4.6% increase in personnel is due to a 0.75% retirement increase, a 6% increase in insurance costs, and a salary increase. The operating budget increased by 1.4% due to an increase in street resurfacing funds, offset by less budget for vehicle replacement compared to last year. Capital outlay remains flat.

EXPENDITURES

	2023-24 Actual	2024-25 Original Budget	2024-25 Revised Budget	2024-25 Estimated	2025-26 Adopted Budget	% Change from 2024-25
Personnel	\$ 1,124,092	\$ 1,281,248	\$ 1,244,248	\$ 1,208,061	\$ 1,340,529	4.6%
Operating Costs	1,678,024	1,667,290	1,642,703	954,779	1,689,890	1.4%
Capital Outlay	19,690	25,000	20,043	25,000	25,000	0.0%
Total	\$ 2,821,806	\$ 2,973,538	\$ 2,906,994	\$ 2,187,840	\$ 3,055,419	2.8%

PUBLIC WORKS - Facilities Management

BUDGET SUMMARY

The adopted budget for the Facilities Management division reflects a 1.1% decrease from the 2024-25 budget. The 4.7% increase in personnel costs reflects a 0.75% retirement increase, a 6% increase in insurance costs, and a salary increase. The 7.1% decrease in operations reflects decreased costs in several areas, including fleet use charges, telephone costs, electricity, and less budget for vehicle replacement compared to last year. Additionally, planned facility maintenance funds were moved from this division to the Capital Improvements Fund for FY25-26.

EXPENDITURES

	2023-24 Actual	2024-25 Original Budget	2024-25 Revised Budget	2024-25 Estimated	2025-26 Adopted Budget	% Change from 2024-25
Personnel	\$ 1,150,439	\$ 1,177,942	\$ 1,194,339	\$ 1,192,213	\$ 1,232,960	4.7%
Operating Costs	1,049,979	1,121,905	1,223,042	1,192,944	1,041,885	-7.1%
Total	\$ 2,200,418	\$ 2,299,847	\$ 2,417,381	\$ 2,385,157	\$ 2,274,845	-1.1%

PUBLIC WORKS - Solid Waste Services

BUDGET SUMMARY

The adopted budget for the Solid Waste Services division reflects an overall expenditure decrease of 0.1% from last year's budget. The 4.2% increase in personnel costs is due to a 0.75% retirement increase, a 6% increase in insurance costs, and a salary increase. The 5.6% decrease in operating costs is due to less budget for vehicle replacement compared to last year, somewhat offset by added funding for temporary agency labor costs.

EXPENDITURES

	2023-24 Actual	2024-25 Original Budget	2024-25 Revised Budget	2024-25 Estimated	2025-26 Adopted Budget	% Change from 2024-25
Personnel	\$ 2,633,299	\$ 2,827,664	\$ 2,796,864	\$ 2,782,147	\$ 2,947,264	4.2%
Operating Costs	1,989,552	2,227,610	2,250,873	2,283,451	2,102,910	-5.6%
Total	\$ 4,622,851	\$ 5,055,274	\$ 5,047,737	\$ 5,065,598	\$ 5,050,174	-0.1%

AFFORDABLE HOUSING & COMMUNITY CONNECTIONS

VISION:

A vibrant and inclusive community where all residents have access to affordable housing and opportunities to thrive.

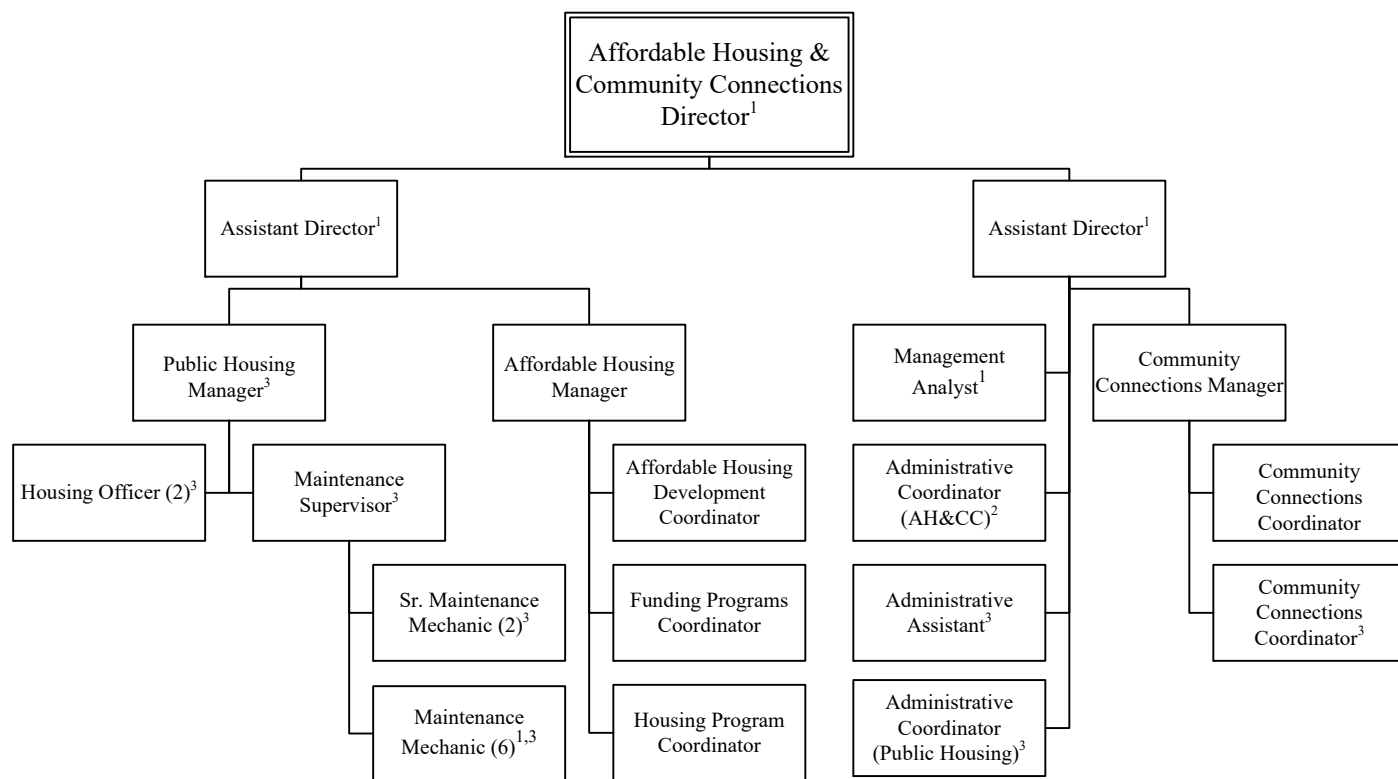
MISSION:

*Create Partnership
Catalyze Affordable Housing
Build Community*

The Affordable Housing and Community Connections Department identified the following primary programs that are included in the adopted budget for 2025-26.

Program	Description
Affordable Housing	▪ Fund Community Partner Projects ▪ Create Affordable Housing Policies ▪ Manage Affordable Housing Units ▪ Initiate Development and Preservation of Affordable Housing
Community Connections	▪ Fund Human Services Agencies ▪ Manage Community Programs and Services ▪ Connect Community to Resources

AFFORDABLE HOUSING & COMMUNITY CONNECTIONS



¹ Multiple positions are split between AH&CC and the Public Housing Fund, including one Maintenance Mechanic

² This position is located in AH&CC, but is split with and funded by the Planning department, the Public Housing Fund, and grant funding

³ These positions are fully funded by the Public Housing Fund, except for one Maintenance Mechanic

AFFORDABLE HOUSING & COMMUNITY CONNECTIONS

STAFFING COMPARISONS - IN FULL-TIME EQUIVALENTS

	2023-24 ADOPTED	2024-25 ADOPTED	2025-26 ADOPTED
Director - Affordable Housing & Community Connections ¹	1.00	0.80	0.80
Assistant Director (1) ¹	1.00	0.50	0.50
Assistant Director (2) ¹	0.00	0.50	0.50
Administrative Coordinator ²	0.20	0.00	0.00
Community Connections Manager ³	1.00	1.00	0.00
Community Connections Coordinator	1.00	1.00	1.00
Affordable Housing Manager	1.00	1.00	1.00
Affordable Housing Development Coordinator	1.00	1.00	1.00
Community Development Program Manager	1.00	0.00	0.00
Funding Programs Coordinator	0.00	1.00	1.00
Community Connections Manager (formerly Human Svcs Coordinator)	1.00	1.00	1.00
Maintenance Mechanic ¹	0.50	0.50	0.50
Management Analyst ¹	0.00	0.50	0.50
Housing Program Coordinator	0.00	1.00	1.00
Department Totals	8.70	9.80	8.80

¹ These positions are split between AH&CC and the Public Housing fund.

² The portion of this position formerly funded by AH&CC moved to Public Housing as of FY24-25.

³ This position moved to the Manager's Office during FY24-25.

AFFORDABLE HOUSING & COMMUNITY CONNECTIONS BUDGET SUMMARY

The adopted budget reflects an overall decrease of 5.3% from the previous fiscal year's budget. The 6% decrease in personnel costs is attributed to a position moving to the Manager's Office as of FY24-25. Operating costs increased by 8.5% due to increased computer costs and added budget for business meetings and training.

EXPENDITURES

	2023-24 Actual	2024-25 Original Budget	2024-25 Revised Budget	2024-25 Estimated	2025-26 Adopted Budget	% Change from 2024-25
Personnel	\$ 859,665	\$ 1,291,027	\$ 1,145,349	\$ 1,079,611	\$ 1,213,282	-6.0%
Operating Costs	112,236	71,697	132,152	87,441	77,799	8.5%
Capital Outlay	-	-	27,489	27,488	-	N/A
Total	\$ 971,901	\$ 1,362,724	\$ 1,304,990	\$ 1,194,540	\$ 1,291,081	-5.3%

REVENUES

	2023-24 Actual	2024-25 Original Budget	2024-25 Revised Budget	2024-25 Estimated	2025-26 Adopted Budget	% Change from 2024-25
General Revenues	\$ 961,561	\$ 1,362,724	\$ 1,304,990	\$ 1,194,540	\$ 1,291,081	-5.3%
Grants	10,340	-	-	-	-	N/A
Total	\$ 971,901	\$ 1,362,724	\$ 1,304,990	\$ 1,194,540	\$ 1,291,081	-5.3%

AFFORDABLE HOUSING & COMMUNITY CONNECTIONS

Performance Measures

	Strategic Objectives ➤ To increase access to housing for individuals across a range of incomes, and to constantly strive for more equitable outcomes and opportunities for historically underserved populations ➤ Deepen the Town's connections and engagement with organizations, groups, and populations that historically have been disengaged or disconnected from the Town ➤ Increase the diversity of residents engaged in Town processes and programs to fully reflect the composition of the community, with particular focus on engaging populations that have been historically disengaged or disconnected from the Town
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Core Business Program	Performance Measure	FY23 Actual	FY24 Actual	FY25 Actual	FY26 Target
Affordable Housing	% of funding available and allocated for affordable housing	99%	84%	90%	90%
	# of affordable homes developed with Town's financial support.	25	6	34	45
	# of affordable homes preserved with Town's financial support	16	36	29	85
	Dollars dedicated to affordable housing strategies in Town Budget	\$15.99M	\$8.95M	\$7.54M	\$11.14M
	# of new development units that received funding approval	270	69	53	200
	# of preservation units that received funding approval	615	19	10	55
	% of affordable housing in Town within a 1/2 mile of a bus stop.	98%	96%	94%	97%
	Dollars deployed to community partners to support affordable housing development and preservation projects	\$10.00M	\$3.92M	\$2.83M	\$6.50M
	# of affordable housing units approved by Council	163	284	287	309
Community Connections	Average # of households served weekly at food distribution	135	167	148	145
	% of human services agencies who are satisfied with our funding process.	79%	82%	N/A *	84%
	Number of low-income youth employed through our Summer Youth Employment Program	22	24	23	24
	Total budget for Human Services Program	\$573,825	\$602,516	\$602,516	\$602,516

* Survey not conducted in FY25

Core Business Program	Performance Measure	FY23 Actual	FY24 Actual	FY25 Actual	FY26 Target
Community Connections	# of nonprofits funded by our Human Services Program	40	41	44	17*
	Average readership of the AHCC Community Newsletter	120	127	129	130
	# of community engagement meetings facilitated	215	248	155	200
	Town budget for Community Connections strategies	\$1.2M	\$1.2M	\$955K	\$1.2M

* The number of agencies funded will be reduced in FY26, resulting in an increase in the amount of funding allocated to each agency.

BUILDING & DEVELOPMENT SERVICES

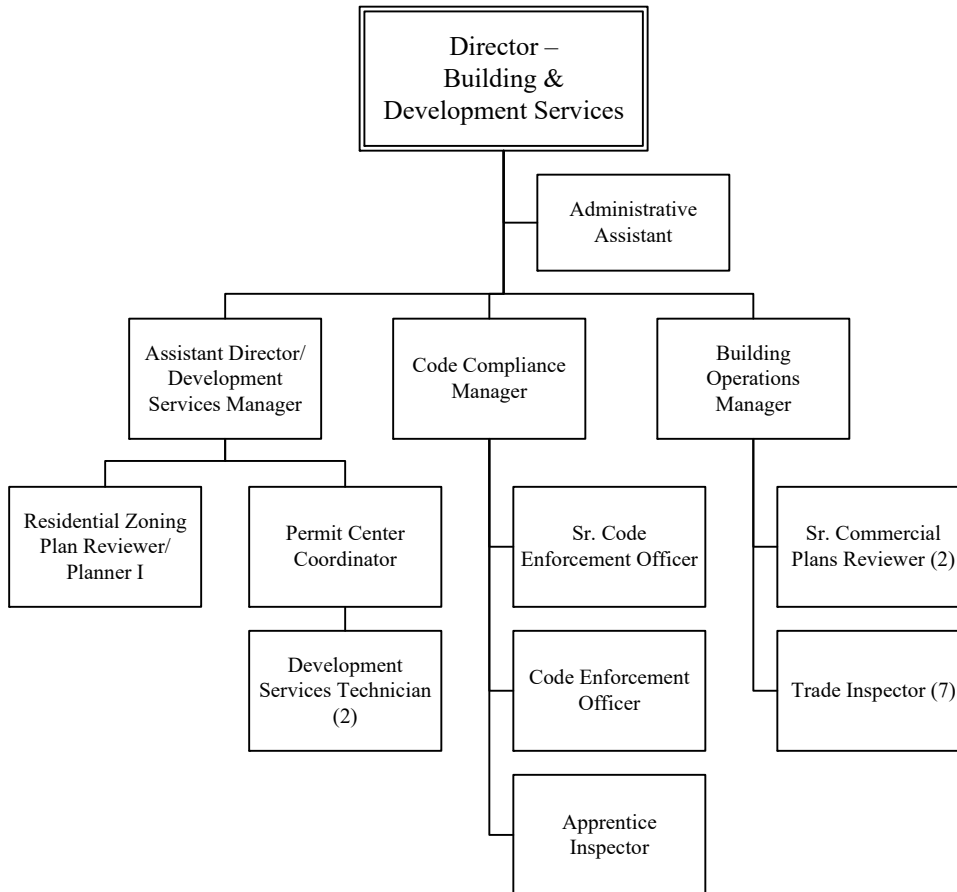
MISSION STATEMENT:

To provide guidance and serve as a resource to our customers while upholding and verifying compliance with local ordinances, General Statutes, and Current Building Codes and Standards in a manner consistent with the Town Values for the health and safety of our residents with integrity.

The Building & Development Services Department identified the following primary programs that are included in the adopted budget for 2025-26.

Program	Description
Permit Center	Assist the public in navigating the permit process by answering questions; solving problems and anticipating pitfalls through regular positive customer interactions; review permits submitted through the online portal; process requests for inspections and public information requests.
Plan Review	Review all plans submitted for NC code compliance, applicable local ordinances, and LUMO; take the lead on providing guidance to the development community during the review process; identify deficiencies and request corrective actions and documentation.
Field Inspections	Perform and manage the field inspections for various new construction projects throughout the Town; verify compliance with NC Codes, applicable local ordinances, LUMO, and NC Statutes.
Code Enforcement	Enforce local ordinance to include Housing and LUMO in a manner consistent with NC Statutes for existing properties throughout the Town.

BUILDING & DEVELOPMENT SERVICES DEPARTMENT



BUILDING & DEVELOPMENT SERVICES

STAFFING COMPARISONS - IN FULL-TIME EQUIVALENTS

	2023-24 ADOPTED	2024-25 ADOPTED	2025-26 ADOPTED
Director - Building & Development Services	1.00	1.00	1.00
Assistant Director - Building & Development Services	1.00	1.00	1.00
Code Enforcement Officer	1.00	1.00	1.00
Building Operations Manager	1.00	1.00	1.00
Commercial Plans Reviewer	1.00	0.00	0.00
Commercial Plans Reviewer - Sr.	2.00	2.00	2.00
Code Compliance Manager	0.00	1.00	1.00
Development Technician	2.00	1.50	1.50
Administrative Assistant	1.00	1.00	1.00
Inspector	7.00	7.00	7.00
Permit Center Coordinator	1.00	1.00	1.00
Planning Manager	1.00	1.00	0.00
Planner I	1.00	1.00	1.00
Apprentice Inspector	0.00	1.00	1.00
Code Enforcement Officer - Sr.	0.00	0.00	1.00
BDS Department Totals	20.00	20.50	20.50

BUILDING & DEVELOPMENT SERVICES

BUDGET SUMMARY

The adopted budget for the Building & Development Services department reflects an overall expenditure increase of 7.3% from the 2024-25 budget. Personnel expenses increased 5.8% due to a 0.75% retirement increase, a 6% increase in insurance costs, and a salary increase. Operating costs went up 22.5%, mostly because of a new vehicle for the Code Enforcement division.

EXPENDITURES

	2023-24 Actual	2024-25 Original Budget	2024-25 Revised Budget	2024-25 Estimated	2025-26 Adopted Budget	% Change from 2024-25
Personnel	\$ 2,311,088	\$ 2,611,046	\$ 2,621,846	\$ 2,508,083	\$ 2,761,253	5.8%
Operating Costs	195,250	257,312	241,847	233,205	315,213	22.5%
Total	\$ 2,506,338	\$ 2,868,358	\$ 2,863,693	\$ 2,741,288	\$ 3,076,466	7.3%

REVENUES

	2023-24 Actual	2024-25 Original Budget	2024-25 Revised Budget	2024-25 Estimated	2025-26 Adopted Budget	% Change from 2024-25
General Revenues	\$ 282,741	\$ 282,978	\$ 278,313	\$ 707,888	\$ 956,876	238.1%
Licenses/Permits/Fines	2,223,597	2,585,380	2,585,380	2,033,400	2,119,590	-18.0%
Total	\$ 2,506,338	\$ 2,868,358	\$ 2,863,693	\$ 2,741,288	\$ 3,076,466	7.3%

BUILDING & DEVELOPMENT SERVICES

Performance Measures

	Strategic Objectives ➤ Improve customer service delivery with technology enhancements ➤ Improve customer service and delivery of commercial plan reviews within targeted deadlines ➤ Improve customer service and delivery of residential plan reviews within targeted deadlines. ➤ Improve response time to inspections requests within targeted deadlines ➤ Improve response time to code complaints and within targeted deadlines
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Core Business Program	Performance Measure	FY23 Actual	FY24 Actual	FY25 Estimate	FY26 Target
Code Enforcement (State Laws and Local Ordinances), Inspections, Plan Review, and Permitting (all programs assume building and zoning)	% of staff trained on usage of new program once installed	100%	100%	100%	100%
	Increase percentage of commercial plans reviews completed within 30 days of acceptance.	93%	94%	91%	95%
	Increase percentage of residential plan reviews completed within 5 days of acceptance.	94%	93%	92%	95%
	Increase percentage of inspections completed within one workday of request	99%	98%	84%	90%
	Increase percentage of code complaints responded to within 2 business days	97%	97%	97%	97%

PUBLIC SAFETY

BUDGET SUMMARY

Public Safety includes the Town's Police and Fire departments.

EXPENDITURES

	2023-24 Actual	2024-25 Original Budget	2024-25 Revised Budget	2024-25 Estimated	2025-26 Adopted Budget	% Change from 2024-25
Police	\$ 16,535,893	\$ 17,307,866	\$ 17,364,300	\$ 17,241,326	\$ 18,724,176	8.2%
Fire	11,351,433	11,893,494	11,939,158	11,904,709	12,551,521	5.5%
Total	\$ 27,887,326	\$ 29,201,360	\$ 29,303,458	\$ 29,146,035	\$ 31,275,697	7.1%

REVENUES

	2023-24 Actual	2024-25 Original Budget	2024-25 Revised Budget	2024-25 Estimated	2025-26 Adopted Budget	% Change from 2024-25
General Revenues	\$ 25,664,636	\$ 27,168,282	\$ 27,202,584	\$ 27,003,143	\$ 29,079,674	7.0%
State-Shared Revenues	1,025,214	1,025,000	1,025,000	1,025,214	1,025,214	0.0%
Grants	71,015	6,000	73,796	43,758	6,000	0.0%
Charges for Services	898,929	756,078	756,078	949,270	982,309	29.9%
Licenses/Permits/Fines	226,500	245,000	245,000	123,900	181,500	-25.9%
Other Revenues	1,032	1,000	1,000	750	1,000	0.0%
Total	\$ 27,887,326	\$ 29,201,360	\$ 29,303,458	\$ 29,146,035	\$ 31,275,697	7.1%

CHAPEL HILL POLICE DEPARTMENT

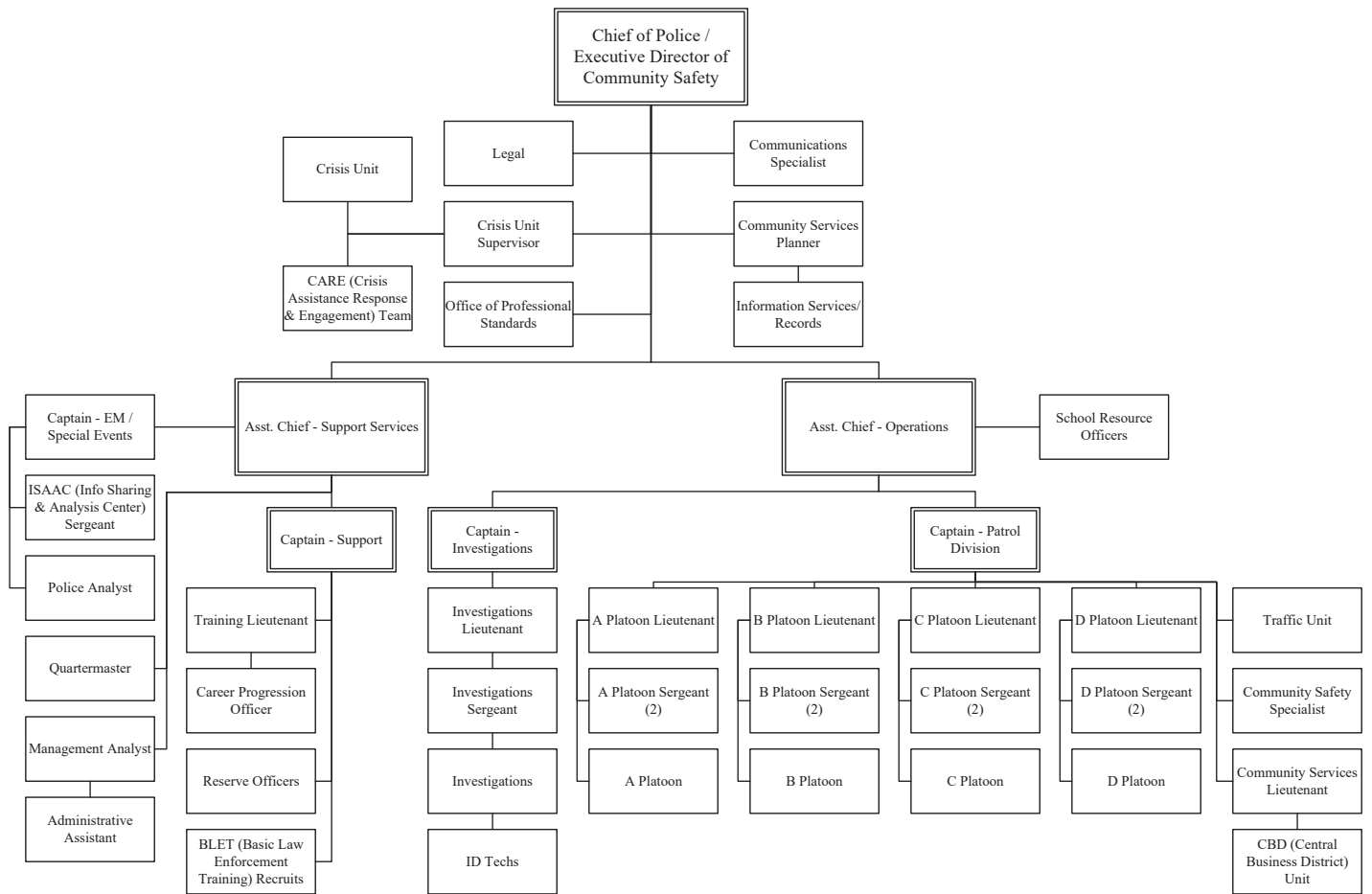
MISSION STATEMENT:

The primary mission of the Police Department is to preserve and protect life and property and enhance the quality of life in our community through the fair and effective delivery of services.

The Chapel Hill Police Department identified the following primary programs that are included in the adopted budget for 2025-26.

Program	Description
Patrol Division	Respond to 911 calls, investigate traffic crashes, conduct directed patrols, and provide patrols in the field.
Investigative Division	Investigate crimes against people and property, including dangerous drug- and alcohol-related offenses. Gather and analyze evidence and investigate crime scenes.
Community Services	Develop and foster partnerships between officers and the community, strengthening the relationships by organizing and participating in community safety meetings and providing crime prevention and traffic education to the community.
Crisis Unit	A staff of social workers, mental health, and peer support experts help community members handle social/emotional issues following a variety of incidents. Organize and participate in community safety discussions.
Support Services	Coordinate and provide required training to meet State Criminal Justice standards of departmental employees. Manage and oversee budget and day-to-day financial records. Archive police records and make them available to community members.
School Resource Officers	Organize outreach to middle and high schools in Chapel Hill while serving as a liaison to the Police Department and partnering to provide safe learning environments.
Special Events	Provide logistical support for special events and coordinate with the emergency management team.
Training	Support professional development by providing continuous training and educational opportunities for personal and career growth and advancement.
Wellness	Enhance the mental health and wellness of all department employees and their family members by providing comprehensive and evidence-based support services.

Police Department



POLICE DEPARTMENT

STAFFING COMPARISONS - IN FULL-TIME EQUIVALENTS

	2023-24 ADOPTED	2024-25 ADOPTED	2025-26 ADOPTED
Support Services			
Police Chief/Executive Director for Community Safety	1.00	1.00	1.00
Police Legal Advisor	2.00	2.00	2.00
Police Analyst	1.00	1.00	1.00
Crisis Unit Supervisor	1.00	1.00	1.00
Lead Crisis Counselor	1.00	1.00	1.00
Crisis Counselor	5.00	5.00	7.00
Administrative Assistant	1.00	1.00	1.00
Management Analyst	1.00	1.00	1.00
Media Relations Manager	1.00	1.00	1.00
Community Safety Specialist	1.00	1.00	1.00
Records Technician	3.00	3.00	3.00
Peer Support Specialist	1.00	1.00	1.00
Community Services Planner	1.00	1.00	1.00
Crash Assistance Responder	0.00	0.00	2.00
Division Totals	20.00	20.00	24.00
Operations			
Assistant Police Chief	2.00	2.00	2.00
Police Captain	4.00	4.00	5.00
Police Lieutenant	8.00	9.00	8.00
Police Sergeant	12.00	11.00	12.00
Forensic and Evidence Specialist	2.00	1.00	1.00
Police Officer	73.00	74.00	71.00
Division Totals	101.00	101.00	99.00
Police Department Totals	121.00	121.00	123.00

POLICE

BUDGET SUMMARY

While the Police Department generates revenues from grants, charges for services, and licenses, permits, and fines, the majority of the revenues are not department-specific. Most grant revenues were moved to a separate Grants Fund in 2007-08.

Personnel expenditure increases are attributed to a 0.75% retirement increase, a 6% increase in insurance costs, a salary increase, and two new Crisis Counselor positions. Operating budget increases are attributed to costs associated with the new PD facility, increased IT infrastructure & security costs, Orange County Animal Services charges, software, and vehicle replacement.

EXPENDITURES

	2023-24 Actual	2024-25 Original Budget	2024-25 Revised Budget	2024-25 Estimated	2025-26 Adopted Budget	% Change from 2024-25
Personnel	\$ 14,506,563	\$ 14,981,461	\$ 14,874,661	\$ 14,928,290	\$ 16,001,620	6.8%
Operating Costs	2,029,330	2,326,405	2,489,639	2,313,036	2,722,556	17.0%
Total	\$ 16,535,893	\$ 17,307,866	\$ 17,364,300	\$ 17,241,326	\$ 18,724,176	8.2%

REVENUES

	2023-24 Actual	2024-25 Original Budget	2024-25 Revised Budget	2024-25 Estimated	2025-26 Adopted Budget	% Change from 2024-25
General Revenues	\$ 15,871,445	\$ 16,801,288	\$ 16,857,722	\$ 16,552,706	\$ 17,999,867	7.1%
Grants	8,933	6,000	6,000	3,000	6,000	0.0%
Charges for Services	618,325	467,578	467,578	660,770	693,809	48.4%
Licenses/Permits/Fines	36,158	32,000	32,000	24,100	23,500	-26.6%
Other Revenues	1,032	1,000	1,000	750	1,000	0.0%
Total	\$ 16,535,893	\$ 17,307,866	\$ 17,364,300	\$ 17,241,326	\$ 18,724,176	8.2%

POLICE

Performance Measures

	Strategic Objectives ➤ Achieve or maintain “very satisfied” or “satisfied” survey ratings for customer perception of the Chapel Hill Police Department from at least 70% of customers surveyed. ➤ The annual number of part 1 Crimes against Persons and Property does not exceed 1,500 crimes. ➤ Achieve an annual Clearance Rate of Part 1 Crimes against Persons of 60%. ➤ Achieve an annual Clearance Rate of Part 1 Property Crime of 17%. ➤ Maintain “very safe” or “safe” survey ratings for “Level of Safety and Security” in neighborhoods from at least 90% of residents surveyed. ➤ Achieve a decrease in vehicle crash resulting in injuries. ➤ Achieve “very satisfied” or “satisfied” survey ratings for employee perception of the police department from at least 75% of employees surveyed.
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Core Business Program	Performance Measure	FY23 Actual	FY24 Actual	FY25 Estimate	FY26 Target
Patrol Division, Investigative Division, Police Crisis Unit	Survey residents and ascertain satisfaction with overall quality of police protection.	N/A*	77%	N/A*	70%
	Total Number of Part 1 Crimes against Persons and Property	1,691	1,785	1,791	1,400
	Percentage of Part 1 Crimes against Persons cleared	47%	37%	46%**	50%
	Percentage of Part 1 Property Crimes cleared	13%	12%	12%	15%
	“Very safe” or “safe” survey ratings for “Level of Safety and Security” in neighborhoods in Community Survey	N/A	80%	N/A	80%
	Percentage of vehicle crashes resulting in injuries <17% of our total number of crashes	24% 4%***	19% 5%***	20% 4%***	17% 2%***
Support Services	% of employees who advance through career progression program on-time	100%	100%	100%	100%
	% of police applicants successfully passing BLET/FTP	94%	75%	81%****	95%

* The Community Survey is conducted every other year.

** This number includes active cases that have not been closed yet.

*** The top (larger) number includes all crashes where any complaint of injury, no matter how small, is made known to the investigating officer.
The smaller number includes only crashes where an injury was clearly evident or there was a fatality.

****FTP for FY25 not complete as of time of this report

POLICE - Support Services Division

BUDGET SUMMARY

The adopted budget for the Support Services division reflects an overall expenditure increase of 26.9% from last year's budget. The 21% increase in personnel is due to two positions being moved from the Operations division to Support Services, a 0.75% retirement increase, a 6% increase in insurance costs, a salary increase, and two new Crisis Counselor positions. There is a 42.5% increase in the operating budget due to increased costs associated with the new PD facility, higher charges for Orange County Animal Services, an increase in IT infrastructure & security costs, and added budget for software.

EXPENDITURES

	2023-24 Actual	2024-25 Original Budget	2024-25 Revised Budget	2024-25 Estimated	2025-26 Adopted Budget	% Change from 2024-25
Personnel	\$ 2,210,428	\$ 2,333,807	\$ 2,227,007	\$ 2,544,080	\$ 2,823,620	21.0%
Operating Costs	855,832	885,436	974,632	886,617	1,261,590	42.5%
Total	\$ 3,066,260	\$ 3,219,243	\$ 3,201,639	\$ 3,430,697	\$ 4,085,210	26.9%

POLICE - Operations Division

BUDGET SUMMARY

The Operations Division reflects a 4.1% increase from the 2024-25 budget. The 4.2% increase to the personnel budget is attributed to a 0.75% increase in retirement costs, a 6% insurance increase, and a salary increase. This is somewhat offset by two positions moving to the Support Services division. Operating costs increased 3.2% due to vehicle replacement.

EXPENDITURES

	2023-24 Actual	2024-25 Original Budget	2024-25 Revised Budget	2024-25 Estimated	2025-26 Adopted Budget	% Change from 2024-25
Personnel	\$ 12,296,135	\$ 12,647,654	\$ 12,647,654	\$ 12,384,210	\$ 13,178,000	4.2%
Operating Costs	1,151,335	1,391,119	1,513,878	1,425,290	1,435,766	3.2%
Total	\$ 13,447,470	\$ 14,038,773	\$ 14,161,532	\$ 13,809,500	\$ 14,613,766	4.1%

POLICE - Special Events

BUDGET SUMMARY

The Special Events division tracks the cost of additional police presence at special events, including impromptu University of North Carolina student celebrations, Halloween, and Festifall. The adopted budget for 2025-26 has decreased 49.4%. This is due to realized savings stemming from successful efforts to contain the downtown Halloween celebration for the past several years.

EXPENDITURES

	2023-24 Actual	2024-25 Original Budget	2024-25 Revised Budget	2024-25 Estimated	2025-26 Adopted Budget	% Change from 2024-25
Operating Costs	\$ 22,163	\$ 49,850	\$ 1,129	\$ 1,129	\$ 25,200	-49.4%
Total	\$ 22,163	\$ 49,850	\$ 1,129	\$ 1,129	\$ 25,200	-49.4%

FIRE DEPARTMENT

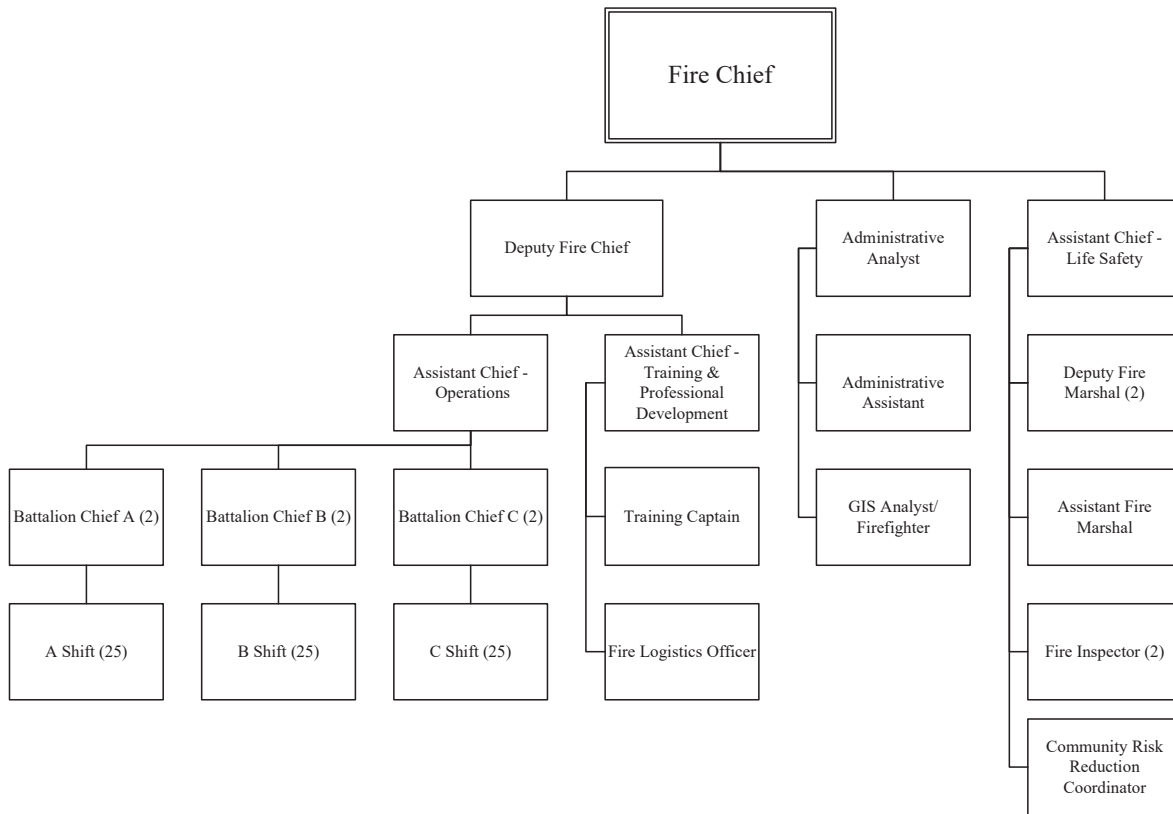
MISSION STATEMENT:

The primary mission of Chapel Hill Fire Rescue is to protect life, property, and the environment from the destructive effects of fire, disasters, or other hazards by providing public education, incident prevention, and emergency response services.

The Fire Department identified the following primary programs that are included in the adopted budget for 2025-26.

Program	Description
Emergency Operations	Provide fire suppression, rescue, extrication/accident response, hazard mitigation, and response to environmental threats in the Town of Chapel Hill and to neighboring jurisdictions under Mutual Aid agreements.
Code Enforcement	Educate our community members and business owners to ensure compliance with the fire and safety codes of the Town and State through inspections, plan reviews, and investigating the origin and cause of fires.
Fire Prevention & Life Safety Education	Schedule, coordinate, and conduct public education and outreach services providing information on fire prevention, CPR, child safety seats, home safety, and smoke alarms.
Emergency Medical Services	Provide response to medical emergencies within Town limits as part of emergency operations. Manage resources and coordinate administrative efforts to ensure proper coverage and service delivery.

FIRE



FIRE DEPARTMENT

STAFFING COMPARISONS - IN FULL-TIME EQUIVALENTS

	2023-24 ADOPTED	2024-25 ADOPTED	2025-26 ADOPTED
Administration			
Fire Chief	1.00	1.00	1.00
Administrative Coordinator	1.00	1.00	1.00
Management Analyst	1.00	1.00	1.00
Division Totals	3.00	3.00	3.00
Emergency Operations			
Deputy Fire Chief	1.00	1.00	1.00
Battalion Fire Chief	6.00	6.00	6.00
Fire Captain	18.00	18.00	18.00
Training Captain	1.00	1.00	1.00
Fire Logistics Officer	1.00	1.00	1.00
Assistant Fire Chief of Operations	1.00	1.00	1.00
Assistant Fire Chief of Training	1.00	1.00	1.00
Fire Equipment Operator/Lieutenant	21.00	21.00	21.00
Firefighter/Master	37.00	37.00	37.00
Division Totals	87.00	87.00	87.00
Life Safety			
Fire Marshall - Assistant Chief	1.00	1.00	1.00
Fire Inspector	2.00	2.00	2.00
Deputy Fire Marshal	2.00	2.00	2.00
Assistant Fire Marshal	1.00	1.00	1.00
Community Risk Reduction Coordinator	1.00	1.00	1.00
Division Totals	7.00	7.00	7.00
Fire Department Totals	97.00	97.00	97.00

FIRE

BUDGET SUMMARY

While the Fire Department generates revenues from grants and charges for services, licenses, permits, and fines, the majority of revenues are not department-specific. Changes related to expenditures are noted on division summaries.

Fire Department costs have increased 5.5% due to retirement, insurance, and salary increases, as well as vehicle replacement, and increased software and contract costs. Capital outlay increased as part of the 5-year outlook, working towards the goal of creating a sustainable funding source for the replacement of fire apparatus.

EXPENDITURES

	2023-24 Actual	2024-25 Original Budget	2024-25 Revised Budget	2024-25 Estimated	2025-26 Adopted Budget	% Change from 2024-25
Personnel	\$ 9,796,270	\$ 10,370,806	\$ 10,370,806	\$ 10,426,254	\$ 10,655,791	2.7%
Operating Costs	1,446,820	1,272,688	1,389,609	1,366,455	1,395,730	9.7%
Capital Outlay	108,343	250,000	178,743	112,000	500,000	100.0%
Total	\$ 11,351,433	\$ 11,893,494	\$ 11,939,158	\$ 11,904,709	\$ 12,551,521	5.5%

REVENUES

	2023-24 Actual	2024-25 Original Budget	2024-25 Revised Budget	2024-25 Estimated	2025-26 Adopted Budget	% Change from 2024-25
General Revenues	\$ 9,793,191	\$ 10,366,994	\$ 10,344,862	\$ 10,450,437	\$ 11,079,807	6.9%
State-Shared Revenues	1,025,214	1,025,000	1,025,000	1,025,214	1,025,214	0.0%
Grants	62,082	-	67,796	40,758	-	N/A
Charges for Services	280,604	288,500	288,500	288,500	288,500	0.0%
Licenses/Permits/Fines	190,342	213,000	213,000	99,800	158,000	-25.8%
Total	\$ 11,351,433	\$ 11,893,494	\$ 11,939,158	\$ 11,904,709	\$ 12,551,521	5.5%

FIRE

Performance Measures

	Strategic Objectives ➤ Achieve and maintain a response time (dispatch to on-scene) consistent with national standards of coverage (NFPA 1710) of a 5-minute arrival time for the first due or 9-minute arrival time for the full dispatched assignment in at least 90% of all incidents. ➤ Make building familiarization and pre-incident planning tours of each commercial, industrial, and other similar building at least annually. ➤ Maintain out-of-service time of front line apparatus at 10% or less ➤ Achieve and maintain a response time (dispatch to on-scene) of 5 minute arrival time in first due area at least 90% of the time ➤ Work collaboratively with OCEM to coordinate efforts to release fire units as quickly as possible on medical calls without compromising care to the citizens. Reduce on-scene time to less than 20 minutes 90% of the time ➤ Enforce the fire and safety codes of the Town and State through inspection, plan review, and investigating the causes of fires ➤ Reach at least 15% of the Chapel Hill population annually with presentations, demonstrations, programs, materials, and events with messages to raise awareness and knowledge of how to prevent emergency incidents and/or how to appropriately react when an emergency does occur ➤ Achieve full ISO credit for training standards in the areas of: the company, officer, driver operator, and hazardous material
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Core Business Program	Performance Measure	FY23 Actual	FY24 Actual	FY25 Actual	FY26 Target
Emergency Operations	Percentage of structure fire responses within 5 minutes from dispatch to the arrival of the first unit	57%	72%	66%	90%
	Percentage of structure fire responses within NFPA 1710 standard of 8 minutes from dispatch to the arrival of the full alarm	11%	0%	0%	90%
	Percentage of non-medical emergency responses within 5 minutes from dispatch to the arrival of the first unit.	71%	66%	68%	90%
	Percentage of front-line apparatus with out-of-service time greater than 10%	100%	No Data	78%	20%
First Responder Medical Services	CHFD response time to medical calls within 5 minutes from dispatch to arrival	70%	89%	50%	90%

Core Business Program	Performance Measure	FY23 Actual	FY24 Actual	FY25 Actual	FY26 Target
Code Enforcement	Percentage of State required inspections completed*	59.62%	60%	45.2%	70%
Fire Prevention and Safety Education	Combined audiences of public safety presentation, as a percentage of total population**	11%	20%	24.8%	15%
Training and Development	Personnel completed company training (192 hours required)	44.54%	36%	71%	100%
	Personnel completed full officer training (12 hours required)	100%	71%	81%	100%
	Personnel completed existing driver operator training (12 hours required)	86%	96%	90%	100%
	Personnel completed hazardous material training (6 hours required).	92%	22%	91%	100%
	Personnel completed 2 hours of mutual aid training quarterly	New Metric in FY24	0%	100%	100%
	Personnel completed facilities training (18 hours required)		76%	92%	100%

*Note many inspections were put on hold during COVID-19 protocols

**Note many types of public education events were not executed during COVID-19 protocols

FIRE - Administration Division

BUDGET SUMMARY

The adopted budget for the Administration division reflects an overall expenditure decrease of 3.2% from last year's budget. The slight increase in personnel costs is the result of retirement, insurance, and salary increases, which are offset by staff turnover. The operating budget decreased 21.3% because software-related costs were moved to the Emergency Operations division.

EXPENDITURES

	2023-24	2024-25	2024-25	2024-25	2025-26	% Change
	Actual	Original	Revised	Estimated	Adopted	from
		Budget	Budget		Budget	2024-25
Personnel	\$ 592,223	\$ 458,512	\$ 401,336	\$ 370,365	\$ 459,524	0.2%
Operating Costs	130,357	88,124	102,797	94,078	69,358	-21.3%
Total	\$ 722,580	\$ 546,636	\$ 504,133	\$ 464,443	\$ 528,882	-3.2%

FIRE - Emergency Operations Division

BUDGET SUMMARY

The adopted budget for the Emergency Operations Division reflects a 6.2% increase overall. Personnel expenditures experienced a 3.2% increase due to a 0.75% increase in retirement costs, a 6% increase in insurance costs, and a salary increase. This is slightly offset by staff turnover. Operating expenditures saw a 9% increase, reflecting increases in fleet use charges as well as software and contract costs. Capital outlay expenditures increased as part of the 5-year outlook, working towards the goal of creating a sustainable funding source for the replacement of fire apparatus.

EXPENDITURES

	2023-24 Actual	2024-25 Original Budget	2024-25 Revised Budget	2024-25 Estimated	2025-26 Adopted Budget	% Change from 2024-25
Personnel	\$ 8,441,833	\$ 9,019,178	\$ 9,181,354	\$ 9,347,961	\$ 9,310,868	3.2%
Operating Costs	1,230,928	1,093,719	1,219,531	1,208,297	1,191,811	9.0%
Capital Outlay	108,343	250,000	178,743	112,000	500,000	100.0%
Total	\$ 9,781,104	\$ 10,362,897	\$ 10,579,628	\$ 10,668,258	\$ 11,002,679	6.2%

FIRE - Life Safety Division

BUDGET SUMMARY

The adopted budget for the Life Safety division reflects an overall expenditure increase of 3.7% from the 2024-25 budget. The 0.9% decrease in personnel is mainly due to staff retirements and turnover. The operating budget went up 48.1% primarily because of planned replacement of a vehicle within the division.

EXPENDITURES

	2023-24 Actual	2024-25 Original Budget	2024-25 Revised Budget	2024-25 Estimated	2025-26 Adopted Budget	% Change from 2024-25
Personnel	\$ 762,214	\$ 893,116	\$ 788,116	\$ 707,928	\$ 885,399	-0.9%
Operating Costs	85,535	90,845	67,281	64,080	134,561	48.1%
Total	\$ 847,749	\$ 983,961	\$ 855,397	\$ 772,008	\$ 1,019,960	3.7%

LEISURE

BUDGET SUMMARY

Leisure includes the Parks and Recreation department and the Chapel Hill Public Library.

EXPENDITURES

	2023-24 Actual	2024-25 Original Budget	2024-25 Revised Budget	2024-25 Estimated	2025-26 Adopted Budget	% Change from 2024-25
Parks and Recreation	\$ 8,415,902	\$ 9,123,072	\$ 9,195,423	\$ 8,822,003	\$ 9,694,655	6.3%
Library	4,535,439	4,753,877	4,758,587	4,659,163	4,982,545	4.8%
Total	\$ 12,951,341	\$ 13,876,949	\$ 13,954,010	\$ 13,481,166	\$ 14,677,200	5.8%

REVENUES

	2023-24 Actual	2024-25 Original Budget	2024-25 Revised Budget	2024-25 Estimated	2025-26 Adopted Budget	% Change from 2024-25
General Revenues	\$ 10,509,371	\$ 11,694,321	\$ 11,757,880	\$ 11,285,864	\$ 12,283,577	5.0%
Grants	743,862	743,862	743,862	743,862	744,083	0.0%
Charges for Services	1,530,091	1,363,766	1,363,766	1,356,054	1,570,540	15.2%
Other Revenues	123,017	30,000	43,502	50,386	34,000	13.3%
Transfers/Other Sources	45,000	45,000	45,000	45,000	45,000	0.0%
Total	\$ 12,951,341	\$ 13,876,949	\$ 13,954,010	\$ 13,481,166	\$ 14,677,200	5.8%

PARKS AND RECREATION DEPARTMENT

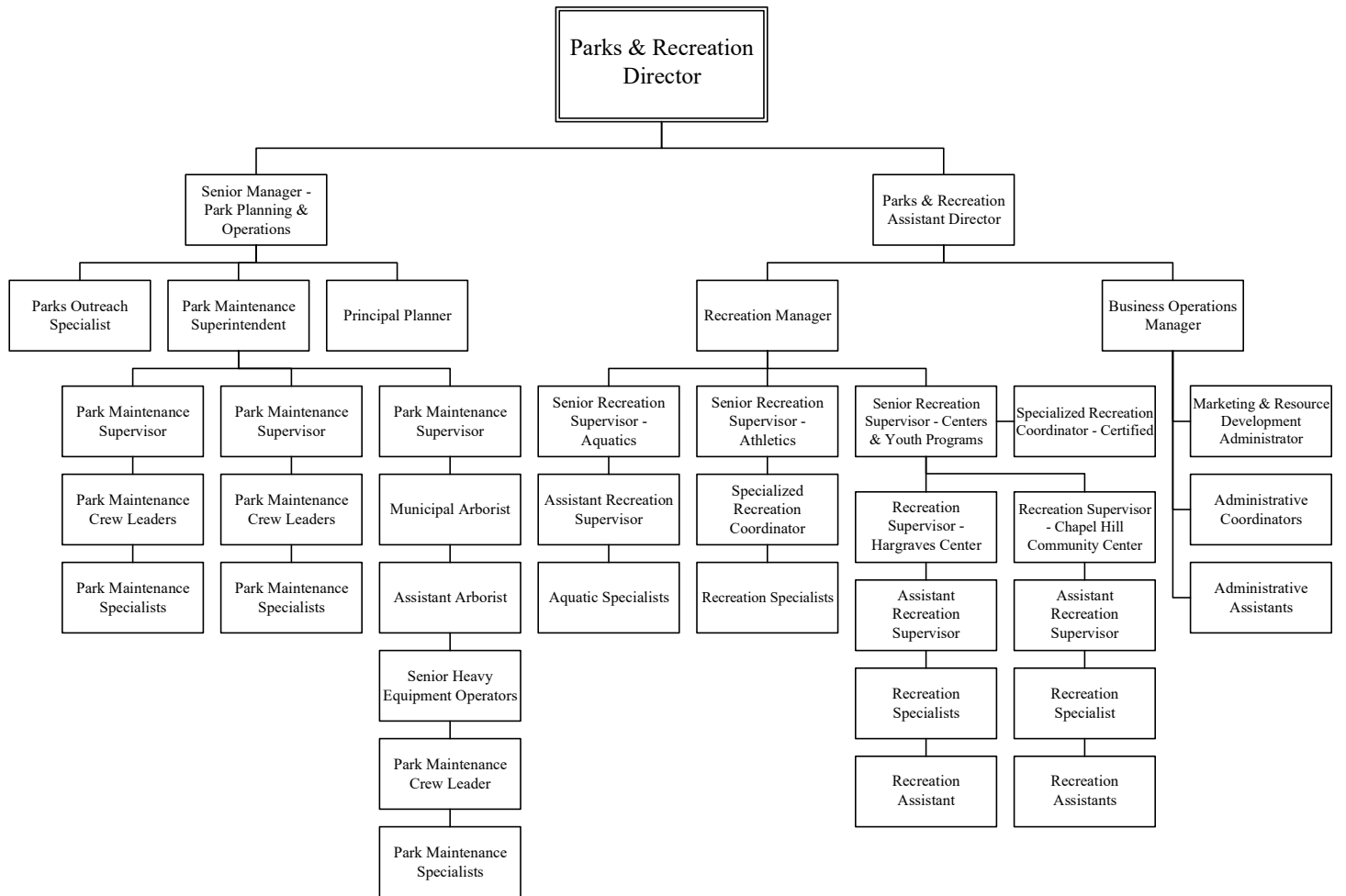
MISSION STATEMENT:

To enliven our community by providing exceptional service, creating opportunities for inclusive recreational and cultural experiences, and nurturing beautiful, sustainable spaces.

The Parks and Recreation Department identified the following primary programs that are included in the adopted budget for 2025-26.

Program	Description
Park and Landscape Maintenance	Operate and maintain Town owned and controlled outdoor properties, including parks, playgrounds, athletic fields, green/open space, cemeteries, and trails and greenways. Perform or coordinate landscape maintenance at rights of way along public roadways and thoroughfares throughout Chapel Hill, including vegetative maintenance at most Town facilities and tree/arboriculture responsibilities.
Planning and Development	Lead the planning and development of new facilities and renovations at parks and recreation venues. Coordinate comprehensive and strategic planning efforts related to Parks and Recreation. Manage construction and renovation projects.
Cemetery Operations	Administer operation of Memorial Cemetery, including sale of columbarium niches, resale of burial plots, and scheduling of services. Provide landscaping, routine maintenance, and record keeping of the 4 Town-owned cemeteries.
Recreation Programming and Facility Management	Provide recreational programming throughout the Town, including youth and teen programs, aquatics and swimming classes, instructional sports, athletic leagues, fitness and arts programs, open gym and field play opportunities, as well as specialized programs including Special Olympics of Orange County and adapted recreation. Operate recreational, aquatic, and athletic facilities and coordinate the use of athletic fields, gyms, meeting rooms, and other facilities.
Business Operations	Facilitate administrative and business operations, including marketing and promotion, facility booking and program registration software and process coordination, resource development, reporting and evaluation, and payroll. Coordinate picnic shelter bookings and customer service management processes department-wide.

PARKS AND RECREATION DEPARTMENT



PARKS & RECREATION DEPARTMENT

STAFFING COMPARISONS - IN FULL-TIME EQUIVALENTS

	2023-24 ADOPTED	2024-25 ADOPTED	2025-26 ADOPTED
Administration			
Director - Parks & Recreation	1.00	1.00	1.00
Assistant Director - Parks and Recreation	1.00	1.00	1.00
Senior Manager of Planning & Parks Operations	1.00	1.00	1.00
Senior Recreation Supervisor	1.00	1.00	1.00
Administrative Coordinator	1.00	1.00	1.00
Recreation Manager	1.00	1.00	1.00
Administrative Assistant	2.00	2.00	2.00
Business Operations Manager	1.00	1.00	1.00
Marketing & Resource Development Administrator	1.00	1.00	1.00
Division Totals	10.00	10.00	10.00
Landscape Services and Park Maintenance			
Parks Maintenance Superintendent	1.00	1.00	1.00
Parks Maintenance Supervisor	3.00	3.00	3.00
Parks Outreach Specialist	1.00	1.00	1.00
Municipal Arborist	1.00	1.00	1.00
Principial Planner	1.00	1.00	1.00
Assistant Arborist	1.00	1.00	1.00
Senior Heavy Equipment Operator	1.00	1.00	1.00
Park Maintenance Specialist/Crew Leader ¹	16.00	16.00	16.00
Administrative Coordinator	1.00	1.00	1.00
Division Totals	26.00	26.00	26.00
Athletics			
Senior Recreation Supervisor	1.00	1.00	1.00
Specialized Recreation Coordinator	1.00	1.00	1.00
Specialized Recreation Coordinator - Certified	1.00	1.00	1.00
Recreation Specialist	1.50	1.50	1.50
Division Totals	4.50	4.50	4.50
Community Center			
Recreation Supervisor	1.00	1.00	1.00
Assistant Recreation Supervisor	1.00	1.00	1.00
Recreation Specialist	0.50	0.50	0.50
Recreation Assistant	2.00	2.00	2.00
Division Totals	4.50	4.50	4.50

continued

PARKS & RECREATION DEPARTMENT

STAFFING COMPARISONS - IN FULL-TIME EQUIVALENTS

	2023-24 ADOPTED	2024-25 ADOPTED	2025-26 ADOPTED
Aquatics Center			
Senior Recreation Supervisor	1.00	1.00	1.00
Assistant Recreation Supervisor	1.00	1.00	1.00
Aquatics Specialist	3.00	3.00	3.00
Division Totals	5.00	5.00	5.00
Hargraves Center			
Recreation Supervisor	1.00	1.00	1.00
Assistant Recreation Supervisor	1.00	1.00	1.00
Recreation Specialist	1.80	1.80	1.80
Recreation Assistant	1.00	1.00	1.00
Division Totals	4.80	4.80	4.80
Parks & Recreation Department Totals	54.80	54.80	54.80

¹ One additional Park Maintenance Specialist position is funded by the Downtown Service District.

PARKS AND RECREATION

BUDGET SUMMARY

The recommended budget for Parks & Recreation has increased by 6.3% overall. The personnel budget includes a 0.75% retirement increase, a 6% increase in insurance costs, and a salary increase. The 10.9% increase in operations is mostly due to vehicle replacement for the Parks Maintenance division.

EXPENDITURES

	2023-24 Actual	2024-25 Original Budget	2024-25 Revised Budget	2024-25 Estimated	2025-26 Adopted Budget	% Change from 2024-25
Personnel	\$ 6,192,502	\$ 6,769,934	\$ 6,792,664	\$ 6,396,394	\$ 7,085,433	4.7%
Operating Costs	2,164,058	2,353,138	2,382,323	2,416,809	2,609,222	10.9%
Capital Outlay	59,342	-	20,436	8,800	-	N/A
Total	\$ 8,415,902	\$ 9,123,072	\$ 9,195,423	\$ 8,822,003	\$ 9,694,655	6.3%

REVENUES

	2023-24 Actual	2024-25 Original Budget	2024-25 Revised Budget	2024-25 Estimated	2025-26 Adopted Budget	% Change from 2024-25
General Revenues	\$ 6,763,071	\$ 7,722,546	\$ 7,781,395	\$ 7,412,803	\$ 8,091,855	4.8%
Grants	83,760	83,760	83,760	83,760	83,760	0.0%
Charges for Services	1,459,270	1,296,766	1,296,766	1,289,054	1,498,540	15.6%
Other Revenues	109,801	20,000	33,502	36,386	20,500	2.5%
Total	\$ 8,415,902	\$ 9,123,072	\$ 9,195,423	\$ 8,822,003	\$ 9,694,655	6.3%

PARKS & RECREATION

Performance Measures

	Strategic Objectives ➤ Use contracted services to maintain community space ➤ Use employees to maintain community space ➤ Maintain community space in an attractive and timely manner ➤ Provide community use of Town recreation facilities ➤ Offer exceptional recreational and cultural programs to the community ➤ Planning and Facility Development
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Core Business Program	Performance Measure	FY23 Actual	FY24 Actual	FY25 Actual	FY26 Target
Park Maintenance and Landscape Services	Number of acres contracted for Right of ways	70	70	70	70
	Number of acres contracted for Transit and Park and Ride Lots	16	16	16	16
	Number of Acres maintained per employee	22	22	22	22
	Mowing Frequency of Hybrid Bermuda fields (days)	3	3	3	3
	Mowing Frequency of Fescue ball fields (days)	0	0	0	0
	Mowing Frequency of Parks, Facilities and Greenways(days)	7	7	7	7
	Mowing Frequency of Tractor Right of Way(days)	42	42	42	42
	Mowing Frequency of Contracted Right of Way mowing(days)	14	14	14	14
Recreation Facility Rentals	Field rentals - number of rentals	3,338	6,913	11,759	3,100
	Field rentals - revenue	\$300,976	\$553,141	\$635,397	\$580,000
	Field rentals - attendance	253,005	323,169	603,984	300,000
	Shelter rentals - number of rentals	713	678	668	700
	Shelter rentals - revenue	\$29,641	\$28,544	\$28,002	\$29,000
	Shelter rentals - attendance	22,435	21,172	19,416	22,000
	Pool rentals - number of rentals	1,390	5,126	70	4,271
	Pool rentals - revenue	\$15,142	\$26,035	\$2,098	\$21,695
	Pool rentals - attendance	4,867	77,189	13,092	64,324

Core Business Program	Performance Measure	FY23 Actual	FY24 Actual	FY25 Actual	FY26 Target
Recreation Facility Rentals	Other Indoor Rentals - number of rentals for meeting rooms, gyms and auditorium	337	177	225	200
	Other Indoor Rentals - revenue	\$14,489	\$21,953	\$14,091	\$14,500
	Other Indoor Rentals - attendance	13,242	7,609	10,678	13,000
Recreation Programming	Number of programs offered	1,476	796	863	650
	Percentage of programs completed	90%	80%	89%	100%
	Number of registered participants in all programs	7,338	8,162	6,638	7,000
	Number of waitlisted participants in all programs	2,177	1,969	1,363	1,500
	Number of drop-in participants in all programs	72,777	82,763	51,699	69,000
Administration	Department and Co-hosted events - number of events held (New)	10	10	10	10
Planning and Facility Development	Complete the Cedar Falls Tennis Court Project (Design only)	100%	100%	100%	100%
	Complete the Skate Park Renovation Project (Design Only)	N/A	80%	100%	100%
	Complete the Community Center Inclusive Playground Project (Design Only)	N/A	95%	100%	100%
	Complete Comprehensive System Wide Master Plan	N/A	20%	33%	80%
	Complete Hargraves Park Tennis Courts Resurfacing Project (Construction)	N/A	95%	100%	100%
	Complete the Morgan Creek Trail - Western Extension to Carrboro (Design only)	60%	70%	80%	90%
	Complete the Morgan Creek Trail - Eastern Extension to Manning Dr (Design only)	60%	75%	90%	100%
	Complete the Community Center Inclusive Playground Project (Construction)	N/A	N/A	100%	100%
	Complete the Skate Park Renovation Project (Construction)	N/A	N/A	10%	100%

PARKS & RECREATION - Administration Division

BUDGET SUMMARY

The adopted budget for the Administration division reflects an overall expenditure increase of 6.1% from the 2024-25 budget. The 6.6% increase in personnel costs is attributed to a 0.75% retirement increase, a 6% increase in insurance costs, a salary increase, and employee advancement. The operating budget has an increase of 4.2% due to increased costs for supplies and contracted services.

EXPENDITURES

	2023-24 Actual	2024-25 Original Budget	2024-25 Revised Budget	2024-25 Estimated	2025-26 Adopted Budget	% Change from 2024-25
Personnel	\$ 1,095,122	\$ 1,329,963	\$ 1,329,963	\$ 1,306,898	\$ 1,417,336	6.6%
Operating Costs	303,472	352,701	427,129	394,265	367,662	4.2%
Capital Outlay	-	-	8,800	8,800	-	N/A
Total	\$ 1,398,594	\$ 1,682,664	\$ 1,765,892	\$ 1,709,963	\$ 1,784,998	6.1%

PARKS & RECREATION - Parks Maintenance

BUDGET SUMMARY

The adopted budget for the Parks Maintenance division reflects an overall expenditure increase of 10.5% from last year's budget. The 4.6% increase in personnel costs is due to a 0.75% retirement increase, a 6% increase in insurance costs, and a salary increase. Operating costs increased 26.4% due to vehicle replacement, accounting for the replacement of four pickup trucks, a Skid Steer, and four mowers.

EXPENDITURES

	2023-24 Actual	2024-25 Original Budget	2024-25 Revised Budget	2024-25 Estimated	2025-26 Adopted Budget	% Change from 2024-25
Personnel	\$ 2,066,601	\$ 2,335,432	\$ 2,335,432	\$ 2,249,102	\$ 2,443,123	4.6%
Operating Costs	765,050	859,791	845,258	909,515	1,086,632	26.4%
Capital Outlay	59,342	-	11,636	-	-	N/A
Total	\$ 2,890,993	\$ 3,195,223	\$ 3,192,326	\$ 3,158,617	\$ 3,529,755	10.5%

PARKS & RECREATION - Athletics

BUDGET SUMMARY

The adopted budget for the Athletics division reflects an overall expenditure increase of 3.9% from the 2024-25 budget. The 5.5% increase in personnel costs reflects a 0.75% retirement increase, a 6% increase in insurance costs, a salary increase, and increased program support funding. The 1.6% increase in operating costs is attributed to added budget for athletic field maintenance and turf management, which is somewhat offset by a decrease in electricity costs.

EXPENDITURES

	2023-24 Actual	2024-25 Original Budget	2024-25 Revised Budget	2024-25 Estimated	2025-26 Adopted Budget	% Change from 2024-25
Personnel	\$ 672,917	\$ 634,714	\$ 634,714	\$ 577,376	\$ 669,678	5.5%
Operating Costs	425,641	441,096	448,550	446,800	448,175	1.6%
Total	\$ 1,098,558	\$ 1,075,810	\$ 1,083,264	\$ 1,024,176	\$ 1,117,853	3.9%

PARKS & RECREATION - Community Center

BUDGET SUMMARY

The adopted budget for the Community Center division reflects an overall expenditure increase of 1.3% from the 2024-25 budget. The 2.1% increase in personnel costs reflects increased retirement and insurance costs and a salary increase, which are somewhat offset by staff turnover. Operating costs decreased by 2.7% due to various small reductions, including reduced budget for contracted custodial services and programming, as well as reduced electricity costs.

EXPENDITURES

		2023-24	2024-25	2024-25		2025-26	% Change
		Actual	Original	Revised	2024-25	Adopted	from
			Budget	Budget	Estimated	Budget	2024-25
Personnel	\$	657,922	\$ 667,628	\$ 639,628	\$ 658,817	\$ 681,963	2.1%
Operating Costs		151,632	151,216	149,326	148,800	147,170	-2.7%
Total	\$	809,554	\$ 818,844	\$ 788,954	\$ 807,617	\$ 829,133	1.3%

PARKS & RECREATION - Aquatics

BUDGET SUMMARY

The adopted budget for the Aquatics division reflects an overall expenditure increase of 0.1% from last year's budget. The 0.7% increase in personnel costs is due to retirement, insurance, and salary increases, which are offset by staff turnover. The 1.5% drop in operating costs is attributed to decreased custodial contract costs.

EXPENDITURES

	2023-24 Actual	2024-25 Original Budget	2024-25 Revised Budget	2024-25 Estimated	2025-26 Adopted Budget	% Change from 2024-25
Personnel	\$ 944,489	\$ 1,043,502	\$ 1,024,002	\$ 843,958	\$ 1,050,982	0.7%
Operating Costs	332,542	385,113	338,258	337,607	379,525	-1.5%
Total	\$ 1,277,031	\$ 1,428,615	\$ 1,362,260	\$ 1,181,565	\$ 1,430,507	0.1%

PARKS & RECREATION - Hargraves

BUDGET SUMMARY

The adopted budget for the Hargraves division reflects an overall expenditure increase of 8.7% from the 2024-25 budget. The 8.4% increase in personnel costs reflects a 0.75% retirement increase, a 6% increase in insurance costs, a salary increase, and added budget for Teen Center Program Support. Operating costs increased by 10.3% due to increased costs for telephone service, electricity, and contracted custodial services.

EXPENDITURES

	2023-24	2024-25	2024-25	2024-25	2025-26	% Change
	Actual	Original	Revised	Estimated	Adopted	from
		Budget	Budget		Budget	2024-25
Personnel	\$ 755,451	\$ 758,695	\$ 828,925	\$ 760,243	\$ 822,351	8.4%
Operating Costs	185,721	163,221	173,802	179,822	180,058	10.3%
Total	\$ 941,172	\$ 921,916	\$ 1,002,727	\$ 940,065	\$ 1,002,409	8.7%

CHAPEL HILL PUBLIC LIBRARY

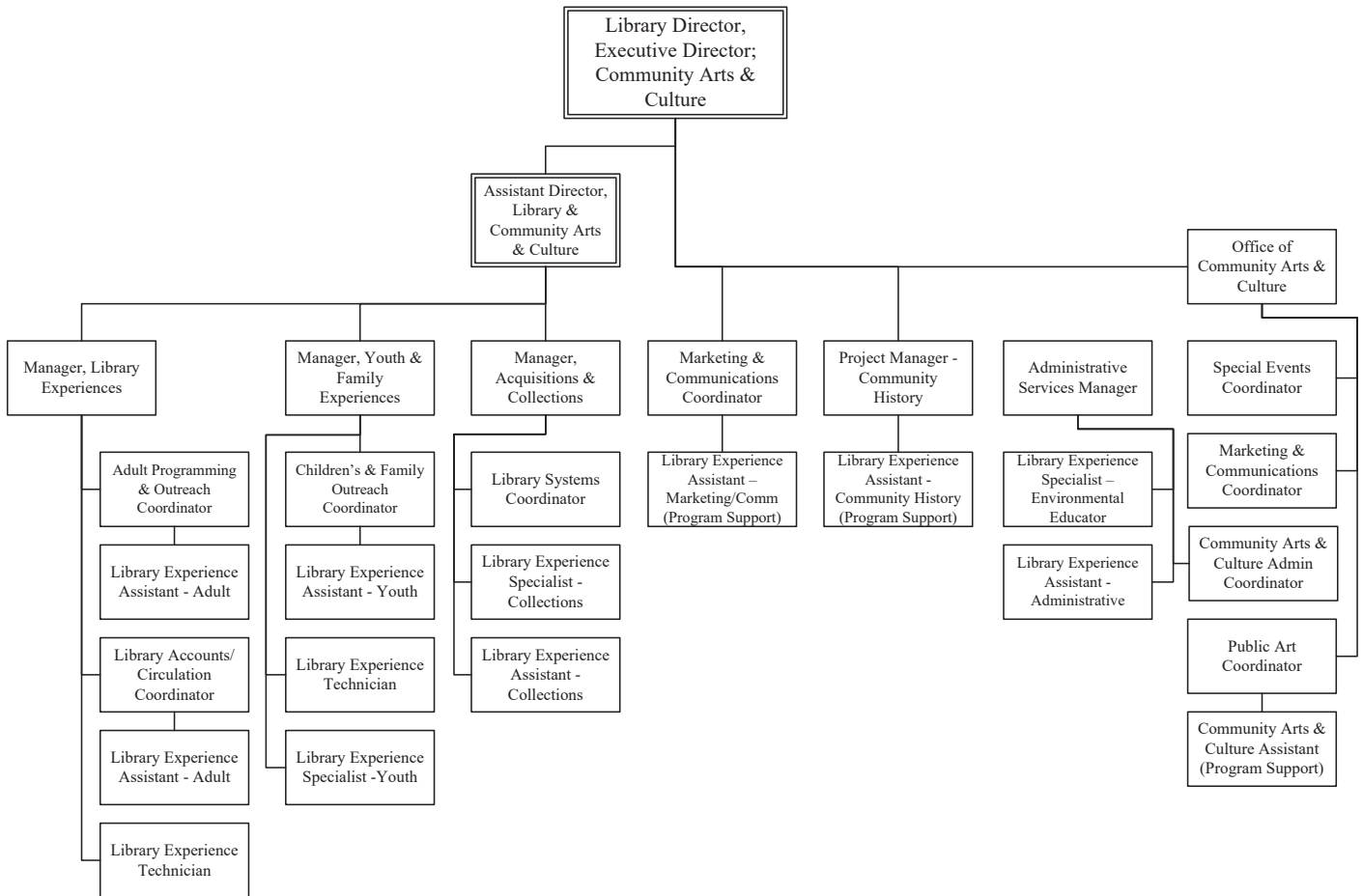
MISSION STATEMENT:

Sparking Curiosity. Inspiring Learning. Creating Connections.

The Chapel Hill Public Library Department identified the following primary programs that are included in the adopted budget for 2025-26.

Program	Description
Friendly and Helpful Customer Service	Engaged, empowered, and well-trained staff who embody our values of opportunity, hospitality, and stewardship.
Relevant and Responsive Collections	Curated collections of print and digital materials for all ages that reflect diverse community interests and demographics.
Community Engagement and Outreach	Collaborative relationships and joint initiatives with a wide variety of organizations that help our community thrive.
Diverse and Inclusive Public Programs	Events and experiences for all ages that spark curiosity, inspire learning, and create connections.
Access to Current Technology and Digital Resources	Devices, services, and infrastructure that support 21 st century learning, working, and connecting.
Sustainable and Accessible Public Spaces	Building and grounds that show our commitment to user experience, environmental sustainability, and accessibility.

LIBRARY



LIBRARY DEPARTMENT

STAFFING COMPARISONS - IN FULL-TIME EQUIVALENTS

	2023-24 ADOPTED	2024-25 ADOPTED	2025-26 ADOPTED
Library			
Director - Library	1.00	1.00	1.00
Assistant Director - Library/Head of Public Services	1.00	1.00	1.00
Acquisitions & Collections Manager	1.00	1.00	1.00
Library Experience Manager	1.00	1.00	1.00
Children's & Family Outreach Coordinator	1.00	1.00	1.00
Project Manager - Community History	1.00	1.00	1.00
Youth & Family Experience Manager	1.00	1.00	1.00
Library Accounts Coordinator	1.00	1.00	1.00
Administrative Services Manager	1.00	1.00	1.00
Library Experience Coordinator - Adult Programming	1.00	1.00	1.00
Library Experience Specialist	4.00	3.50	3.50
Library Experience Assistant	11.66	12.03	12.03
Library Experience Technician	3.00	3.00	3.00
Library Systems Coordinator	1.00	1.00	1.00
Marketing & Communications Coordinator	1.00	1.00	1.00
Division Total	30.66	30.53	30.53
Community Arts & Culture			
Public Art Coordinator	1.00	1.00	1.00
Marketing & Communications Coordinator	1.00	1.00	1.00
Special Events Coordinator	1.00	1.00	1.00
Administrative Coordinator	1.00	1.00	1.00
Division Total	4.00	4.00	4.00
Library Department Totals	34.66	34.53	34.53

LIBRARY

BUDGET SUMMARY

The adopted budget for the Library reflects an overall expenditure increase of 4.8% from the 2024-25 budget. The 5.4% increase in personnel is the result of a 0.75% retirement increase, a 6% increase in insurance costs, a salary increase, and added Program Support funding. The operating budget increased 2.8% due to increases in IT infrastructure & security costs, electricity, and additional funding for facility maintenance.

Library revenues reflect support from Orange County in the amount of \$621,323. Transfer from the Library Gift Fund remains at the historic level of \$45,000 in 2025-26.

EXPENDITURES

	2023-24 Actual	2024-25 Original Budget	2024-25 Revised Budget	2024-25 Estimated	2025-26 Adopted Budget	% Change from 2024-25
Personnel	\$ 3,509,704	\$ 3,703,113	\$ 3,701,993	\$ 3,614,619	\$ 3,902,678	5.4%
Operating Costs	1,025,735	1,050,764	1,056,594	1,044,544	1,079,867	2.8%
Total	\$ 4,535,439	\$ 4,753,877	\$ 4,758,587	\$ 4,659,163	\$ 4,982,545	4.8%

REVENUES

	2023-24 Actual	2024-25 Original Budget	2024-25 Revised Budget	2024-25 Estimated	2025-26 Adopted Budget	% Change from 2024-25
General Fund	\$ 3,746,300	\$ 3,971,775	\$ 3,976,485	\$ 3,873,061	\$ 4,191,722	5.5%
Grants	660,102	660,102	660,102	660,102	660,323	0.0%
Charges for Services	70,821	67,000	67,000	67,000	72,000	7.5%
Other Revenues	13,216	10,000	10,000	14,000	13,500	35.0%
Transfers/Other Sources	45,000	45,000	45,000	45,000	45,000	0.0%
Total	\$ 4,535,439	\$ 4,753,877	\$ 4,758,587	\$ 4,659,163	\$ 4,982,545	4.8%

LIBRARY

Performance Measures

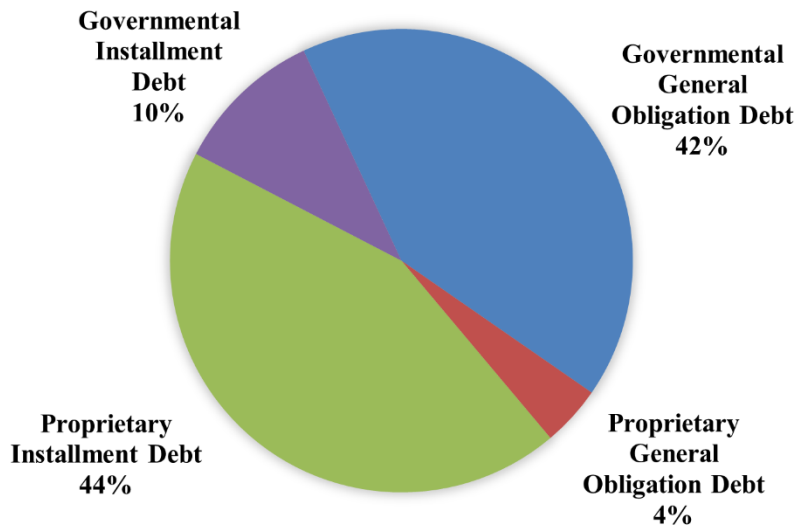
	Strategic Objectives ➤ Increase engagement with community history ➤ Increase efforts to reduce the effects of climate change ➤ Increase equity, diversity & inclusion of library collections, programs, and services ➤ Improve usability & sustainability of library spaces and services
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Core Business Program	Performance Measure	FY23 Actual	FY24 Actual	FY25 Estimate	FY26 Target
Friendly and Helpful Customer Service	Conduct 2 Department-wide staff training & development days per year	3	2	2	2
	Provide quarterly customer service training opportunities for all staff members	met	met	met	meet
Diverse and Inclusive Public Programs	Total program attendance per 1,000 capita - greater than or equal to state average (state average FY24 = 316)	234	285	351	200
	Number of Summer Reading Program registered participants over previous year	952	935	1,373	500
Sustainable and Accessible Public Spaces	Number of events held in library meeting rooms for functions not sponsored, organized, or initiated by the library.	311	456	456	350
	Library visits per capita greater than state average (state average FY24 = 2.25)	5.34	4.13	3.94	5.5
	Pounds of compostable waste diverted from landfill per year	6,826	7,416	7,085	7,000
Relevant and Responsive Collections	Percentage of operating budget spent on collections equal to state average (state average FY24 = 10%)	6%	6%	6.1%	7%
	Circulation per registered borrower greater than state average (state average FY24 = 6.98)	26.59	23.47	24.28	28
	Collection expenditure per use less than state average (state average FY24 = \$0.16)	\$0.18	\$0.20	\$0.22	\$0.25
Useful Technology and Digital Resources	Technology lending circulation	1,925	1,338	671	2,000
	Uses of public internet computers at library annually (public computing, studio, resource stations, and Youth and Family Experience area computers)	23,107	18,556	19,706	25,000
Community Engagement and Outreach	Number of off-site outreach services and events	96	83	118	100
	Volunteer service hours contributed to library	2,737	3,977	3,188	2,800

DEBT SERVICE FUND

The Debt Service Fund accounts for the principal and interest payments for the Town's general obligation bonds and limited obligation bonds issued for projects such as the construction of the East Rosemary Parking Deck and the upcoming replacement of Fire Station 4.

TOTAL DEBT



DEBT & BOND RATINGS

Outstanding Debt

As of June 30, 2025, the Town had about \$129.0 million in debt outstanding. As shown in the following table, this consists of General Obligation (G.O.) debt and installment financings as well as employee related obligations such as separation allowance and compensated absences.

In June 2025, the Town issued \$13.83 million of G.O. bonds. The G.O. bonds were issued for the following uses: public facilities \$1.23 million, affordable housing \$3.5 million, streets & sidewalks \$5.4 million, parks facilities \$500,000 and stormwater \$3.2 million.

In September 2024, The Town negotiated a 15-year lease for the Town's Police Headquarters, Emergency Operations Center, and Technology Solutions department. The anticipated move-in and lease commencement is October 2025.

In June 2024, the Town issued \$16.1 million in Limited Obligation Bonds (LOBS) as follows: \$12.1 million to complete construction of the East Rosemary Parking Deck, \$2.3 million for a fire ladder truck, and \$1.7 million to upfit the new police department.

In March 2023, the Town issued \$12.9 million of G.O. bonds. The G.O. bonds were issued for the following uses: streets & sidewalks \$7.7 million and affordable housing \$5.245 million.

In March 2023, the Town issued \$1.98 million of two-thirds bonds for the purchase of public safety radio equipment.

Also in March 2023, the Town closed on an installment financing for \$8.155 million for the purchase of up to 8 transit buses. The buses were financed for a 10-year term at an interest rate of 3.29%. The Chapel Hill Transit funding partners (Carrboro, UNC, and Chapel Hill) are sharing the cost of repaying the debt.

In August 2021, the Town issued \$58.2 million in Limited Obligation Bonds (LOBS) as follows: \$39.4 million for the East Rosemary Parking Deck, a 1,100-space deck; \$6.5 million for Phase II of the Ephesus Fordham public improvements; \$1.5 million for the

Long-Term Debt June 30, 2025	
Governmental Debt	
General obligation debt	\$ 48,706,000
Limited Obligation Bonds	9,076,000
Installment debt	3,144,000
Separation allowance	7,539,000
Compensated absences	3,515,000
Total	\$ 71,980,000
Proprietary Fund Debt	
Enterprise Funds	
General obligation debt	\$ 4,955,000
Limited Obligation Bonds	43,098,000
Installment debt	8,148,000
Compensated absences	868,000
Total	\$ 57,069,000

DEBT & BOND RATINGS

refunding of the 2015 installment purchase agreement; and \$10.8 million for the refunding of the 2012 LOBS.

In May 2021, the Town closed on \$3.205 million of two-thirds bonds which were used for parks and recreation, public safety, and streets and sidewalks and \$4.755 million of G.O. bonds for affordable housing projects.

In November 2019, the Town sold \$9.505 million of G.O. refunding bonds to pay off the remaining 2010 Build America Bonds that were issued for the library expansion. The refunding bonds sold at a very competitive interest rate of 1.42%, resulting in net present value savings of \$784,954.

In April 2018, the Town closed on \$12.5 million of G.O. bonds. The G.O. bonds were issued for stormwater \$2.7 million, parks and recreation facility improvements \$4.3 million, and streets & sidewalks \$5.5 million.

In February 2017, the Town closed \$9 million of G.O. bonds. The G.O. bonds were issued for trails and greenways \$5 million, parks and recreation facility improvements \$1 million, and street & sidewalk projects \$3 million. The G.O. bonds were the first issuance from the successful 2015 Bond Referendum.

Also in February 2017, the Town closed on an installment financing for \$6.408 million for the purchase of 14 transit buses. The buses were financed for a 10-year term at an interest rate of 2.09%. The Chapel Hill Transit funding partners (Carrboro, UNC, and Chapel Hill) are sharing the cost of repaying the debt.

In March 2016, the Town completed a combined installment financing for streets and buildings for \$7.984 million. The financing had a 15-year term and net interest cost of 2.32%.

In February 2013, the Town sold \$3.05 million of G.O. refunding bonds. The refunding bonds sold at a very competitive interest rate of 2.02%, resulting in net present value savings of \$158,563.

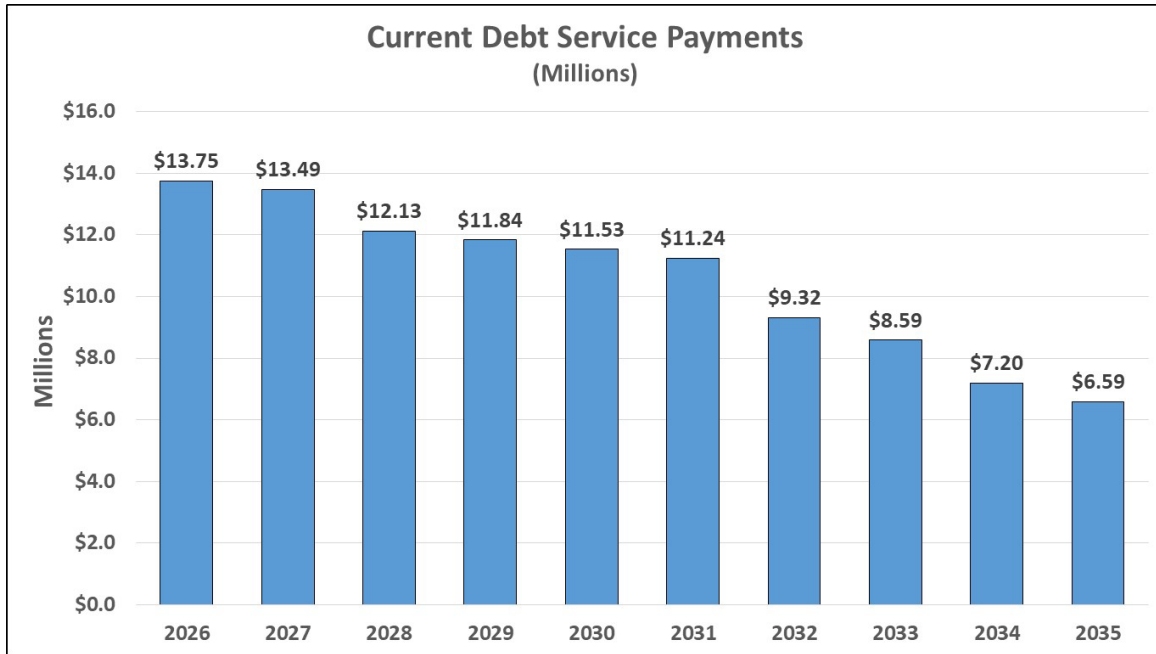
In May 2012, the Town sold \$1.7 million of two-thirds G.O. bonds and \$4.655 million in G.O. refunding bonds. The refunding bonds closed in FY12 with a rate of 2.26%, generating \$432,217 in net present value savings. The two-thirds bonds closed in FY13, with a rate of 1.42%.

Current Debt Obligations

The Town has a rapid pay-down of debt which is typically about 70% of existing debt is scheduled to be retired within 10 years. The Town's 10-year payout is currently 66.2%.

The Town's long-term debt payments for existing G.O. bonds and installment finance debt, for all funds, are shown below for the next ten years:

DEBT & BOND RATINGS



(Includes enterprise financings that are not paid from the Debt Fund)

Future Additional Debt

In November 2024, the Town held a general obligation bond referendum. All five of the bond orders that appeared on the ballot were approved by the voters. The amount of authority approved by the voters, by bond order, the amounts issued through June 30, 2025, and the balance of authority remaining are shown in the following table.

BOND ORDER	AUTHORITY	ISSUED	BALANCE
Public Facilities	\$ 15,000,000	\$ 1,230,000	\$ 13,770,000
Affordable Housing	15,000,000	3,500,000	11,500,000
Streets & Sidewalks	7,500,000	5,400,000	2,100,000
Recreation Facilities	4,500,000	500,000	4,000,000
Open Space & Greenways	2,000,000	0	2,000,000
Total	\$ 44,000,000	\$ 10,630,000	\$ 33,370,000

In November 2018, the Town held a general obligation bond referendum. There was one bond order that appeared on the ballot, and it was approved by the voters. The full amount of the referendum authority has been issued.

BOND ORDER	AUTHORITY	ISSUED	BALANCE
Affordable Housing	\$ 10,000,000	\$ 10,000,000	\$ 0
Total	\$ 10,000,000	\$ 10,000,000	\$ 0

In November 2015, the Town held a general obligation bond referendum. All five of the bond orders that appeared on the ballot were approved by the voters. The amount of

DEBT & BOND RATINGS

authority approved by the voters, by bond order, the amounts issued through June 30, 2025, and the balance of authority remaining are shown in the following table. The authority to issue the remaining bonds expires in November 2025 and no additional issues are planned.

BOND ORDER	AUTHORITY	ISSUED	BALANCE
Streets & Sidewalks	\$ 16,200,000	\$ 16,200,000	\$ 0
Trails & Greenways	5,000,000	5,000,000	0
Recreation Facilities	8,000,000	5,300,000	2,700,000
Solid Waste Facility	5,200,000	0	5,200,000
Stormwater Improvements	5,900,000	5,900,000	0
Total	\$ 40,300,000	\$ 32,400,000	\$ 7,900,000

The projects planned for each of the bond orders were identified through the Town's capital planning process, which includes consideration of multiple master plans, special studies, and public facility assessments. Through this process, several large-scale projects were identified that could be financed through G.O. Bonds.

Debt Limits

By State law, local governments may issue debt totaling 8% of the total assessed value of its property tax base. The 8% limit applies to G.O. bonds and limited obligation bonds.

Outstanding debt in most governmental units falls well below the 8% of the total assessed value limit and typically ranges from about 1% to 4% for most governments, depending on the utility enterprises operated by the unit.

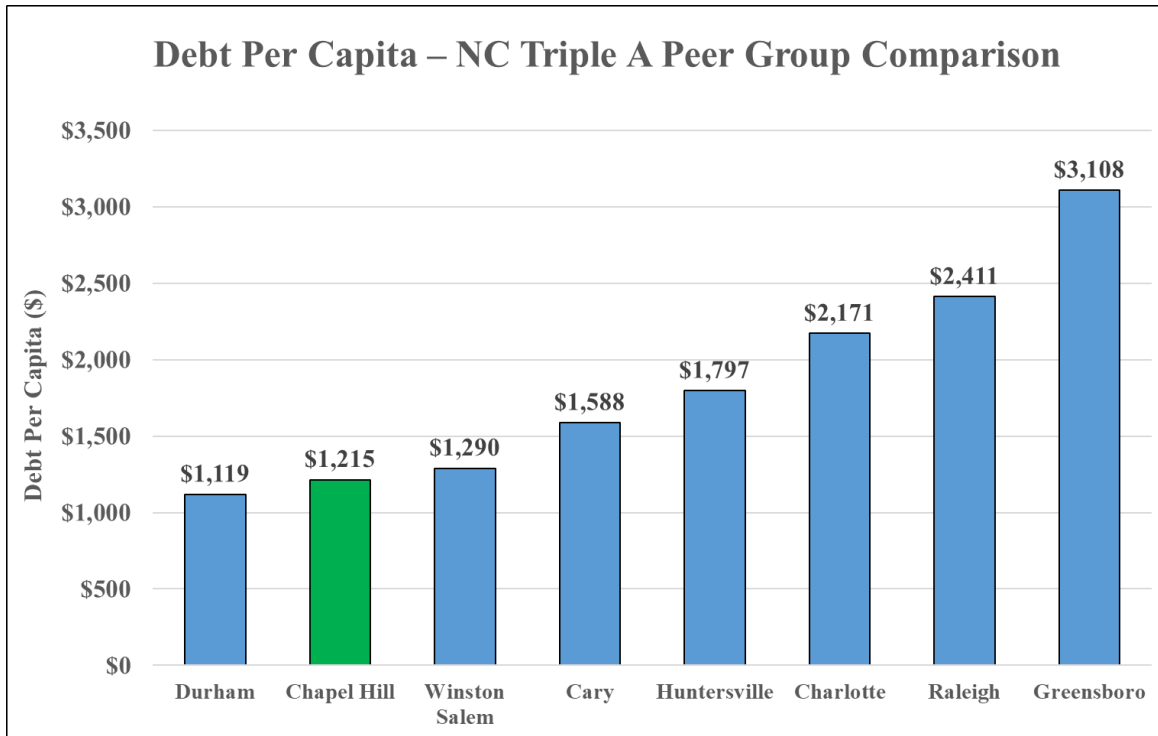
As of June 30, 2025, the Town had \$53,661,000 in outstanding G.O. Bonds that apply to this limit. The total is less than 1% of the Town's June 30, 2025 tax base (\$9.83 billion).

Debt Benchmarks

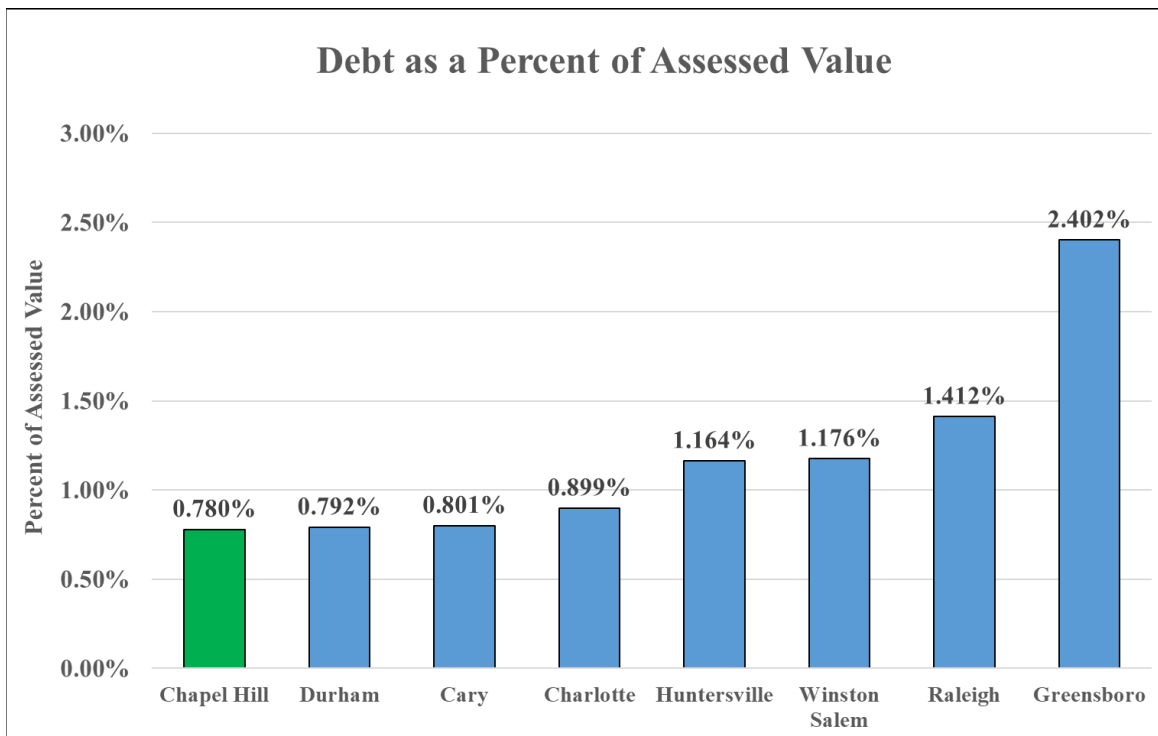
The Town's annual General Fund G.O. bond and installment financing debt service cost for FY 26 is about \$8.77 million (\$6.81 million included in the debt service fund + \$1.96 million included in the parking fund), or about 9.2% of the adopted General Fund budget. As a percentage of adopted governmental funds budgets (Debt Management Fund and General Fund), debt service costs are about 8.4%. Annual debt service is considered to be low to moderate if it is less than 10% of the annual governmental appropriations. Our projections show that we will have debt service levels between 8.4% and 12.2% of governmental budgets for the next several years as borrowing increases to meet capital needs. We will continue to monitor this indicator, because it is one of numerous factors used to determine the Town's credit rating.

Two commonly used debt burden measures are debt per capita and debt as a percentage of assessed value. The Town's values for these two benchmarks compared to other triple A rated credits in North Carolina are shown in the following graphs. For both benchmarks, the Town is slightly below the average for the triple A peer group. This suggests that the Town's debt levels are on par with other highly rated jurisdictions.

DEBT & BOND RATINGS



(Ratios of total outstanding G.O.B. debt, authorized & unissued G.O.B. debt, and IP debt, excluding enterprise, for NC populations with a triple A rating. Source: Analysis of Debt of NC Municipalities 6/30/2024, Department of State Treasurer, Division of State and Local Government Finance.)



(Ratios of total outstanding G.O.B. debt, authorized & unissued G.O.B. debt, and IP debt, excluding enterprise, for NC populations with a triple A rating. Source: Analysis of Debt of NC Municipalities 6/30/2024, Department of State Treasurer, Division of State and Local Government Finance.)

DEBT & BOND RATINGS

Bond Ratings

The Town's bond ratings evidence its financial strength. When the Town issues G.O. bonds or other securities, rating agencies reevaluate

the Town's current and future ability to repay debt. As a part of the evaluations, the agencies examine the Town's management, reserves, current debt obligations, community growth, and stability of key revenue sources. Because of a solid employment base in and around the Town of Chapel Hill and the Town's careful management of resources, the Town has maintained especially high bond ratings for a municipality of its size. Both Moody's Investor Services and Standard and Poor's affirmed the Town's triple A General Obligation Bond Rating for the June 2025 issuance of G.O. Bonds. Triple A is the highest rating attainable for G.O. Bonds.

Moody's	AAA
Standard & Poor's	AAA

DEBT SERVICE FUND BUDGET SUMMARY

The Debt Service Fund is used to account for debt payments on the Town's general obligation bonds issued for capital improvement projects and on the limited obligation bonds. In FY 2008-09, a portion of the property tax rate was allocated to debt service payments to pay the Town's debt service. Due to the revaluation, the FY 2025-26 budget sees the Debt Service Fund tax rate reduced to 6.6 cents.

EXPENDITURES

	2023-24 Actual	2024-25 Original Budget	2024-25 Revised Budget	2024-25 Estimated	2025-26 Adopted Budget	% Change from 2024-25
Principal Payments	\$ 8,323,000	\$ 5,988,000	\$ 6,392,000	\$ 6,392,000	\$ 4,910,000	-18.0%
Interest Expense	3,266,913	1,955,754	2,117,691	2,117,691	1,899,429	-2.9%
Bond Issuance Costs	15,000	-	48,438	-	-	N/A
Transfer to Parking Fund	-	431,121	431,121	431,121	1,957,868	354.1%
Contribution to Reserve	-	1,279,225	664,850	945,270	1,016,803	-20.5%
Total	\$ 11,604,913	\$ 9,654,100	\$ 9,654,100	\$ 9,886,082	\$ 9,784,100	1.3%

REVENUES

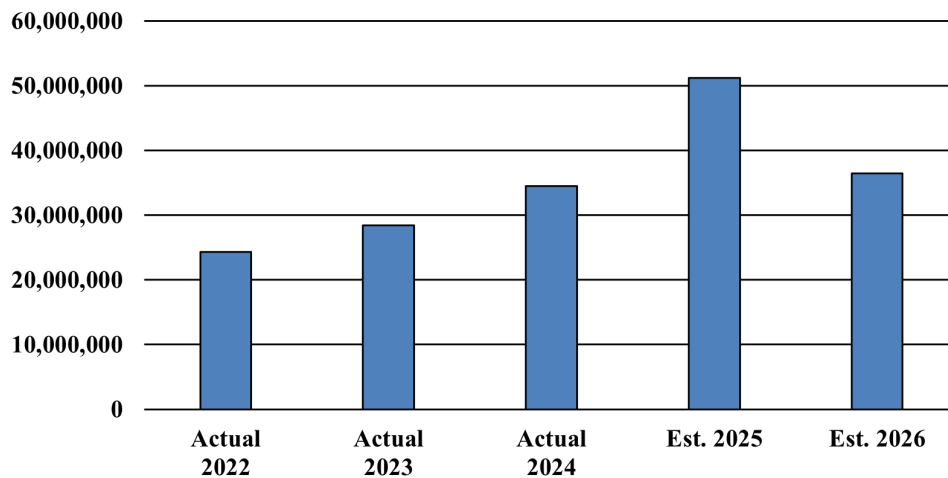
	2023-24 Actual	2024-25 Original Budget	2024-25 Revised Budget	2024-25 Estimated	2025-26 Adopted Budget	% Change from 2024-25
Property Taxes	\$ 8,489,995	\$ 8,609,000	\$ 8,609,000	\$ 8,571,082	\$ 8,739,000	1.5%
Transfer from General Fund	445,100	445,100	445,100	-	445,100	0.0%
Interest Income	2,579,116	600,000	600,000	1,315,000	600,000	0.0%
Appropriated Fund Balance	90,702	-	-	-	-	N/A
Total	\$ 11,604,913	\$ 9,654,100	\$ 9,654,100	\$ 9,886,082	\$ 9,784,100	1.3%

TRANSIT FUND



The Transit Fund is used to account for the operations of the Town's public transit system.

Transit Expenditures



TRANSIT

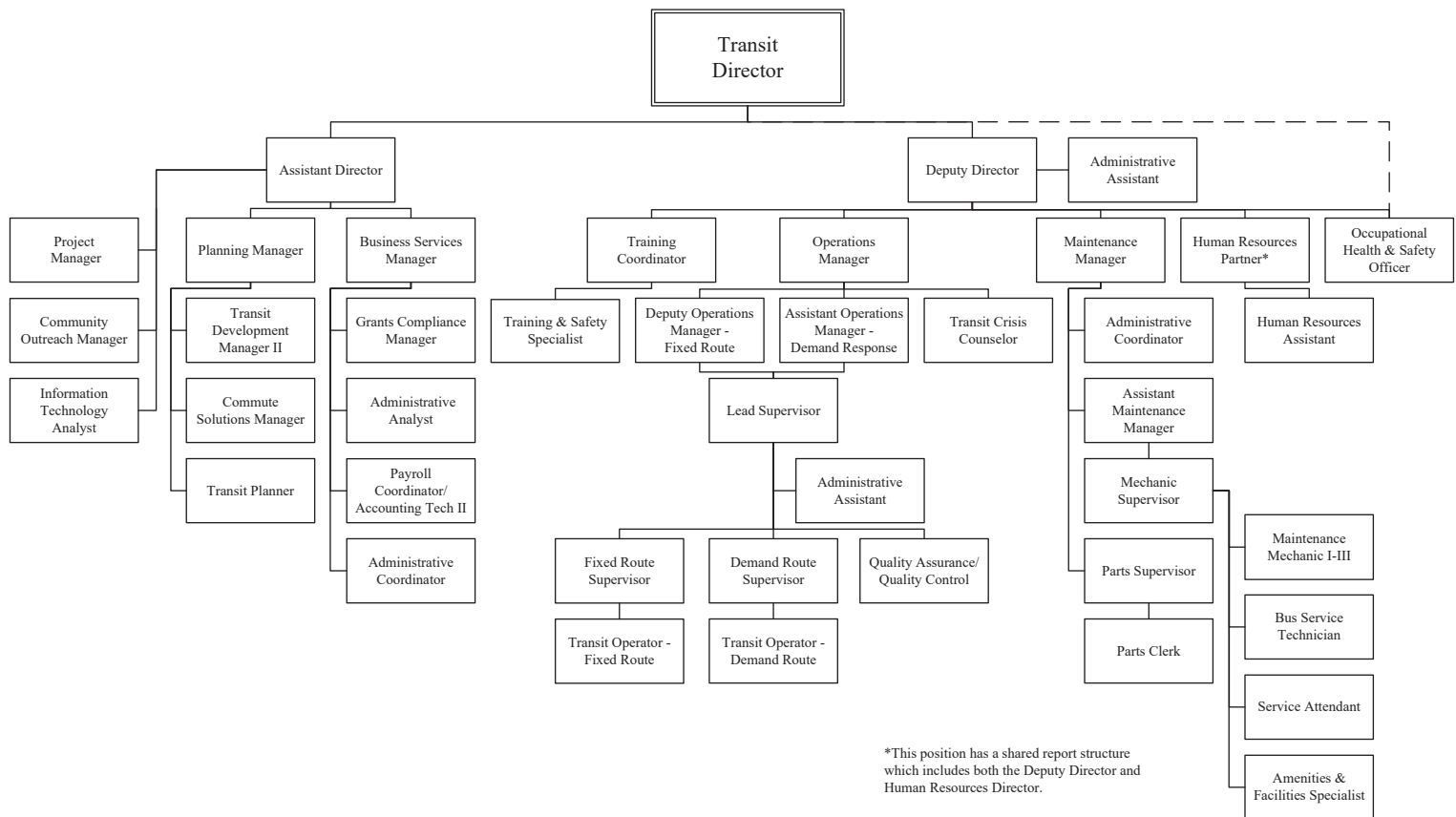
MISSION STATEMENT:

Chapel Hill Transit's mission is to provide safe, convenient, reliable, and responsive public transportation services to residents and visitors of the Chapel Hill, Carrboro, and University of North Carolina communities; to be accessible, efficiently operated, and supportive of a healthy environment and a sustainable local economy; and to connect and coordinate with other transportation means in the area.

The Transit Department identified the following primary programs that are included in the adopted budget for 2025-26.

Program	Description
Fixed-Route Bus Service	Provide public transportation for the Towns of Chapel Hill and Carrboro and the University of North Carolina-Chapel Hill (UNC). CHT provides fare-free fixed route bus service on 20 weekday and 9 weekend routes, utilizing 99 transit buses. Includes local, express, regional express and Tar Heel Express routes.
Demand-Response Service	Provide ADA Paratransit service within three-quarter miles of each fixed route for persons with a qualified disability who are unable to use fixed-route services, utilizing 20 lift-equipped vehicles. The service operates the same days and times as fixed-route services.
Maintenance	Maintain and repair CHT fleet of 119 buses/vans and 24 support/maintenance vehicles. Responsible for general maintenance of the transit facility and all customer amenities (e.g. shelters, benches, trash cans, etc.).
Administration and Finance	Manage all aspects of the transit system, including: Administration and Finance, Short and Long Range Planning, Regional Service Coordination, Grant Management (Federal and State), Marketing and Public Relations.
Transit Advertising	Maintain a viable advertising sales business for the transit system. Coordinate with advertisers, third-party ad developers, and others to generate revenues for the Transit Fund.

TRANSIT



TRANSIT FUND

Major Revenue Sources - Descriptions and Estimates

The Town provides public transit services for the Town of Chapel Hill and the neighboring Town of Carrboro and the University of North Carolina. The two towns and the university share annual operating costs of the transit system on a contractual basis. In 2001, the transit system initiated fare free services, eliminating fare box and pass sale revenues previously collected for the basic system. (Exceptions are fares for specific routes to Hillsborough and the Tar Heel Express service provided for athletic and other special events for the University.)

The adopted budget for the Transit Fund for fiscal year 2025-26 totals about \$36.5 million, a decrease of 0.5% from 2024-25. Below is a description of the major revenue sources for the Transit Fund and the pie chart below shows the major revenue sources for fiscal year 2025-26. Please note that due to the partnership between the Town of Chapel Hill, Town of Carrboro, and the University of North Carolina, some financial aspects are still being discussed by the partners and are subject to change.

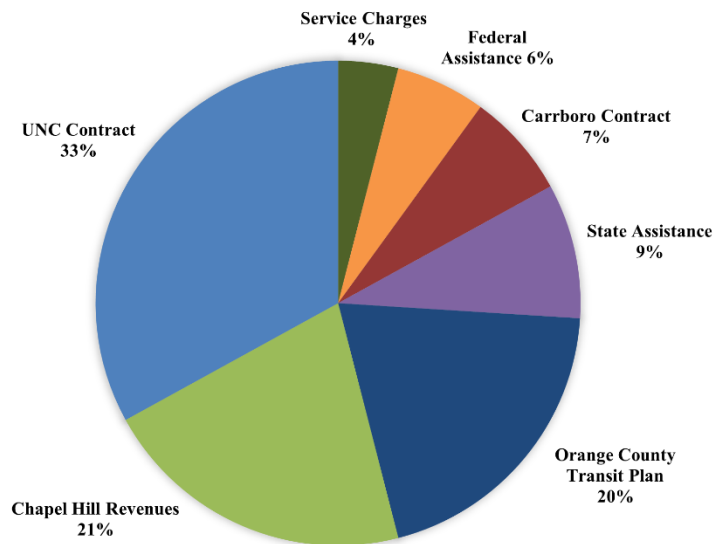
Federal Operating Assistance

The Transit system receives an operating assistance allocation each year from the federal government based on a variety of factors and funding formulas. We estimate federal funding for operations to remain level at \$2.3 million in FY25-26. Additional operating grants will be sought for 2025-26 as opportunities arise and will be added to the budget through amendment if awarded.

State Operating Assistance

The Transit system also receives an operating assistance allocation each year from the State based on a formula involving various operating statistics for the system. This allocation is also anticipated to remain level in 2025-26 at \$3.4 million.

FY2025-26 TRANSIT REVENUES



TRANSIT FUND

Major Revenue Sources - Descriptions and Estimates

University Contract

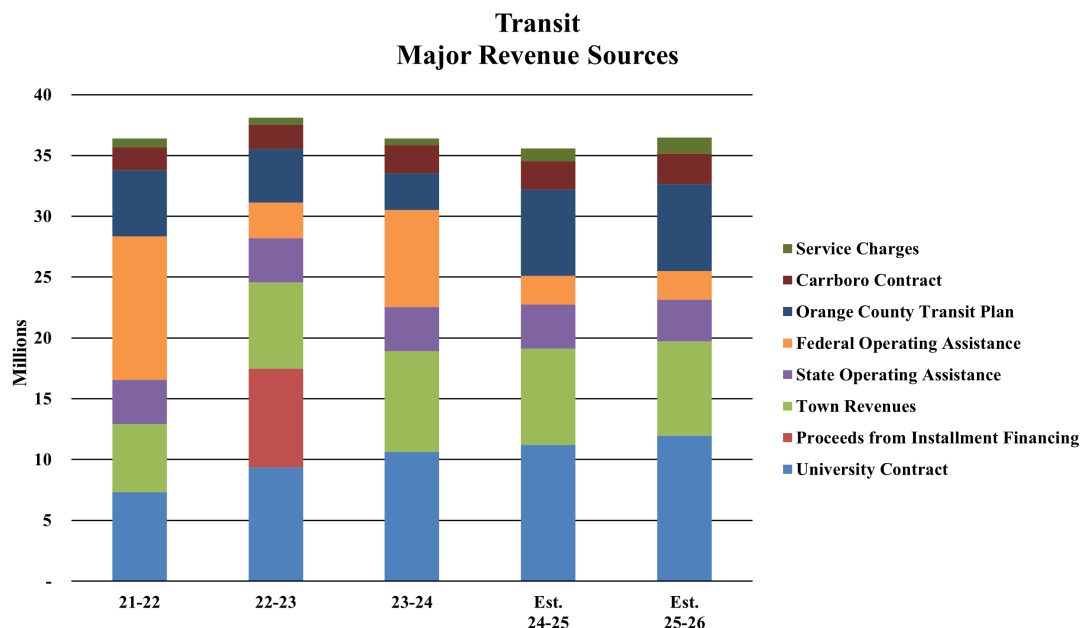
The University of North Carolina contracts with the Town for bus service for routes on and surrounding the campus of the University and UNC Health Care System. The University contract also covers routes determined to serve mainly students and employees of the University. The cost of these services is based on cost sharing arrangements among the Town, the University, and Carrboro, as agreed to in an annual contract. The University's contracted share was about \$10.6 million in 2023-24 and \$11.2 million in 2024-25. UNC's allocation for 2025-26 is up to \$11.9 million.

Carrboro Contract

The Town of Carrboro also contracts with the Town for transit service with costs based on the Memorandum of Understanding. Carrboro's cost for 2024-25 was about \$2.4 million and the budget for 2025-26 increased to \$2.5 million based on the funding formula.

Town Revenues

The Town's share of cost for the Transit system is funded primarily by a property tax levy for transit. The cost share in the adopted budget for the Transit Fund in fiscal year 2025-26 is about \$7.78 million. Also included in Town revenues are interest income and \$450,000 for vehicle license fees.



TRANSIT FUND

Major Revenue Sources - Descriptions and Estimates

Orange County Transit Plan

The 2025-26 budget includes operating and capital funds from the Orange County Transit Plan, which was approved by the Orange County Board of Commissioners and the GoTriangle Board of Trustees in April 2017. This funding is utilized locally for capital projects, including the North-South Bus Rapid Transit, and is also put toward previous and future service expansions. Revenues are budgeted to increase by 1.3% from just over \$7 million in 2024-25 to \$7.2 million in 2025-26. This includes funding for a Quality Assurance/Quality control position.

Charges for Service

The adopted budget for 2025-26 includes revenue from fees for use of Town park and ride lots estimated at \$32,000.

Other revenues expected for the system include \$531,000 in fares for the Tar Heel Express service, up from the previous year due to a fee increase; about \$375,000 in services for the Orange County Transit Plan; and \$290,000 in bus advertising revenue, which is also an increase due to fee changes as of FY25-26.

Fund Balance

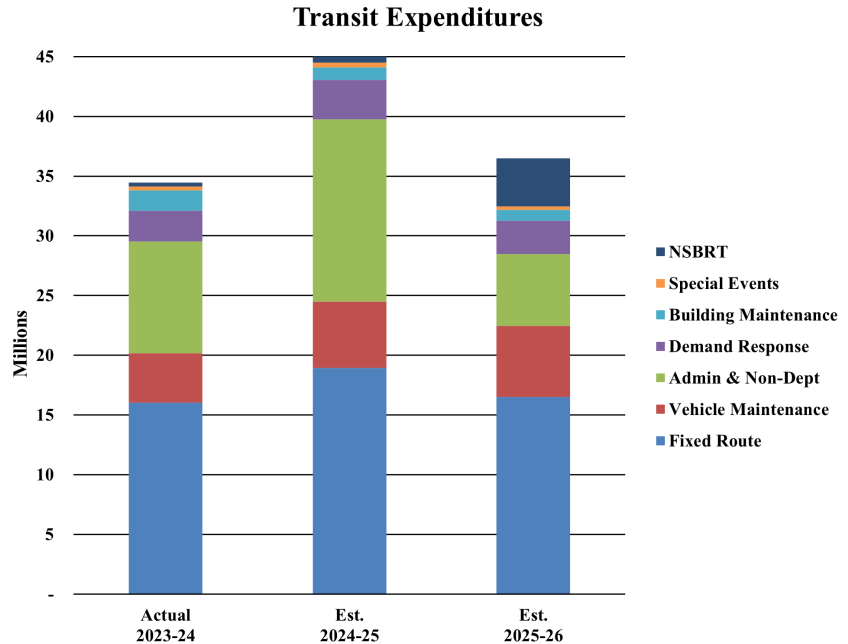
The 2025-26 adopted budget was balanced with no appropriation of fund balance.

TRANSIT FUND

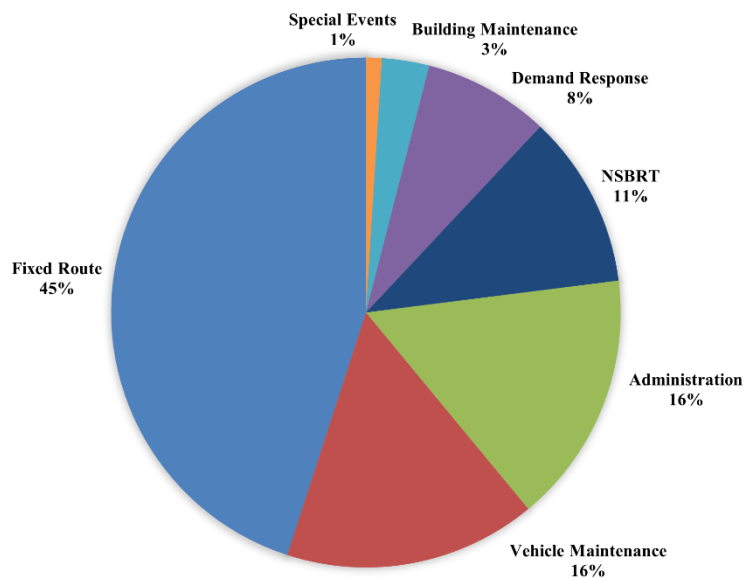
Major Expenditures - Descriptions and Estimates

The adopted budget for Transit for 2025-26 continues fare free services for fixed routes in the system and totals \$36.5 million. Primary expenditures of the system consist mainly of personnel, operating, and maintenance costs for a planned fleet of 99 buses, 20 cutaway EZ Rider vehicles, 20 operations support vehicles, and 4 maintenance service trucks that provide transit service to the entire community.

Operational costs total about \$19.6 million and Maintenance costs total about \$6.9 million.



FY2025-26 TRANSIT EXPENDITURES



Expenditures for 2025-26 include a 5% of market pay increase, a 6% increase in insurance costs, and a 0.75% retirement increase. There is \$184,800 budgeted for other post-employment benefits (OPEB).

TRANSIT DEPARTMENT
STAFFING COMPARISONS - IN FULL-TIME EQUIVALENTS

	2023-24 ADOPTED	2024-25 ADOPTED	2025-26 ADOPTED
Administration			
Director - Transit	1.00	1.00	1.00
Deputy Director - Transit	1.00	1.00	1.00
Assistant Director - Admin Services	1.00	1.00	1.00
Business Services Manager	1.00	1.00	1.00
Community Outreach Manager	1.00	1.00	1.00
Administrative Analyst	1.00	1.00	1.00
Transit Project Manager	1.00	1.00	1.00
Grants Compliance Manager	1.00	1.00	1.00
Transit Development Manager II	1.00	1.00	1.00
Administrative Assistant	2.00	2.00	1.00
Human Resources Consultant	1.00	1.00	1.00
Human Resources Technician	1.00	0.00	0.00
Transit Planning Manager	1.00	1.00	1.00
Accounting Technician II	1.00	1.00	1.00
Information Tech Analyst	1.00	1.00	1.00
Commute Solutions Manager ¹	0.00	1.00	1.00
Transit Planner	0.00	1.00	1.00
Administrative Coordinator	0.00	0.00	1.00
Human Resources Assistant	0.00	0.00	1.00
Quality Assurance/Quality Control	0.00	0.00	1.00
Division Totals	16.00	17.00	19.00
Operations			
Occupational Health & Safety Officer	1.00	1.00	1.00
Transit Development Manager I	1.00	1.00	1.00
Lead Transit Supervisor	1.00	1.00	1.00
Crisis Counselor	1.00	1.00	1.00
Training Coordinator	1.00	1.00	1.00
Manager - Transit Operations	1.00	1.00	1.00
Deputy Operations Manager - Fixed Route	1.00	1.00	1.00
Assistant Operations Manager - Demand Response	1.00	1.00	1.00
Supervisor - Transit	10.00	10.00	10.00
Transit Operator - Demand Response	17.00	17.00	15.00
Transit Operator - Fixed Route	118.66	118.66	120.66
Service Attendant	1.00	1.00	0.00
Training & Safety Specialist	2.00	4.00	4.00
Administrative Assistant	1.00	1.00	1.00
Safety & Training Coordinator	1.00	0.00	0.00
Division Totals	158.66	159.66	158.66
Maintenance			
Maintenance Manager	1.00	1.00	1.00
Assistant Maintenance Manager	1.00	1.00	1.00
Mechanic Supervisor	3.00	3.00	3.00
Parts Supervisor	1.00	1.00	1.00
Mechanic (I-III)	15.00	15.00	15.00
Bus Service Technician	3.00	3.00	3.00
Administrative Coordinator	1.00	1.00	1.00
Parts Clerk	2.00	2.00	2.00
Service Attendant	7.00	7.00	7.00
Amenities & Facilities Specialist	0.00	1.00	1.00
Division Totals	34.00	35.00	35.00
Transit Department Totals	208.66	211.66	212.66

¹ Commute Solutions Manager, formerly known as Transportation Demand Management Community Manager, moved from Planning during FY23-24 and is 50% grant-funded.

TRANSIT

BUDGET SUMMARY

The budget for the Transit Department continues fare-free service. Federal and State assistance has remained flat for FY26, while partner revenues from the Town of Carrboro and the University of North Carolina at Chapel Hill have increased. The 2025-26 adopted budget also includes increased revenues from a proposed 0.3 cent tax increase, increased funding from the Orange County Transit plan, and increased fees for the FY26 Transit Fee Schedule. Cost increases include one new position, a 0.75% retirement increase, a 6% insurance increase, and a pay increase.

EXPENDITURES

	2023-24 Actual	2024-25 Original Budget	2024-25 Revised Budget	2023-4 Estimated	2025-26 Adopted Budget	% Change from 2024-25
Admin & Non-Dept	\$ 9,350,540	\$ 4,889,574	\$ 22,110,602	\$ 15,264,153	\$ 6,025,407	23.2%
Grant-Funded	-	-	-	-	-	N/A
NSBRT Project	333,988	4,000,000	14,831,167	6,696,567	4,000,000	0.0%
Fixed Route	16,034,616	17,915,950	19,274,198	18,953,784	16,494,122	-7.9%
Demand Response	2,597,723	2,906,671	3,431,495	3,301,424	2,775,328	-4.5%
Special Events	315,026	317,845	329,056	403,971	318,125	0.1%
Vehicle Maintenance	4,134,700	5,697,185	5,911,950	5,534,815	5,968,547	4.8%
Building Maintenance	1,684,575	929,213	1,225,736	1,052,907	900,446	-3.1%
Total	\$ 34,451,168	\$ 36,656,438	\$ 67,114,204	\$ 51,207,621	\$ 36,481,975	-0.5%

REVENUES

	2023-24 Actual	2024-25 Original Budget	2024-25 Revised Budget	2024-25 Estimated	2025-26 Adopted Budget	% Change from 2024-25
Charges for Services	\$ 531,442	\$ 1,042,238	\$ 1,042,238	\$ 1,042,238	\$ 1,320,000	26.7%
Federal Assistance	2,647,836	2,300,000	2,300,000	2,300,000	2,300,000	0.0%
Federal Ops Grants	5,316,655	52,000	8,186,600	52,000	52,000	0.0%
State Assistance	3,631,704	3,400,000	3,400,000	3,631,704	3,400,000	0.0%
Orange County Transit Plan	3,051,310	7,069,936	7,069,936	7,069,936	7,159,936	1.3%
UNC Contract	10,630,812	11,211,816	11,211,816	11,211,816	11,952,960	6.6%
Carrboro Contract	2,308,917	2,366,281	2,366,281	2,366,281	2,514,824	6.3%
Chapel Hill Revenues	8,282,729	7,922,255	7,922,255	7,922,255	7,782,255	-1.8%
Appropriated Fund Balance	(1,950,237)	1,291,912	23,615,078	15,611,391	-	-100.0%
Total	\$ 34,451,168	\$ 36,656,438	\$ 67,114,204	\$ 51,207,621	\$ 36,481,975	-0.5%

TRANSIT

Performance Measures

 Environmental Stewardship Affordable Housing & Housing Production Connected Community	Strategic Objectives ➤ Maintain favorable productivity levels. ➤ Demand response services will be on time (arriving within the 20 minute pick-up window) at least 90 percent of the time. ➤ Keep the rate of demand response accidents at three or fewer per 100,000 miles. ➤ Keep the rate of demand response preventable accidents at one or fewer per 100,000 miles. ➤ Fixed route services will operate according to published schedules at least 90% of the time. ➤ Keep customer complaints rate low – i.e., no more than 15 complaints per 100,000 fixed route trips and no more than 2 complaints per 100 demand response rides. ➤ Keep the rate of fixed route accidents at three or fewer per 100,000 miles. ➤ Keep the rate of preventable fixed route accidents at one per 100,000 miles. ➤ Comply with preventative maintenance schedule for all vehicles at least 90% of the time. ➤ Maintain a Fixed Route and Demand Response fleet age that is within industry standards in compliance with federal recommendations.
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Core Business Program	Performance Measure	FY23 Actual	FY24 Actual	FY25 Estimated	FY26 Target
Demand-Response Service	Number of passengers per mile in demand response paratransit service	0.22	0.15	0.20	0.21
	Cost per hour for demand response paratransit services	\$74.51	\$89.26	\$95.50	\$98.00
	On-time performance percentage	88%	86%	88.06%	90%
	Demand Response accidents per 100,000 miles	2.5	3.91	3.61	3.00
	Preventable demand response accident per 100,000 miles	1.25	1.30	1.27	1.00
Fixed-Route Bus Service	Number of passengers per mile in fixed route transit service	2.5	1.95	2.4	2.8
	Cost per hour for fixed route services	\$131.66	\$148.71	\$121.07	\$125.00
	Percentage of on-time performance	85%	71.6%	72.2%	85%
	Complaints per 100,000 fixed route trips	4.5	12.05	8.3	6.50
	Fixed Route accidents per 100,000 miles	2.25	3.55	3.94	3.00
	Preventable Fixed Route accident per 100,000 miles	1.15	1.03	1.08	1.00

Core Business Program	Performance Measure	FY23 Actual	FY24 Actual	FY25 Estimated	FY26 Target
Maintenance	Number of service miles between road calls that may interrupt (DR)	115,297	54,498	84,897.5	150,000
	Number of service miles between road calls that may interrupt (FR)	17,543	13,078	15,310.5	16,000
	Compliance with preventative maintenance percentage	100%	100%	100%	100%
Administration and Finance	Passengers per Revenue Hour (DR)	2.45	2.32	2.57	2.65
	Passengers per Revenue Hour (FR)	28	29.29	27.9	32.00
	Passengers per Revenue Mile (DR)	0.2	0.17	0.20	0.22
	Passengers per Revenue Mile (FR)	2.5	2.51	2.35	2.60
	Average age of fleet vehicle (DR)	5.25	6.22	7.55	4.27
	Average age of fleet vehicle (FR)	10.2	9.13	11.23	6.70

TRANSIT - ADMINISTRATION DIVISION

MISSION STATEMENT:

Chapel Hill Transit's mission is to provide safe, convenient, reliable, and responsive public transportation services to residents and visitors of the Chapel Hill, Carrboro, and University of North Carolina communities; to be accessible, efficiently operated, and supportive of a healthy environment and a sustainable local economy; and to connect and coordinate with other transportation means in the area.

The Administration Division supervises departmental operations, manages grant and service contracts, and participates in transportation planning. Duties of the division include:

- Contract monitoring and negotiation with the University of North Carolina and the Town of Carrboro for transportation services and funding arrangements.
- Grants management (from the Federal Transit Administration and the State of North Carolina).
- Transit planning activities including short-range and long-range transit plans and special transit initiatives.
- Review of development proposals to assess impact on public transportation.
- Marketing and public relations activities.
- Participation in local, regional, and state-wide public transit activities.
- Monitor, evaluate, and analyze transit operations to ensure that services are being provided with the highest level of customer service in the most efficient and cost-effective manner possible.

TRANSIT - Administration and Non-Departmental **BUDGET SUMMARY**

The adopted budget for 2025-26 reflects a 23.2% overall increase. Personnel has increased by 11.2% due to the addition of a Quality Assurance/Quality Control position funded by the Orange County Transit Plan, a Human Resources Assistant position moving into the division, a 0.75% retirement increase, a 6% increase in insurance costs, and a salary increase.

Operating costs increased by 1.4% due to increased dues and subscriptions as well as higher indirect costs.

EXPENDITURES

	2023-24 Actual	2024-25 Original Budget	2024-25 Revised Budget	2024-25 Estimated	2025-26 Adopted Budget	% Change from 2024-25
Personnel	\$ 2,089,226	\$ 2,399,355	\$ 2,399,355	\$ 2,243,665	\$ 2,668,392	11.2%
Operating Costs	5,930,091	2,490,219	3,873,284	2,579,874	2,526,015	1.4%
Transfer to						
Capital Grant	1,331,223	-	2,281,899	2,281,899	-	N/A
Capital Outlay	-	-	8,950,229	8,158,715	831,000	N/A
Contribution to						
Reserve	-	-	4,605,835	-	-	N/A
Total	\$ 9,350,540	\$ 4,889,574	\$ 22,110,602	\$ 15,264,153	\$ 6,025,407	23.2%

TRANSIT - Grants
BUDGET SUMMARY

As of the time of the adopted budget, there were no planned grant-related expenditures for 2025-26.

EXPENDITURES

	2023-24		2024-25		2024-25		2024-25		2025-26		% Change
	Actual		Original Budget		Revised Budget		Estimated		Adopted Budget		from 2024-25
Personnel	\$	-	\$	-	\$	-	\$	-	\$	-	N/A
Operating Costs		-		-		-		-		-	N/A
Total	\$	-	\$	-	\$	-	\$	-	\$	-	N/A

TRANSIT - North-South Bus Rapid Transit Project
BUDGET SUMMARY

The North-South Bus Rapid Transit (NSBRT) is the planned 8.2-mile line along one of the town's busiest and most vital thoroughfares. As the region's first BRT system, N-S BRT will connect employees, students, residents, and visitors to their regional connections and local destinations.

The adopted budget for 2025-26 includes level funding for contracted services associated with the project.

EXPENDITURES

	2023-24 Actual	2024-25 Original Budget	2024-25 Revised Budget	2024-25 Estimated	2025-26 Adopted Budget	% Change from 2024-25
Operating Costs	333,988	4,000,000	14,831,167	6,696,567	4,000,000	0.0%
Total	\$ 333,988	\$ 4,000,000	\$ 14,831,167	\$ 6,696,567	\$ 4,000,000	0.0%

TRANSIT- OPERATIONS DIVISION

MISSION STATEMENT:

Chapel Hill Transit's mission is to provide safe, convenient, reliable, and responsive public transportation services to residents and visitors of the Chapel Hill, Carrboro, and University of North Carolina communities; to be accessible, efficiently operated, and supportive of a healthy environment and a sustainable local economy; and to connect and coordinate with other transportation means in the area.

The Operations Division manages fixed-route bus service and demand-responsive services with smaller vehicles. Duties of the division include:

- Provide fixed-route bus service to meet the mobility goals of Chapel Hill, Carrboro, and the University of North Carolina.
- Coordinate transit service with other public transit systems in the Triangle to enhance the mobility of our citizens.
- Operate demand-responsive door-to-door service for certified persons with disabilities, using lift-equipped vans and sedans.
- Operate shuttle service (Tar Heel Express) to all UNC home football and basketball games.
- Hire, train, and motivate bus operators and support staff to ensure efficient, safe, on-time, and courteous service to the public.

TRANSIT - Fixed Route

BUDGET SUMMARY

The adopted budget reflects a 7.9% decrease in overall costs. Personnel is up 2.5% due to a 0.75% increase in retirement costs, a 6% insurance increase, and a salary increase. This is somewhat offset by a Service Attendant position being moved out of the division.

Operating expenses decreased by 30% largely due to the elimination of the contract for Transportation Support Services in FY26.

EXPENDITURES

	2023-24 Actual	2024-25 Original Budget	2024-25 Revised Budget	2024-25 Estimated	2025-26 Adopted Budget	% Change from 2024-25
Personnel	\$ 10,528,337	\$ 12,146,914	\$ 12,146,914	\$ 11,173,615	\$ 12,454,634	2.5%
Operating Costs	5,299,339	5,769,036	5,318,329	5,971,214	4,039,488	-30.0%
Capital Outlay	206,940	-	1,808,955	1,808,955	-	N/A
Total	\$ 16,034,616	\$ 17,915,950	\$ 19,274,198	\$ 18,953,784	\$ 16,494,122	-7.9%

TRANSIT - Demand Response

BUDGET SUMMARY

The adopted budget for the Demand Response division has decreased 4.5% compared to the 2024-25 budget. Personnel expenditures decreased by 5.4% due to the reduction of two Demand Response operator positions during FY24-25 and also due to turnover. Operating expenses decreased by 1.5% due to decreased expenses related to cell phones and indirect costs.

EXPENDITURES

	2023-24 Actual	2024-25 Original Budget	2024-25 Revised Budget	2024-25 Estimated	2025-26 Adopted Budget	% Change from 2024-25
Personnel	\$ 2,050,883	\$ 2,219,442	\$ 2,219,442	\$ 2,120,593	\$ 2,098,705	-5.4%
Operating Costs	546,840	687,229	712,053	680,831	676,623	-1.5%
Capital Outlay	-	-	500,000	500,000	-	N/A
Total	\$ 2,597,723	\$ 2,906,671	\$ 3,431,495	\$ 3,301,424	\$ 2,775,328	-4.5%

TRANSIT - Tarheel Express / Special Events

BUDGET SUMMARY

The adopted budget for Tarheel Express & Special Events in 2025-26 remains mostly flat compared to the previous year.

EXPENDITURES

	2023-24		2024-25		2024-25		2025-26		% Change		
	Actual		Original Budget		Revised Budget		Adopted Budget		from 2024-25		
Personnel	\$	287,349	\$	235,511	\$	235,511	\$	292,988	\$	235,791	0.1%
Operating Costs		27,677		82,334		93,545		110,983		82,334	0.0%
Total	\$	315,026	\$	317,845	\$	329,056	\$	403,971	\$	318,125	0.1%

TRANSIT - MAINTENANCE DIVISION

MISSION STATEMENT:

Chapel Hill Transit's mission is to provide safe, convenient, reliable, and responsive public transportation services to residents and visitors of the Chapel Hill, Carrboro, and University of North Carolina communities; to be accessible, efficiently operated, and supportive of a healthy environment and a sustainable local economy; and to connect and coordinate with other transportation means in the area.

The Maintenance Division services and repairs transit vehicles and support equipment to ensure safe, reliable, and clean transit vehicles. Duties of the division include:

- Daily service, fueling, and cleaning of all transit vehicles.
- Ongoing maintenance, inspection, and repair of buses, vans, and support vehicles.
- Ongoing maintenance of transit amenities, such as benches and shelters.
- Maintain an inventory system of fuel and bus parts to support the timely operation of services.
- Develop capital improvement plan and procurement of major capital equipment.
- Ensure that team members have the proper training and skills to ensure the safe efficient operation of Town vehicles.

TRANSIT - Vehicle Maintenance

BUDGET SUMMARY

The adopted budget for 2025-26 represents a 4.8% increase in expenditures from the 2024-25 fiscal year. The 6.9% increase in personnel costs is due to a 0.75% increase in retirement costs, a 6% insurance increase, and a salary increase. Operating costs increased by 1.6% due to increased costs for vehicle maintenance and repair as well as increased indirect costs.

EXPENDITURES

	2023-24 Actual	2024-25 Original Budget	2024-25 Revised Budget	2024-25 Estimated	2025-26 Adopted Budget	% Change from 2024-25
Personnel	\$ 2,702,009	\$ 3,375,237	\$ 3,375,237	\$ 3,021,520	\$ 3,608,986	6.9%
Operating Costs	1,398,068	2,301,948	2,516,713	2,493,295	2,339,561	1.6%
Capital Outlay	34,623	20,000	20,000	20,000	20,000	0.0%
Total	\$ 4,134,700	\$ 5,697,185	\$ 5,911,950	\$ 5,534,815	\$ 5,968,547	4.8%

TRANSIT - Building Maintenance

BUDGET SUMMARY

The adopted budget for Transit's Building Maintenance division reflects a 3.1% decrease overall. The 20% increase in personnel expenditures is related to new retiree medical expenses. The operating expenditures decreased by 3.2% because of reduced telephone, electricity, and natural gas costs.

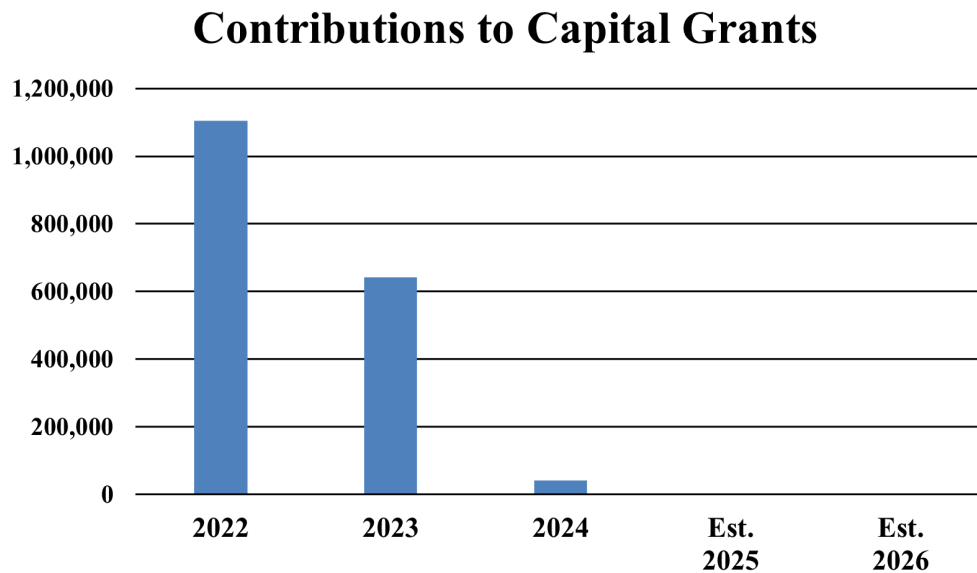
EXPENDITURES

	2023-24 Actual	2024-25 Original Budget	2024-25 Revised Budget	2024-25 Estimated	2025-26 Adopted Budget	% Change from 2024-25
Personnel	\$ 2,490	\$ 2,500	\$ 2,500	\$ 3,000	\$ 3,000	20.0%
Operating Costs	1,667,416	926,713	1,208,646	1,049,907	897,446	-3.2%
Capital Outlay	14,669	-	14,590	-	-	N/A
Total	\$ 1,684,575	\$ 929,213	\$ 1,225,736	\$ 1,052,907	\$ 900,446	-3.1%

TRANSIT CAPITAL RESERVE FUND

The Transit Capital Reserve Fund is used to account for funds reserved for matching capital funds for buses and facilities related to the Town's public transportation system.

Donations vary substantially from year to year, depending on anticipated future needs for reserves.



TRANSIT CAPITAL RESERVE BUDGET SUMMARY

The Transit Capital Reserve Fund is intended to accumulate funding to make capital purchases and to meet matching requirements for capital grants for replacement buses and other equipment. Matching funds for 2025-26 are estimates for grants historically received each year, but not yet awarded.

EXPENDITURES

	2023-24 Actual	2024-25 Original Budget	2024-25 Revised Budget	2024-25 Estimated	2025-26 Adopted Budget	% Change from 2024-25
Contribution to Capital Grant Reserve	\$ (148,525) 189,836	\$ - -	\$ - -	\$ - -	\$ - -	N/A N/A
Total	\$ 41,311	\$ -	\$ -	\$ -	\$ -	N/A

REVENUES

	2023-24 Actual	2024-25 Original Budget	2024-25 Revised Budget	2024-25 Estimated	2025-26 Adopted Budget	% Change from 2024-25
Interest Income Appropriated Fund Balance	\$ 41,311 -	\$ - -	\$ - -	\$ - -	\$ - -	N/A N/A
Total	\$ 41,311	\$ -	\$ -	\$ -	\$ -	N/A

TRANSIT CAPITAL GRANT PROJECT ORDINANCES

Transit capital and planning grants awarded by the Federal Transit Administration are implemented pursuant to grant project ordinances authorized by General Statute 159-13.12. Budgets are adopted throughout the year as grant awards are received. Seven current project ordinances in the Transit Department are shown below:

2015-2016 Capital Grant 5339

The project ordinance for the fiscal year 2015-2016 Section 5339 Transit Capital Grant was executed on May 14, 2018. The funds will be used to expand transit's employee/visitor parking lot, install a new security gate to the bus fleet yard, and fund a preliminary review and analysis of constructing a solar canopy over the bus yard. 80% is federally funded. 20% will be funded through local budget.

	Project Budget	Estimated Expenditures Through June 30, 2026
2015-16 Transit Capital Grant	\$534,037	\$82,788

2024 Area of Persistent Poverty Grant

The project ordinance for the fiscal year 2024-2025 is for the planning of a micro-transit system.

	Project Budget	Estimated Expenditures Through June 30, 2026
2024 Planning Grant	\$437,500	\$437,500

FY19-FY20 Capital Grant 5339

The project ordinance for the fiscal year 2021 Capital Investment plan covering: Automatic Vehicle Locator upgrades, Automatic Passenger Counter upgrades, and Radio System upgrades.

	Project Budget	Estimated Expenditures Through June 30, 2026
2020 Transit Capital Grant	\$657,654	\$376,047

FY22 5339

This project ordinance for fiscal year 2022 is for the purchase of three (3) 20' Light Transit Vehicles (LTV) for the Demand Response Fleet.

	Project Budget	Estimated Expenditures Through June 30, 2026
2020 Transit Capital Grant	\$623,820	\$623,820

TRANSIT CAPITAL GRANT PROJECT ORDINANCES

FY23 5339a

This project ordinance for fiscal year 2023 is for the purchase of an architecture and engineering firm to provide up to 100% completion of construction plans for an expanded fleet yard and training center.

	Project Budget	Estimated Expenditures Through June 30, 2026
2023 Transit Planning Grant	\$298,324	\$298,324

FY17 – 21 5339 Capital Grant

This project ordinance is for fiscal year 2017 – 2021. This grant is for lapsing funds from Orange Public Transit (via NCDOT) for their share of 5339a funding split. The funds were incorporated by the Town of Chapel Hill via a teleconference with FTA, NCDOT, and the Durham-Chapel Hill-Carrboro Metropolitan Planning Organization (DCHC MPO). These funds are lapsing. FTA share: FY17 \$4,630.00, FY18: \$14,261.00, FY19: \$24,147.00, FY20: \$23,419.00, FY21: \$28,676.00. Total FTA Share: \$95,133.00. Local share: \$29,867.00.

	Project Budget	Estimated Expenditures Through June 30, 2026
2021 Transit Capital Grant	\$125,000	\$125,000

FY22 5309

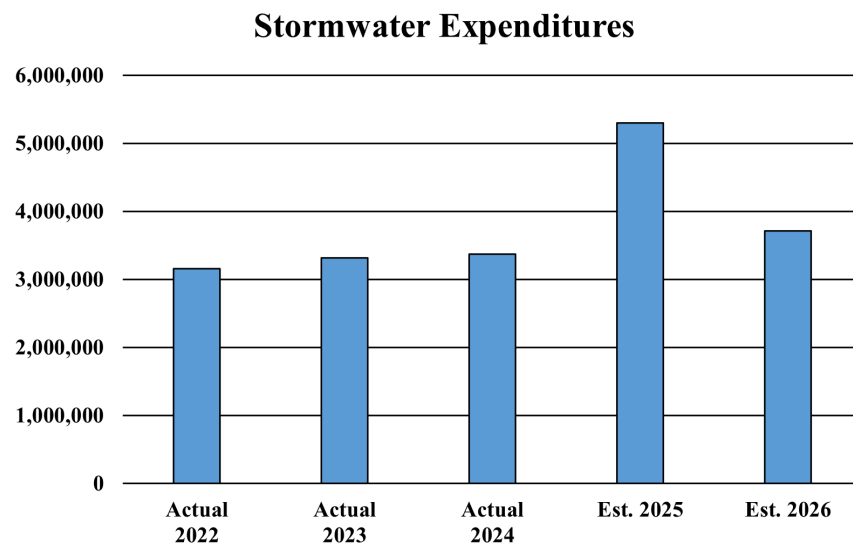
This project ordinance is for fiscal year 2022 is for the project development of the North-South BRT (Bus Rapid Transit).

	Project Budget	Estimated Expenditures Through June 30, 2026
2022 Transit Capital Grant	\$10,168,250	\$10,168,250

STORMWATER MANAGEMENT FUND



The Stormwater Management Fund was established in 2004-05 to protect and restore local streams, reduce flood damage through capital improvements, safeguard Jordan Lake water quality, and educate citizens about water quality, flood damage, and stream protection.



PUBLIC WORKS - STORMWATER MANAGEMENT

MISSION STATEMENT:

The Public Works - Stormwater Management Team strives to provide excellent customer service, protect the health and safety of both the public and the ecosystem, address stormwater quality and quantity concerns, ensure compliance with federal and state stormwater mandates, and implement the Town's Comprehensive Stormwater Management Program.

The Public Works Department - Stormwater Management Division identified the following primary programs that are included in the adopted budget for 2025-26.

Program	Description
Stormwater Infrastructure	Perform routine maintenance, remedial repairs, and capital improvements to the town-maintained stormwater infrastructure using in-house and contracted resources.
Stormwater Regulatory Compliance	Develop, implement, perform, and administer activities and programs to maintain compliance with Town, State, and Federal regulatory requirements (LUMO, NPDES, MS4, Jordan TMDL, FEMA Floodplain Management). This includes, but not limited to, providing technical assistance involving stormwater management, field classification of streams, mapping and database management, assisting compliance officer with investigation of inquiries/violations, identification of grant opportunities to fund drainage and water quality improvement projects, outreach and education, and development and administration of stormwater-related professional services and construction contracts.
Street Sweeping	Sweep publicly maintained streets within the Town limits using in-house labor and equipment. Sweep downtown streets twice a week, entryway roads once a week, and residential streets about every eight weeks, weather permitting.
Stormwater Billing	Prepare annual stormwater utility billing and manage stormwater billing databases. Manage stormwater fee assistance program and respond to billing inquiries.

STORMWATER MANAGEMENT FUND

Major Revenue Sources – Descriptions and Estimates

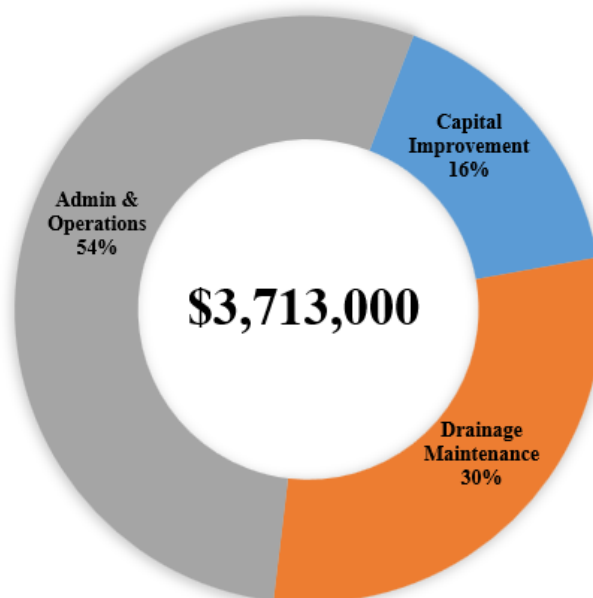
The Town established a Stormwater Management Fund in 2004-05 to continue the enhancement of stormwater management services and to implement stormwater management activities necessary to comply with State and federal regulations. Stormwater management activities are funded by a fee charged to property owners based on the amount of impervious surface area on a property. The 2025-26 adopted budget includes a \$5.30 per equivalent rate unit (ERU) fee increase to fund the remaining balance associated with the debt service related to the 2015 Stormwater Bonds. This will bring the Stormwater fee to \$40.27 for each 1,000 square feet of impervious surface. At this rate, fee revenue is estimated at just over \$3.5 million in 2025-26. In the current year, the budget is expected to be balanced with \$2,108,251 in fund balance. For 2025-26, the budget is balanced without the use of fund balance.

Major Expenditures and Estimates

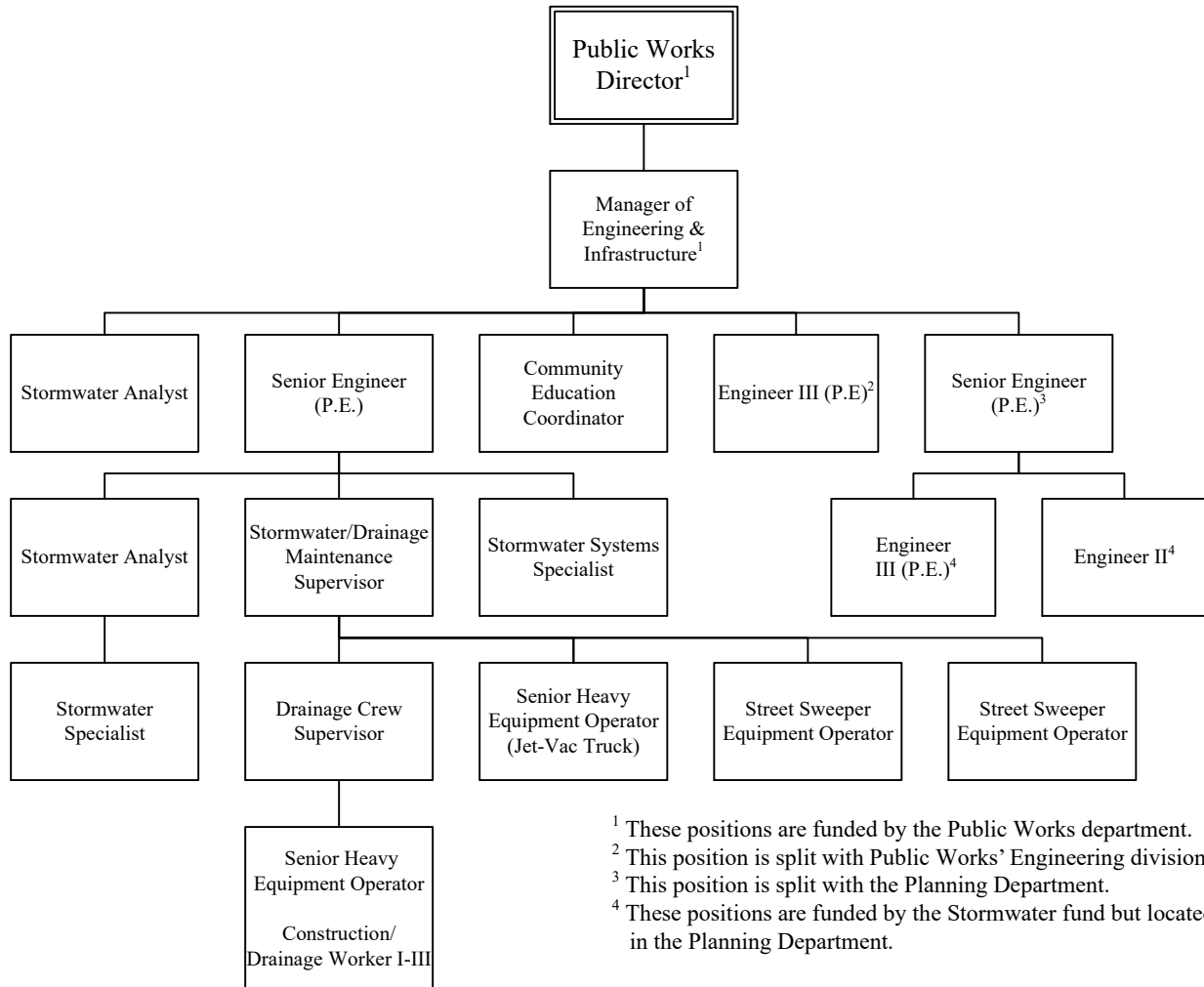
The adopted budget for 2025-26 totals \$3,713,000. This represents a 13.1% increase from the FY25 budget. Changes to the budget include a pay increase and a 0.75% retirement rate increase, a 6% health insurance increase, a new Stormwater Analyst position, and debt service on the final issuance of the 2015 bonds. \$510,094 is in the adopted budget for the debt payment related to the G.O. bond issuance.

As indicated in the chart below, 30% of the 2025-26 budget provides for the Drainage division to conduct stormwater-related drainage and maintenance projects.

STORMWATER EXPEDITURES



STORMWATER MANAGEMENT FUND



STORMWATER MANAGEMENT FUND

STAFFING COMPARISONS - IN FULL-TIME EQUIVALENTS

	2023-24 ADOPTED	2024-25 ADOPTED	2025-26 ADOPTED
Stormwater			
Senior Engineer ¹	1.50	1.50	1.50
Engineer II	1.00	1.00	1.00
Engineer III ²	1.50	1.50	1.50
Senior Engineering Inspector ²	0.30	0.30	0.30
Stormwater Specialist	1.00	1.00	1.00
Stormwater Analyst	1.00	1.00	2.00
Professional Land Surveyor ²	0.25	0.25	0.25
Community Education Coordinator	1.00	1.00	1.00
Systems Specialist	1.00	1.00	1.00
Unit Totals	8.55	8.55	9.55
Drainage			
Stormwater Maintenance Supervisor	1.00	1.00	1.00
Drainage Crew Supervisor	1.00	1.00	1.00
Street Sweeper Equipment Operator	2.00	2.00	2.00
Senior Heavy Equipment Operator	2.00	2.00	2.00
Construction Worker III	1.00	1.00	1.00
Unit Totals	7.00	7.00	7.00
Stormwater Management Fund Totals	15.55	15.55	16.55

¹ The Planning department assumes half the salary of one of the Senior Engineer positions.

² The Engineering division of Public Works assumes a portion of salaries for Engineer III, Senior Engineering Inspector, and Professional Land Surveyor.

STORMWATER MANAGEMENT FUND

BUDGET SUMMARY

The adopted budget for FY 2025-26 includes the continuation of existing services. The 10.8% increase in personnel expenditures includes a 0.75% retirement increase, a 6% increase in insurance costs, a salary increase, and the addition of a new Stormwater Analyst position. Operating costs increased by 24.9% largely due to debt service on the final issuance of the 2015 referendum. Capital Outlay decreased 33.8% due to no vehicle replacements in FY26.

The adopted budget includes a \$5.30 per ERU fee increase to issue the remaining \$3.2 million general obligation bonds and pay the related debt service for the 2015 Stormwater Bonds. This is the second fee increase, as another was implemented in FY20. The previous increase covered projects and increased operational costs, and the current increase will cover the final issuance of the debt. The budget is balanced without the use of fund balance.

EXPENDITURES

	2023-24 Actual	2024-25 Original Budget	2024-25 Revised Budget	2024-25 Estimated	2025-26 Adopted Budget	% Change from 2024-25
Personnel	\$ 1,721,805	\$ 1,789,291	\$ 1,789,291	\$ 1,729,680	\$ 1,982,357	10.8%
Operating Costs	1,105,165	1,308,922	4,611,157	3,194,856	1,634,477	24.9%
Capital Outlay	-	121,400	3,403,741	374,790	80,400	-33.8%
Capital Reserve	543,307	63,387	-	-	15,866	-75.0%
Total	\$ 3,370,277	\$ 3,283,000	\$ 9,804,189	\$ 5,299,326	\$ 3,713,100	13.1%

REVENUES

	2023-24 Actual	2024-25 Original Budget	2024-25 Revised Budget	2024-25 Estimated	2025-26 Adopted Budget	% Change from 2024-25
Stormwater Fees	\$ 3,088,054	\$ 3,100,000	\$ 3,100,000	\$ 3,008,075	\$ 3,530,100	13.9%
Fee Exemption	(9,710)	(17,000)	(17,000)	(10,000)	(17,000)	N/A
Transfer from General Fund	9,710	17,000	17,000	10,000	17,000	0.0%
Interest Income	268,223	175,000	175,000	175,000	175,000	0.0%
Other Income	14,000	8,000	8,000	8,000	8,000	0.0%
Proceeds from Bond Sale	-	-	3,200,000	-	-	N/A
Premium on Bonds	-	-	62,938	-	-	N/A
Appropriated Fund Balance	-	-	3,258,251	2,108,251	-	N/A
Total	\$ 3,370,277	\$ 3,283,000	\$ 9,804,189	\$ 5,299,326	\$ 3,713,100	13.1%

STORMWATER

Performance Measures

 Environmental Stewardship Connected Community Safe Community	Strategic Objectives ➤ Initiate 100% of investigations of reported pollution (sedimentation, illicit discharge) events within 24 hours of receipt. ➤ Confirm that 20% of project sites subject to the NPDES regulation have had a certified post-construction inspection each year, with the goal of having all sites inspected every five years. ➤ Sweep streets downtown twice weekly (weather permitting), major streets once weekly (weather permitting), and check and clean residential streets as needed once every six to eight weeks (not weather dependent).
--	---

Core Business Program	Performance Measure	FY23 Actual	FY24 Actual	FY25 Estimated	FY26 Target
Stormwater Regulatory Compliance	Percent of investigations of reported pollution initiated within 24 hours of notification	96%	96%	97%	100%
	Percent of sites inspected annually	52%	51%	60%	20%
Stormwater Infrastructure	Percent of development plan reviews completed by assigned deadline (in coordination with Planning) ¹	86%	71% ²	91%	100%
Street Sweeping	Percent of time downtown streets were swept according to schedule (twice per week)	Est. 85%	72%	TBD ³	100%
	Percent of time major streets were swept according to schedule (once per week)	Est. 50%	44%	TBD ³	100%
	Percent of time residential streets were swept according to schedule (once every seven weeks)	Est. 33%	77%	TBD ³	100%

¹ In March 2024, this measure was transferred from Public Works to Planning.

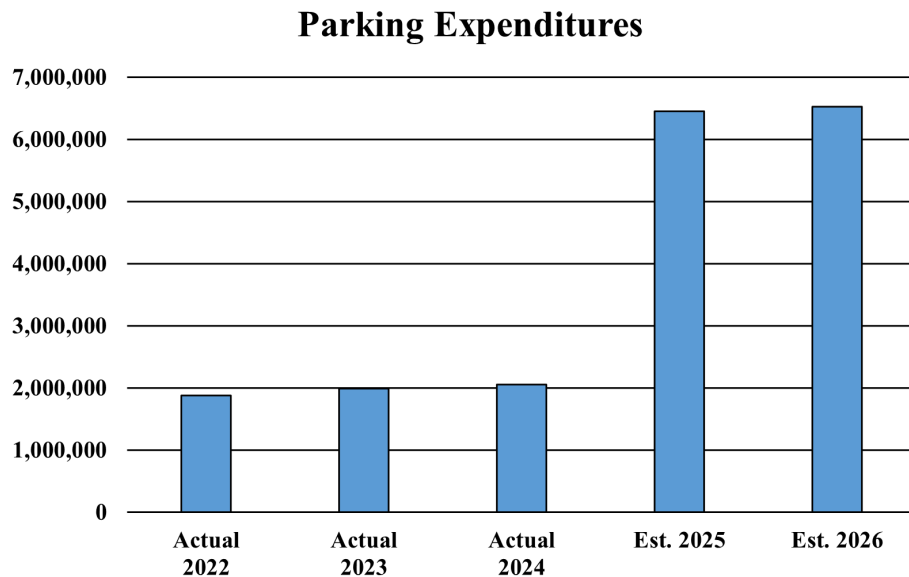
² The plan review deadline was reduced from three weeks to two in December FY24.

³ Street Sweeping data will not be available until late August following NPDES annual report submission.

PARKING FACILITIES FUND



The Parking Facilities Fund includes the operation of off-street parking lots, all on-street metered parking, in addition to parking enforcement activities.



PARKING FACILITIES FUND

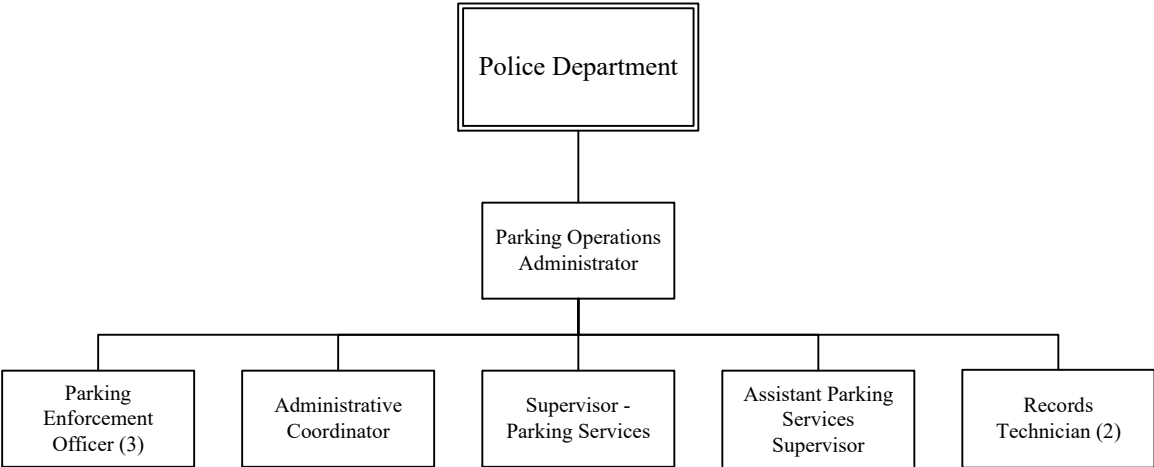
MISSION STATEMENT:

Parking Services' primary mission is to provide safe and efficient on-street and off-street parking to Chapel Hill's citizens and visitors in a courteous manner, offer support and promote economic development, and to operate a parking enforcement system in compliance with the parking regulations adopted by the Town Council.

The Parking Services Department identified the following primary programs that are included in the adopted budget for 2025-26.

Program	Description
On-Street Parking	Maintain on-street parking inventory, parking meters, and pay-stations. Collect meter revenue and monitor utilization and meter/pay station maintenance.
Off-Street Parking	Maintain off-street parking inventory, including 125 East Rosemary and Wallace Parking Decks. Manage hourly, monthly, and special event parking and revenue control.
Parking Enforcement	Enforce the Town's parking ordinances in the Downtown and permit parking areas. Collect ticket revenue and administer appeal process.
Parking Administration and Parking Permit Programs	Administer the Town's Parking facilities and programs. Issue parking permits, collect miscellaneous revenues, and manage the Town's residential Parking Permit Program and the mixed-use permit parking programs.

PARKING SERVICES

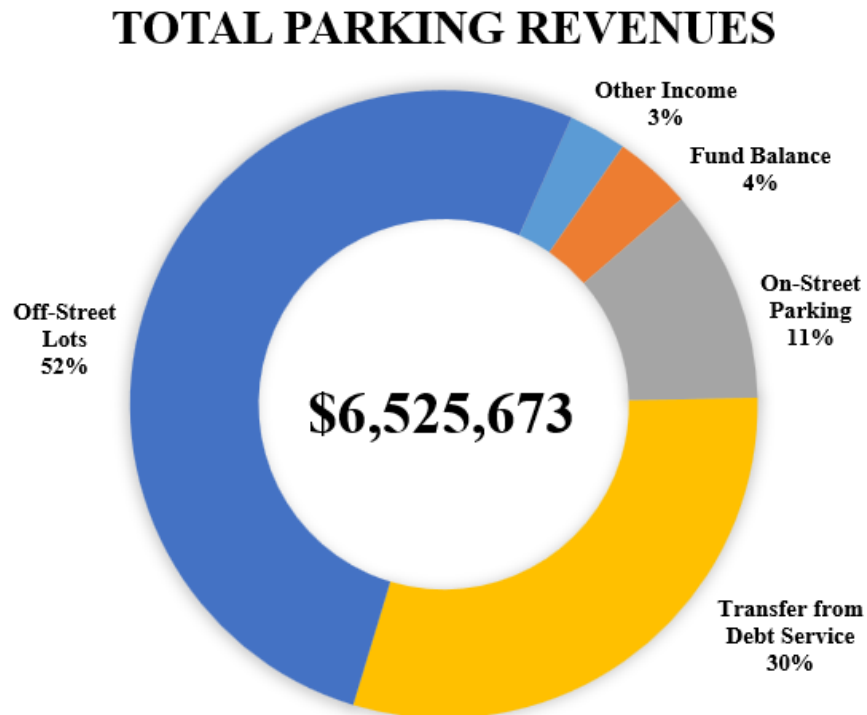


PARKING FACILITIES FUND

Major Revenue Sources – Descriptions and Estimates

The Parking Facilities Fund, with an adopted budget of \$6,525,673 for FY 2025-26, accounts for revenues from the parking lots in the downtown area as well as on-street parking revenues. Off-street parking revenues consist almost exclusively of the fees charged for parking in these lots. \$1,686,000, or about 27% of total parking revenues, is budgeted to come from the new 125 East Rosemary Deck. The deck at 140 West is budgeted to generate about \$330,000 in 2025-26.

On-street parking has two major revenue sources: parking meter fees and parking ticket fines. Meter fees are estimated to generate about \$425,000 and parking ticket fines about \$193,000 in 2025-26.

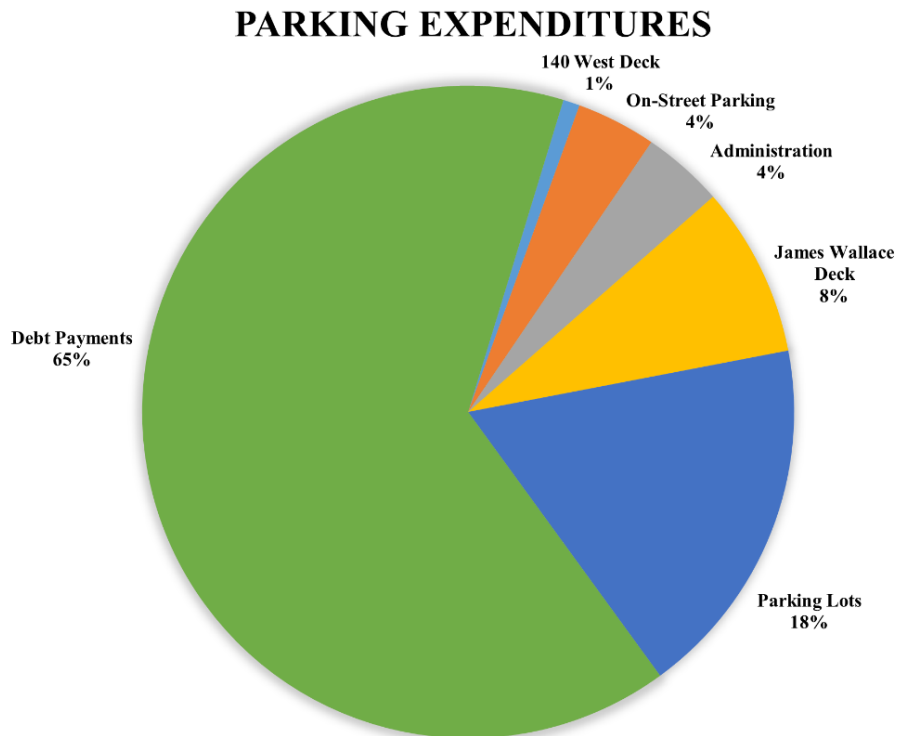


PARKING FACILITIES FUND

Major Expenditures and Estimates

In FY 2025-26, the primary expenditure of the Parking Facilities Fund is debt payments related to the new 125 East Rosemary parking lot. These debt expenditures total about \$4.2 million.

The other major expenditure in the Parking Facilities Fund is the cost of personnel required to manage the lots. The FY26 personnel budget of \$965,123 includes a 5% pay increase, a 6% increase in insurance costs, and a 0.75% increase in retirement.



PARKING FACILITIES FUND
STAFFING COMPARISONS - IN FULL-TIME EQUIVALENTS

	2023-24 ADOPTED	2024-25 ADOPTED	2025-26 ADOPTED
Parking Operations Administrator	1.00	1.00	1.00
Parking Services Supervisor	1.00	1.00	1.00
Assistant Parking Services Supervisor	1.00	1.00	1.00
Parking Enforcement Officer	3.00	3.00	3.00
Records Technician	0.80	0.75	2.00
Parking Attendant	2.00	2.00	0.00
Administrative Coordinator	1.00	1.00	1.00
Parking Facilities Fund Totals	9.80	9.75	9.00

PARKING FACILITIES FUND

BUDGET SUMMARY

Parking revenues for the adopted 2025-26 budget increased 18.4% compared to FY25. This is mainly driven by an increase in the transfer from the Debt Fund.

The overall increase in expenditures for 2025-26 reflects an increase in personnel related to the 5% of market pay adjustment, 6% insurance increase, and 0.75% increase in retirement, as well as increases in liability insurance and debt payments.

EXPENDITURES

	2023-24 Actual	2024-25 Original Budget	2024-25 Revised Budget	2024-25 Estimated	2025-26 Adopted Budget	% Change from 2024-25
James Wallace Deck	\$ 622,001	\$ 604,634	\$ 651,521	\$ 718,934	\$ 531,963	-12.0%
Parking Lots	1,001,959	1,226,194	1,241,194	966,996	1,174,109	-4.2%
140 West Deck	51,562	53,183	58,038	52,633	53,855	1.3%
Administration	166,628	3,362,283	4,527,990	4,489,494	4,487,972	33.5%
Parking Capital	1,160	19,640	19,968	250	19,640	0.0%
On-Street Parking	209,549	244,187	293,601	226,800	258,134	5.7%
Total	\$ 2,052,859	\$ 5,510,121	\$ 6,792,312	\$ 6,455,107	\$ 6,525,673	18.4%

REVENUES

	2023-24 Actual	2024-25 Original Budget	2024-25 Revised Budget	2024-25 Estimated	2025-26 Adopted Budget	% Change from 2024-25
James Wallace Deck	\$ 688,636	\$ -	\$ 635,000	\$ 635,000	\$ 635,000	N/A
Rosemary/Columbia Lot	302,419	275,000	275,000	302,000	303,000	10.2%
415 West Franklin Lot	55,373	82,000	82,000	55,365	55,000	-32.9%
West Rosemary Lot	37,927	10,000	10,000	37,030	10,000	0.0%
Rosemary/Sunset	47,325	58,500	58,500	47,150	62,000	6.0%
South Graham Lot	17,158	16,400	16,400	17,330	17,300	5.5%
West Franklin/Basnight Lot	91,888	85,000	85,000	91,000	98,000	15.3%
427 West Franklin Lot	49,832	51,000	51,000	50,200	50,000	-2.0%
Jones Park Lot	16,800	21,600	21,600	18,000	18,000	-16.7%
Mallette Lot	124,725	124,000	124,000	124,490	124,000	0.0%
Courtyard Lot	36,796	44,000	44,000	40,290	40,000	-9.1%
140 West Deck	302,984	331,000	331,000	300,000	330,000	-0.3%
125 East Rosemary	-	1,670,000	285,000	285,000	1,686,000	1.0%
205 Columbia Street	68,490	-	-	24,000	-	N/A
Interest Income	169,796	40,000	300,000	300,000	25,000	-37.5%
Miscellaneous Income	132,009	113,000	113,000	109,000	130,000	15.0%
On-Street Parking	716,448	657,500	657,500	729,000	734,000	11.6%
EV Charging Station Fees	-	-	-	9,300	9,200	N/A
UNC Leases - 125 East Rosemary	-	1,500,000	1,500,000	1,500,000	-	-100.0%
Transfer from Debt Service Fund	-	431,121	431,121	431,121	1,957,868	354.1%
Appropriated Fund Balance	(805,746)	-	1,772,191	1,349,831	241,305	N/A
Total	\$ 2,052,859	\$ 5,510,121	\$ 6,792,312	\$ 6,455,107	\$ 6,525,673	18.4%

PARKING FACILITIES FUND

Performance Measures

	Strategic Objectives ➤ Increase occupancy performance in each section of the Downtown Parking Operation. Downtown parking is broken up into three sections: East Downtown (East of Columbia St), Central Downtown (Columbia St to Mallette St) and West Downtown (Mallette St to Sunset Dr). We will provide the financial performance and target to increase revenue in each section by 10%.
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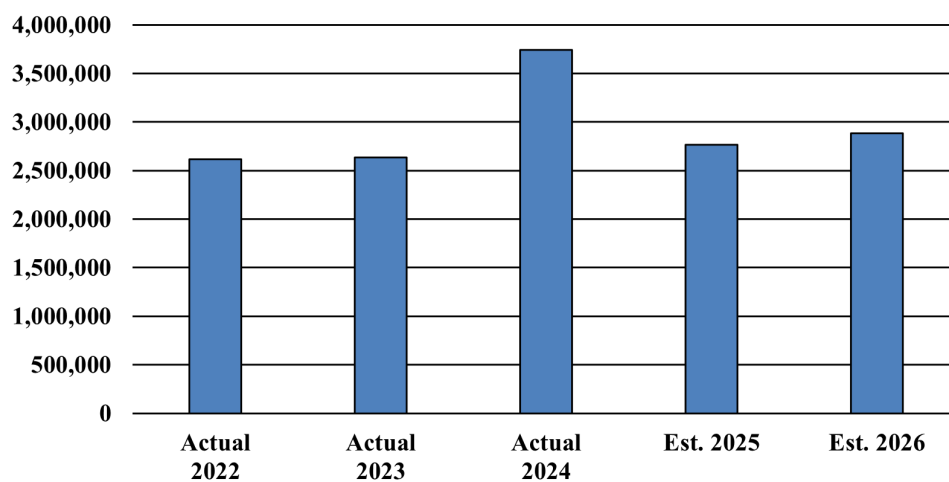
Core Business Program	Performance Measure	FY23 Actual	FY24 Actual	FY25 Actual	FY26 Target
East Downtown	Total section revenue	\$1,222,116	\$1,429,827	\$1,572,777	\$1,572,809
Central Downtown	Total section revenue	\$354,307	\$368,526	\$497,521	\$415,378
West Downtown	Total section revenue	\$375,830	\$414,233	\$457,251	\$455,656

PUBLIC HOUSING FUND



The Public Housing Fund is used to account for federal grants restricted for the Town's public housing programs.

Public Housing Expenditures



PUBLIC HOUSING FUND

VISION:

A vibrant and inclusive community where all residents have access to affordable housing and opportunities to thrive.

MISSION:

*Create Partnership
Catalyze Affordable Housing
Build Community*

The Public Housing Division identified the following primary programs that are included in the adopted budget for 2025-26.

Program	Description
Lease Management and Tenant Relations	▪ Manage Housing Applications ▪ Ensure Compliance with Lease Agreements ▪ Coordinate Resident Services Activities
Complete Federal Compliance and Reporting Requirements	▪ Complete HUD-Required Reports and Plans ▪ Complete Routine Reports ▪ Receive Reports from HUD
Perform Maintenance and Renovations	▪ Complete preventative maintenance ▪ Complete safety inspections and pest control ▪ Oversee unit turnaround of vacant units ▪ Complete work orders for units ▪ Implement our Capital Plan ▪ Complete HUD inspections ▪ Implement Staff Training Plan ▪ Complete special projects

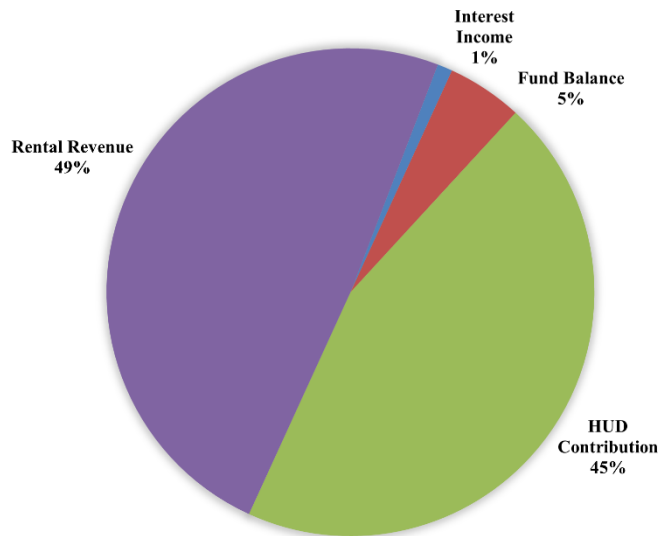
PUBLIC HOUSING FUND

Major Revenue Sources - Descriptions and Estimates

The Public Housing program provides for the administration and operation of the Town's 296 public housing units and is funded primarily through federal grants and rents paid by residents.

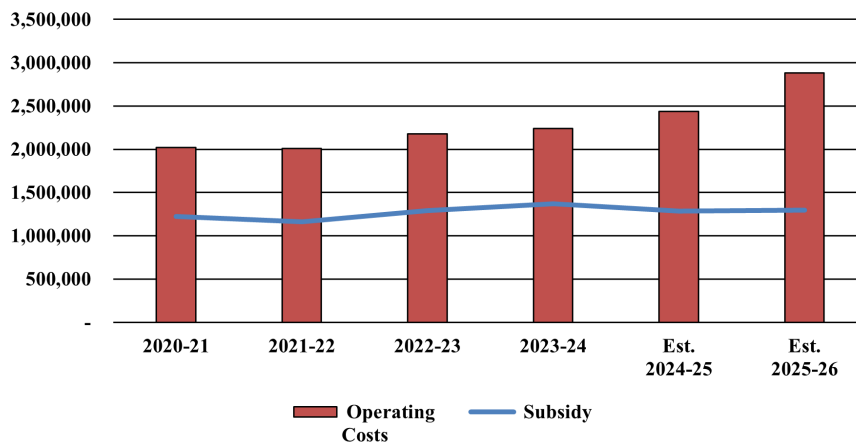
In 1987, the Chapel Hill Public Housing Authority was abolished by the Chapel Hill Town Council. The Town's Public Housing program was then operated as a Town Department administered by Town staff. During FY2023-24, the Public Housing department became part of the Affordable Housing & Community Connections department, with the Public Housing Fund remaining a separate enterprise fund.

PUBLIC HOUSING REVENUES



Primary revenue sources include dwelling rents paid by residents and operating grants from the Department of Housing and Urban Development (HUD). HUD has provided funding estimates for calendar year 2025 but we have no information about calendar year 2026. Based on interim allocations, our estimate of HUD's subsidy for 2024-25 is \$1,295,000, a less than 1% increase from the 2023-24 subsidy of \$1,284,152.

Housing Expenses vs. HUD Operating Subsidy

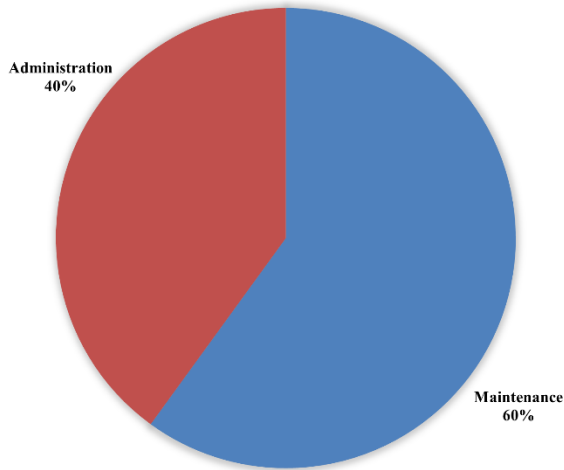


The Public Housing division estimates dwelling rents, the largest source of revenue for the Public Housing Fund, at about \$1,410,000, which is a 2.7% increase from current year estimates.

PUBLIC HOUSING FUND

Major Expenditures and Estimates

PUBLIC HOUSING EXPENDITURES

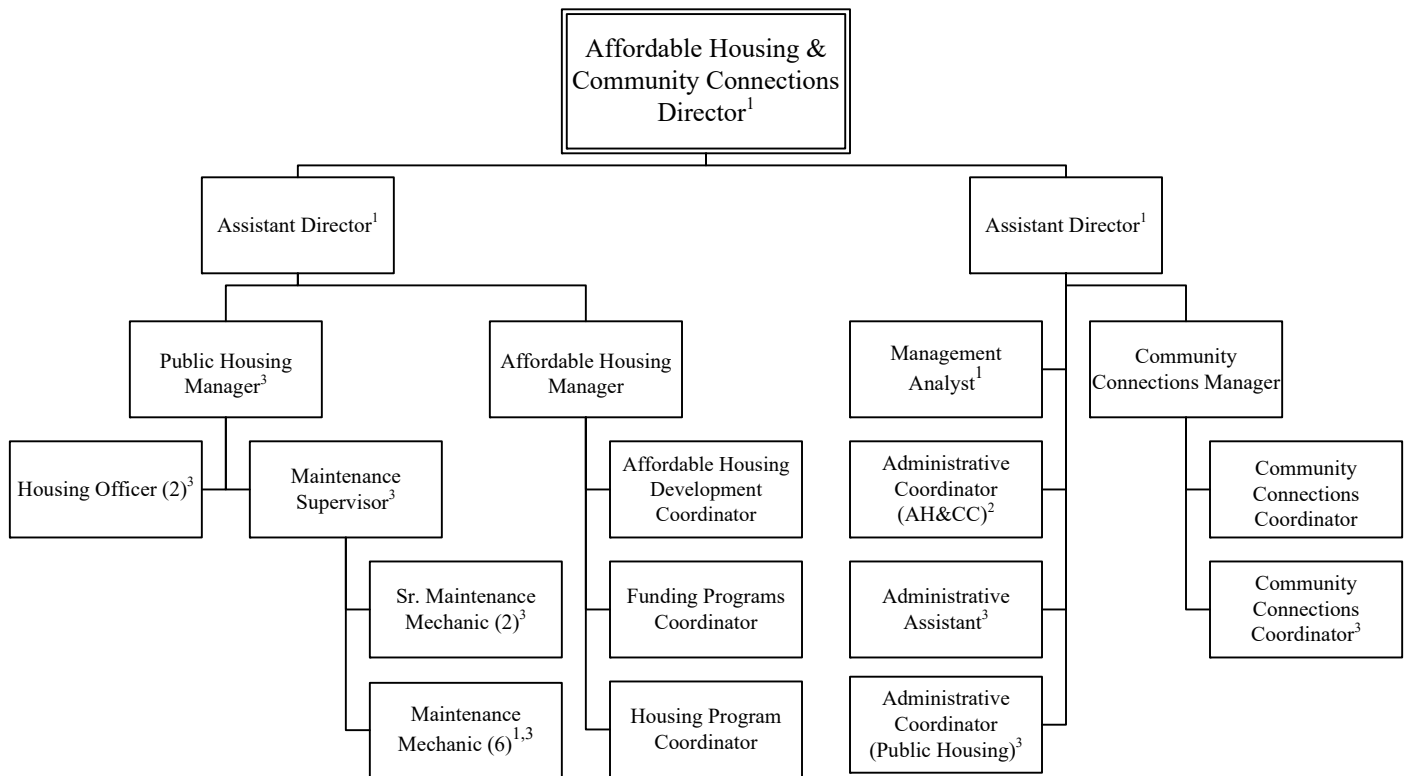


Major expenditure categories include about \$1,682,276 for salaries and benefits, \$213,450 for utilities, \$77,500 for liability and flood insurance, and \$604,911 for maintenance of the units.

The personnel costs include a 5% of market pay increase, a 0.75% retirement contribution increase, and a 6% increase in insurance costs.

	2024-25 Original Budget	2025-26 Adopted Budget	% Change from 2024-25
Salary & Benefits - Administration	\$ 712,762	\$ 754,757	5.9%
Salary & Benefits - Maintenance	884,160	927,969	5.0%
Maintenance Costs	567,206	604,911	6.6%
Utilities	213,450	213,450	0.0%
Liability & Flood Insurance	77,500	77,500	0.0%
Other Expenses	244,322	303,737	24.3%
Total Budget	\$ 2,699,400	\$ 2,882,324	6.8%

AFFORDABLE HOUSING & COMMUNITY CONNECTIONS



¹ Multiple positions are split between AH&CC and the Public Housing Fund, including one Maintenance Mechanic

² This position is located in AH&CC, but is split with and funded by the Planning department, the Public Housing Fund, and grant funding

³ These positions are fully funded by the Public Housing Fund, except for one Maintenance Mechanic

PUBLIC HOUSING
STAFFING COMPARISONS - IN FULL-TIME EQUIVALENTS

	2023-24 ADOPTED	2024-25 ADOPTED	2025-26 ADOPTED
Administration			
Director - Public Housing	1.00	0.00	0.00
Assistant Director - Public Housing	1.00	0.00	0.00
Director - Affordable Housing & Community Connections ¹	0.00	0.20	0.20
Assistant Director (1) ¹	0.00	0.50	0.50
Assistant Director (2) ¹	0.00	0.50	0.50
Public Housing Manager	0.00	1.00	1.00
Management Analyst ¹	1.00	0.50	0.50
Administrative Coordinator ²	0.00	0.20	0.20
Administrative Assistant	1.00	1.00	1.00
Housing Officer	2.00	2.00	2.00
Comm. Connections Coordinator (formerly Resident Svcs Coordinator)	1.00	1.00	1.00
Division Totals	7.00	6.90	6.90
Maintenance			
Maintenance Supervisor	1.00	1.00	1.00
Maintenance Mechanic (Repair Worker, I, II, III) ¹	7.50	7.50	7.50
Administrative Coordinator	1.00	1.00	1.00
Division Totals	9.50	9.50	9.50
Housing Department Totals	16.50	16.40	16.40

¹ These positions are split between the Public Housing fund and Affordable Housing & Community Connections.

² The portion of this position formerly funded by AH&CC moved to Public Housing as of FY24-25.

PUBLIC HOUSING BUDGET SUMMARY

The Town's public housing units are funded primarily through federal grants from the U.S. Department of Housing and Urban Development and rents paid by residents. HUD's funding formula changed to implement Asset Based Budgeting in 2007-08, but each year, HUD has waived many Asset-based requirements for housing authorities of our size. We believe it is likely the waiver will be made permanent, so the budget for 2025-26 retains a simpler model that includes an Administrative Division and a Maintenance Division.

The 5.4% increase in personnel is the result of a 0.75% retirement increase, a 6% increase in insurance costs, and a salary increase. The operating budget increased 19.9% due to increases in training, contracted services, landscaping expenses, and software. The budget for 2025-26 reflects an estimate of the HUD subsidy anticipated for calendar year 2025. The Town anticipates HUD subsidies will remain level and rental revenues will increase. The Town anticipates using \$138,924 in fund balance appropriation in 2025-26.

REVENUES

	2023-24 Actual	2024-25 Original Budget	2024-25 Revised Budget	2024-25 Estimated	2025-26 Adopted Budget	% Change from 2024-25
Revenue Summary						
HUD Contributions	\$ 1,284,152	\$ 1,295,000	\$ 1,295,000	\$ 1,295,000	\$ 1,295,000	0.0%
Rental Revenue	1,364,236	1,376,000	1,376,000	1,373,000	1,410,000	2.5%
Other Revenues	2,575	400	62,622	72,622	10,400	2500.0%
Interest Income	28,160	28,000	28,000	28,000	28,000	0.0%
Appropriated Fund Balance	1,063,395	-	35,584	-	138,924	N/A
Total Revenues	\$ 3,742,518	\$ 2,699,400	\$ 2,797,206	\$ 2,768,622	\$ 2,882,324	6.8%

EXPENDITURES

	2023-24 Actual	2024-25 Original Budget	2024-25 Revised Budget	2024-25 Estimated	2025-26 Adopted Budget	% Change from 2024-25
Personnel	\$ 1,259,955	\$ 1,596,922	\$ 1,556,922	\$ 1,439,688	\$ 1,682,726	5.4%
Operating	982,563	1,000,797	1,080,381	998,547	1,199,598	19.9%
Contribution to Agencies	1,500,000	-	-	-	-	N/A
Capital	-	-	58,222	51,338	-	N/A
Contribution to Reserve	-	101,681	101,681	279,049	-	-100.0%
Total	\$ 3,742,518	\$ 2,699,400	\$ 2,797,206	\$ 2,768,622	\$ 2,882,324	6.8%

PUBLIC HOUSING

Performance Measures



Strategic Objectives

- To provide decent, safe, and well maintained affordable rental housing for low-income residents

Core Business Program	Performance Measure	FY23 Actual	FY24 Actual	FY25 Actual	FY26 Target
Public Housing	HUD's PHAS rating	52	52	74	90
	Percentage of elected officials and staff who have completed "Lead the Way" training	100%	100%	100%	100%
	# of units inspected through Preventative Maintenance Inspections and repairs made	0	44	104	296 (12 communities)
	Average # of work orders opened (monthly)	590	551	192	175
	Average # of days to complete a routine work order	1.5	5	4	< 2
	% of Capital Fund Expenditures for HUD Grants 2020 and 2021	2020: 51% 2021: 18%	2020: 93% 2021: 50%	2020: 100% 2021: 93%	2020: 100% 2021: 100%
	% of Capital Fund Expenditures for HUD Grants FY2022 and FY2023	-	New Metric in FY25	2022: 79% (21% of 2022 Grant Recaptured) 2023: 52%	2023: 100%
	Average # of Crime Reports (monthly)	New Metric in FY24	11	5 (Estimated)	0
	Average # of days to turnover a vacant unit	94	121	215	20
	Average # of calls received via the after-hours line	54	N/A	40 (Estimated)	35
	% of Public Housing residents employed	66%	46%	54% (Estimated)	> 65%
	% of new tenants homeless at time of admission	45%	20%	25%	25%

COMMUNITY DEVELOPMENT PROJECT ORDINANCES
U.S. Department of Housing and Urban Development
Community Development Program
Summary of Activities

The Town became an "entitlement" Community Development city in 1984, which means that the Town is entitled to receive Community Development grant funds annually upon submission of a final statement. Community Development grants awarded by Housing and Urban Development are implemented pursuant to grant project ordinances authorized by General Statute 159-13.12. Budgets are adopted throughout the year as the grant awards are received.

The 2018 project ordinance budgets a \$418,344 grant and \$21,777 program income for public housing improvements, homeownership assistance, homeowner housing improvement programs, code enforcement, neighborhood revitalization activities, summer youth employment programs, and homelessness case management.

The 2019 project ordinance budgets a grant of \$386,584 for homeownership assistance, housing improvement programs for homeowners, code enforcement, neighborhood revitalization activities, the summer youth employment program, youth counseling services, and homelessness case management.

The 2020 project ordinance budgets a \$417,591 grant and \$7,339 program income for homeownership assistance, homeowner housing improvement programs, emergency housing assistance, the summer youth employment program, youth counseling services, and homelessness case management. There were also two COVID-19 related CDBG-CV ordinances in 2020:

- The Coronavirus funding round 3 project ordinance budgets a grant of \$290,902 for remote learning scholarships, neighborhood support centers, and staffing and supplies for the food bank.

The 2021 project ordinance budgets a \$418,300 grant and \$7,339 program income for affordable rental acquisition and rehabilitation, homeowner housing improvement programs, neighborhood revitalization activities, youth counseling services, and homelessness case management.

The 2022 project ordinance budgets a \$419,755 grant and \$51,964 program income for homeownership assistance, homebuyer counseling, homeowner housing improvement programs, neighborhood revitalization, summer youth employment programs, youth counseling services, and homelessness case management.

The 2023 project ordinance budgets a \$421,755 grant and \$12,817 program income, for homeownership assistance, homebuyer counseling, homeowner housing improvement programs, neighborhood revitalization, summer youth employment programs, youth counseling services and homelessness case management.

The 2024 project ordinance budgets a \$437,331 grant and \$7,338 program income, for homeownership assistance, homeowner housing improvement programs, summer youth employment programs, microenterprise development, and homelessness case management.

CAPITAL PROGRAM

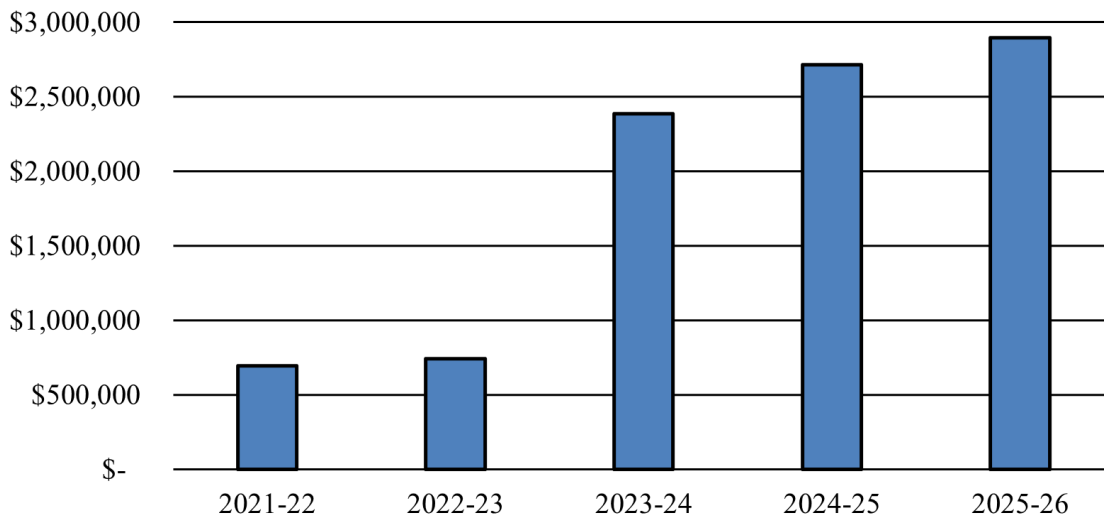
The Capital Program is a 15-year financial plan for the Town’s major capital and infrastructure needs. The program identifies capital needs, establishes priorities, and identifies potential funding sources.

Key sources for development of the Capital Program include the Facility Condition Assessment, special studies, the Comprehensive Plan, and requests from the Council, citizens, and Town staff.

The Capital Program includes projects financed with bond funds, grants, or other sources. The Capital Improvements Fund and Capital Reserve Fund are generally funded by annual transfers from the Town’s General Fund.

Expenditures in the Capital Improvements and Reserve Funds for 2025-26 are part of the 2025-26 annual budget. All other years are projected expenditures. Proposed funding levels will change in future years as capital programs are refined and the official Town budget is adopted for a given fiscal year.

Capital Improvements Fund Budget 2021-22 to 2025-26



CAPITAL PROGRAM – MAJOR REVENUE SOURCES

Capital Improvements Program

The Capital Improvements Program (CIP) is a 15-year plan to fund capital projects that are selected based on a set of priorities and anticipated availability of funding. The program emphasizes projects at Town facilities, with the goal of addressing capital-related problems as they arise in order to avoid more costly repairs in the future.

The CIP process includes project identification from subject matter experts within departments through the use of condition assessments, master plans, etc. These projects are evaluated internally via the CIP Leadership Committee.

Pay-Go

The Town annually budgets pay-go capital as a transfer from the General Fund for smaller-scale projects that do not require financing. This funding is reviewed as part of the annual budget process.

2015 Bonds

In November 2015, voters approved \$40.3 million in bonds. The bond projects are assigned to five individual categories as follows:

- Sidewalks and Streets (\$16.2 million): For improvements for bicycle and pedestrian safety, sidewalks, streets and bridges, and Downtown Streetscape.
- Trails and Greenways (\$5 million): For expansion of the town's Greenway System.
- Recreation Facilities (\$8 million): Renovations to parks, Parks & Recreation administrative space, and a community programming space.
- Solid Waste Options (\$5.2 million): Develop options for future solid-waste removal.
- Stormwater Improvements (\$5.9 million): For drainage improvements, flood control, and stream restoration.

The Town has had four issuances under this referendum. The Town issued \$9 million of General Obligation bonds in February 2017, \$12.5 million of General Obligation bonds in March 2018, \$7.7 million of General Obligation bonds in March 2023, and \$3.2 million of General Obligation bonds in June 2025. The remainder of the authority will lapse in November 2025.

CAPITAL PROGRAM – MAJOR REVENUE SOURCES

2018 Bonds

In November 2018, voters approved \$10 million for an Affordable Bond referendum. The Town has issued the full \$10 million - \$4.755 million in General Obligation bonds in May 2021 and \$5.245 million in General Obligation bonds in March 2023.

2024 Bonds

In November 2024, voters approved \$44 million in bonds. The bond projects are assigned to five individual categories as follows:

- Public Facilities (\$15 million): For the redevelopment of Fire Station #3 (Elliott Rd) and Fire Station #4 (Weaver Dairy Road).
- Affordable Housing (\$15 million): For town and partner projects to help pay capital costs of providing housing for persons of low and moderate income.
- Sidewalks and Streets (\$7.5 million): For improvements for bicycle and pedestrian safety, sidewalks, streets and bridges, and ADA improvements.
- Recreation Facilities (\$4.5 million): Renovations to park facilities, including replacing the Artificial Turf at Homestead Rd, and building amenities like a climbing wall, pickleball, and a splashpad.
- Trails and Greenways (\$2 million): For expansion of the town's Greenway System.

Two-Thirds Bonds

By NC General Statutes, the Town is able to issue two-thirds bonds without a referendum in an amount equivalent to two-thirds of the principal amount of debt retired in the prior fiscal year. The Town issued \$3,205,000 in two-thirds bonds in May 2021 and \$1.98 million in two-thirds bonds in March 2023.

Stormwater Management Fund

Stormwater Management fees provide funding for the Town's Stormwater Management Department, including capital projects.

Parking Facilities Fund

Fees collected from Town-operated on-street and off-street parking areas provide funding for the Parking Services Department, including capital projects.

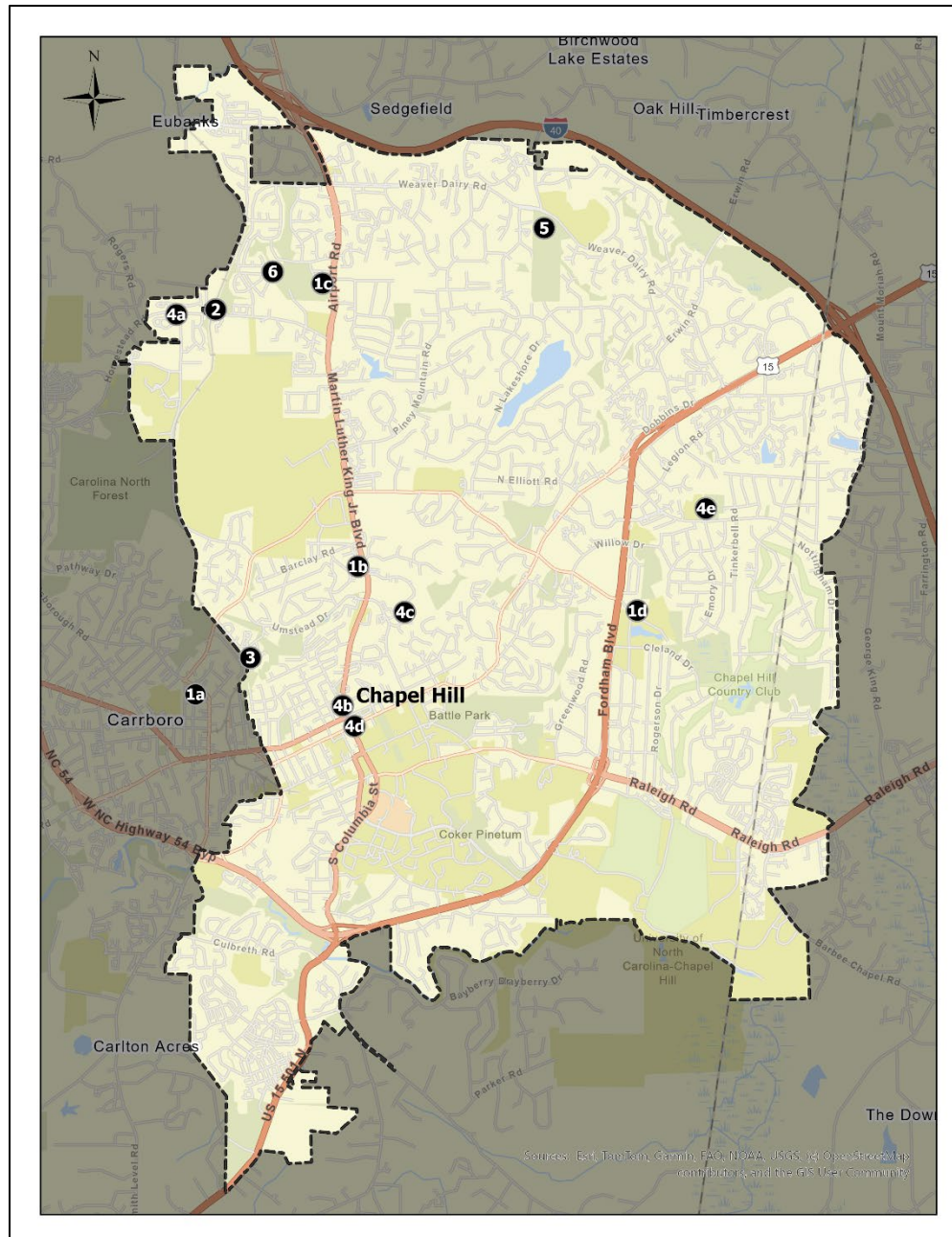
CAPITAL PROGRAM – MAJOR REVENUE SOURCES

Other Sources

- *Community Development Block Grant (CDBG)*: The Town receives annual federal grants from the U. S. Department of Housing and Urban Development (HUD). The Council approves a general 5-year spending plan to benefit lower-income neighborhoods and adopts an annual budget for these funds by a capital projects ordinance.
- *Housing Capital Grant*: In fiscal year 1993-94, the Town began receiving an annual entitlement for public housing renovations from the U. S. Department of Housing and Urban Development (HUD).
- *N.C. Department of Transportation (NCDOT)*: For most public transit projects, the Federal Transit Administration provides 80% funding and the NCDOT provides an additional 10% match. For the State's thoroughfare, bikeways, and pedestrian programs, the NCDOT funds projects selected from an annual Transportation Improvements Program in which local governments request that the State fund these types of projects in their community. Local requests are considered in a State-wide priority list. Projects are implemented by the NCDOT.
- *Surface Transportation Program (STP)*: The Surface Transportation Program provides flexible funding for projects on Federal-aid highways, including shared use paths and related facilities that may have recreational use, bridge projects on public roads, transit capital projects, and intracity and intercity bus terminals and facilities.
- *Gifts*: Occasionally, citizens of Chapel Hill will provide the Town with contributions to be used toward a project for which the citizen holds a special interest.
- Additional financing options include Limited Obligation Bonds (LOBS) and Asset-Backed Installment Debt.

CAPITAL PROGRAM – KEY PROJECTS

This section highlights key projects included in the 2026-40 Capital Program. The below map shows project locations:



Location of Key Capital Projects

KEY

1. Public Housing Neighborhood Improvements: 1a. Oakwood; 1b. Airport Gardens 1c. Rainbow Heights; 1d. South Estes; 2. Homestead Gardens Affordable Housing Project; 3. Tanyard Branch Trace Affordable Housing Project; 4. Street Construction/Roadway Improvements: 4a. Homestead Rd Sidewalks; 4b. North Street Intersection Improvements; 4c. Bolinwood Drive Bridge; 4d. Downtown Traffic Signal Mast Arms; 4e. Ephesus Church Rd Sidewalks; 5. Cedar Falls Park Tennis Courts Reconstruction 6. Homestead Skatepark

CAPITAL PROGRAM – KEY PROJECTS

1. Public Housing Neighborhood Improvements

The FY26 CIP includes funding for needed repairs and renovations to public housing apartments, facilities, and sites. These improvements to the public housing apartments will allow us to continue our efforts to provide safe and sanitary living conditions to a portion of the lower-income citizens of Chapel Hill. Locations for these planned improvements include our sites at Oakwood, Airport Gardens, Rainbow Heights, and South Estes Drive.



Rainbow Heights Neighborhood

CAPITAL PROGRAM – KEY PROJECTS

2. Homestead Gardens Affordable Housing Project

The Homestead Gardens project at 2200 Homestead Road is one of the Town's first efforts to develop affordable housing on Town land. The project will include about 100 mixed income affordable housing units, including rental apartments and for-sale duplexes and townhomes surrounded by a variety of community amenities, including a multi-use greenway path, walking trails, basketball court, and a community garden.



CAPITAL PROGRAM – KEY PROJECTS

3. Tanyard Branch Trace Affordable Housing Project

The Tanyard Branch Trace project will include 48 new affordable housing units on Town land that was prioritized for affordable housing in 2018. The community is located on Jay Street in Chapel Hill and will benefit residents of Chapel Hill/Orange County who earn 30% to 60% of the county's Area Median Income (AMI). The location is in close proximity to transit and the Town's greenway system and is within walking distance of a Town park and the Chapel Hill and Carrboro downtowns.



CAPITAL PROGRAM – KEY PROJECTS

4. Street Construction/Roadway Improvements

Various street projects include the completion of the Homestead Road Sidewalk Improvement Project, North Street and Martin Luther King Jr. Blvd Intersection Improvements, milling, resurfacing, and restriping along several town-maintained streets or portions of, design and bid documentation for the replacement of and addition of sidewalks to the Bolinwood Drive Bridge, design and installation of Traffic Signal Mast Arms along Franklin Street downtown, and design and installation of sidewalk infill connections along Ephesus Church Road. These projects will help provide alternative modes of transportation, improve our infrastructure, and help address community interests.



North St and MLK Jr. Blvd Intersection Improvements

CAPITAL PROGRAM – KEY PROJECTS

5. Cedar Falls Park Tennis Courts

This project includes a complete renovation of the tennis courts at Cedar Falls Park. The current facility will be modernized by replacing all the subgrade drainage, asphalt court surface, fencing, and making the walkway to the facility ADA-compliant. A plaza and seating will also be added. Community benefits include access to a low- to zero-cost recreation amenity for all ages and the ability to facilitate skill-development classes. This project provides the Town an opportunity to host local sporting events. A vendor was chosen and a contract awarded in FY24-25. Construction is underway and is scheduled to be completed this calendar year.



CAPITAL PROGRAM – KEY PROJECTS

6. Homestead Skatepark

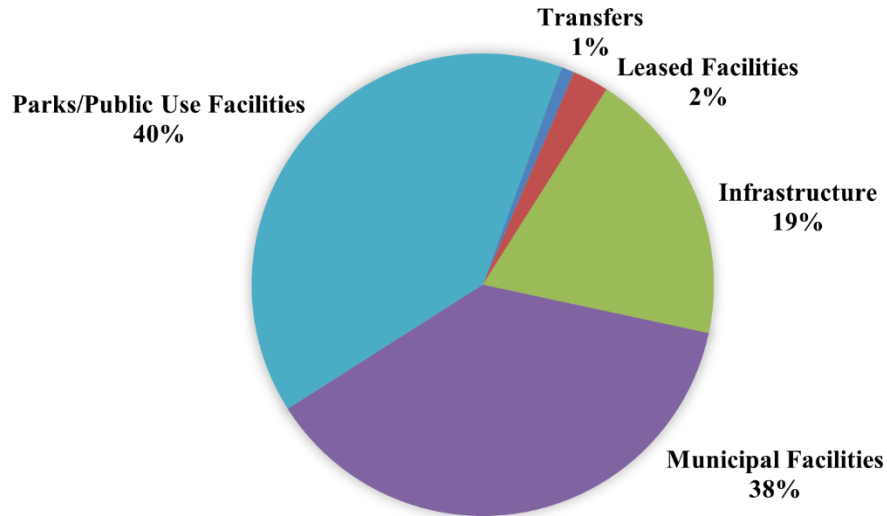
This skatepark improvement project at 100 Aquatic Drive within Homestead Park will modernize the current facility, replacing wooden vertical elements at the 10,000 square foot park and constructing new features utilizing concrete. Community benefits include access to a low- to zero-cost recreation amenity for all ages and the ability to facilitate skill-development classes. This project provides the Town an opportunity to host local, state, and regional adventure sporting events. A vendor was chosen and a contract awarded in FY24-25. Construction is scheduled to begin in summer of 2025 and will be completed during the current fiscal year.



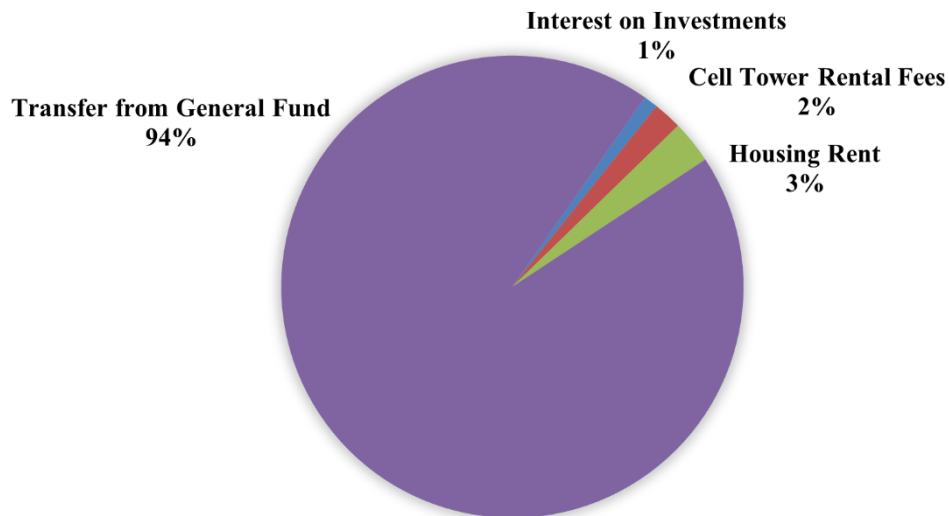
CAPITAL IMPROVEMENTS FUND

The Capital Improvements Fund generally accounts for purchases and construction that can be completed within a single year. Capital Improvements Fund (CIP) projects are prioritized as part of the Town's 15-year capital program.

EXPENDITURES



REVENUES



CAPITAL IMPROVEMENTS FUND

BUDGET SUMMARY

The budget for the Capital Improvements Program for 2025-26 totals \$2,895,996 and includes projects to be completed in 2025-26. Beginning in FY 2018-19, the Town began budgeting funds for facility maintenance in the General Fund. Each year, depending on the nature of the planned projects, a portion of those funds will be transferred into the Capital Improvements Fund.

EXPENDITURES

	2023-24 Actual	2024-25 Original Budget	2024-25 Revised Budget	2024-25 Estimated	2025-26 Adopted Budget	% Change from 2024-25
Municipal Facilities	\$ 1,163,610	\$ 910,000	\$ 1,345,300	\$ 869,444	\$ 1,089,500	19.7%
Public Safety	747,085	-	228,720	228,720	-	N/A
Facilities Leased by Others	39,972	70,188	253,595	253,595	73,093	4.1%
Infrastructure	165,679	560,601	2,229,933	2,104,933	560,907	0.1%
Parks/Public Use Facilities	770,296	1,146,000	1,507,791	1,467,647	1,146,000	0.0%
Transfers/Financing Costs	11,930	26,802	26,802	26,802	26,496	-1.1%
Total	\$ 2,898,572	\$ 2,713,591	\$ 5,592,141	\$ 4,951,141	\$ 2,895,996	6.7%

REVENUES

	2023-24 Actual	2024-25 Original Budget	2024-25 Revised Budget	2024-25 Estimated	2025-26 Adopted Budget	% Change from 2024-25
Housing Rent Proceeds	\$ 72,337	\$ 70,188	\$ 70,188	\$ 70,188	\$ 73,093	4.1%
Cell Tower Rental Fees	67,439	70,000	70,000	70,000	70,000	0.0%
Interest on Investments	61,969	15,500	15,500	15,500	15,500	0.0%
Grants	50,000	-	1,125,000	1,000,000	-	N/A
Transfer from General Fund	2,248,903	2,557,903	2,586,623	2,070,623	2,737,403	7.0%
Appropriated Fund Balance	397,924	-	1,724,830	1,724,830	-	N/A
Total	\$ 2,898,572	\$ 2,713,591	\$ 5,592,141	\$ 4,951,141	\$ 2,895,996	6.7%

CAPITAL IMPROVEMENTS FUND

DETAIL EXPENDITURES

	2023-24 Actual	2024-25 Original Budget	2024-25 Revised Budget	2024-25 Estimated	2025-26 Adopted Budget
MUNICIPAL OPERATIONS FACILITIES					
Extraordinary Maintenance, Emergency Repairs	\$ 148,450	\$ 100,000	\$ 100,000	\$ 100,000	\$ 100,000
Teen Center	22,810	-	39,656	39,800	-
Homestead HVAC	-	-	158,200	158,200	-
Council Chamber Upgrade	153,944	-	32,056	32,056	-
Town Hall Parking Deck Repairs	310,935	-	-	-	-
Post Office/Courthouse	160,476	-	-	-	-
Plant Road Maintenance	-	-	40,000	40,000	-
Public Works Wash Bay	-	-	24,000	24,000	-
Public Works Roof	-	91,000	91,000	91,000	989,500
Facility Condition Assessment	26,021	-	-	-	-
Hargraves HVAC	-	460,000	514,000	267,000	-
Community Center Roof	257,645	-	51,125	51,125	-
Community Center HVAC	-	229,000	264,000	35,000	-
Parks Admin. HVAC	-	30,000	30,000	30,000	-
Town Operations Center	83,329	-	1,263	1,263	-
Subtotal	\$ 1,163,610	\$ 910,000	\$ 1,345,300	\$ 869,444	\$ 1,089,500
PUBLIC SAFETY					
Fire Truck	\$ 747,085	\$ -	\$ -	\$ -	\$ -
Fire Station #3 Design	-	-	228,720	228,720	-
Subtotal	\$ 747,085	\$ -	\$ 228,720	\$ 228,720	\$ -

CAPITAL IMPROVEMENTS FUND

DETAIL EXPENDITURES

	2023-24 Actual	2024-25 Original Budget	2024-25 Revised Budget	2024-25 Estimated	2025-26 Adopted Budget
TOWN FACILITIES LEASED BY OTHERS					
Housing Maintenance	\$ 39,972	\$ 70,188	\$ 253,595	\$ 253,595	\$ 73,093
Subtotal	\$ 39,972	\$ 70,188	\$ 253,595	\$ 253,595	\$ 73,093
INFRASTRUCTURE					
Everywhere to Everywhere	\$ 2,878	\$ 401,403	\$ 1,799,929	\$ 1,799,929	\$ 401,403
Bikeways, Paths, Parking Lots	50,000	25,000	25,000	25,000	25,000
Vision Zero	35,406	36,599	98,860	98,860	36,752
Curbs / ADA	36,104	36,000	36,000	36,000	36,000
Bike/Ped Safety	41,291	61,599	270,144	145,144	61,752
Subtotal	\$ 165,679	\$ 560,601	\$ 2,229,933	\$ 2,104,933	\$ 560,907
PARKS AND OTHER PUBLIC USE FACILITIES					
Greenways	\$ 39,235	\$ 50,000	\$ 52,435	\$ 52,435	\$ 50,000
Playground Replacement	17,572	50,000	52,052	50,000	50,000
Cemetery Beautification	30,279	20,000	17,870	20,000	20,000
Parks Maintenance	550,812	976,000	1,335,356	1,295,212	976,000
Small Park Improvements	132,398	50,000	50,078	50,000	50,000
Subtotal	\$ 770,296	\$ 1,146,000	\$ 1,507,791	\$ 1,467,647	\$ 1,146,000
TRANSFER TO OTHER FUNDS AND FINANCING COSTS					
Transfer to Grants Fund	\$ 11,930	\$ 26,802	\$ 26,802	\$ 26,802	\$ 26,496
Subtotal	\$ 11,930	\$ 26,802	\$ 26,802	\$ 26,802	\$ 26,496
TOTALS	\$ 2,898,572	\$ 2,713,591	\$ 5,592,141	\$ 4,951,141	\$ 2,895,996

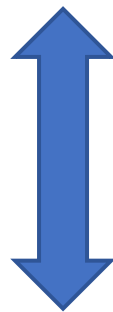
PROJECT DESCRIPTIONS AND COSTS – CURRENTLY FUNDED PROJECTS

This section provides descriptions of various capital projects funded in the 2025-26 budget shown in Tables 1, 2, and 3. The projects listed are those funded or proposed to receive funding through the Capital Improvements Fund, Stormwater Management Funds, Grant Funds, Special Purpose Funds, and/or bonds.

The descriptions include information on the total funding proposed for each project, the funding source, the project location, the estimated impact on the operating budget, and where the project is listed in the 15-Year Project Tables which follow this section.

Explanation: Operating Budget Impact

Each project includes an assessment of the operating budget impact from implementing the project. For example, the development of a new park would increase the maintenance and programming costs for the Parks and Recreation Department. Not all projects would increase the operating budget costs. For example, renovations of a Town facility would have a net positive effect on the operating budget by reducing maintenance funded out of departments' operating budgets. The impact levels are to the right.



High: More than \$25,000 a year
Moderate: \$5,000 to \$25,000 a year
Low: \$1,000 to \$5,000 a year
No impact: No impact on operating budget



Positive: Project will save operating budget funds

PROJECT DESCRIPTIONS AND COSTS – CURRENTLY FUNDED PROJECTS

Illustration: Tips for Reading Project Descriptions

MUNICIPAL OPERATIONS FACILITIES					Project Category
Project Name	<u>Extraordinary Maintenance, Emergency Repairs</u> From time to time, unanticipated failures occur in building systems that require immediate emergency repairs. Examples of projects include roof repairs, HVAC system repairs and replacements, and swimming pool mechanical system repairs.				Description
Effect on Town's operating budget when project is implemented.	Table and Ref #: Location: Operating Budget Impact:	Table 1, Ref #1 Various sites Positive (Thousands annually): Funding will reduce need to use operating funds for emergency repairs.	Where to find project in Tables 1, 2 or 3, which appear after this section		

Adopted 2025-26 Budget and Projected Expenditures

Fiscal Year					5-Year Total	15-Year Total	Funding Source
2025-26	2026-27	2027-28	2028-29	2029-30	Through 2029-30	Through 2039-40	
\$100,000	\$100,000	\$100,000	\$100,000	\$100,000	\$500,000	\$1,500,000	Capital Improvements Fund

Summary of 2025-26 budget and projected expenditures for project. See Projects by Funding Source tables (Tables 1 through 3) for projected expenditures for all 15 years.

PROJECT DESCRIPTIONS AND COSTS – CURRENTLY FUNDED PROJECTS

MUNICIPAL OPERATIONS FACILITIES

Extraordinary Maintenance & Emergency Repairs

From time to time, unanticipated failures occur in building systems that require immediate emergency repairs. Examples of projects include roof repairs, HVAC system repairs, and swimming pool mechanical system repairs.

Table and Ref #: Table 1, Ref #1
Location: Various sites
Operating Budget Impact: Positive (Thousands annually): Funding will reduce the need to use operating funds for emergency repairs.

Adopted 2025-26 Budget and Projected Expenditures

<i>Fiscal Year</i>					<i>5-Year Total</i>	<i>15-Year Total</i>	<i>Funding Source</i>
2025-26	2026-27	2027-28	2028-29	2029-30	<i>Through 2029-30</i>	<i>Through 2039-40</i>	
\$100,000	\$100,000	\$100,000	\$100,000	\$100,000	\$500,000	\$1,500,000	Capital Improvements Fund

Public Works Roof

Replacing the flat roofing systems that failed prior to the expected end-of-life cycle will protect building assets by restoring the integrity of the building envelope. This will provide a more energy-efficient building that will help us assist with meeting our climate action goals. The new roofing system will recycle insulation materials where acceptable for design standards and use a new environmentally friendly top sheet, which results in lower energy consumption.

Table and Ref #: Table 1, Ref #7
Location: Public Works Complex
Operating Budget Impact: Positive: New roofing system will reduce the need to use operating funds for repairs.

Adopted 2025-26 Budget and Projected Expenditures

<i>Fiscal Year</i>					<i>5-Year Total</i>	<i>15-Year Total</i>	<i>Funding Source</i>
2025-26	2026-27	2027-28	2028-29	2029-30	<i>Through 2029-30</i>	<i>Through 2039-40</i>	
989,500	-	-	-	-	989,500	989,500	Capital Improvements Fund

PROJECT DESCRIPTIONS AND COSTS – CURRENTLY FUNDED PROJECTS

INFRASTRUCTURE

Capital Repairs: Bikeways, Paths, and Public Parking Areas

Funds will pay for repair and maintenance of existing paved paths and parking lots. Repair needs have been identified at fire stations, Public Works facilities, public housing developments, some Parks and Recreation facilities, the Library, and other locations.

Table and Ref #: Table 1, Ref #30
Location: Various Sites
Operating Budget Impact: Positive: Repairs will reduce the necessity to use operating funds to address needs.

Adopted 2025-26 Budget and Projected Expenditures

<i>Fiscal Year</i>					<i>5-Year Total</i>	<i>15-Year Total</i>	<i>Funding Source</i>
2025-26	2026-27	2027-28	2028-29	2029-30	<i>Through 2029-30</i>	<i>Through 2039-40</i>	
\$25,000	\$75,000	\$75,000	\$75,000	\$75,000	\$325,000	\$1,075,000	Capital Improvements Fund

Curb Repairs: ADA Compliance

Funding is used to address sidewalk problems and installation of curb ramps to comply with ADA requirements.

Table and Ref #: Table 1, Ref #32
Location: Various Sites
Operating Budget Impact: No Impact

Adopted 2025-26 Budget and Projected Expenditures

<i>Fiscal Year</i>					<i>5-Year Total</i>	<i>15-Year Total</i>	<i>Funding Source</i>
2025-26	2026-27	2027-28	2028-29	2029-30	<i>Through 2029-30</i>	<i>Through 2039-40</i>	
\$36,000	\$75,000	\$75,000	\$75,000	\$75,000	\$336,000	\$1,086,000	Capital Improvements Fund

PROJECT DESCRIPTIONS AND COSTS – CURRENTLY FUNDED PROJECTS

INFRASTRUCTURE (CONTINUED)

Stormwater Project Construction/Design

Funding will provide for approximately 3-5 small infrastructure repair projects.

Table and Ref #: Table 2, Ref #83
Location: Various Sites
Operating Budget Impact: No Impact

Adopted 2025-26 Budget and Projected Expenditures

<i>Fiscal Year</i>					<i>5-Year Total</i>	<i>15-Year Total</i>	<i>Funding Source</i>
2025-26	2026-27	2027-28	2028-29	2029-30	<i>Through 2029-30</i>	<i>Through 2039-40</i>	
\$80,400	\$80,400	\$80,400	\$80,400	\$80,400	\$402,000	\$1,206,000	Stormwater Management Funds

Bolinwood Drive Bridge Replacement

The existing bridge is over 50 years old and was not constructed to safely accommodate pedestrians and cyclists. The Town identified this bridge replacement as a high-priority project in 2012, when our biennial Bridge Inspection Report from NCDOT classified the bridge as functionally obsolete.

Table and Ref #: Table 3, Ref #143
Location: Bolinwood Drive
Operating Budget Impact: No Impact

Adopted 2025-26 Budget and Projected Expenditures

<i>((\$2,350,000) budgeted in General Obligation Bonds in FY 2024-25)</i>					<i>5-Year Total</i>	<i>15-Year Total</i>	<i>Funding Source</i>
<i>Fiscal Year</i>					<i>Through 2029-30</i>	<i>Through 2039-40</i>	
2025-26	2026-27	2027-28	2028-29	2029-30			
-	-	-	-	-	-	-	Stormwater Management Funds

PROJECT DESCRIPTIONS AND COSTS – CURRENTLY FUNDED PROJECTS

INFRASTRUCTURE (CONTINUED)

Bike and Pedestrian Safety

This recurring funding allows the Town to be proactive in improving safety as well as responsive to the concerns of residents in a timely and substantive manner. It will be used to design and implement smaller scale bike and pedestrian projects in response to resident and staff concerns about unsafe locations throughout Town.

Table and Ref #: Table 1, Ref #33
Location: Various sites
Operating Budget Impact: No Impact

Adopted 2025-26 Budget and Projected Expenditures

Fiscal Year					5-Year Total	15-Year Total	Funding Source
2025-26	2026-27	2027-28	2028-29	2029-30	Through 2029-30	Through 2039-40	
\$61,752	\$75,000	\$75,000	\$75,000	\$75,000	\$361,752	\$1,111,752	Capital Improvements Fund

Vision Zero

In 2021, Town Council adopted a resolution to eliminate deaths and serious injuries on Town roads by 2031. Since then, the Town has hired a full-time Vision Zero Coordinator who is working on implementing a workplan of small infrastructure projects, programs, and organizational strategies to achieve the goal. This funding supports the safety improvements and programs identified in this workplan.

Table and Ref #: Table 1, Ref #31
Location: Various sites
Operating Budget Impact: No Impact

Adopted 2025-26 Budget and Projected Expenditures

Fiscal Year					5-Year Total	15-Year Total	Funding Source
2025-26	2026-27	2027-28	2028-29	2029-30	Through 2029-30	Through 2039-40	
\$36,752	\$50,000	\$50,000	\$50,000	\$50,000	\$236,752	\$736,752	Capital Improvements Fund

PROJECT DESCRIPTIONS AND COSTS – CURRENTLY FUNDED PROJECTS

PUBLIC SAFETY

Fire Station #4 Replacement

Funding will be used to develop construction drawings and then rebuild Fire Station 4 on the Training Center site adjacent to the current station. Construction is anticipated to begin in summer of 2026. The existing station will remain operational during the build and, following completion, the property on which the current station sits will be utilized as a partnership with the Department of Affordable Housing and Community Connections to build an affordable housing complex. Plans for the new fire station include administrative offices, space for two fire units and a battalion chief, with appropriate housing for crews staffing those, as well as a multi-purpose space to serve as a classroom and community space.

Table and Ref #: Table 3, Ref #131
Location: Fire Station #4
Operating Budget Impact: No Impact

Adopted 2025-26 Budget and Projected Expenditures

(\$1,230,000) budgeted in General Obligation Bonds in FY 2024-25					5-Year Total	15-Year Total	Funding Source
Fiscal Year							
2025-26	2026-27	2027-28	2028-29	2029-30	Through 2029-30	Through 2039-40	
-	-	-	-	-	-	-	G.O. Bonds

PROJECT DESCRIPTIONS AND COSTS – CURRENTLY FUNDED PROJECTS

PARKS AND OTHER PUBLIC USE FACILITIES

Playgrounds

Playground equipment in various locations throughout the Town is in need of repair and replacement in order to comply with current safety and ADA guidelines.

<i>Table and Ref #:</i>	Table 1, Ref #42
<i>Location:</i>	Various locations
<i>Operating Budget Impact:</i>	Positive (Hundreds per year): Projects will reduce need to use operating budget for repairs.

Adopted 2025-26 Budget and Projected Expenditures

<i>Fiscal Year</i>					<i>5-Year Total</i>	<i>15-Year Total</i>	<i>Funding Source</i>
2025-26	2026-27	2027-28	2028-29	2029-30	<i>Through 2029-30</i>	<i>Through 2039-40</i>	
\$50,000	\$100,000	\$100,000	\$100,000	\$100,000	\$450,000	\$1,450,000	Capital Improvements Fund

Morgan Creek Trail

Two Morgan Creek Greenway Projects are in the design phase. One will extend eastward from Merritt's Pasture to Manning Drive, and the other will expand the existing greenway westward from the existing parking lot to Smith Level Road. Construction of the west extension is being funded through bond funding and money received from Durham—Chapel Hill—Carrboro—Metropolitan Planning Organization (DCHC-MPO).

<i>Table and Ref #:</i>	Table 3, Ref #148
<i>Location:</i>	Morgan Creek
<i>Operating Budget Impact:</i>	No Impact

Adopted 2025-26 Budget and Projected Expenditures

(\$2,446,694) budgeted in multi-year fund in FY 2016-17					<i>5-Year Total</i>	<i>15-Year Total</i>	<i>Funding Source</i>
<i>Fiscal Year</i>							
2025-26	2026-27	2027-28	2028-29	2029-30	<i>Through 2029-30</i>	<i>Through 2039-40</i>	
-	-	-	-	-	-	-	2015 Bond Issue

CAPITAL PROGRAM TABLES – INTRODUCTION

The Capital Improvements Program contains tables that outline the adopted budget for CIP projects in fiscal year 2025-26 and projected expenditures in future fiscal years for all funds, from 2025-26 through 2039-40. These tables are as follows:

- **Table 1. Capital Improvements.** Table 1 lists projects identified for Capital Improvements. Projects listed include adopted projects for 2025-26 and other identified capital improvement needs for future years.
- **Table 2. Other Sources.** Table 2 lists capital projects funded by grants or other available or anticipated funding sources other than the Capital Improvements Fund. These project budgets would be established by separate project ordinances.
- **Table 3. Approved Bond Schedule.** Table 3 lists projects to be funded using voter - approved bonds and shows the bond-sale schedule approved by the Council.

TABLE 1: Capital Improvements

Reference #	Project	2024-25 Revised Budget	2025-26 Adopted Budget	2026-27*
Municipal Operations Facilities				
1	Extraordinary Maintenance	\$ 100,000	\$ 100,000	\$ 150,000
2	Teen Center	39,656	-	-
3	Homestead HVAC	158,200	-	-
4	Council Chamber Upgrade	32,056	-	150,200
5	Plant Road Maintenance	40,000	-	-
6	Public Works Wash Bay	24,000	-	-
7	Public Works Roof	91,000	989,500	-
8	Hargraves HVAC	514,000	-	-
9	Community Center Roof	51,125	-	-
10	Community Center HVAC	264,000	-	-
11	Parks Admin HVAC	30,000	-	-
12	Town Operations Center	1,263	-	-
13	Town Hall - Safety & Security Improvements	-	-	171,720
14	Town Hall Elevators	-	-	-
15	Replacement of HVAC Equipment at Public Works	-	-	250,000
16	Replacement of HVAC Equipment at Transit	-	-	100,000
17	Fire Station #1 Bay Door Replacement	-	-	114,000
18	Fire Station #1 Generator	-	-	161,000
19	Fire Station #3 Roof	-	-	-
20	Fire Station #3 Generator	-	-	-
21	Fire Station #4 Generator	-	-	98,000
22	Facility Condition Assessment	-	-	-
23	Small Capital Improvements	-	-	125,000
Public Safety				
24	Fire Station #3 Design	228,720	-	-
25	Rescue Tools	-	-	50,000
26	Cascade Unit	-	-	60,000
27	Air Packs	-	-	625,000
Town Facilities Leased by Others				
28	Housing Maintenance	253,595	73,093	73,093
Infrastructure				
29	Everywhere to Everywhere	1,799,929	401,403	401,403
30	Bikeways, Paths, Parking Lots	25,000	25,000	75,000
31	Vision Zero	98,860	36,752	50,000
32	Curb Cut Improvements (ADA)	36,000	36,000	75,000
33	Bike/Ped Safety	270,144	61,752	75,000
34	Wood Cir/Velma Rd Closed System Improvements	-	-	-
35	Booker Creek Rd/Lakeshore Ln Closed System Improvements	-	-	-
36	Chelsey Ln Closed System Improvements	-	-	-
37	Old Oxford Rd. Closed System Improvements	-	-	75,000
38	Downtown Lighting LED Upgrade	-	-	150,000
39	Barclay Rd Crossing	-	-	100,000
40	Bennett Rd Sidewalk	-	-	-
Parks and Other Public Use Facilities				
41	Greenways	52,435	50,000	75,000
42	Playground Replacement	52,052	50,000	100,000
43	Cemetery Beautification	17,870	20,000	20,000
44	Parks Maintenance	1,335,356	976,000	-
45	Small Parks Improvements	50,078	50,000	150,000
46	Homestead Park Path Renovation	-	-	200,000
47	North Forest Hills Park Renovations	-	-	205,000
48	Community Center Pool Shell Re-Plastering	-	-	-
49	Homestead Aquatics Center Pool Shell Re-Plastering	-	-	-
50	Inclusive Playground	-	-	-
51	Property Line Marking	-	-	-
Total		\$ 5,565,339	\$ 2,869,500	\$ 3,879,416

*Future years after FY2025-26 are for planning purposes only.

2027-28*	2028-29*	2029-30*	2030-40*	Reference #
\$ 150,000	\$ 150,000	\$ 200,000	\$ 2,000,000	1
-	-	-	-	2
-	-	-	-	3
-	-	-	-	4
-	-	-	-	5
-	-	-	-	6
-	-	-	-	7
-	-	-	-	8
-	-	-	-	9
-	-	-	-	10
-	-	-	-	11
-	-	-	-	12
-	-	-	-	13
-	-	-	400,000	14
1,500,000	-	-	-	15
550,000	-	-	-	16
-	-	-	-	17
-	-	-	-	18
350,000	-	-	-	19
-	-	-	180,115	20
-	-	-	-	21
75,000	-	-	-	22
125,000	150,000	150,000	1,500,000	23
-	-	-	-	24
-	-	-	-	25
-	-	-	-	26
1,000,000	-	-	-	27
73,093	73,093	73,093	730,930	28
401,403	401,403	401,403	4,014,030	29
75,000	75,000	75,000	750,000	30
50,000	50,000	50,000	500,000	31
75,000	75,000	75,000	750,000	32
75,000	75,000	75,000	750,000	33
-	-	-	350,000	34
-	-	-	450,000	35
-	-	-	300,000	36
260,000	-	-	-	37
-	-	-	-	38
-	-	-	-	39
600,000	-	-	-	40
75,000	75,000	75,000	750,000	41
100,000	100,000	100,000	1,000,000	42
20,000	20,000	20,000	200,000	43
-	-	-	-	44
150,000	150,000	150,000	1,500,000	45
-	-	-	-	46
-	-	-	-	47
-	-	-	84,000	48
-	-	-	165,000	49
-	-	-	211,000	50
75,000	75,000	75,000	375,000	51
\$ 5,779,496	\$ 1,469,496	\$ 1,519,496	\$ 16,960,075	

TABLE 2: Other Sources - Current Year Budget and Future Budget Requests

Reference #	Project	Revised Budget 2024-25	Adopted 2025-26	2026-27*
Municipal Operations Facilities				
52	Comprehensive Public Housing Renovations	1,171,880	-	-
53	Comprehensive Public Housing Renovations	1,047,118	-	-
54	Comprehensive Public Housing Renovations	734,681	-	-
55	Comprehensive Public Housing Renovations	240,256	-	-
56	Comprehensive Public Housing Renovations	6,675	-	-
57	Multi-Agency Complex Project	82,003	-	-
58	Police Station Environmental Remediation	-	-	-
59	Fire Station 3 Replacement	-	-	-
60	Fire Station 4 Replacement	-	-	8,770,000
61	Fire Station 6	-	-	-
62	Live Fire Training Building Replacement	-	-	-
63	Building Addition to Public Works	-	-	-
64	Library HVAC Replacement	-	-	-
65	Library Roof Replacement	-	-	-
66	Transit Building Facilities Maintenance	-	-	300,000
67	Transit Park and Ride Facilities Maintenance	-	-	300,000
68	Historic Town Hall Renovation	-	-	-
69	Teen Center/Archives Renovation	-	-	-
70	Parks & Recreation Facility	-	-	-
71	Solid Waste Transfer Station	-	-	-
72	Town Facilities - Security & Safety Upgrades	-	-	-
73	Town Hall 2nd Floor Renovation	-	-	-
Public Safety				
74	Engine 31	-	-	-
75	Engine 32	-	-	-
76	Engine 34	-	-	-
77	Engine 35	-	-	-
78	Squad 61	-	-	-
79	Ladder 72	-	-	-
Infrastructure				
80	Fordham Sidepath ¹	1,059,933	-	-
81	Estes Drive Bike & Ped Improvement ¹	1,400,985	-	-
82	Rogers Road Design and Engineering	189,461	-	-
83	Stormwater Projects	60,400	80,400	80,400
84	Subwatershed Modeling	962,509	343,360	400,000
85	Small/Medium Drainage Maintenance and Improvement	-	-	75,000
86	Infrastructure Capital Improvement Program	-	-	-
87	Water Quality Capital Improvement Program	-	-	-
88	Lake Ellen Flood Storage Project	-	-	-
89	Martin Luther King Jr Blvd Flood Storage	-	-	-
90	Piney Mountain Rd Flood Storage	-	-	-
91	New Parkside Flood Storage	-	-	-
92	Willow Dr Flood Storage	-	-	-
93	Red Bud Flood Storage	-	-	-
94	Daley Rd Flood Storage	-	-	-
95	Dobbins Culvert Improvements	-	-	-
96	Foxcroft Dr Culvert Improvement	-	-	-
97	Booker Creek Rd Subwatershed Study	-	-	350,000

*Future years after FY2025-26 are for planning purposes only.

¹In addition to the funding shown on this table, these projects are also funded by Streets & Sidewalks Bonds.

2027-28*	2028-29*	2029-30*	2030-40*	Fund Source	Reference #
-	-	-	-	HUD Grant	52
-	-	-	-	HUD Grant	53
-	-	-	-	HUD Grant	54
-	-	-	-	HUD Grant	55
-	-	-	-	HUD Grant	56
-	-	-	-	Multi-year Capital Project Ordinance	57
-	-	-	10,000,000	Future Financing	58
5,000,000	-	-	-	Future Financing	59
-	-	-	-	Future Financing	60
-	-	-	2,050,000	Future Financing	61
-	-	-	1,000,000	Future Financing	62
-	-	-	6,000,000	Future Financing	63
-	-	-	1,750,000	Future Financing	64
-	-	-	1,750,000	Future Financing	65
-	-	-	290,800	Transit Funds	66
-	-	-	-	Transit Funds	67
-	-	-	5,500,000	Future Financing	68
-	-	-	2,000,000	Future Financing	69
-	-	-	6,000,000	Future Financing	70
-	-	-	5,500,000	Future Financing	71
-	-	-	750,000	Future Financing	72
-	-	-	500,000	Future Financing	73
-	-	-	1,100,000	Future Financing	74
-	1,100,000	-	-	Future Financing	75
1,100,000	-	-	-	Future Financing	76
-	-	-	1,100,000	Future Financing	77
-	-	1,250,000	-	Future Financing	78
-	-	-	1,700,000	Future Financing	79
-	-	-	-	NCDOT Direct Allocation Grant	80
-	-	-	-	Multiple Sources	81
-	-	-	-	Multi-year Capital Project Ordinance	82
80,400	80,400	80,400	804,000	Stormwater Management Funds	83
400,000	400,000	400,000	4,000,000	Stormwater Management Funds	84
150,000	150,000	150,000	2,000,000	Stormwater Management Funds	85
-	-	-	7,000,000	Stormwater Management Funds	86
-	-	-	7,000,000	Stormwater Management Funds	87
-	-	-	2,000,000	Stormwater Management Funds	88
-	-	-	7,275,000	Stormwater Management Funds	89
-	-	-	3,660,000	Stormwater Management Funds	90
-	-	-	5,350,000	Stormwater Management Funds	91
700,000	3,000,000	550,000	-	Stormwater Management Funds	92
420,000	1,680,000	-	-	Stormwater Management Funds	93
-	-	-	6,100,000	Stormwater Management Funds	94
-	650,000	-	-	Stormwater Management Funds	95
-	250,000	-	650,000	Stormwater Management Funds	96
400,000	450,000	500,000	-	Stormwater Management Funds	97

TABLE 2 (cont'd): Other Sources - Current Year Budget and Future Budget Requests

Reference #	Project	Revised Budget 2024-25	Adopted 2025-26	2026-27*
98	Cedar Falls Parking Lot Renovation	-	-	750,000
99	Road Diet Traffic Studies	-	-	470,000
100	Downtown Streetscape Improvements	-	-	-
101	Fordham Blvd Multiuse Paths	-	-	300,000
102	Honeysuckle Rd	-	-	335,900
103	Ephesus Church Rd Closed System Improvements	-	-	-
104	Markham Dr/Old Oxford Rd Closed System Improvement	-	-	-
105	Raleigh Rd Improvements	-	-	-
106	Meadowmont Dam Replacement	-	-	705,000
107	Franklin St Underpass	-	-	-
108	Mid-Block Pedestrian Signal Heads	-	-	-
109	N. Elliott Rd Complete Street	-	-	-
110	Cameron Ave Buffered Bike Lanes	-	-	-
Parks and Other Public Use Facilities				
111	Homestead Skatepark Renovation	530,953	-	-
112	Bolin Creek Greenway Extension	487,227	-	-
113	Morgan Creek Trail, East Section	382,649	-	-
114	Meadowmont Bridge	-	-	-
115	Burlington Park Renovations	-	-	-
116	Homestead Park Trail Extension	-	-	330,000
117	Homestead Park Synthetic Turf Replacement	-	-	-
118	Millhouse Rd. Park	-	-	-
119	Athletic Fields Conversion to LED lights	-	-	1,400,000
120	Cedar Falls Ballfields Renovations	-	-	450,000
121	Ephesus Park Toilet Building	-	-	428,000
122	Oakwood Park Toilet Building	-	-	-
123	Meadowmont Park Toilet Building	-	-	-
124	Barclay Trail	-	-	-
125	Battle Park Trail Upgrade	-	-	-
126	Timberlyne Trail	-	-	-
TOTAL		\$ 8,356,730	\$ 423,760	\$ 15,444,300

*Future years after FY2025-26 are for planning purposes only.

2027-28*	2028-29*	2029-30*	2030-40*	Fund Source	Reference #
-	-	-	-	Future Financing	98
-	-	-	-	Future Financing	99
1,000,000	-	-	-	Future Financing	100
-	-	-	1,948,000	Future Financing	101
-	-	-	-	Future Financing	102
-	-	-	1,125,000	Future Financing	103
-	-	-	550,000	Future Financing	104
-	-	-	900,000	Future Financing	105
-	-	-	-	Future Financing	106
-	-	-	1,000,000	Future Financing	107
-	-	-	1,700,000	Future Financing	108
-	-	-	375,000	Future Financing	109
-	-	-	600,000	Future Financing	110
-	-	-	-	ARPA Funds	111
-	-	-	-	ARPA Funds	112
609,000	-	-	2,962,000	ARPA Funds & Future Financing	113
620,000	-	-	-	Future Financing	114
260,000	-	-	-	Future Financing	115
-	-	-	-	Future Financing	116
-	-	-	940,000	Future Financing	117
-	-	-	3,400,000	Future Financing	118
-	-	-	-	Future Financing	119
-	-	-	-	Future Financing	120
-	-	-	-	Future Financing	121
387,000	-	-	-	Future Financing	122
387,000	-	-	-	Future Financing	123
20,000	-	-	430,000	Future Financing	124
-	-	-	3,000,000	Future Financing	125
-	-	-	3,100,000	Future Financing	126
\$ 11,533,400	\$ 7,760,400	\$ 2,930,400	\$ 114,859,800		

TABLE 3: Issued Bond Projects

				2017 Bond Sale (\$9,615,091)	2018 Bond Sale (\$13,099,788)	2021 Two-Thirds Bonds (3,511,731)	2021 Bond Sale (\$5,213,966)
Reference #	Council Priority	Project Name	Category	2016-17	2017-18	2020-21	
		Public Safety					
127	5	Fire Ladder Truck	Public Safety	\$ -	\$ -	\$ -	\$ -
128	5	Fire Engine	Public Safety	-	-	654,500	-
129	5	Public Safety Radios/Body Cameras	Public Safety	-	-	-	-
130	5	Police Department Upfit	Public Safety	-	-	-	-
131	5	Fire Station #4	Public Safety	-	-	-	-
		Infrastructure					
132	2	Downtown Improvements - Streetscape	Sidewalks & Streets	414,266	800,000	-	-
133	7	Capital Project Management, Bond Issuance Costs	Sidewalks & Streets	425,091	263,907	69,759	-
134	2	Neighborhood Traffic Calming, Pedestrian, and Bicycle Improvements	Sidewalks & Streets	670,134	-	-	-
135	7	Public Art	Sidewalks & Streets	30,000	55,000	-	-
136	2	Streets and Bridges	Sidewalks & Streets	1,000,000	775,000	1,323,581	-
137	2	Sidewalks and Bicycle Facilities	Sidewalks & Streets	1,075,600	3,870,000	223,581	-
138	2	Fordham Sidepath	Sidewalks & Streets	-	-	-	-
139	2	Tier 1 Sidewalk Projects	Sidewalks & Streets	-	-	-	-
140	2	ADA Transition Projects	Sidewalks & Streets	-	-	-	-
141	2	Ephesus Church Rd. Sidewalk	Sidewalks & Streets	-	-	-	-
142	6	Elliott Road Storage Project	Stormwater	-	2,829,554	-	-
143	6	Bolinwood Bridge	Stormwater	-	-	-	-
144	6	Legion Rd. Pond	Stormwater	-	-	-	-
145	2	125 East Rosemary Street Parking Deck	Parking	-	-	-	-
		Parks and Other Public Use Facilities					
146	2	Bolin Creek Trail	Parks/Recreational Facilities	1,163,306	-	-	-
147	2	Tanyard Branch Trail	Parks/Recreational Facilities	1,390,000	-	-	-
148	2	Morgan Creek Trail	Parks/Recreational Facilities	2,446,694	-	-	-
149	2	Playground Improvements	Parks/Recreational Facilities	1,000,000	-	-	-

COLUMN DESCRIPTION KEY

Council Priority

- 1 - Council Authorized Contracts
- 2 - Projects that have a Council mandate
- 3 - Projects that we have a legal requirement to perform or complete
- 4 - Projects that would repair or maintain existing Town facilities/infrastructure above and beyond ordinary maintenance
- 5 - Projects involving public safety
- 6 - Projects which are part of an adopted master plan
- 7 - Other projects

2021 LOBS (\$45,995,650)	2023 Bond Sale (\$14,384,697)	2024 LOBS (\$16,161,000)	2025 Bond Sale (\$13,830,000)		
2021-22	2022-23	2023-24	2024-25	TOTAL	Reference #
\$ -	\$ -	\$ 2,323,000	\$ -	\$ 2,323,000	127
-	-	-	-	654,500	128
-	-	-	-	-	129
-	-	1,717,000	-	1,717,000	130
-	-	-	1,230,000	1,230,000	131
-	-	-	-	1,214,266	132
-	-	-	-	758,757	133
-	-	-	-	670,134	134
-	-	-	-	85,000	135
6,549,436	9,057,087	-	-	18,705,104	136
-	-	-	-	5,169,181	137
-	-	-	2,000,000	2,000,000	138
-	-	-	700,000	700,000	139
-	-	-	500,000	500,000	140
-	-	-	2,200,000	2,200,000	141
-	-	-	-	2,829,554	142
-	-	-	2,350,000	2,350,000	143
-	-	-	850,000	850,000	144
39,446,214	-	12,121,000	-	51,567,214	145
-	-	-	-	1,163,306	146
-	-	-	-	1,390,000	147
-	-	-	-	2,446,694	148
-	-	-	-	1,000,000	149

TABLE 3 (cont'd): Issued Bond Projects

				2017 Bond Sale (\$9,615,091)	2018 Bond Sale (\$13,099,788)	2021 Two-Thirds Bonds (3,511,731)	2021 Bond Sale (\$5,213,966)
Reference #	Council Priority	Project Name	Category	2016-17	2017-18	2020-21	
150	2	Cedar Falls Park Tennis Complex	Parks/Recreational Facilities	-	-	371,310	-
151	2	Hargraves Parks Tennis Courts	Parks/Recreational Facilities	-	-	573,600	-
152	2	Ephesus Parks Tennis & Pickleball Courts	Parks/Recreational Facilities	-	-	92,000	-
153	2	Hargraves Park Playground	Parks/Recreational Facilities	-	-	1,475	-
154	2	AD Clark Pool	Parks/Recreational Facilities	-	-	9,925	-
155	2	Umstead Park Basketball Court	Parks/Recreational Facilities	-	-	30,000	-
156	2	Homestead Aquatic Center Pool	Parks/Recreational Facilities	-	-	162,000	-
157	2	Community Center Climbing Wall	Parks/Recreational Facilities	-	-	-	-
158	2	American Legion Property	Open Space and Areas	-	4,506,327	-	-
Affordable Housing							
159	2	Weavers Grove Development	Affordable Housing	-	-	-	1,255,692
160	2	Johnson Street Apartments	Affordable Housing	-	-	-	200,000
161	2	2200 Homestead Road	Affordable Housing	-	-	-	3,300,000
162	2	Perry Place	Affordable Housing	-	-	-	246,913
163	2	Trinity Court	Affordable Housing	-	-	-	-
164	2	Longleaf Trace	Affordable Housing	-	-	-	-
165	2	Davie Circle	Affordable Housing	-	-	-	-
166	2	Cedar Hills	Affordable Housing	-	-	-	-
167	2	Carver Street	Affordable Housing	-	-	-	-
168	2	Capital Project Management, Bond Issuance Costs	Affordable Housing	-	-	-	103,417
169	2	Affordable Housing Project Reserve	Affordable Housing	-	-	-	107,944
170	2	Affordable Housing Partner Projects	Affordable Housing	-	-	-	-
		TOTAL		\$ 9,615,091	\$ 13,099,788	\$ 3,511,731	\$ 5,213,966

COLUMN DESCRIPTION KEY

Council Priority

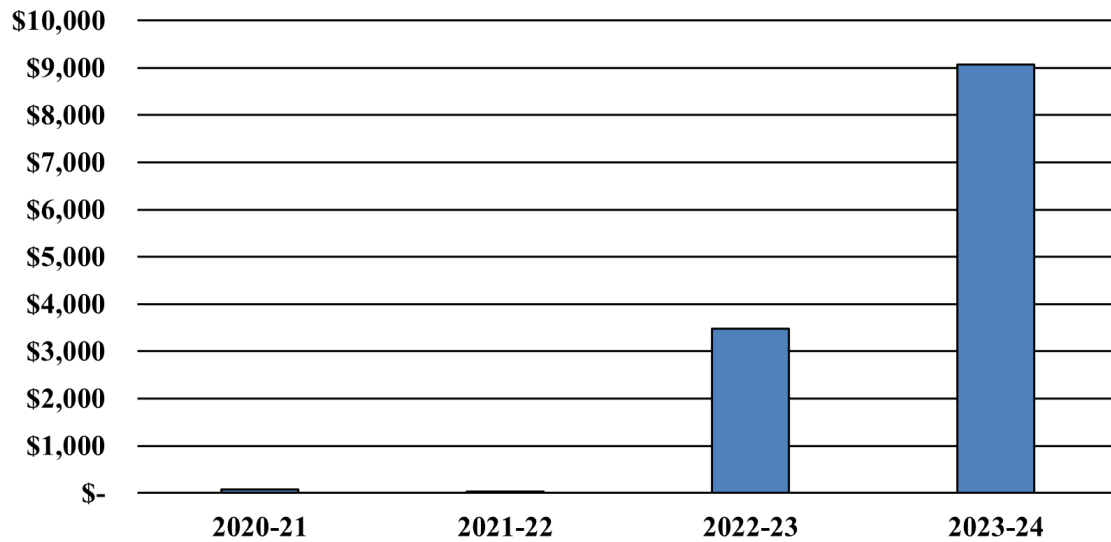
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- 7 - Other projects

2021 LOBS (\$45,995,650)	2023 Bond Sale (\$14,384,697)	2024 LOBS (\$16,161,000)	2025 Bond Sale (\$13,830,000)		
2021-22	2022-23	2023-24	2024-25	TOTAL	Reference #
-	-	-	-	371,310	150
-	-	-	-	573,600	151
-	-	-	-	92,000	152
-	-	-	-	1,475	153
-	-	-	-	9,925	154
-	-	-	-	30,000	155
-	-	-	-	162,000	156
-	-	-	500,000	500,000	157
-	-	-	-	4,506,327	158
-	300,000	-	-	1,555,692	159
-	-	-	-	200,000	160
-	2,920,204	-	-	6,220,204	161
-	-	-	-	246,913	162
-	474,796	-	-	474,796	163
-	950,000	-	-	950,000	164
-	200,000	-	-	200,000	165
-	25,000	-	-	25,000	166
-	375,000	-	-	375,000	167
-	82,610	-	-	186,027	168
-	-	-	-	107,944	169
-	-	-	3,500,000	3,500,000	170
\$ 45,995,650	\$ 14,384,697	\$ 16,161,000	\$ 13,830,000	\$ 107,981,923	

CAPITAL RESERVE FUND

The Capital Reserve Fund accounts for funds reserved for specific capital improvement projects, including water and sewer improvements.

Capital Reserve Interest Income



CAPITAL RESERVE FUND BUDGET SUMMARY

No appropriations are planned for the Capital Reserve Fund for 2025-26, which had a fund balance of \$230,634 as of June 30, 2024.

EXPENDITURES

	2023-24		2024-25		2024-25		2025-26		% Change	
	Actual		Original Budget		Revised Budget		Adopted Budget		from 2024-25	
Reserved for CIP	\$	-	\$	-	\$	-	\$	-		N/A
Transfer to Capital										
Improvements Fund		-		-		-		-		N/A
Transfer to General Fund		-		-		-		-		N/A
Total	\$	-	\$	-	\$	-	\$	-		N/A

REVENUES

	2023-24		2024-25		2024-25		2025-26		% Change		
	Actual		Original Budget		Revised Budget		Adopted Budget		from 2024-25		
Interest on Investments	\$	9,068	\$	-	\$	-	\$	-	\$	-	N/A
Appropriated											
Fund Balance		(9,068)		-		-		-		-	N/A
Total	\$	-	\$	-	\$	-	\$	-	\$	-	N/A

MAJOR CAPITAL BOND PROJECTS

Several major capital improvement projects were approved by bond referenda in November 2003, November 2015, November 2018, and November 2024 and by limited obligation bonds in 2021 and 2024.

As authorized by General Statute 159.13.2, capital project ordinances were established for each of the projects for the life of the project.

Expenditures for these projects through June 30, 2025 are shown in the table at the right.

Major Capital Bond Projects	Budget	Expenditures as of June 30, 2025
2003 Bond Projects		
Streets and Sidewalks	\$ 5,600,000	\$ 5,600,000
Parks and Recreation	5,000,000	5,000,000
Subtotal	\$ 10,600,000	\$ 10,600,000
2015 Bond Projects		
Streets and Sidewalks	\$ 16,200,000	\$ 11,358,000
Parks Trails	5,000,000	3,788,000
Parks Facilities	5,300,000	5,300,000
Subtotal	\$ 26,500,000	\$ 20,446,000
2018 Bond Projects		
Affordable Housing Projects	\$ 10,000,000	\$ 3,217,000
2021 LOBS Projects		
East Rosemary Deck	\$ 39,370,000	\$ 39,370,000
Elliott Road Reconstruction	6,480,000	6,480,000
Subtotal	\$ 45,850,000	\$ 45,850,000
2023 Two-Third Bond Projects	\$ 1,980,000	\$ 1,980,000
2024 LOBS Projects		
East Rosemary Deck	\$ 12,121,000	\$ 10,403,000
Fire Ladder Truck	2,323,000	1,706,000
PD Furniture & Fixtures	1,717,000	646,000
Subtotal	\$ 16,161,000	\$ 12,755,000
2024 Bond Projects		
Public Facilities	\$ 1,230,000	\$ 21,000
Affordable Housing	3,500,000	59,000
Streets and Sidewalks	5,400,000	92,000
Parks Facilities	500,000	8,000
Subtotal	\$ 10,630,000	\$ 180,000
TOTAL	\$ 121,721,000	\$ 95,028,000

TABLE OF CONTENTS – OTHER FUNDS

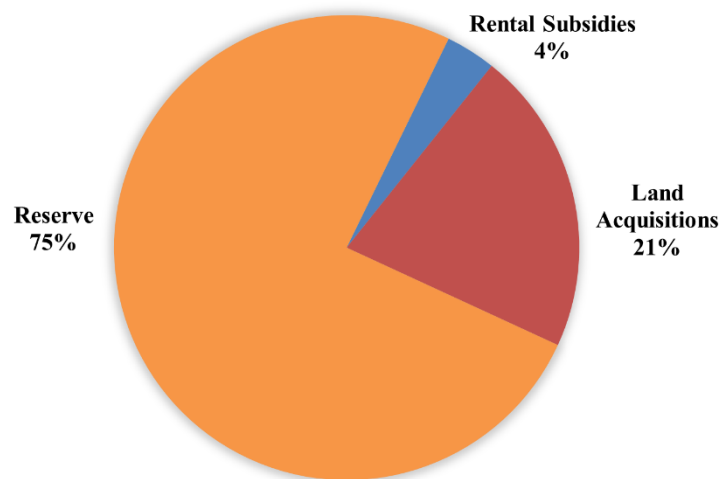
<u>Fund Title</u>	<u>Page</u>
 <u>Other Special Revenue Funds</u>	
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AFFORDABLE HOUSING FUNDING PROGRAM



The Affordable Housing Funding Program, formerly the Affordable Housing Development Reserve Fund, was established in FY2017-2018 to dedicate funding for the development and preservation of affordable housing.

FY24 AFFORDABLE HOUSING ACTUAL EXPENDITURES



AFFORDABLE HOUSING FUNDING PROGRAM BUDGET SUMMARY

The Affordable Housing Funding Program (formerly the Affordable Housing Development Reserve Fund) is dedicated exclusively to the development and preservation of affordable housing. Funds had been budgeted annually in the General Fund through the "Penny for Housing" program, but in September 2017, the Town Council approved the creation of the Affordable Housing Funding Program. For FY26, the funding level remains the same.

EXPENDITURES

	2023-24 Actual	2024-25 Original Budget	2024-25 Revised Budget	2024-25 Estimated	2025-26 Adopted Budget	% Change from 2024-25
Land Acquisitions	\$ 175,000	\$ -	\$ 175,000	\$ 175,000	\$ -	N/A
Rental Subsidies	28,875	-	162,889	162,889	-	N/A
Homeownership Assist.	-	-	17,000	67,000	-	N/A
Future Development	-	-	86,718	36,718	-	N/A
Contributions	-	-	1,090,695	1,090,695	-	N/A
Reserve	622,975	722,003	1,314,195	767,192	722,003	0.0%
Total	\$ 826,850	\$ 722,003	\$ 2,846,497	\$ 2,299,494	\$ 722,003	0.0%

REVENUES

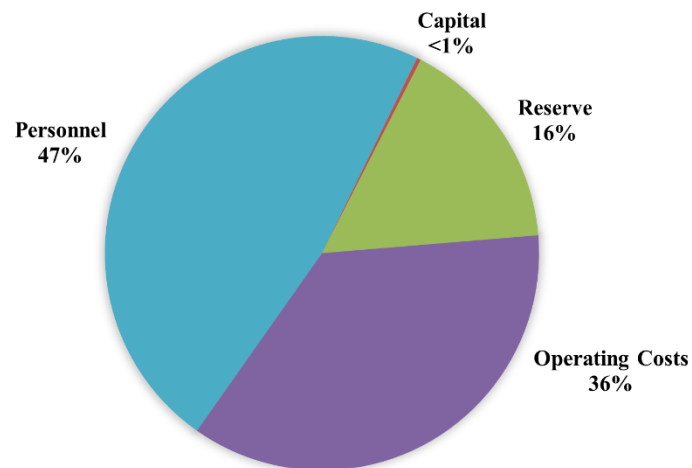
	2023-24 Actual	2024-25 Original Budget	2024-25 Revised Budget	2024-25 Estimated	2025-26 Adopted Budget	% Change from 2024-25
Transfer from General Fund	\$ 826,850	\$ 722,003	\$ 722,003	\$ 175,000	\$ 722,003	0.0%
Appropriated Fund Balance	-	-	2,124,494	2,124,494	-	N/A
Total	\$ 826,850	\$ 722,003	\$ 2,846,497	\$ 2,299,494	\$ 722,003	0.0%

CLIMATE ACTION FUND



The Climate Action Fund was established in FY2021-2022 to dedicate funding to address climate change.

FY24 CLIMATE ACTION ACTUAL EXPENDITURES



CLIMATE ACTION FUND

BUDGET SUMMARY

The Climate Action Fund was established in FY22 to dedicate funding for climate change. The adopted budget for the Climate Action Fund remained flat compared to the 2024-25 budget. The 5% increase in personnel costs reflects a 0.75% retirement increase, a 6% increase in insurance costs, and a salary increase. Operating costs increased by 20.2% due to increases in consulting and contracted services. Capital costs decreased based on available resources.

EXPENDITURES

	2023-24 Actual	2024-25 Original Budget	2024-25 Revised Budget	2024-25 Estimated	2025-26 Adopted Budget	% Change from 2024-25
Personnel	\$ 397,626	\$ 406,196	\$ 438,045	\$ 419,807	\$ 426,588	5.0%
Operating Costs	302,372	314,132	762,063	673,429	377,671	20.2%
Capital	2,493	83,931	507,044	245,583	-	-100.0%
Contribution to Reserve	135,442	-	-	-	-	N/A
Transfer to Vehicle Replacement Fund	-	-	129,200	129,200	-	N/A
Total	\$ 837,933	\$ 804,259	\$ 1,836,352	\$ 1,468,019	\$ 804,259	0.0%

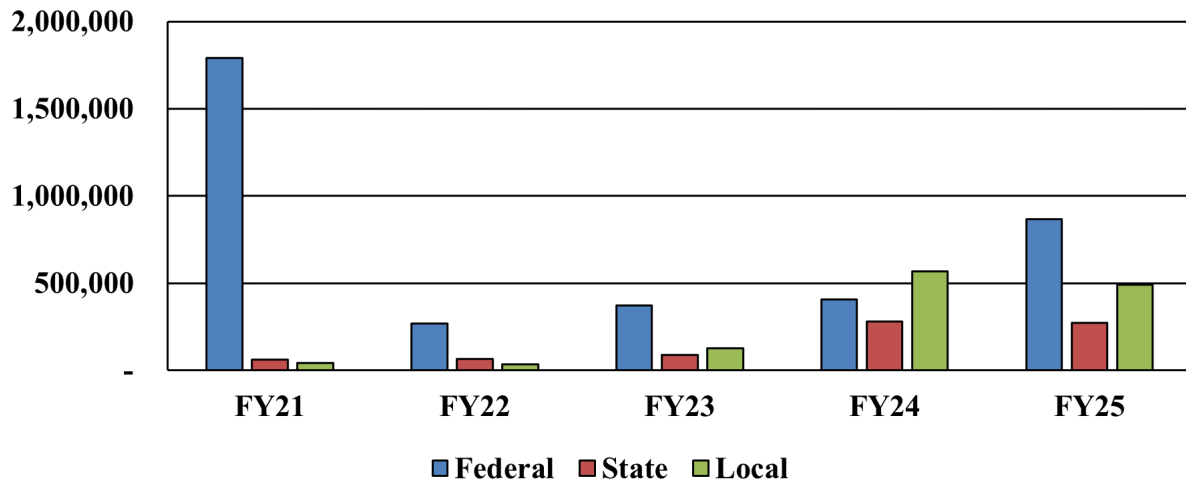
REVENUES

	2023-24 Actual	2024-25 Original Budget	2024-25 Revised Budget	2024-25 Estimated	2025-26 Adopted Budget	% Change from 2024-25
Transfer from General Fund	\$ 804,259	\$ 804,259	\$ 804,259	\$ 433,773	\$ 804,259	0.0%
Grants	33,674	-	489,604	489,604	-	0.0%
Appropriated Fund Balance	-	-	542,489	544,642	-	0.0%
Total	\$ 837,933	\$ 804,259	\$ 1,836,352	\$ 1,468,019	\$ 804,259	0.0%

GRANTS FUND

The Grants Fund was established in FY2004-05 to account for miscellaneous small grants that would otherwise be included within the General Fund.

Grant Revenue Sources FY21-FY25



GRANTS FUND

BUDGET SUMMARY

The Grants Fund was established in 2004-05 to account for grants previously included in the General Fund. Grants for 2025-26 consist of three Planning grants that provide personnel and operating funding for transportation planning.

EXPENDITURES

	2023-24 Actual	2024-25 Original Budget	2024-25 Revised Budget	2024-25 Estimated	2025-26 Adopted Budget	% Change from 2024-25
Police Grants	\$ 255,783	\$ 81,319	\$ 871,060	\$ 735,547	\$ -	-100.0%
Fire Grants	93,865	-	106,135	106,135	-	N/A
Planning Grants	572,133	520,576	886,151	886,151	513,614	-1.3%
AH&CC Grants	149,825	125,000	144,612	144,612	-	-100.0%
Technology Grants	-	-	187,778	187,778	-	N/A
Total	\$ 1,071,606	\$ 726,895	\$ 2,195,736	\$ 2,060,223	\$ 513,614	-29.3%

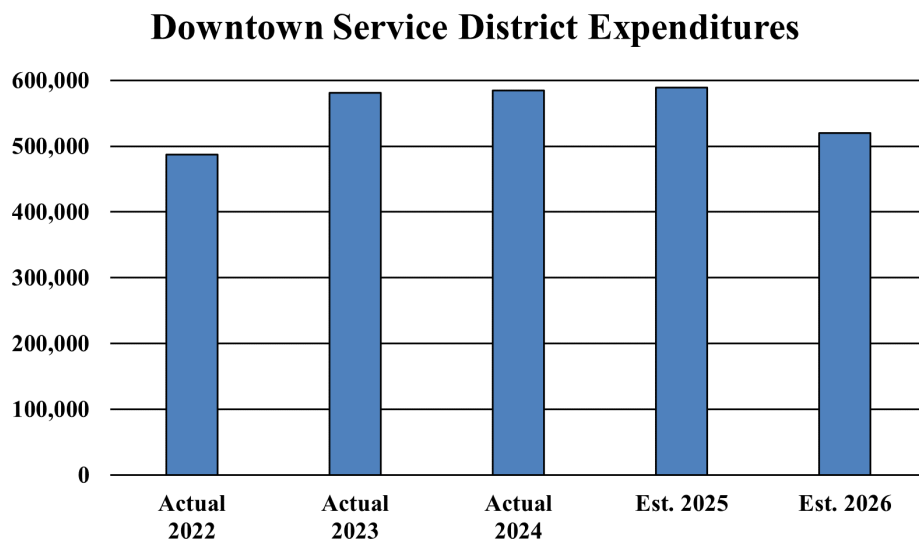
REVENUES

	2023-24 Actual	2024-25 Original Budget	2024-25 Revised Budget	2024-25 Estimated	2025-26 Adopted Budget	% Change from 2024-25
Grants	\$ 1,255,375	\$ 614,487	\$ 1,770,461	\$ 1,636,317	\$ 403,415	-34.3%
Transfer from General Fund	109,895	85,606	99,247	99,247	83,703	-2.2%
Transfer from Capital Imp. Fund	11,930	26,802	26,802	26,802	26,496	-1.1%
Appropriated Fund Balance	(305,594)	-	299,226	297,857	-	N/A
Total	\$ 1,071,606	\$ 726,895	\$ 2,195,736	\$ 2,060,223	\$ 513,614	-29.3%

DOWNTOWN SERVICE DISTRICT FUND



The Downtown Service District Fund accounts for the personnel, programs, and capital improvements dedicated to the Downtown Service District as established by Town Council.



DOWNTOWN SERVICE DISTRICT FUND

Major Revenue Sources – Descriptions and Estimates

The primary revenue source for the Downtown Service District is the special district property tax on the assessed value of \$762,700,000. The tax rate of 5.5 cents represents the revenue neutral rate based on the 2025 Orange County revaluation and is expected to yield a total of \$419,000 in FY 2025-26. This represents an increase of \$7,000 from the previous year estimate, due to the increase in value from new development in the downtown area and the revaluation.

As of FY 2025-26, Orange County is no longer contributing \$73,500 to the “Launch” initiative, which is a partnership between the University and the Town with the goal of providing incentives to assist in small and local business development.

The budget also includes a transfer of \$100,000 from the General Fund to further support downtown initiatives.

Adjustments to the Downtown Service District border were last made for the 2006-07 fiscal year to account for changes in business status between commercial and residential uses.

Major Expenditures and Estimates

The budget provides funding for the Chapel Hill Downtown Partnership in the amount of \$150,000. The Chapel Hill Downtown Partnership brings the resources of the Town, University, and downtown community together to maintain, enhance, and promote downtown as the social, cultural, and spiritual center of Chapel Hill through economic development.

Additional expenses to the Town relate to 140 West Plaza (\$110,000) and the “Launch” initiative (\$73,500). The FY26 budget continues funding for a groundskeeper dedicated to the downtown area (\$70,522) and includes a re-allocation of \$100,000 toward a Downtown Public Space Pilot in Lot 2 at the corner of Columbia and Rosemary Streets.

DOWNTOWN SERVICE DISTRICT FUND

BUDGET SUMMARY

The adopted Downtown Service District Fund tax rate of 5.5 cents for 2025-26 provides for continued funding of the groundskeeper position dedicated to the downtown area. The adopted budget includes an allocation of just over \$430,000 for services related to the district, and includes expenses related to the "Launch" initiative (\$73,500) along with 140 West expenses (\$110,000).

EXPENDITURES

	2023-24 Actual	2024-25 Original Budget	2024-25 Revised Budget	2024-25 Estimated	2025-26 Adopted Budget	% Change from 2024-2025
Personnel	\$ 69,889	\$ 66,915	\$ 66,915	\$ 69,099	\$ 70,522	5.4%
CH DWTN Partnership	250,000	250,000	250,000	250,000	150,000	-40.0%
140 West Expenses	101,719	110,000	110,000	110,000	110,000	0.0%
Launch	147,000	147,000	147,000	147,000	73,500	-50.0%
Lot 2 Pilot	-	-	-	-	100,000	N/A
Reserve	16,154	12,585	12,585	13,401	15,978	27.0%
Total	\$ 584,762	\$ 586,500	\$ 586,500	\$ 589,500	\$ 520,000	-11.3%

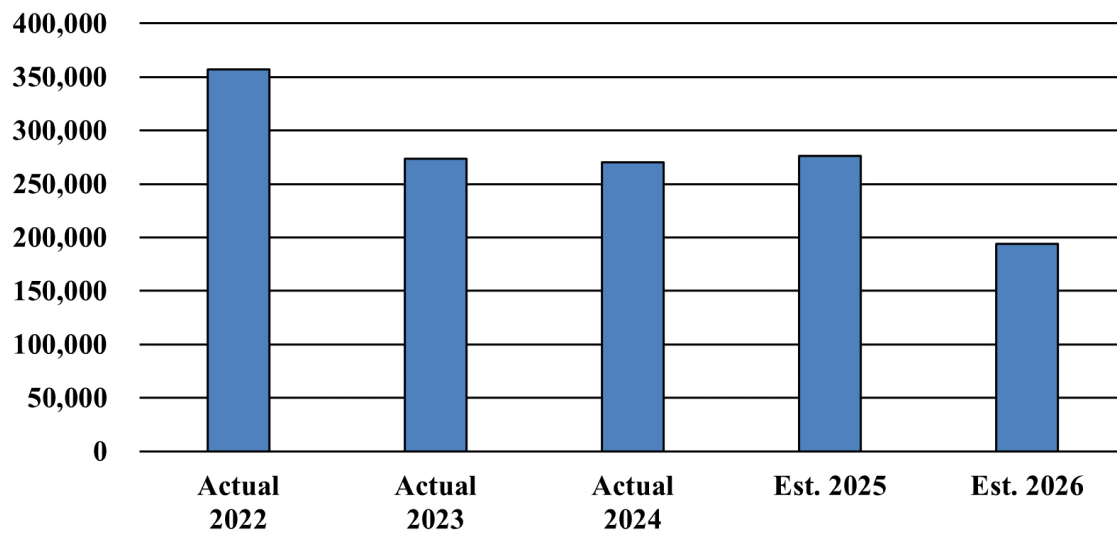
REVENUES

	2023-24 Actual	2024-25 Original Budget	2024-25 Revised Budget	2024-25 Estimated	2025-26 Adopted Budget	% Change from 2024-25
Property Taxes	\$ 406,082	\$ 412,000	\$ 412,000	\$ 412,000	\$ 419,000	1.7%
Interest Income	4,546	-	-	3,000	-	N/A
Orange County Launch Contribution	73,500	73,500	73,500	73,500	-	-100.0%
Interest on Receivable	634	1,000	1,000	1,000	1,000	0.0%
Transfer from General Fund	100,000	100,000	100,000	100,000	100,000	0.0%
Total	\$ 584,762	\$ 586,500	\$ 586,500	\$ 589,500	\$ 520,000	-11.3%

LIBRARY GIFT FUND

The Library Gift Fund accounts for private contributions and grants received by the Chapel Hill Public Library.

Library Gift Fund Donations and Interest Earnings



LIBRARY GIFT FUND

BUDGET SUMMARY

The adopted budget for the Library Gift Fund for 2025-26 remains flat compared to the previous year. 2025-26 expenses include additions to the collection, furniture, software costs, and other miscellaneous expenses. The Library Gift Fund continues to budget a transfer to the General Fund to support Library operations at an amount of \$45,000 for 2025-26.

EXPENDITURES

	2023-24 Actual	2024-25 Original Budget	2024-25 Revised Budget	2024-25 Estimated	2025-26 Adopted Budget	% Change from 2024-25
Computers/Database	\$ 9,585	\$ 8,225	\$ 109,471	\$ 87,269	\$ 8,225	0.0%
Furniture	26,837	23,308	-	10,557	23,308	0.0%
Collection Purchases	38,658	48,000	49,610	48,000	39,000	-18.8%
Other	129,618	82,375	203,640	217,606	81,500	-1.1%
Transfer to General Fund	45,000	45,000	45,000	45,000	45,000	0.0%
Contribution to Reserve	20,464	13,906	13,906	-	23,781	71.0%
Total	\$ 270,162	\$ 220,814	\$ 421,627	\$ 408,432	\$ 220,814	0.0%

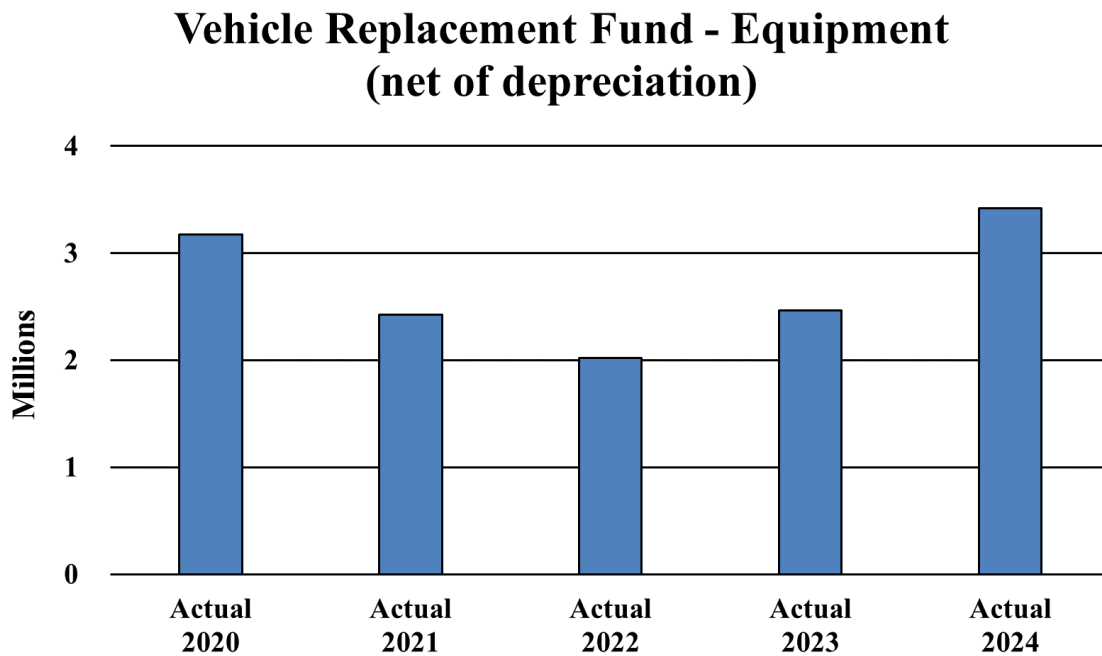
REVENUES

	2023-24 Actual	2024-25 Original Budget	2024-25 Revised Budget	2024-25 Estimated	2025-26 Adopted Budget	% Change from 2024-25
Interest Income	\$ 11,043	\$ 1,406	\$ 1,406	\$ 5,750	\$ 1,406	0.0%
Friends' Donations	125,000	134,875	139,875	139,875	134,875	0.0%
Grants	80,197	-	46,406	68,347	-	N/A
Misc Donations	53,922	57,500	63,500	62,500	57,500	0.0%
Appropriated Fund Balance	-	27,033	170,440	131,960	27,033	0.0%
Total	\$ 270,162	\$ 220,814	\$ 421,627	\$ 408,432	\$ 220,814	0.0%

VEHICLE REPLACEMENT FUND

The Vehicle Replacement Fund accounts for the purchase of motor vehicles and related costs to Town departments.

Vehicle Replacement is an internal service fund; costs are charged out to Town departments based on actual expenditures.



VEHICLE REPLACEMENT FUND

BUDGET SUMMARY

The 2025-26 adopted budget for the Vehicle Replacement Fund includes a list of the most critical capital equipment needs pending a comprehensive review of the Town's capital assets. The adopted budget includes replacement of the following: one rear loader and two trucks in Solid Waste; seven Police vehicles; four trucks, one Skid Steer, and four mowers for Parks Maintenance; one dump truck in the Streets Division of Public Works; one truck in Facilities Management; one truck in the Construction division; one Public Works Admin vehicle; one truck in the Engineering division; one Fire Department vehicle; and one van for Parks & Rec. Also included is a new vehicle for the Code Enforcement division of Building & Development Services. The Vehicle Replacement Fund operates on a pay-as-you-go system. Beginning in 2014-15, vehicle purchases were bought outright rather than financed.

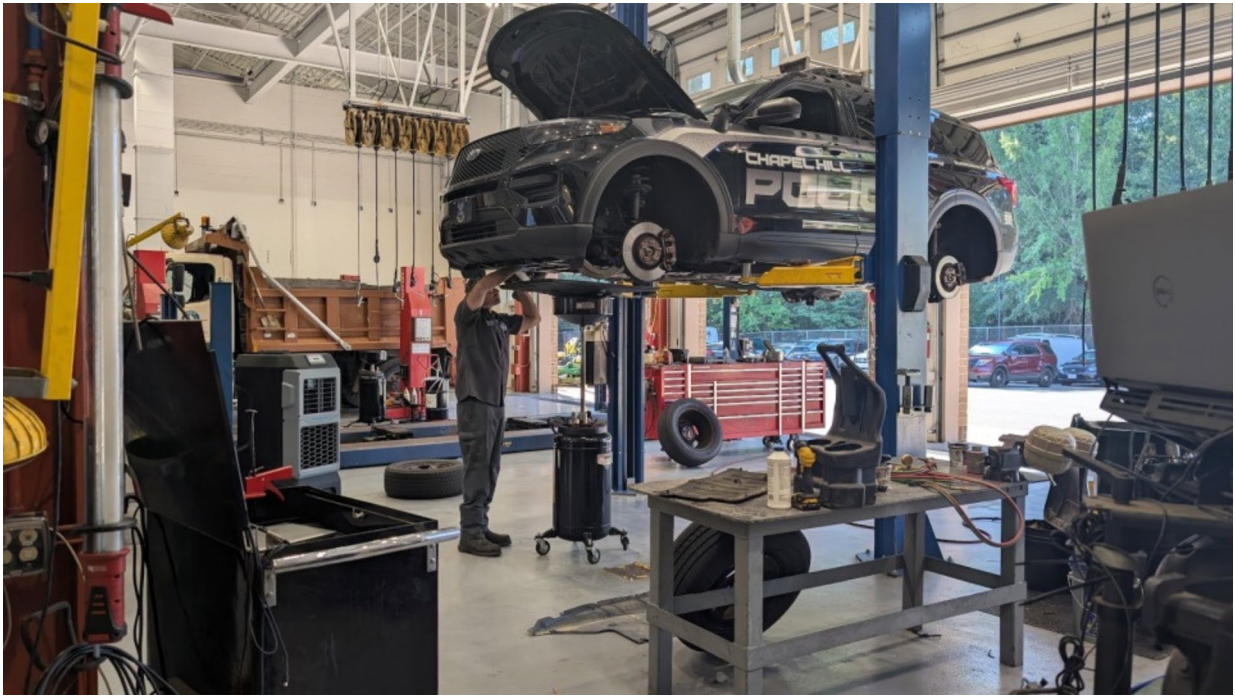
EXPENDITURES

	2023-24 Actual	2024-25 Original Budget	2024-25 Revised Budget	2024-25 Estimated	2025-26 Adopted Budget	% Change from 2024-25
Capital Equipment	\$ 1,754,640	\$ 1,605,000	\$ 2,535,631	\$ 2,535,631	\$ 1,810,000	12.8%
Total	\$ 1,754,640	\$ 1,605,000	\$ 2,535,631	\$ 2,535,631	\$ 1,810,000	12.8%

REVENUES

	2023-24 Actual	2024-25 Original Budget	2024-25 Revised Budget	2024-25 Estimated	2025-26 Adopted Budget	% Change from 2024-25
Vehicle Use Fees	\$ 1,105,000	\$ 1,605,000	\$ 1,605,000	\$ 1,605,000	\$ 1,810,000	12.8%
Interest Income	53,006	-	-	2,400	-	N/A
Sale of Capital Assets	143,831	-	-	-	-	N/A
Transfer from Climate Action Fund	-	-	129,200	129,200	-	N/A
Appropriated Fund Balance	452,803	-	801,431	799,031	-	N/A
Total	\$ 1,754,640	\$ 1,605,000	\$ 2,535,631	\$ 2,535,631	\$ 1,810,000	12.8%

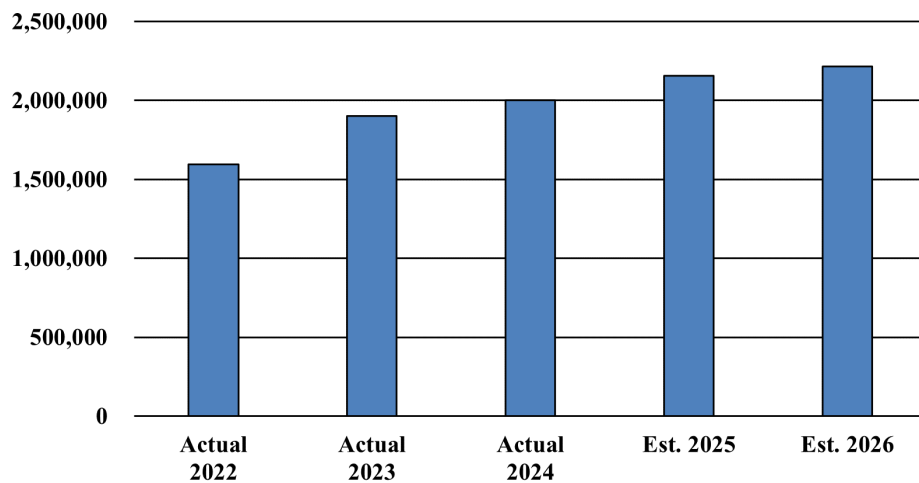
FLEET MANAGEMENT FUND



The Fleet Management Fund accounts for the repair and maintenance of the Town's fleet of cars, trucks, and heavy equipment, excluding those used in public transit operations. The division is supervised by Public Works.

Fleet Management is an internal service fund; costs are charged out to Town departments based on actual expenditures.

Fleet Management Fund Expenditures



FLEET MANAGEMENT

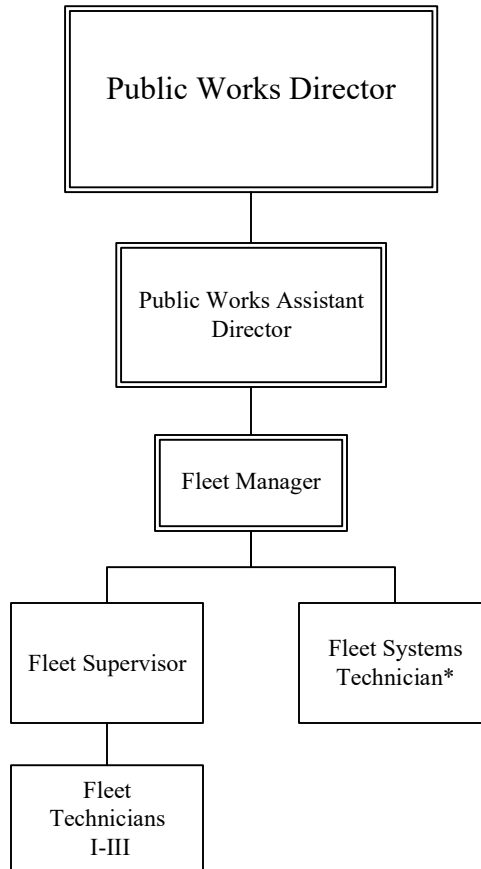
MISSION STATEMENT:

The overall mission of the Fleet Management Fund is to ensure safe, reliable fleet and equipment essential for the provision of public services, with an emphasis on greening our fleet and equipment, sustainability, efficiency, and effectiveness.

Summary of services provided in support of department's mission:

- Strategic planning, maintenance, and management of the Town's Fleet Program and Vehicle Replacement Program that supports the Climate Action Plan.
- Manage fueling facilities and provide electrical charging stations and other greener fuels.
- Provide for major vehicle and equipment maintenance and repairs using in-house and outside resources.
- Provide on-call emergency vehicle and equipment services.

FLEET MANAGEMENT



*Position is split with Facilities Management.

FLEET MANAGEMENT FUND
STAFFING COMPARISONS - IN FULL-TIME EQUIVALENTS

	2023-24 ADOPTED	2024-25 ADOPTED	2025-26 ADOPTED
Fleet Manager	1.00	1.00	1.00
Fleet Supervisor	1.00	1.00	1.00
Fleet Technician (I-III)	5.00	5.00	5.00
Fleet Systems Technician ¹	0.75	0.75	0.75
Unit Totals	<u>7.75</u>	<u>7.75</u>	<u>7.75</u>

¹ This position is split between the Facilities Management division of Public Works and the Fleet Management fund.

Note: Fleet Management is supervised by the Public Works Department.

FLEET MANAGEMENT FUND

BUDGET SUMMARY

The 2025-26 adopted budget for the Fleet Management Fund reflects an overall increase in expenditures of 3.7% from last year's budget. The 4.9% increase in personnel is the result of a 0.75% retirement increase, a 6% increase in insurance costs, and a salary increase. The 2.9% operating budget increase is due to an increase in vehicle maintenance costs.

EXPENDITURES

	2023-24 Actual	2024-25 Original Budget	2024-25 Revised Budget	2024-25 Estimated	2025-26 Adopted Budget	% Change from 2024-25
Personnel	\$ 761,681	\$ 880,509	\$ 854,829	\$ 855,983	\$ 923,889	4.9%
Operating Costs	1,224,340	1,255,163	1,358,024	1,282,917	1,291,863	2.9%
Capital Outlay	17,226	-	17,195	17,194	-	N/A
Total	\$ 2,003,247	\$ 2,135,672	\$ 2,230,048	\$ 2,156,094	\$ 2,215,752	3.7%

REVENUES

	2023-24 Actual	2024-25 Original Budget	2024-25 Revised Budget	2024-25 Estimated	2025-26 Adopted Budget	% Change from 2024-25
Vehicle Maintenance Fees	\$ 1,821,932	\$ 2,135,672	\$ 2,135,672	\$ 2,135,672	\$ 2,215,752	3.7%
Interest Income	11,728	-	-	1,400	-	N/A
Insurance Claims	3,860	-	19,022	19,022	-	N/A
Appropriated Fund Balance	165,727	-	75,354	-	-	N/A
Total	\$ 2,003,247	\$ 2,135,672	\$ 2,230,048	\$ 2,156,094	\$ 2,215,752	3.7%

FLEET MANAGEMENT

Performance Measures

 Environmental Stewardship Connected Community Safe Community	Strategic Objectives ➤ Ensure that at least 50% of all work orders are preventive maintenance work ➤ Limit repeat repairs to 2% or less ➤ Complete at least 95% of preventive maintenances as scheduled in order to reduce out-of-service time ➤ Ensure that 90% of rolling stock is available per day ➤ Complete 85% of repair orders within 1 work day, with no more than 10% taking longer than 2 work days
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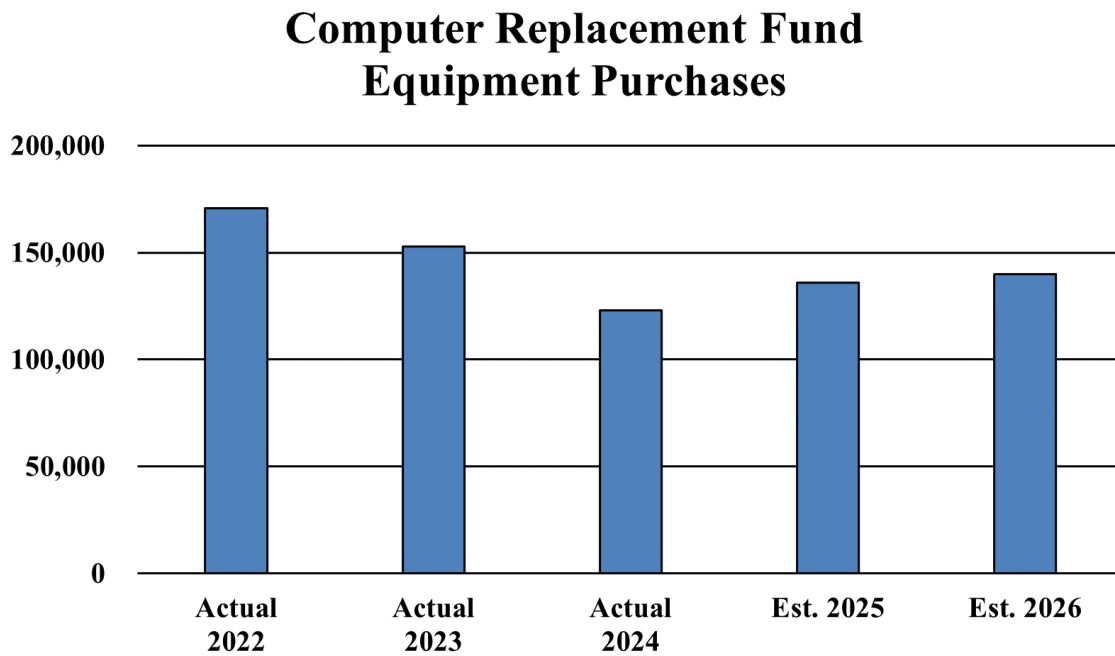
Core Business Program	Performance Measure	FY23 Actual	FY24 Actual	FY25 Actual	FY26 Target
Fleet Services ¹	Percent of work orders that are preventive maintenance	34%	34%	33%	50%
	Percent of work orders that are repeat repairs	<2%	<2%	<2%	<2%
	Percent of preventive maintenances completed as scheduled	64%	37%	54%	95%
	Percent of rolling stock available per day	91%	91%	89%	90%
	Percent of work orders completed in less than 1 work day	58%	57%	34%	85%
	Percent of work orders completed in excess of 2 work days	32%	36%	59%	<10%

¹ Fleet Mechanics are doing more complex, time-consuming repairs on an aging fleet. As the vehicles age, repairs become more in-depth and costly. The Division has some repairs completed by external vendors, with unpredictable timelines.

COMPUTER REPLACEMENT FUND

The Computer Replacement Fund accounts for the purchase of computer equipment for Town departments.

Computer Replacement is an internal service fund; costs are charged out to Town departments based on actual expenditures.



COMPUTER REPLACEMENT FUND

BUDGET SUMMARY

The adopted budget for 2025-26 provides for replacement of computer equipment on a pay-as-you-go basis.

EXPENDITURES

	2023-24 Actual	2024-25 Original Budget	2024-25 Revised Budget	2024-25 Estimated	2025-26 Adopted Budget	% Change from 2024-25
Small Equipment	\$ 122,909	\$ 158,236	\$ 211,427	\$ 135,809	\$ 139,876	-11.6%
Reserve	57,920	-	-	-	-	N/A
Total	\$ 180,829	\$ 158,236	\$ 211,427	\$ 135,809	\$ 139,876	-11.6%

REVENUES

	2023-24 Actual	2024-25 Original Budget	2024-25 Revised Budget	2024-25 Estimated	2025-26 Adopted Budget	% Change from 2024-25
Computer Use Fees	\$ 176,100	\$ 158,236	\$ 158,236	\$ 79,118	\$ 139,876	-11.6%
Interest Income	4,729	-	-	3,500	-	N/A
Appropriated Fund Balance	-	-	53,191	53,191	-	N/A
Total	\$ 180,829	\$ 158,236	\$ 211,427	\$ 135,809	\$ 139,876	-11.6%

AN ORDINANCE CONCERNING THE ESTABLISHMENT OF THE TOWN BUDGET FOR THE FISCAL YEAR BEGINNING JULY 1, 2025 (2025-06-18/O-1)

BE IT ORDAINED by the Council of the Town of Chapel Hill:

Section 1. APPROPRIATIONS

That the following appropriations are hereby made:

<u>GENERAL FUND</u>	<u>Function Total</u>
General Government	\$ 26,002,682
Environment & Development	22,927,421
Public Safety	31,275,697
Leisure	14,677,200
GENERAL FUND TOTAL	\$94,833,000
 <u>OTHER FUNDS</u>	
Transit Fund	\$ 36,481,975
Transit Capital Reserve Fund	0
Debt Service Fund	9,784,100
Vehicle Replacement Fund	1,810,000
Fleet Management Fund	2,215,752
Computer Replacement Fund	139,876
Public Housing Fund	2,882,324
Affordable Housing Funding Program	722,003
Parking Services Fund	6,525,673
Library Gift Fund	220,814
Capital Improvements Fund	2,895,996
Downtown Service District Fund	520,000
Climate Action Fund	804,259
Stormwater Management Fund	3,713,100
Grants Fund	513,614
TOTAL ALL FUNDS	\$164,112,486

Section 2. REVENUES

It is estimated that the following revenues will be available during the fiscal year beginning July 1, 2025 and ending June 30, 2026 to meet the foregoing appropriations. It is determined that where estimated revenues are higher than the previous year, the increases were warranted.

GENERAL FUND

Property Taxes	\$ 50,530,000
Sales Taxes	21,528,427
Occupancy Tax	1,750,000
Other Taxes & Licenses	100,000
State-Shared Revenues	8,927,339
Grants	750,083
Charges for Services	6,173,959
Licenses/Permits/Fines	2,920,230
Interest on Investments	750,000
Other Revenues	407,962
Transfers/Other Sources	45,000
Fund Balance Appropriated	1,000,000
General Fund Total	\$94,883,000

OTHER FUNDS

Transit Fund	\$ 36,481,975
Transit Capital Reserve Fund	0
Debt Service Fund	9,784,100
Vehicle Replacement Fund	1,810,000
Vehicle Maintenance Fund	2,215,752
Computer Replacement Fund	139,876
Public Housing Fund	2,882,324
Affordable Housing Reserve Fund	722,003
Parking Facilities Fund	6,525,673
Library Gift Fund	220,814
Capital Improvements Fund	2,895,996
Downtown Service District Fund	520,000
Climate Action Fund	804,259
Stormwater Management Fund	3,713,000
Grants Fund	513,614
TOTAL ALL FUNDS	\$164,112,486

Section 3. LEVY OF TAXES

There is hereby levied the following tax on each one hundred dollars (\$100) valuation of taxable property, located within the Town of Chapel Hill, as listed for taxes as of January 1, 2025 for the purpose of raising revenue from property tax as set forth in the foregoing estimates of revenues, and in order to finance the foregoing appropriations.

General Fund (for the payment of expenses of the Town of Chapel Hill)	\$0.381/\$100
Debt Service Fund (for the payment of expenses of the Town of Chapel Hill)	\$0.066/\$100
Transit Fund (for the payment of expenses related to transportation approved by referendum)	\$0.053/\$100
TOTAL	\$0.500/\$100

Section 4. SPECIAL DISTRICT TAX LEVY

There is hereby levied the following tax on each one hundred dollars (\$100) valuation of taxable property located in the Downtown Revitalization Municipal Service District established by the Town Council's resolution of June 12, 1989:

Downtown Service District Fund	\$0.055/\$100
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This the 18th day of June, 2025.



GOVERNMENT FINANCE OFFICERS ASSOCIATION

*Distinguished
Budget Presentation
Award*

PRESENTED TO

**Town of Chapel Hill
North Carolina**

For the Fiscal Year Beginning

July 01, 2024

Christopher P. Morill

Executive Director

Government Finance Officers Association of the United States and Canada (GFOA) presented a Distinguished Budget Presentation Award to the Town of Chapel Hill for its Annual Budget for the fiscal year beginning July 1, 2024. In order to receive this award, a governmental unit must publish a budget document that meets program criteria as a policy document, as a financial plan, as an operations guide, and as a communications device.

This award is valid for a period of July 1, 2024 – June 30, 2025 only. We believe our current budget continues to conform to program requirements, and we are submitting it to GFOA to determine its eligibility for another award.

Performance Agreements with Other Agencies

	2024-25 Adopted Budget	2025-26 Adopted Budget
Performance Agreements with Other Agencies		
Human Services		
Human Services Funding Program	\$ 602,516	\$ 602,516
Total Human Services	602,516	602,516
Arts		
Cultural Arts	43,500	43,500
Total Arts	43,500	43,500
Affordable Housing		
Community Home Trust	513,145	513,145
Interfaith Council (IFC)	273,766	273,766
Orange County Partnership to End Homelessness	317,048	317,048
Total Affordable Housing	1,103,959	1,103,959
Economic Development		
Chapel Hill/Orange County Visitors Bureau	200,000	200,000
Chapel Hill Downtown Partnership	70,000	70,000
Total Economic Development	270,000	270,000
Total Contributions to Agencies	\$ 2,019,975	\$ 2,019,975

GLOSSARY

Accrual - Revenues are recorded when earned, and expenses are recorded as soon as they result in liabilities for benefits received.

Ad Valorem tax - A tax levied in proportion to the value of a property.

Allocate - To set apart portions of budgeted expenditures which are specifically designated to organizations for special activities and purposes.

Annual Budget - A budget covering a single fiscal year.

Appropriation - The amount budgeted on a yearly basis to cover projected expenditures which the Town Council legally authorizes through the Budget Ordinance.

Approved Budget - The budget as formally adopted by the Town Council for the upcoming fiscal year.

Assessed Value/Valuation - The estimated dollar value placed upon real and personal property by the County Assessor as the basis for levying property taxes. The General Assembly exempted household personal property from taxation effective July 1, 1987.

Authorized Bonds - Bonds which have been legally authorized but may or may not have been sold.

Balanced Budget - Occurs when planned expenditures equal anticipated revenues. In North Carolina, it is required that the budget submitted to the Town Council be balanced.

Bond - A written promise to pay a specific amount of money with interest within a specific time period, usually long-term.

Bond Rating - A grade indicating a governmental unit's investment qualities. Generally speaking, the higher the bond rating, the more favorable the interest rate and the lower the cost of financing capital projects funded by bonds. A high rating is indicative of the government's strong financial position. Ratings range from AAA (highest) to D (lowest).

Bonds Issued - Bonds that are sold.

Budget - A financial plan for a specified period of time that matches planned revenues and expenditures with various Town services.

Budget Message - A written overview of the proposed budget from the Town Manager to the Town Council. This overview discusses the major budget items of the Manager's recommended budget.

Capital Asset - An asset of long-term character. For budgetary purposes, a capital asset is defined as an item costing \$5,000 or more with an expected life of more than one year.

GLOSSARY

Capital Improvements Plan - A long term plan of proposed capital improvements projects, which includes estimated project cost and funding sources, that the Town expects to undertake within a five-year period. The plan is updated annually to reassess capital needs.

Capital Outlay - An expenditure which results in the acquisition of or addition to a capital asset.

Capital Project - A project expected to have a useful life greater than 10 years and an estimated cost of \$10,000 or more. Capital projects include the construction, purchase, or major renovation of buildings, utility systems, parks, or other physical structures or property; purchase of land; and purchase of large equipment.

Capital Project Fund - A fund used to account for the acquisition or construction of major capital facilities and equipment.

Category - Expenditure budgets are presented in one of three categories: Personnel, Operating Costs, and Capital Outlay.

Community Development Block Grant (CDBG) – The CDBG program, administered by the U.S. Department of Housing and Urban Development (HUD), provides flexible funding to local governments for a wide range of community development activities. These activities primarily focus on revitalizing neighborhoods, creating economic opportunities, and improving community facilities, with a strong emphasis on benefiting low- and moderate-income residents.

Community Development Fund - A fund used to account for block grant monies received from the federal government under Title I of the Housing and Community Development Act.

Compensated Absences - Paid time off made available to employees in connection with vacation leave, sick leave, and similar benefits.

Contingency - Appropriation intended for unanticipated expenditures. Transfer of these funds into an expendable account is controlled by the Town Council.

Debt Service - Principal, interest, and administrative costs associated with the repayment of long-term debt.

Delinquent Taxes - Taxes that remain unpaid after the due date on which a penalty for nonpayment is incurred.

Department - A major administrative division of the Town that has overall management responsibility for an operation within a functional area.

Depreciation - An allowance made for the loss in the value of property over time.

District Tax - Taxes paid by those owning property in a special district of the Town.

GLOSSARY

Employee Benefits - For budgeting purposes, employee benefits include employer payments for social security, retirement, group health and life insurance, and workers' compensation and any similar form of employee compensation.

Encumbrances - A financial commitment for services, contracts, or goods which have not been delivered or performed.

Enterprise Fund - A grouping of activities whose expenditures are wholly or partially offset by revenues collected from consumers in the form of fees and charges.

Expenditures - The total cost of a program or capital project.

EZ Rider - A special service which uses lift equipped vehicles to transport individuals with mobility limitations that prevent them from using Chapel Hill Transit's regular bus service.

Fiscal Year - A 12-month period (July 1 through June 30) in which the annual operating budget applies and at the end of which an assessment is made of the Town's financial condition and performance of operations.

Full-Time Equivalent (FTE) - One FTE refers to the equivalent of one permanent position.

Function - A broad grouping of activities and departments whose objectives and expenditures are inter-related. Examples of functions within the Town include General Government, Public Safety, Leisure, etc.

Fund - An accounting entity created to record the financial activity for a selected financial group.

Fund Balance - Funds accumulated through the under-expenditure of appropriations and/or receiving revenues greater than anticipated and included in the budget.

General Fund - A fund which provides for the accounting for most of the basic government services, such as police, fire, sanitation, inspections, recreation, and other general services.

General Obligation Bonds - Bonds issued by a government which are backed by the full faith and credit of its taxing authority.

Goal - A broad statement of desired conditions to be maintained or achieved through the efforts of an organization.

Governmental Funds - Funds generally used to account for tax-supported activities.

Impervious Surface - Hard surfaces such as concrete, compressed gravel, asphalt, and rooftops. These surfaces increase the amount of stormwater runoff.

GLOSSARY

Indirect Cost - The component of the total cost for a service which is provided by one department but budgeted within another department or division. Indirect costs are budgeted to more accurately reflect the true total cost for such services.

Interest and Penalties Receivable on Taxes - Uncollected interest and penalties on property taxes.

Intergovernmental Revenues - Revenues from other governments (state, federal, and local) which can be in the form of grants, shared revenue, or entitlement.

Land Use Management Ordinance (LUMO) - The Chapel Hill Land Use Management Ordinance establishes standards and procedures for new development or redevelopment in the Town. The major purpose of the LUMO is to implement the Town's adopted *Comprehensive Plan*. It is designed to provide clear rules about what is expected of applicants in order to gain approval to develop land in the Town.

Lease Purchase - A method of purchasing equipment in which payments are spread over a period of time.

Levy - The amount of tax, service charge, and assessments imposed by the government.

Line Item - A budgetary account representing a specific object of expenditure.

Modified Accrual - The basis of accounting for the Town. Under this system, expenditures are recognized when encumbered.

NCDOT - North Carolina Department of Transportation

Non-Operating Expenses - Expenses which are not directly related to the provision of services, such as debt service.

Non-Operating Revenues - Revenues which are generated from other sources and are not directly related to service activities.

Objective - A specific statement that is to be accomplished or achieved for a particular program during the fiscal year.

Operating Budget - The Town's financial plan which outlines proposed expenditures for the upcoming fiscal year and estimates revenues which will be used to finance them.

Operating Costs/Expenses - Those expenditures of a recurring nature, covering services and supplies necessary to operate individual departmental activities.

Ordinance - A formal legislative enactment by the Town Council which has the full force and effect of law within the boundaries of the Town.

GLOSSARY

Performance Agreement - A contract with an external agency to provide funding for specific functions with specific performance targets. These agreements are designed to provide accountability from external agencies to align with the Town's strategic goals.

Personal Property - Movable property classified within two categories: tangible and intangible. "Tangible," or touchable, property includes items of visible and movable property not permanently affixed to real property. "Intangible," or non-touchable, property includes stocks, bonds, notes, cash, bank deposits, accounts receivable, patents, trademarks, copyrights, and similar assets.

Personnel Services - Salaries and wages paid to employees for full-time, part-time, and temporary work, including overtime and similar compensation. Also included in this account group are employee benefits paid for employees.

Program - A well-defined portion of the operating plan for which a distinct set of goals and objective may be developed.

Property Tax - Tax paid by those owning property in the Town.

Property Tax Rate - The rate at which real property in the Town is taxed in order to produce revenues sufficient to conduct necessary governmental activities.

Proprietary Fund - A fund used to account for the operations similar to those in the private sector. This includes enterprise funds. The focus is on determination of net income, financial position, and changes in financial position.

Public Safety - A group of expenditures related to the provision and enforcement of law enforcement and fire and disaster protection.

Real Property - Land, buildings, and items permanently affixed to land or buildings.

Real Property Value - The value of land and buildings which are taxable.

Reappraisal - The process of revaluing a jurisdiction's real property in order to adjust the tax value to the market value; by North Carolina law, a revaluation must be conducted at a minimum of every eight years. Property was most recently revalued as of January 1, 2025.

Reclassification - A change in the classification and corresponding job title of an existing position which results from a major change in assigned responsibilities.

Reserve - An account designated for a portion of the fund balance which is to be used for a specific purpose.

Revenue - All funds that the Town government receives as income, including items such as tax payments, fees for specific services, receipts from other governments, fines, forfeitures, shared revenues, and interest income.

GLOSSARY

Revenue Neutral Tax Rate - G.S. §159-11(e) states that “the revenue-neutral tax rate is the rate that is estimated to produce revenue for the next fiscal year equal to the revenue that would have been produced for the next fiscal year by the current tax rate if no reappraisal had occurred.”

Rolling Stock - Vehicles and other similar equipment which use wheels to move about.

Sales Tax - Tax paid by retail consumers.

Service Level - The amount of service provided during the fiscal year as indicated by one or more performance indicators.

Shared Ride - An extension of transit service to designated areas of town which do not receive regular bus service.

Special Assessment - A levy on certain properties to defray part or all of the cost associated with improvements or services which will benefit those properties. For instance, a special assessment would be levied against property owners who have petitioned for paving a street.

Special Districts - A tax district approved by the voters to provide specified services. A special district in the Town is the Downtown Service District, which provides improvements in the Town center.

Special Revenue Fund - A fund used to account for the revenues from specific sources which are to be used for legally specified expenditures.

Tax Levy - Revenue produced by applying a given tax rate to a property's assessed, or tax value.

Town Council - Nine-member Council elected at large by the voters of the Town for four year terms.

Town Operations Center (TOC) – Town property on Eubanks Road; site of Public Works and Transit Operations.

Triangle - Chapel Hill is located in central North Carolina, in the area commonly referred to as the Triangle, including Orange, Durham, and Wake Counties.

Two-Thirds Bonds - General obligation bonds that can be issued by a local government without voter authorization under a formula set by the State of two-thirds of the previous year's net debt reduction.